



**ARBA MINCHUNIVERSITY
COLLEGE OF BUSINESS AND ECONOMICS
MANAGEMENT DEPARTMENT**

Course Materials for Theme 3 in Management Program

***THEME 3: INNOVATION, STRATEGY AND
PROJECT MANAGEMENT***

This module contains four courses:

- 1. Entrepreneurship***
- 2. Management Information System,***
- 3. Strategic Management***
- 4. Project Management***

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Entrepreneurship



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CHAPTER 1: THE NATURE OF ENTREPRENEURSHIP

1.1 INTRODUCTION

The word ‘entrepreneur’ is widely used, both in everyday conversation and as a technical term in management and economics. Its origin from a French word, **entreprendre**, where an entrepreneur was an individual commissioned to undertake a particular commercial project. A number of concepts have been derived from the idea of the entrepreneur such as entrepreneurial, entrepreneurship and entrepreneurial process. The idea that the entrepreneur is someone who undertakes certain projects offers an opening to developing an understanding of the nature of entrepreneurship. Undertaking particular projects demands that particular tasks be engaged in with the objective of achieving specific outcomes and that an individual take charge of the project. Entrepreneurship is then what the entrepreneur does. Entrepreneurial is an adjective describing how the entrepreneur undertakes what he or she does. The entrepreneurial process in which the entrepreneur engages is the means through which new value is created as a result of the project: the entrepreneurial venture.

Chapter Objectives

This chapter is concerned with developing a predominant and integrated perspective of the entrepreneur and entrepreneurship. It reviews the great variety of definitions given for the word entrepreneurship and also the different activities performed by the entrepreneur.

After completing this chapter, students will be able to:

- Define the term entrepreneurship and entrepreneur
- Identify types of entrepreneur
- Recognize the role of entrepreneurship in the economy
- Analyze the entrepreneurial competences
- Understand creativity and innovation

1.2 Historical Origin of Entrepreneurship

What is entrepreneurship? And who is an entrepreneur? These two questions are asked more frequently reflecting the increasing demand in the field of entrepreneurship. Offering a specific

and unambiguous definition of the term entrepreneurship /entrepreneur presents a challenge. This is not because definitions are not available, but because there are so many. Here let us look into the historical development of entrepreneurship so as to grasp the meaning of the word entrepreneurship.

During the ancient period the word entrepreneur was used to refer to a person managing large commercial projects through the resources provided to him.

In the 17th Century a person who has signed a contractual agreement with the government to provide stipulated products or to perform service was considered as entrepreneur. In this case the contract price is fixed so any resulting profit or loss reflects the effort of the entrepreneur. In the 18th Century the first theory of entrepreneur has been developed by Richard Cantillon. He said that an entrepreneur is a risk taker. If we consider the merchant, farmers and /or the professionals they all operate at risk. For example, the merchants buy products at a known price and sell it at unknown price and this shows that they are operating at risk. The other development during the 18th Century is the differentiation of the entrepreneurial role from capital providing role. The later role is the base for today's venture capitalist.

In the late 19th and early 20th Century an entrepreneur was viewed from economic perspectives. The entrepreneur organizes and operates an enterprise for personal gain. In the middle of the 20th Century the notion of an entrepreneur as an inventor was established. "The function of the entrepreneur is to reform or revolutionize the pattern of production by exploiting an invention or more generally untried technological possibility for producing new commodities or producing an old one in a new way or opening a new outlet for products by reorganizing a new industry."

The concept of innovation and newness are at the heart of the above definition. From the historical development it is possible to understand the fact that the perception of the word entrepreneur was evolved from managing commercial project to the application of innovation (creativity) in the business idea.

1.3 Definitions of Entrepreneurship and Entrepreneur

Here we will see some definitions of entrepreneurship and entrepreneur. Intuitively, it is known that entrepreneurship is the process and entrepreneur is the person undertaking entrepreneurial activity such as undertaking own business. Finally we will see the common attributes of the definitions of entrepreneurship and entrepreneur.

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1. Entrepreneurship is the process of identifying opportunities in the market place, arranging the resources required to pursue these opportunities and investing the resources to exploit the opportunities for long term gains. It involves creating incremental wealth by bringing together resources in new ways to start and operate an enterprise.
 2. Entrepreneurship is the processes through which individuals become aware of business ownership then develop ideas for, and initiate a business.
 3. Entrepreneurship can also be defined as the process of creating something different and better with value by devoting the necessary time and effort by assuming the accompanying financial, psychic and social risks and receiving the resulting monetary reward and personal satisfaction. In this case an individual should come up with something different and better in order to be named as entrepreneur.
 4. Entrepreneurship is the art of identifying viable business opportunities and mobilizing resources to convert those opportunities into a successful enterprise through creativity, innovation, risk taking and progressive imagination.

Entrepreneurship is a practice and a process that results in creativity, innovation and enterprise development and growth. It refers to an individual's ability to turn ideas into action involving and engaging in socially-useful wealth creation through application of innovative thinking and execution to meet consumer needs, using one's own labor, time and ideas. Engaging in entrepreneurship shifts people from being "job seekers" to "job creators", which is critical in countries that have high levels of unemployment. It requires a lot of creativity which is the driving force behind innovation.

In general, the process of entrepreneurship includes five critical elements. These are:

- 1) The ability to perceive an opportunity.
- 2) The ability to commercialize the perceived opportunity i.e. innovation
- 3) The ability to pursue it on a sustainable basis.
- 4) The ability to pursue it through systematic means.
- 5) The acceptance of risk or failure.

Based on the above concepts of entrepreneurship, an entrepreneur can be defined as follows:

- 1) An entrepreneur is any person who creates and develops a business idea and takes the risk of setting up an enterprise to produce a product or service which satisfies customer needs.

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- 2) An entrepreneur can also be defined as a professional who discovers a business opportunity to produce improved or new goods and services and identifies a way in which resources required can be mobilized.
 - 3) An entrepreneur is an individual who: has the ability to identify and pursue a business opportunity; undertakes a business venture; raises the capital to finance it; gathers the necessary physical, financial and human resources needed to operate the business venture; sets goals for him/herself and others; initiates appropriate action to ensure success; and assumes all or a major portion of the risk!
 - 4) An entrepreneur is a person who: create the job not a job-seeker; has a dream, has a vision; willing to take the risk and makes something out of nothing
 - 5) Other definition, views the term entrepreneur from three perspectives; i.e., from the economist, psychologist and capitalist philosopher's point of view.
 - i) To an economist an entrepreneur is one who brings resource, labor, materials, and other assets into combination that makes their value greater than before and also one who introduces changes innovations.
 - ii) To a psychologist an entrepreneur is a person typically driven by certain forces need to obtain or attain something, to experiment, to accomplish or perhaps to escape the authority of others.
 - iii) For the capitalist philosopher an entrepreneur is one who creates wealth for others as well, who finds better way to utilize resources and reduce waste and who produce job others are glad to get.

In general, entrepreneur refers to the person and entrepreneurship defines the process. Both men and women can be successful entrepreneurs; it has nothing to do with gender. All entrepreneurs are business persons, but not all business persons are entrepreneurs.

1.4 Types of Entrepreneurs

Entrepreneurship can take three different forms. They are:

- 1. The individual entrepreneur:** An individual entrepreneur is someone who started; acquired or franchised his/her own independent organization. The major portion of this module is also devoted to describe the basic features and activities of the individual entrepreneur.

2. Intrapreneur: An Intrapreneur is a person who does entrepreneurial work within large organization. The process by which an intrapreneur affects change is called Intrapreneurship.

There are two facts about intrapreneurship

- a. The Intrapreneur's context is often large and bureaucratic organization whereas the individual entrepreneur operates in the broader, more flexible economic market place.
- b. Intrapreneurs are individuals who often engage in the entrepreneurial actions in large organizations without the blessing of their organizations.

3. The Entrepreneurial Organization: The entrepreneurial function need not be embodied in a physical person. Every social environment has its own way of filling the entrepreneurial function.

Individuals working in organizations have the potential for being, as do those working independently to start their own business. An organization can create an environment in which all of its members can contribute in some function to the entrepreneurial function.

An organization that creates such an internal environment is defined as entrepreneurial organization.

1.5 Role of Entrepreneurs in Economic Development

Entrepreneurial development is the most important input in the economic development of any country. The objectives of industrial development, balanced regional growth, and generation of employment opportunities are achievable through entrepreneurial development. Entrepreneurs are at the core of industrial development which results in greater employment opportunities to the unemployed youth, increase in per capita income, higher standard of living and increased revenue to the government in the form of income, sales tax, export duties, import duties etc. The entrepreneurs serve as a key to the creation of new enterprises, thereby rejuvenating economy and sustaining the process of economic development in the following ways:

- 1) **Improvement in per capita Income/Wealth Generation:** Entrepreneurs play a vital in the economic development of a region. From the fall of Rome (AD 476) to the eighteenth century, there was virtually no increase in per capita wealth generation in the West. With the advent of entrepreneurship, however, per capita wealth generation and income in the west grew exponentially by 20 Percent in the 1700s, 200 percent in the 1800s, 740 percent in the 1900 (Drayton, 2004).

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- 2) **Generation of Employment Opportunities:** By creating a new business enterprise, entrepreneurs generate employment opportunities for others. Unemployment is a major issue, especially in the context of developing economies like Ethiopia. Educated youth often are unable to get to get a suitable employment themselves. Thus, entrepreneurs not only self-employ themselves, but also create jobs for others.
 - 3) **Inspire others Towards Entrepreneurship:** The team created by an entrepreneur for his new undertaking often provides the opportunity for the employees to have a first-hand experience of getting involved in an entrepreneurial Venture. An existing venture provides a number of entrepreneurial opportunities through forward and backward linkages, to these employees even to become entrepreneurs themselves. Thus, this process helps in forming a chain reaction of entrepreneurial activity which directly contributes to the health of the economy.
 - 4) **Balanced Regional Development:** Entrepreneurs help to remove regional disparities in economic development. They set up the industries in the backward areas to avail various subsidies and incentives offered by the Central and State Governments, thereby balancing the economic growth in different regions in the country.
 - 5) **Enhance the Number of Enterprise:** When new firms are created by entrepreneurs, the number of enterprises based upon new ideas/ concepts/ products in a region increases. Not only does an increase in the number of firms enhance the competition for new ideas, but greater competition across firms also facilitates the entry of new firms specializing in a particular new product or service. This is because the necessary complementary inputs are more likely available from small specialist niche firms than from large vertically integrated products (Jacobs, 1969).
 - 6) **Provide Diversity in Firms:** Entrepreneurial activity often results into creation of a variety of firms in a region. These firms operate into diverse activities and it has been found that it is this diversity in firms which fosters economic development and growth rather than homogeneity. According to Jacobs (1969), it is the exchange of complementary knowledge across diverse firms and economic agents that yield an important return on new economic knowledge.
 - 7) **Economic Independence:** Entrepreneurship is essential for self-reliance for a country. Entrepreneurs create industries that manufacture indigenous substitutes, thereby reducing the

dependence on imports. Also, the goods are exported to other countries to earn foreign exchange. This import substitution and export promotion results in more economic independence to the country

- 8) **Combine Economic factors:** All the products bought and sold in an economy are a mix of three primary economic factors (the raw materials, nature offers up, the physical and mental labor people provide and capital (money)). Now value is created by combining these three things together in a way which satisfies human needs.
- 9) **Provide Market efficiency:** Efficient means resources are distributed in an optimal way that is the satisfaction that people can gain from them is maximized. An economic system can only reach this state if there is competition between different suppliers. If a supplier is not using competition then they will tend to demand profit in excess of what the market would allow and reduce the overall efficiency of the system
- 10) **Accepting Risk:** Risk is the potential variation in terms of future outcomes. We do not know exactly what the future will bring. This lack of knowledge creates uncertainty. No matter how we plan there is always a possibility of adverse deviation from what we expect or hoped for. Here the primary function of the entrepreneur is to accept risk on behalf of other people.
- 11) **Maximize Investor's Return:** Entrepreneurs create and run organizations which maximize long-term profit on behalf of the investors which in turn generates overall economic efficiency.

1.6 Entrepreneurial Competence and Environment

Under this topic entrepreneurial mindset (that will address subtopics such as, who become an entrepreneur; qualities of successful entrepreneurs; entrepreneurial skills; the entrepreneur's task and wealth of the entrepreneur), and Entrepreneurship and Environment.

1.6.1 Entrepreneurial Mindset

1.6.1.1 Who Becomes an Entrepreneur?

Anyone with the following characteristics can be an entrepreneur.

- 1) **The Young Professional:** Increasingly young highly educated people often with entrepreneurial qualifications are skipping the experience of working for an established organization and moving directly to work on establishing their own ventures.

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- 2) **The Inventor:** The inventor is someone who has developed an innovation and who has decided to make a career out of presenting that innovation to the market. It may be a new product or it may be an idea for a new service. It may be a high-tech or it may be based on a traditional technology.
- 3) **The Excluded:** Some people turn to an entrepreneurial career because nothing is open to them. Displaced communities and ethnic and religious minorities have not been invited to join the wider economic community due to a variety of social, cultural and political and historical reasons. As a result they may form their own internal networks, trading among themselves and, perhaps, with their ancestral countries.

1.6.1.2 Qualities of an Entrepreneur

In order to be successful, an entrepreneur should have the following qualities:

- ☞ Opportunity-seeking
- ☞ Persevering
- ☞ Risk Taking
- ☞ Demanding for efficiency and quality
- ☞ Information-seeking
- ☞ Goal Setting
- ☞ Planning
- ☞ Persuasion and networking
- ☞ Building self-confidence
- ☞ Listening to others
- ☞ Demonstrating leadership

- 1) **Opportunity-seeking:** An opportunity is a favorable set of circumstances that creates a need for a new product, service or business. It includes access to credit, working premises, education, trainings etc. An entrepreneur always seeks out and identifies opportunities. He/she seizes an opportunity and converts it into a realistic and achievable goal or plan.
- 2) **Persevering:** An entrepreneur always makes concerted efforts towards the successful completion of a goal. An entrepreneur perseveres and is undeterred by uncertainties, risks, obstacles, or difficulties which could challenge the achievement of the ultimate goal.

Activity 1.1: Understanding perseverance

Objective of activity: To enable students to internalize the concept of perseverance

The story of Thomas Edison (please adapt to the context)

When he was young, Thomas Edison's parents took him out of school after his teachers declared that he was "stupid" and "unteachable." Edison spent his early years working and being fired from various jobs, culminating in his firing from a telegraph company at the age of 21. Despite these numerous setbacks, Edison was never discouraged from his true calling in life: inventing! Throughout his career, Edison obtained more than one thousand patents. And although several of these inventions such as the light bulb, stock printer, phonograph and alkaline battery -- were groundbreaking innovations, the vast majority of them could be fairly described as failures. Edison is now famous for saying that genius is "1% inspiration and 99% perspiration."

One of Edison's best examples of perseverance occurred after he was already a successful man. After inventing the light bulb, he began seeking an inexpensive light bulb filament. At the time, ore was mined in the Midwest of the United States, and shipping costs were very high. In order to minimize his costs with ore, Edison established his own ore-mining plant in Ogdensburg, New Jersey. For nearly ten years, he devoted his time and money to the enterprise. Edison also obtained 47 patents for innovations that helped make the plant run more smoothly. And even despite those inventions, Edison's core project failed because of the low quality of ore on the East Coast.

However, despite that failing, one of those 47 inventions (a crushing machine) revolutionized the cement industry, and actually earned Edison back almost all of the money he had lost. Later, Henry Ford would credit Edison's Ogdensburg project as the main inspiration for his Model T Ford assembly line. And in fact, many believe that Edison paved the way for modern-day industrial laboratories. Edison's foray into ore-mining demonstrates that dedication can pay off even in a losing venture.

Instructions: Read the story of Thomas Edison for the students

Reflection questions:

- What are the major challenges that Thomas Edison faced?
- What were his achievements?
- What are the causes for his success?
- What do we learn from the story of Thomas Edison?

3) Risk Taking: The best entrepreneurs tend to:-

- ☞ Set their own objectives where there is moderate risk of failure and take calculated risks
- ☞ Gain satisfaction from completing a job well
- ☞ Not be afraid of public opinion, skepticism
- ☞ Take responsibility for their own actions

Importance of Risk-taking

- ☞ Build self confidence
- ☞ Create a feeling of leadership
- ☞ Create strong motivation to complete a job well

4) Demanding for Efficiency and Quality

Efficiency: Being efficient means producing results with little wasted effort.

Quality refers to:

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1. The ongoing process of education, communication, evaluation and constant improvement of goods/services to meet the customer's need in a way that exceeds the customer's expectations;
 2. A characteristic of the product or service that makes it fit to use. It makes a product, process, or service desirable.
 3. The ability of a product or service to meet a customer's expectations for that product or service.

The importance of quality management in entrepreneurship is reflected in the income statement of the business. There is always a demand for quality products and efficient services. Quality plays an important role in this new era of globalization because it confers certain benefits which include:

- ☞ **Reduction of waste:** Striving to maintain quality means examining all processes that contribute to the creation of a product, to remove non-productive processes and waste. If businesses keep to their standard of maintaining the quality of the product, the number of defective products will be reduced. Consumers prefer to buy quality products. Hence the quality products/services help in increasing the share in market and ensure that they will not be returned.
- ☞ **Cost-effectiveness:** Striving to ensure quality helps businesses to minimize the chances that they will make mistakes. As a result, the costs of re-doing work or changing the product after it has been sold are greatly reduced.
- ☞ **An increase in market share:** Customers prefer to buy the same product again and again if they are satisfied with the quality. If they are satisfied with the quality of a product, then they will not only purchase the product/services more than once, but they will also recommend it to their friends. As a result, this contributes to an increase in the company's market share.
- ☞ **Better profitability:** Better quality of product satisfies customers. Increased customers means increase sales, increased shares in market and consequently increased profits.
- ☞ **Social responsibility:** By providing quality products and services, a company is more likely to be able to fulfill its responsibility to the community and meet standards set by government.

☞ **Reputation:** Quality of goods and services improves the reputation of the business for competition in the market and growth.

5) **Information-seeking:** Successful entrepreneurs do not rely on guesswork and do not rely on others for information. Instead, they spend time collecting information about their customers, competitors, suppliers, relevant technology and markets. Gathering relevant information is important to ensure that the entrepreneur makes well informed decisions. Information on the area of market, supply, operations, finance, legislation, and infrastructure are important for entrepreneurs.

6) **Goal Setting**

A Goal - is a general direction, or long-term aim that you want to accomplish. It is not specific enough to be measured. It is large in scope, not necessarily time-bound, and is something that people strive for by meeting certain objectives which will hopefully add up to eventually achieving the goal.

Objectives - are specific and measurable. They are concise and specific. Think of the word “**object.**” You can touch it, it’s there, it’s actual, and it’s finite.

An entrepreneur must have a goal and an objective which is specific, measurable, attainable relevant, and time bound (SMART).

- ☞ **Specific:** Great goals are well-defined and focused. The moment you focus on a goal, your goal becomes a magnet, pulling you and your resources toward it. The more focused your energies, the more power you generate.
- ☞ **Measurable:** A goal without a measurable outcome is like a sports competition without a scoreboard or scorekeeper. Numbers are an essential part of business. Put concrete numbers in your goals to know if you’re on track.
- ☞ **Attainable:** Far too often, entrepreneurs can set goals which are beyond their reach. Dream big and aim for the stars but keep one foot firmly based in reality.
- ☞ **Relevant:** Achievable business goals are based on the current conditions and realities of the business climate. For example, you may desire to have your best year in business or increase revenue by 50%, but if a national economic crisis is looming and three new competitors just opened in your market, then your goals are not relevant to the realities of the market.

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- ☞ Time-Based: Business goals and objectives just don't get done when there's no time frame tied to the goal-setting process. Whether your business goal is to increase revenue by 20% or to find two new clients, it is important to choose a time-frame to accomplish your goal.

7) Planning: Planning is making a decision about the future in terms of what to do, when to do, where to do, how to do, by whom to do and using what resources. An effective entrepreneur therefore usually plans his/her activities and accounts as best as they can for unexpected eventualities.

8) Persuasion and Networking

Persuasion is a way of convincing someone to get something or make a decision in your favor. It is inducing or taking a course of action or embracing a point of view by means of argument, reasoning, or entreaty; to convince; to succeed in causing a person to do or consent to something; to win someone over, as by reasoning or personal forcefulness; to cause to believe; to induce, urge, or prevail upon successfully.

Importance of Persuasion in Business

- ☞ We purchase goods from people
- ☞ We sell goods to people
- ☞ We need support from people
- ☞ We work with people.

Without people, be they are suppliers, workers, and most importantly customers, there is no business.

Networking is an extended group of people with similar interests or concerns who interact and remain in informal contact for mutual assistance or support. In a business environment where we are in, we network with customers, suppliers, competitors, various firms, different organizations, government offices and family, etc.

Factors that Affect Persuasion and Networking

- ☞ Socio-cultural background and perceptions
- ☞ Communication skills (both verbal and non-verbal).
- ☞ Negotiation skills

9) Building Self-confidence: Self-confidence is the state of being certain that a chosen course of action is the best or most effective given the circumstances. Confidence can be described

as a subjective, emotional state of mind, but is also represented statistically as a confidence level within which one may be certain that a hypothesis will either be rejected or deemed plausible. Self-confidence is having confidence in oneself when considering a capability. Overconfidence is having unmerited confidence-believing something or someone is capable when they are not.

Characteristics of a Self-confident Person

A person with self-confidence may exhibit some of the following characteristics:

- ☞ Risk-taking: willing to take risks and go the extra mile to achieve better things.
- ☞ Independent: entrepreneurs like to be their own masters and want to be responsible for their own decisions.
- ☞ Perseverance: Ability to endure and survive setbacks and continue to build confidence in whatever you do in your business.
- ☞ Able to learn to live with failure. Entrepreneurs are going to make mistakes. They are human. But they learn from these mistakes and then move on.
- ☞ Ability to find happiness and contentment in work.
- ☞ Doing what you believe to be right, even if others mock or criticize you for it.
- ☞ Admitting mistakes and learning from them

Activity 1.2:

1) Think about your life so far, and list the five major achievements in personal life.

1. _____ 2. _____
3. _____ 4. _____
5. _____

2) Think about your strengths in running your personal life. Write four of them which you are most proud of?

1. _____ 3. _____
2. _____ 4. _____

3) Think about what's important to you, and where you envision your business in the future.

What is the goal of your business?

4) Build the knowledge and skills that you need to succeed. What do you need to know, do or learn in order to accomplish the business goal stated above?

5) How do you think you can acquire this knowledge and these skills so that you will be able to move forward confidently?

6) When you are starting, do not try to do anything clever or elaborate. There is no need to be perfect – just enjoy doing simple things successfully and well. Focus on the basics, set small goals and achieve them, and you will find yourself accelerating towards success! So, what basics or initial steps will you take towards reaching your goal?

10) Listening to Others: An entrepreneur does not simply impose his/her idea on others. Rather, he/she listens to other people in their sphere of influence, analyses their input in line with his/her own thinking and makes an informed decision.

11) Demonstrating Leadership: An entrepreneur does not only do things by him/herself, but also gets things done through others. Entrepreneurs inspire, encourage and lead others to undertake the given duties in time.

Self-assessment

Activity 3: Complete a self-assessment of your entrepreneurial qualities

Go through the statements below and score yourself to the best of your ability and as honestly as possible. Do not take too long thinking about any one answer, your first guess is probably the most accurate. Use the scoring key below.

Scoring:

5 – Always 4 – Often 3 – Sometimes 2 – Rarely 1 – Never

S. No	Characteristic	1	2	3	4	5
1.	I enjoy doing things on my own. Nobody has to motivate me to get started on a task.					

2.	If I make up my mind to do something, I don't let anything stop me.						
3.	I do not hesitate to undertake risks related to creating and operating an enterprise.						
4.	I plan my time and resources well so I produce high quality products.						
5.	I assess the time and capacity I have before I commit to accomplishing a job.						
6.	I act upon the opportunities that needs and problems present.						
7.	I keep trying again and again despite great challenges and failure.						
8.	I work hard to try to foresee potential risks so as to prevent future risk.						
9.	I make personal sacrifices to complete jobs in order to keep my word and meet promised deadlines.						
10.	I always strive for improvement and progress despite feedback from people that they are satisfied with my work.						
11.	Before undertaking my job I try to gain as much information about it as I can, and verify the accuracy of the information I am receiving.						
12.	I set short and long-term goals for my personal life and business.						
13.	I do everything I can to accomplish set business goals, through careful planning and implementation.						
14.	I team up well with others for tasks which I cannot accomplish on my own.						
15.	I am able to make decisions on my own, incorporating the suggestions and ideas of others as part of that process.						
16.	I collect all the necessary information I need before I start a job or task.						
17.	I set goals based on the resources and skills I have.						
18.	I have the skills to persuade and communicate with people.						
19.	I regularly evaluate my job performance, looking for areas of improvement.						
20.	I am happy with my work and am confident that I will make progress and improvement in the future.						

Analysis of the Result

Analysis one: Each statement is focused on different entrepreneurial qualities as stated below.

- Question 1+ Question 6 = Opportunity-seeking
- Question 2+ Question 7 = Perseverance
- Question 3+ Question 8 = Risk-taking
- Question 4+ Question 10 = Demand for efficiency and quality
- Question 5+ Question 9 = Commitment to work contract
- Question 11+ Question 16 = Information-seeking
- Question 12+ Question 17 = Goal-setting
- Question 13+ Question 19 = Planning
- Question 14+ Question 18 = Persuasion & Networking

-
- Question 15+ Question 20 = Self Confidence

Now evaluate how you ranked yourself for that characteristic (based on your score for each of the questions). For example, if you rated yourself a “5” for both questions 1 and 6, then according to the key above, you have a strong opportunity seeking trait. If you rated yourself a “1” or a “2” for questions 14 and 18, then perhaps persuasion and networking are not among your strengths right now – and could be skills for you to work on.

Analysis two: Add up your total score from all the numbers you wrote in each row. Write your total sum here, and then interpret it below:

Total Sum = _____

Result Interpretation:

Score	Meaning
< 50:	Limited entrepreneurial qualities at the moment. It does not mean you are not meant to be a businessperson. It only means that you should spend more time preparing yourself to handle any problems you might face once you start a business.
Between 50 – 80	Average - there are gaps that need to be filled or improved upon. You might consider upgrading your knowledge or skills. Consider taking some courses.
>80	Good entrepreneur - keep it up and continue to develop.

1.6.1.3 Entrepreneurial Skills

A skill is simply knowledge which is demonstrated by action. It is an ability to perform in a certain way. An entrepreneur is someone who has a good business idea and can turn that idea into reality. To be successful, an entrepreneur must not only identify an opportunity but also understand it in great depth. He or she must be able to spot a gap in the market and recognize what new products or services fill the gap. He or she must know what features it will have and why they will appeal to the customer. The entrepreneur must also know how to inform the customer about it and how to deliver the new offerings. All this calls for an intimate knowledge of a particular sector of industry. Turning an idea into reality calls upon two sorts of skills, these are:

- I. General management skills and
- II. People management skills

I) General Management Skills: These are skills required to organize the physical and financial resources needed to run the venture. Some of the most important general management business skills are:

- ☞ **Strategy Skills** – An ability to consider the business as a whole, to understand how it fits within its market place, how it can organize itself to deliver value to its customers, and the ways in which it does this better than its competitors.
- ☞ **Planning Skills** – An ability to consider what the future might offer, how it will impact on the business and what needs to be done to prepare for it now.
- ☞ **Marketing Skills** – An ability to see past the firm's offerings and their features, to be able to see how they satisfy the customer's needs and why the customer finds them attractive.
- ☞ **Financial Skills** – An ability to manage money; to be able to keep track of expenditure and to monitor cash-flow, but also an ability to assess investments in terms of their potential and their risks.
- ☞ **Project Management Skills** – An ability to organize projects, to set specific objectives, to set schedules and to ensure that the necessary resources are in the right place at the right time.
- ☞ **Time Management Skills** – An ability to use time productively, to be able to prioritize important jobs and to get things done on schedule.

II) People Management Skills: Businesses are made by people. A business can only be successful if the people who make it up are properly directed and are committed to make an effort on its behalf. An entrepreneurial venture also needs the support of people from outside the organization such as customers, suppliers and investors. To be effective, an entrepreneur needs to demonstrate a wide variety of skills in the way he/she deals with other people. Some of the more important skills we might include under this heading are:

- ☞ **Communication Skills** – An ability to use spoken and written language to express ideas and inform others.
- ☞ **Leadership Skills** – An ability to inspire people to work in a specific way and to undertake the tasks that are necessary for the success of the venture.

- ☞ **Motivation Skills** – An ability to enthuse people and get them to give their full commitment to the tasks in hand. Being able to motivate demands an understanding of what drives people and what they expect from their jobs.
- ☞ **Delegation Skills** – An ability to allocate tasks to different people. Effective delegation involves more than instructing. It demands a full understanding of the skills that people possess how they use them and how they might be developed to fulfill future needs.
- ☞ **Negotiation Skills** – An ability to understand what is wanted from a situations, what is motivating others in that situation and recognize the possibilities of maximizing the outcomes for all parties.

All these different people skills are interrelated. Here entrepreneurial performance results from a combination of industry knowledge, general management skills; people skills and personal motivation (see the figure shown below). The successful entrepreneur must not only use these skills but learn to use them and to learn from using them. Entrepreneurs should constantly avoid their abilities in these areas, recognize their strengths and weaknesses, and plan how to develop these skills in the future.

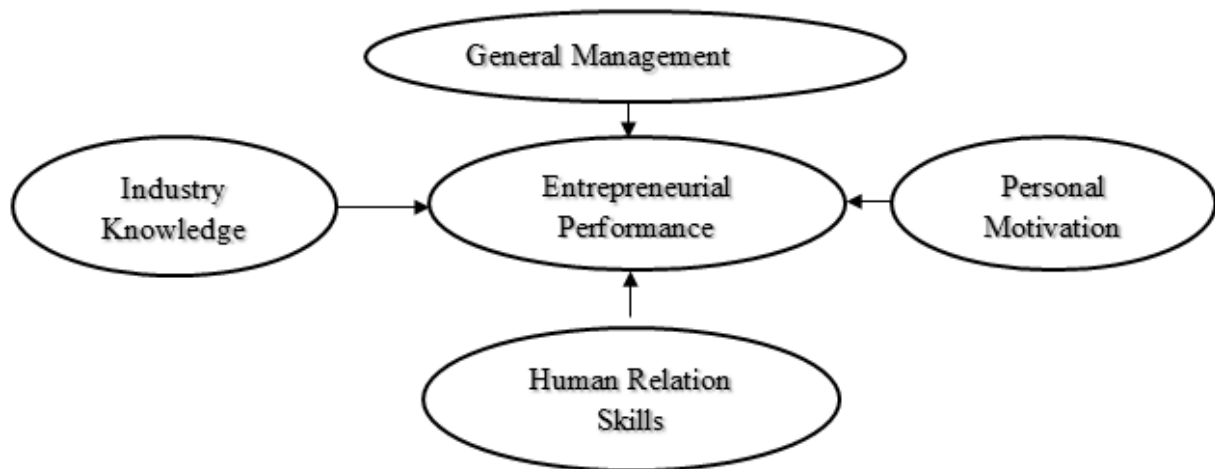


Fig1.1: entrepreneurial skills

1.6.1.4 The Entrepreneurial Tasks

We recognize entrepreneurs, first and foremost, by what they actually do – by the tasks they undertake. A number of tasks have been associated with the entrepreneur. Some of the more important are:

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- 1) **Owning Organizations:** Ownership lies with those who invest in the business and own its stock – the principals, while the actual running is delegated to professional agents or managers. Therefore, if an entrepreneur actually owns the business then he is in fact undertaking two roles at the same time that of an investor and that of a manager. Here we can also recognize many people as entrepreneur even if they do not own the venture they are managing.
 - 2) **Founding New Organizations:** The entrepreneur is recognized as the person who undertakes the task of bringing together the different elements of the organization (people, property, productive resource, etc.) and giving them a separate legal entity. The entrepreneur makes major changes in their organizational word.
 - 3) **Bringing Innovations to Market:** The idea of innovation encompasses any new way of doing something so that value is created. Innovation can mean a new product or service but it can also include a new way of delivering an existing product or service, new methods of informing the consumer about the product or new ways of organizing the company.
 - 4) **Identification of Market Opportunity:** An opportunity is the gap in a market where the potential exists to do something better and create value. New opportunities exist all the time but they do not necessarily present themselves. If they are to be exploited they must be actively sought out. Note that opportunity always takes priority over innovation.
 - 5) **Application of Expertise:** A slight more technical notion is that they have a special ability in deciding how to allocate scarce resources in situations where information is limited. It is their expertise in doing this that makes entrepreneurs valuable to investors.
 - 6) **Provision of leadership:** Entrepreneurs can rarely drive their innovation to market on their own. They need the support of other people both from their organizations and from people outside such as investor customer and supplier.
 - 7) **The entrepreneur as manager:** At the end of the day the entrepreneur is a manager. The distinction between an entrepreneur and ordinary manager may lie on what the entrepreneur manager manages, how they manage, their effectiveness and the effect they have as a manager not by the particular tasks they undertake.

1.6.1.5 Wealth of the Entrepreneur

Wealth is money and anything that money can buy. It includes money, knowledge and assets of the entrepreneur.

Who Benefits from the entrepreneur's Wealth?

No entrepreneur works in a vacuum. The venture they create touches the lives of many other people. To drive his/her venture forward, the entrepreneur calls up on the support of a number of different groups. In return for their support these groups expect to be rewarded from the success of the venture. Peoples who have a part to play in the entrepreneurial venture generally are called stakeholder. The stakeholder groups are; employees, investor, supplier, customer, the local community and government. Let us look at the benefits of each stakeholder.

- 1) **Employees:** They contribute physical and mental labor to the business. Success of the entrepreneurial venture depends on their effort and motivation. Therefore, they are rewarded with:
 - Money – their wage or salary
 - The possibility of owning a part of the firm through share schemes.
 - A stage of which they can develop social relationships.
 - The possibility of personal development.
- 2) **Investors:** These are the peoples who provide the entrepreneur with the necessary money to start the venture and keep it running. There are two main sorts of investors: stockholders and lenders. Stockholders are those who buy the stock of the company and are true owners of the firm. The actual return of the stockholders varies depending on how the business performs. Lenders, on the other hand, are people who offer money to the venture on the basis of it being a loan. They do not actually own a part of the firm and their return is independent of the businesses performance. They also take priority for payment over shareholders and face lower level of risk than the stockholders.
- 3) **Supplier:** They are the individuals and organizations who provide the business with the materials, productive assets and information it needs to produce its output. They are paid for providing these inputs.
- 4) **Customers:** Customers may need to make an investment in using a particular supplier. Changing supplier may involve switching costs and supplier, risk of quality and expenses incurred in changing over to new inputs. The entrepreneur may reward customers by offering quality products, fair prices, regular and consistency of supply, loan arrangement etc.
- 5) **The local community:** Business has physical locations. The way they operate may affect the people who live and other businesses which operate nearby.

A business has a number of responsibilities, which may be defined or not in national laws, to this local community. Such as:

- ☞ Not polluting their shared environment
- ☞ Contributing and sponsoring local development activities
- ☞ Contribution for political and cultural stabilities and economic improvements
- ☞ Acting in an ethical way.

6) Government: The responsibility of government is to ensure that businesses can operate in an environment which has political and economic stability. In addition, it provides central services such as education and health-care. These activities cost money to provide. Therefore, government should be rewarded for its services. Hence, government taxes individuals and businesses.

1.6.2 Entrepreneurship and Environment

Business environment refers to the factors external to a business enterprise which influence its operations and determine its effectiveness. Business environment may be healthy or unhealthy. Healthy business environment means the conditions are favorable to the growth of business whereas unhealthy environment implies conditions hostile or unfavorable to business operations. Business and its environment interact with each other. Economic system and other conditions in the environment determine the success of business enterprises. The firm and its management have to adjust to the conditions prevalent around it. However, business enterprises try to influence and shape the environment. Successful working of business concerns improves the economic and social conditions in the country.

No business concern can ignore the environment around it except at its own peril. “The penalty of environmental disregard is heavy. It not only reduces profit margins and makes opportunities for expansion slip, but it also arouses social hostility and makes social environment growingly inhospitable to business operations.”

A study of business environment offers the following benefits:

- 1) It provides information about environment which is essential for successful operation of business firms.

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- 2) It opens up fresh avenues for the expansion of new entrepreneurial operations. The entrepreneurs may come forward with new ideas and with new ventures when they find environment suitable to their enterprises.
 - 3) Knowledge about changing environment enables businessmen to adopt a dynamic approach and maintain harmony of business operations with the environment.
 - 4) By studying the environment entrepreneurs can make it hospitable to the growth of business and thereby earn popular support.

Thus, the entrepreneur should continuously study the nature of environment and its influence on business. However, mere study is not enough. Attempts must be made to influence the environment in order to make it congenial and favorable to entrepreneurial activities. The most successful entrepreneur is one who not only adjusts to the environment but also modifies the environment to suit his requirements through the direct and indirect influences he can exercise over the system.

1.6.2.1 Phases of Business Environment

Business environment may be classified into two broad categories; namely external; and internal environment

A) External Environment

It is the environment which is external to the business and hardly to influence independently. The following are the components of external environment:

i) Economic Environment

Economic environment is of multidimensional nature. It consists of the structure of the economy, the industrial, agricultural, trade and transport policies of the country, the growth and pattern of national income and its distribution, the conditions prevailing in industrial, agricultural and other sectors, the position relating to balance of trade and balance of payments, and other miscellaneous conditions of the economy. There is a close relationship between a business firm and the economic environment around it. The success of a business enterprise depends considerably upon the State and growth of the economy.

ii) Legal Environment

Business must function within the framework of legal structure. Therefore, an adequate knowledge of laws and rules is necessary for efficient managerial performance. When new laws are made and controls exercised through legal enactments, the first reaction of the business

community is to oppose them and disobey them. Management should try to understand what should be the right laws and strictly obey them when so made. In addition, it can influence the government to change and improve the law and make it useful to the business community.

There are several business laws in our country. A working knowledge of these laws is very helpful for the entrepreneur. Such knowledge will keep them away from innocent breaches and resultant penalties. Some laws differ from region to region and amendments are made from time to time. Therefore, the entrepreneur must always keep in touch with those who know the latest position in law. In addition, an entrepreneur should:

- b) Read the books that enlighten on the legal side of business
- c) Consult government agencies concerned with the implementation of business laws.
- d) Retain labor law consultants.

iii) Political Environment

In a democratic country, politics cannot be ignored. Managers and entrepreneurs should understand the working of the political system. Such understanding and concern for national problems will help them in the long run in discharging their responsibilities to the satisfaction of the public.

Public opinion is very important and today's public opinion becomes tomorrow's legislation. Businessmen should, therefore, learn to take public opinion into account in the decision-making process. If business does not learn how to deal adequately with public opinion, it will face a disaster. This does not mean that business should surrender itself to public opinion. Rather, it implies intelligent response in order to change wherever necessary and a constructive approach to problems.

iv) Socio-Cultural Environment

It consists of the social and cultural norms of a society in a given period of time. The variables that are appraised are values, beliefs, norms, fashions and fads of a particular society. It can help in understanding the level of rigidity/flexibility of a given society towards a new product/service/concept. Traditional culture should be protected in so far as it is not a hindrance to innovation, motivation, and development.

v) Demographic Environment

It assesses the overall population pattern of a given geographical region. It includes variables like age profile, distribution, sex, education profile, income distribution etc. The demographic appraisal can help in identifying the size of target customers.

B) Internal Environment

Internal environment is the environment which is under the control of a given organization. Following are the components of internal environment of a business:

- ii) Raw Material:** It assesses the availability of raw material now and in the near future. If the availability of raw material is less now or would be less in future then the entrepreneur should give a serious thought to establishing a venture as the entire system can come to a standstill due to shortage of raw material.
- iii) Production/Operation:** It assesses the availability of various machineries, equipment, tools and techniques that would be required for production/operation.
- iv) Finance:** It assesses the total requirements of finance in terms start-up expenses, fixed expenses and running expenses. It also indicates the sources of finance that can be approached for funding.
- v) Human Resource:** It assesses the kind of human resources required and its demand and supply in the market. This further helps in estimating the cost and level of competition in hiring and retaining the human resources.

As stated above, the objective of environmental scanning should be to gather information from as many sources as possible and to maximize this information for enhanced probability of success in the business.

1.6.2.2 Environmental Factors Affecting Entrepreneurship

A complex and varying combination of financial, institutional, cultural and personality factors determines the nature and degree of entrepreneurial activity at any time. The personal backgrounds of the entrepreneurs are determined mainly by the environment in which they are born and brought up and work. A multitude of environmental factors determine the entrepreneurial spirit among people. The entrepreneurs in turn create impact on the environment. The interaction between the entrepreneur and his environment is an ongoing process. At any given point of time, the entrepreneurs derive meanings from the environment prevailing at that time and try to adapt and/or change the environment to suit their needs.

Some of the environmental factors which hinder entrepreneurial growth are given below:

- ☞ Sudden changes in Government policy.
- ☞ Sudden political upsurge.
- ☞ Outbreak of war or regional conflicts.
- ☞ Political instability or hostile Government attitude towards industry.
- ☞ Excessive red-tapism and corruption among Government agencies.
- ☞ Ideological and social conflicts.
- ☞ Unreliable supply of power, materials, finance, labor and other inputs.
- ☞ Rise in the cost of inputs.
- ☞ Unfavorable market fluctuations.
- ☞ Non-cooperative attitude of banks and financial institutions.

Entrepreneurship is environmentally determined. The most important essential for entrepreneurial growth is the presence of a favorable business environment. A healthy business environment requires active social and cultural behavior of the people, efficient economic conditions, helpful motivating Government policies, etc. When environment mitigates entrepreneurship it must be modified.

1.7 Creativity, Innovation and Entrepreneurship

Creativity, innovation and entrepreneurship, have been recognized as important contributors to a nation's economic growth. These three terminologies are chronologically interrelated and it is very important to look in to them to get their full picture.

1.7.1 Creativity

Creativity is defined as the tendency to generate or recognize ideas, alternatives, or possibilities that may be useful in solving problems, communicating with others, and entertaining ourselves and others.

Creativity is the ability to come up with new idea and to identify new and different ways of looking at a problem and opportunities.

It is a process of assembling ideas by recombining elements already known but wrongly assumed to be unrelated to each other. This definition has several key elements that are worth considering:

- ☞ Process: creativity is a process (implying among other things, that it is more like a skill than an attitude, and that you can get better at it with practice)

☞ Ideas: creativity results in ideas that have potential value.

☞ Recombining: the creative process is one of putting things together in unexpected ways.

In order to be creative, you need to be able to view things in new ways or from a different perspective. Among other things, you need to be able to generate new possibilities or new alternatives. Tests of creativity measure not only the number of alternatives that people can generate but the uniqueness of those alternatives. The ability to generate alternatives or to see things uniquely does not occur by chance; it is linked to other, more fundamental qualities of thinking, such as flexibility, tolerance of ambiguity or unpredictability, and the enjoyment of things heretofore unknown.

Thus, creativity is the development of ideas about products, practices, services, or procedures that are novel and potentially useful to the organization.

1.7.1.1 Steps in the Creative Process

Step1: Opportunity or problem Recognition: A person discovers that a new opportunity exists or a problem needs resolution.

Step2: Immersion: the individual concentrates on the problem and becomes immersed in it. He or she will recall and collect information that seems relevant, dreaming up alternatives without refining or evaluating them.

Step 3: Incubation: the person keeps the assembled information in mind for a while. He or she does not appear to be working on the problem actively; however, the subconscious mind is still engaged. While the information is simmering it is being arranged into meaningful new patterns.

Step 4: Insight: the problem-conquering solution flashes into the person's mind at an unexpected time, such as on the verge of sleep, during a shower, or while running. Insight is also called the Aha! Experience.

Step 5: Verification and Application: the individual sets out to prove that the creative solution has merit. Verification procedures include gathering supporting evidence, using logical persuasion, and experimenting with new ideas.

1.7.1.2 Barriers to Creativity

Be aware that there are numerous barriers to creativity, including:

1. searching for the one 'right' answer

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2. focusing on being logical
 3. blindly following the rules
 4. constantly being practical
 5. viewing play as frivolous
 6. becoming overly specialized
 7. avoiding ambiguity
 8. fearing looking foolish
 9. fearing mistakes and failure
 10. believing that 'I'm not creative

1.7. 2 Innovation

Innovation lies at the heart of the entrepreneurial process and is a means to the exploitation of opportunity. It is the implementation of new idea at the individual, group or organizational level. Innovation is a process of intentional change made to rate value by meeting opportunity and seeking advantage.

There are four distinct types of innovation, these are as follows:

- Invention - described as the creation of a new product, service or process
- Extension - the expansion of a product, service or process
- Duplication - defined as replication of an already existing product, service or process
- Synthesis - the combination of existing concepts and factors into a new formulation

1.7.2.1 The Innovation Process

1. **Analytical planning:** carefully identifying the product or service features, design as well as the resources that will be needed.
2. **Resources organization:** obtaining the required resources, materials, technology, human or capital resources
3. **Implementation:** applying the resources in order to accomplish the plans
4. **Commercial application:** the provision of values to customers, reward employees and satisfy the stakeholders.

1.7.2.2 Areas of Innovation

The following are some of the major areas in which valuable innovation might be made.

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- A. New product:** A new product can be developed through new or existing technology. The new product may offer a radically new way of doing something or it may simply be an improvement on an existing item. The new product must offer the customer an advantage if it is to be successful.
 - B. New Services:** A service is an act which is offered to undertake a particular task or solve a particular problem.
 - C. New Production Techniques:** Innovation can be made in the way in which a product is to be manufactured. A new production technique should allow the end user to obtain the product at a lower cost, or a product of higher quality or better service in the supply of the product.
 - D. New Way of Delivering the Product or Service to the Customer:** Customer can only use product/service they can access. A common innovation is to take a more direct routine by cutting out distributors or middlemen.
 - E. New Operating Practices:** As with innovations in the production of physical products, innovation in service delivery must address customers need and offer them improved benefits, for example easier access to the service, a higher quality service, a more consistent service, a faster or less time consuming service etc.
 - F. New Means of Informing the Customer about the Product:** People will only use a product or service if they know about it. Demand will not exist if the offering is not properly promoted to them. Promotion consists of two parts; a message what is said and a means – the route by which that message is delivered.
 - G. New Means of Managing Relationship within the Organization:** Any organization has a wide variety of communication channels running through it. The performance of the organization will depend to a great extent on the effectiveness of its internal communication channels. These communication channels are guided by the organization's structure.
 - H. New Ways of Managing Relationships between Organizations:** Organizations sit in a complex web of relationships to each other. The way they communicate and relate to each other is very important.

1.7.3 From Creativity to Entrepreneurship

Creativity is the ability to develop new ideas and to discover new ways of looking at problems and opportunities. **Innovation** is the ability to apply creative solution to those problems and opportunities in order to enhance people's lives or to enrich society.

Entrepreneurship = creativity + innovation.



Fig 1.2: Flow of Creativity, Innovation and Entrepreneurship

1.8 Summary

In this chapter a brief discussion is made on the term entrepreneurship and entrepreneur. The different roles and tasks of the entrepreneurs are also part of the discussion. The word entrepreneurship is defined as a process that involves creation of something different and better with values to target customers. Here the entrepreneur is someone who will undertake the activities of creating something different and commercialize it in a given business environment. The three forms of entrepreneurship are also distinguished as individual entrepreneurship, intrapreneurship and organizational entrepreneurship. A person to become an entrepreneur needs to possess entrepreneurial mindset through having qualities of successful entrepreneurs and entrepreneurial skills, and he/she also to understand and scan entrepreneurial environment. Now when the entrepreneur carries out the entrepreneurial process he/she will be able and expected to create wealth for him/herself and for others as well. For this the entrepreneur should have general management and people management skills. Finally, the entrepreneur should play active role in the economic development through improving in per capita income, generating of employment opportunities, inspiring others towards entrepreneurship, balancing regional development, enhancing the number of enterprise, providing diversity in firms, assuring economic independence, combining of economic factors, providing market efficiency, by accepting risk and maximizing investors return.

1.9 Review Questions

1. Give at least two definitions for entrepreneurship and two for entrepreneur.

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2. Who are the potential candidates for entrepreneurship?

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3. Identify any five qualities of a successful entrepreneur

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4. Some people argue that “the only beneficiary of the entrepreneurial wealth is the entrepreneur him/herself” Do you agree? Why or why not?

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5. How do you define creativity, innovation? Relate it with entrepreneurship.

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6. Discuss any four possible areas for innovation

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7. How do you relate entrepreneurship and environment?

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CHAPTER 2: BUSINESS PLANNING

2.1 INTRODUCTION

In the previous chapter, we dealt with the concept of Entrepreneurship. This unit will help you to understand the concept of opportunity identification and evaluation, business idea development and how to prepare a business plan. Virtually to start any type of business or expand the existing one needs to work on opportunity identification and evaluation, business idea development and then prepare business plan. Lack of proper opportunity identification and evaluation, idea development process and business planning are the most often cited reasons for business failure. The various sections and sub-sections of this chapter will also summarize opportunity identifying and evaluating processes, business idea development process, and the feasibility study, importance and preparation of a business plan.

Chapter Objectives

After completing this chapter, students will be able to:

- Identify opportunity in the environment,
- Evaluate the opportunities in the environment,
- Generate business idea,
- Explain the concept of business planning,
- Identify components of business plan,
- Develop business plan,

2.2 Opportunity Identification and Evaluation

Most authors agree that the initial stage in the entrepreneurial process is the identification and refinement of a viable economic opportunity that exists in the market. Without the recognition of an opportunity the entrepreneurial process is likely to result in failure.

Opportunity recognition corresponds to the principal activities that take place before a business is formed or structured. The opportunity identification and evaluation stage can be divided into five main steps namely; getting the idea/scanning the environment, identifying the opportunity, developing the opportunity, evaluating the opportunity and evaluating the team.

1) Scanning the Environment/ Getting the Idea

While scanning the environment it may be provide you with idea and business opportunities. Idea is a thought or suggestion about a possible course of action. Synonymous with “idea” are the terms thought, intention, scheme, suggestion, proposal, initiative, spur, impulse, brainwave, insight, concept and connotation. Whereas, opportunity is a favorable time or set of circumstances for doing something. Synonymous with opportunity are chance, opening and prospect. A business opportunity is a gap left in a market by those who currently serve it, giving a chance to others to add unrealized value by performing differently from and better than competitors in order to create new possibilities.

Business opportunities are distinguished from ideas; an idea is not synonymous with opportunity. The difference between an idea and an opportunity is that an opportunity is the possibility of occupying the market with a specific innovative product that will satisfy a real need and for which customers are willing to pay but idea is all about opinion about anything we can have. Successful venturing may well rest upon the ability of an individual to recognize or distinguish an opportunity from an idea.

2) Opportunity Identification

Opportunity identification is ability to see, to discover and exploit opportunities that others miss. It is the process of seeking out better ways of competing. It includes scanning the informational environment, being able to capture, recognize and make effective use of abstract, implicit and changing information from the changing external environments.

It is important for the entrepreneur to understand the cause of the opportunity. Is it technological change, market shift, government regulation, or competition? These factors and the resulting opportunity have a different market size and time dimension. The market size and the length of the window of opportunity form the primary basis for determining risks and rewards which serves for opportunity evaluation.

Opportunity identification is a very difficult task, as most opportunities do not just appear but rather result from an entrepreneur's alertness to possibilities. In developing countries, problems may be changed to business opportunities.

3) Opportunity Development

Having recognized the opportunity, timely adaptation of that opportunity to suit actual market need is key to new venture success. Opportunity development is the process of combining resources to pursue a market opportunity identified. This involves systematic research to refine the idea to the most promising high potential opportunity that can be transformed into marketable items.

4) Opportunity Evaluation

Opportunity screening and evaluation is a critical element of the entrepreneurial process. A professional executed evaluation can tell whether the specific product or service has the returns needed to justify the investment and the risk to be taken.

Opportunity screening and evaluation is perhaps the most critical element of the entrepreneurial process, as it allows the entrepreneur to assess whether the specific product or service has the returns needed for the resources required. This evaluation process involves looking at the creation and length of the opportunity, its real and perceived value, its risks and returns, its fit with the personal skills and goals of the entrepreneur, and its differential advantage in its competitive environment. According to experts, evaluating the opportunity must answer the questions listed in table 2.1 below:

Table 2.1: Business factors and questions for opportunity evaluation

Business factor	Questions for evaluation
Product or Service	Description of the product or service, its differentiator, purpose and the need it fills ○ What competitive advantage / benefits does the product have? ○ What is the required customer care support for this product/service? ○ Is the company able to produce product and supply required aftercare support?
Market Opportunity	○ Where is the market demand? What is the target market? Is it generic or a niche?

Business factor	Questions for evaluation
	○ Industry characteristics (growth rates, change, entry barriers). ○ What market share can the product reasonably expect today? In 2, 5 or 10 years? ○ Timing and length of the window of opportunity? ○ What competition exists in this market? Substitutes? How big is their turnover? ○ How accessible are the desired distribution channels?
Costing and Pricing	○ How much will it cost to develop the product and commercialize it? ○ Where will the funds come from? ○ How do the pricing, costs and economies of scale compare with competitors? ○ How easy is it to acquire equipment, skills and other inputs required?
Profitability	○ Where is the money to be made in this activity? What are the gross margins? ○ Would the return on investment be acceptable? What is the payback period? ○ What are the cash flow patterns and the source of working capital?
Capital Requirements	○ How much capital (people, operating expense and assets) is required to start? ○ What are the long-term capital needs? ○ How much of the required capital is secured and where will the rest come from? ○ What securities are available to guarantee the required funds? ○ Is there a list of potential funders? In case the funders withdraw their capital?
Issues and risks	○ What risks (real and perceived) are inherent with the product/service? ○ Industry based risks e.g. is the market on a decline? ○ Are there plans for surviving the death of the lead entrepreneur? ○ Unreliable forecasts? Inadequate cash flow? ○ Inability to grow with the demand or cope with shrinking sales? ○ Supplier and value chain management?

5) Assessment of the Entrepreneurial Team

Regardless of how right the opportunity may seem to be, it will not make a successful business unless it is developed by a team with strong skills. Gartner et al (1999:230) advises that once the opportunity has been evaluated, the next step is to ask pertinent questions about the people who would run the company. Such questions are illustrated in table 2.2:

Table 2.2: Team factors and questions for opportunity evaluation

Team factor	Questions for evaluation
Focus:	○ Is the founder really an entrepreneur, bent on building a company? ○ Does the entrepreneur (or his team) have some experience (work or industry)? ○ Do they really like this product/sector? Do they really want this? ○ Can the team create products to suit that market need? ○ How stressful is the opportunity for the team?
Selling:	○ Does the team have the necessary selling and closing skills?
Management:	○ Who will work full time? Do your managers represent competitive advantage? ○ Does the team have the necessary management and technical skills?

Team factor	Questions for evaluation
	○ If the required skills are not available, can they be acquired at competitive rates? ○ How is their relationship with the entrepreneur, commitment and motivation?
Ownership:	○ Have the critical decisions about ownership and equity splits been resolved? ○ Are the members committed to these? ○ Does the owners have enough financial capital for required own contributions?

2.3 Business Idea Development

Brainstorming Cases on business Idea and Business Idea Identification is given as follow:

Case 1: Janet's Experience

Janet has a small farm and her husband works in a nearby mine, but even though both of them have jobs, they do not earn enough money to pay for their children's education. Janet decides to try and start her own business by rearing chickens to sell. She knows how to do it and her uncle gives her a loan of \$400 to start the business. However, before she buys the chicks, someone tells her that there is a huge demand for sunflower oil because of its lack of availability in the market. Traders are knocking on the doors of local farmers asking them to produce it. Thinking she can earn a lot more money from pressing sunflower seeds for oil, Janet changes her business idea and starts an oil pressing venture.

Janet has never grown a large quantity of sunflowers. She spends all the money from the loan to buy seeds, fertilizer and the oil pressing equipment. Since she uses most of the family farmland to grow sunflowers, there is less land to grow maize and vegetables for the family to eat. The chemicals from the fertilizer begin to make her children sick. She now has to buy more food for the family. It takes a lot of time and effort to process the oil, so, Janet has to employ someone to help her. A lot of other farmers have started growing sunflower seeds too. Therefore, by the time her oil is ready to sell, the market is already saturated with the good and Janet cannot find a buyer. To reduce her losses, Janet has to sell the oil at a very low price to a local shop. As a result, Janet makes very little money and she is not able to pay back the loan.

Reflection question: *What is wrong with Janet's business idea? Why?*

Case 2: Lily's Experience

Lily had been working in the assembly line of a garment factory for more than five years. Her salary was low and she was often required to work overtime. Lily's sister-in-law came to visit her and complained to Lily that she was unable to find any good clothes for her 12 year-old daughter. She said that the clothes in the stores all seem to be either made for younger children or for adults. After the visit, Lily decided to go around to the clothing shops in her town. She saw young teenage girls shopping in the stores, but she noticed that the number and variety of clothes geared to that age group was limited. She had already been thinking of quitting her job and opening her own business. Therefore, Lily decides to design some pretty clothes and dresses for young teenage girls. She makes some drawings of clothing that would appeal to that age group. She then takes her drawings to the local clothing shops, asking the owners if they would buy the dresses in the drawings, how much they would pay for them and how many they would buy. The shop owners seemed to be quite happy with her designs and said they would display her clothes. Lily then uses her savings to buy a sewing machine and some material to make her first batch. She works in the evening after getting off from work at the garment factory. All of the dresses she makes sell very well and the shops are willing to pay her in cash upon delivery. Lily then decides to quit her job to focus on her

own business. Within six months, Lily starts receiving regular orders from the shops. She plans to buy one more sewing machine and hire one of her friends to work for her.

Reflection question: Why is Lily successful in her own business? What did she do that made her successful?

A **business idea** is a short and precise description of the basic operation of an intended business.

There are three types of business ideas. They are:

1. **Old Idea** – Here an individual copies an existing business idea from someone.
2. **Old Idea with Modification** – In this case the person accepts an old idea from someone and then modifies it in some way to fit a potential customer's demand.
3. **A New Idea** – This one involves the invention of something new for the first time

2.4 Business Idea Identification

Before you start a business, you need to have a clear idea of the sort of business you want to run.

Your business idea will tell you:

- ☞ Which need will your business fulfill for the customers and what kind of customers will you attract?
- ☞ What good or service will your business sell?
- ☞ Who will your business sell to?
- ☞ How is your business going to sell its goods or services?
- ☞ How much will your business depend upon and impact the environment? A good business idea will be compatible with the sustainable use of natural resources and will respect the social and natural environment on which it depends.

All business ideas are not equally worth. Therefore, to identify promising business idea among others, it is important to answer the above raised questions. Let us see the explanation for the questions raised above.

2.4.1 The Need will Your Business Fulfill for the Customers

Your business idea should always have customers and their needs in mind.



It might be a good idea to start a day care center in the commercial area as many other parents may have the same need.



It might be a good idea to start a waste collection and recycling service in this area. Not only would the owner of this restaurant need the service, but many other residents in the area might need it as well.

Refer to the Cases of Janet and Lily Narrated in this Chapter:

Janet produced sunflower oil without knowing: ▪ Is there a need for oil? ▪ Who needs it? ▪ Why do they need sunflower oil and not another type of cooking oil?	Since Lily did her market research, she knows that pre-teens and teenage girls in her area have limited choice and access to clothing specifically designed for their age group. What they wear is either designed for
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She, therefore, had no idea how big the demand for sunflower oil would be. Consequently, she could not find customers as the need had been fulfilled by the time she was able to supply her good.	younger children or for adults. Lily aims to fill the need by producing fashionable clothes that are suitable for their age group.
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2.4.2 Good or Service will your Business Sell

Depending on your skills and the needs of the customers, you should decide which good or service your business will sell. Also, keep in mind that they must be goods or services that people are willing to pay for and at a price that will allow you to make a profit.

A good is an item that people pay for and use. It may be something you make yourself or it may be something you buy to resell. Tools, baked goods, clothes and retail items are all products. A service is something you do for people that they then pay you for. For example, delivering goods, banking, babysitting, repairing items, collecting recyclable waste from apartment buildings, operating tours, etc. are all services.

Refer to the Cases of Janet and Lily Narrated in this Chapter:

Janet grew sunflowers and produced sunflower oil without having any prior knowledge and experience. She was not aware of the challenges of the business, such as the toxics from fertilizers or the long processing time. Janet had no advantage that she could use in her sunflower business and she faced too many problems, so she was unable to make a profit.	Lily had significant experience in making clothes. She knew about sewing. However, she had no experience designing clothes, so she tested her competency by making some designs and showing them to the clothing store owners. She only opened her business after the first batch of dresses were accepted for display in the shops and then sold.
---	---

2.4.3 Identifies Potential Customer

Any business cannot succeed without customers. Therefore, it is essential that you know who your customers will be. Will you sell to a specific type of customer or to everyone in an area? There must be enough people who are able and willing to pay for your goods and services or the business will not survive.



Refer to the Cases of Janet and Lily Narrated in this Chapter:

Janet had no idea who the end customers of her sunflower oil might be. She just focused on producing the oil and thought that the shops will buy it from her. Therefore, she did not know how big the need was for her good. She also did not know if there were any competitors who were going to fulfill the same needs of the customers.

Lily knew that her customers will be teenage girls in her area. She researched the market by observing the clothes shops and the target customers to make sure that there was a real need that she could fulfill. She also knew that there was no competitor currently filling that need.

2.4.4 Strategy for Selling Goods or Services/ How is Your Business Going to Sell Good or Services?

How are you going to sell your goods or services? If you plan to open a shop, you know how you will sell your product, but manufacturers or service operators can sell their products in many different ways. A manufacturer, for example, can sell either directly to customers, to retailers or to wholesalers.

Refer to the Cases of Janet and Lily Narrated in this Chapter:

Janet did not plan how to sell her product. When she made the oil, she just went around and tried to sell to retail shops.

From the beginning, **Lily** decided to sell her goods through clothes shops. She talked to the owners of these shops even before she started

her business, to make sure they would sell her goods.

2.4.5 Relation between Business and Environment

Your business can only be sustainable in the long run if it works in harmony with the social and natural environment. How much does your business depend on the environment? Does it rely on the weather, soil or other natural resources? Does it need any specific type of labor from the local community? Does it need the local community to support it? What should you do to make sure that your business nurtures the natural environment and helps the local community? Will your business nurture the natural environment or will it have a detrimental impact? How would you minimize or reverse any negative effect that your business might have? This is discussed in detail in Chapter one of this module.

Activity 1: Now if you already have a business idea, describe your idea using the following form:

My business idea is:
Which need will my business fulfill?
What good/ service will I provide?
To whom will I sell?
How will I sell my good/ service?

How much will my business depend upon and impact the environment?

.....

.....

.....

.....

2.5 Methods for Generating Business Ideas

Brainstorming Cases on business idea generation is given as follow:

Case 3: Hamisi Experience

Hamisi worked for a gas stove importer for five years before he decided to open his own business. His aunt owns a successful hardware supply and rental shop, so she offered to be his financial partner and provide funds for his start-up. She does not want to be involved in the operation, but only to share the profit, while letting Hamisi run the business himself. Hamisi starts thinking about possible business ideas. He enjoys making sesame bags and wall hangings, which many of his friends admire. Therefore, at first he thinks about making and selling them to tourists as souvenirs. However, after talking to a number of local shopkeepers, he learns that there are too few tourists in his area for such a business to be profitable. Hamisi thinks about opening a gas stove shop, as he knows how to source imported gas stoves and he is familiar with the functions and quality of each brand. He does some market research and learns that there are quite a few gas stove shops in his area and their sales are low. They are offering various discount and promotional schemes, but none of their promotions have increased sales significantly. He decides that he better not enter such a tough market.

While still thinking about a business idea, Hamisi helps his aunt move to a new house. Although it is easy to find a van to rent, no one offers moving services, such as packaging, loading and unloading. Hamisi has to ask some of his friends to help him package and carry his aunt's furniture and belongings.

They spend a whole weekend looking for packaging and then disassembling the big items, wrapping and packing them, loading them in the van, unloading them at the new house and then unpacking and reassembling them. Hamisi wonders why there is not a moving company in the area. Realizing that this might be a business idea, Hamisi does some research on that field of business and then describes his business idea as follows :

My business idea: Home/ office packaging and moving service

- **Which need will my business fulfill?** Everyone I talk to agree that moving from house to house, or office to office is very difficult and time-consuming. There is no company in the area that provides packaging and moving services. Therefore, if I provide these needed services, my business will have a steady demand.
- **What good/service will I provide?** I intend to offer complete packaging and moving services for

homes and offices. Although I have no experience running this type of business, I have some experience handling, storing and transporting goods. I learned these things while working with the gas stove importing company. I can ask my brother who is very good at process management to plan the operation. In addition, I can use a reliable transportation provider who often works for my aunt's shop.

• **To whom will I sell?** I intend to start by offering my services to all my relatives, friends, friends of friends and my aunt's customer base. I will then expand my business and advertise around the whole town.

• **How will I sell my service?** I can sell my service directly to the customers. Initially, I will introduce the service to all of my friends, relatives and my aunt's customer base. After I have done some moving for family and friends, I will expand my market and hang posters around areas where there are a lot of shops, offices, apartments and houses for rent.

• **How much will my business depend upon and impact the environment?**

My business will reuse the cartons and packaging several times so as to prevent waste.

Instruction: Read the Hamisi's Experience for the students.

Reflection question: What did Hamisi do to find his business idea?

Hamisi does not just focus on one idea:

- He looks around to find different business ideas that may be suitable to his areas of interest and will benefit from his knowledge and his working experience.
- He describes each of the different ideas clearly.
- While researching the different ideas, he found that some would not work because there is not sufficient need, there are not enough customers or the competition is fierce.
- While describing the idea, he also identified resources that he could leverage, such as his friend's knowledge, his aunt's customer base or a reliable transportation provider that he knows.

Every business idea should be based on knowledge of the market and its needs. The market refers to people who might want to buy a good or service; i.e. the customers. The market differs from place to place, depending on who lives in the area, how they live and for what goods or services they spend their money. When you understand the market in your area, you might recognize many business ideas that you may have previously ignored.

When generating business ideas, it is best to try to keep your mind open to everything. Your first goal is to think of as many ideas as possible and make a list of all the possible business

opportunities. With a list, you will have more choices! You then can scan the list and nail down the idea(s) that sound most feasible to you and that you think will be most profitable.

There are many ways to come up with business ideas, such as surveying local businesses or asking existing business owners. The information gained from one approach may supplement another and help you to clearly describe your business ideas. Below, we will examine a few different approaches to generating business ideas.

1. Learn from successful business owners

You can learn a lot from people in your area who have already gone through the process of establishing a business. You should try to get the following information from them:

- What kind of idea did these businesses start with?
- Where did the ideas come from?
- How did they develop their ideas into successful businesses?
- How does the business profit and fit into the local environment?
- Where did they get the money to start their business?

When to meet successful business owners, use the Business Ideas Analysis Form shown below, to write down their answers to the above listed questions.

BUSINESS IDEAS ANALYSIS FORM	
Name of business: _____	
Goods or services to be sold: _____	
Main customers: _____	
When and why did the owner decide to start this business?	

Why did the owner think it was a good idea to start that kind of business?	

How did the owner learn what his potential customers wanted?	

What strengths or assets did the owner use to start this business? (E.g., previous experience, training, family background, contacts, hobbies)	

What problems did the owner face in setting up the business?	

Has the business good or service changed over time?	

What is the impact of the business on the natural environment and the community?

Notes:

2. Draw From Experience

2.1 Your own Experience

Look at the list of your interests, your experiences and your networks. Are there any possible business ideas that you can derive from your own past experience? Think about each type of experience.

Start with yourself. What has your experience been as a customer in the market place? Have you ever searched all day for some items that you could not find in any store in your area? Think about the goods and services you have wanted at different times and that you have had difficulty finding.

2.2 Other People's Experience

The people around you are potential customers. It is important to understand their experience trying to find goods and services that are unavailable or not exactly what they need. Listen carefully to what these people say about their shopping experience.

Ask your family and friends about the things they would like to find that are not locally available. Expand your social knowledge by talking to people from different age groups, social classes, etc. You can also visit community groups, colleges, etc. for a greater understanding of the market.

Here are some examples of comments that would help with your search for a business idea:

- ☞ “I cannot find a lunch box that keeps the food warm.”
- ☞ “The choice of cooking pots in the shops is very limited.”
- ☞ “There is no reliable way of sending gift packages to my friends and relatives living in the villages.”
- ☞ “There is not enough entertainment in this town and the weekends are so boring.”
- ☞ “I really need to buy some marketing textbooks, but there are no good bookstores in this town.”

☞ “There is so much garbage on the streets. Somebody should do something about it.”

3. Survey Your Local Business Area

Another way of discovering business ideas is to look around your local community. Find out what type of businesses are already operating in your area and see if you can identify any gaps in the market.

If you live in a village or small town, you may be able to identify all the fields of business in the whole town. Otherwise, you may need to focus on the preferred business fields and business types that you identified. This is an activity that will be much easier to do with a business partner or friend. Visit the closest industrial area, markets and shopping centers in your area.

4. Scanning Your Environment

You can use your creativity to find more business ideas in your area. Look at the list of existing local businesses. If the list has included most of the local markets, you may be able to learn about the industries or service providers on which the local economy relies.

It may be useful to think about business ideas by considering all the resources and institutions in your area. For example think about:

- ☞ Natural resources,
- ☞ Characteristics and skills of people in the local community,
- ☞ Import substitution,
- ☞ Waste products,
- ☞ Publications,
- ☞ Trade fairs and exhibitions ,

4.1 Natural Resources

Think of what is abundantly available in your area that could be made into useful products without harming the environment. Natural resources include materials from soil, agriculture, forest, mineral, water, etc.

Perhaps there is good clay soil in the area that can be used for making bricks. It may be used for other business ventures such as making plates, cups or tiles.

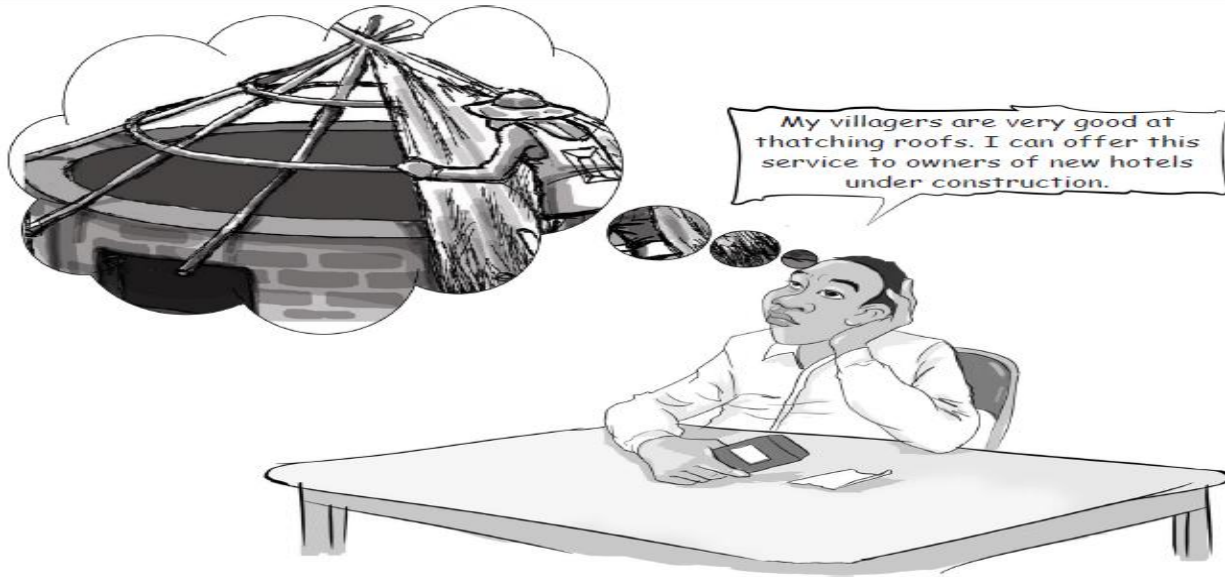


Think about a way to use this resource that would enable you to continue working with it for many years. In other words, make sure that your business idea will not exhaust the natural resource that would be the foundation of your business.

4.2 Characteristics and Skills of People in the Local Community

Consider whether the people in your area have some special characteristics or skills that could be useful for a business:

- Are there people in your community who are good artisans, tailors or carpenters or who have specific skills creating items unique to your area?
- Are there recent graduates looking for jobs who you could employ?
- Are there caregivers, nurses or people who could offer services to children, the elderly or the sick?
- Is your community digitally connected?
- Is the infrastructure in your community well developed?



4.3 Waste Products

Business opportunities can also be generated by using materials that have been previously used by both homeowners and businesses. Think about the possible use of waste materials for the production of other useful and marketable items. Recyclable waste products can be identified by analyzing certain items to see how they are discarded. Man-made waste has a detrimental effect on the environment. In most cases, companies are keen to work with entrepreneurs who can turn their waste products into valuable and marketable items.

Usually there is something that can be reused in things that we throw away. Recycling may be done with waste products that come from agricultural processing, household garbage, used machinery and appliances or industrial waste. People throw away food that could be used to make compost or animal feed. They also throw away paper, glass and aluminum that can be recycled. Think of things that can be made from what others thought was garbage.

Many industries dispose of useful materials. A clothing company might throw out small pieces of cloth that could be used to make something else. Plastics factories usually have materials left over that might be useful for insulation, stuffing for pillows or a new kind of fuel.



Is there a possibility that you could recycle something that is found in abundance in your neighborhood? Is there a way of using resources more efficiently? May be you could offer a service to help individuals or institutions dispose of their waste in a way that is environmentally-friendly or maybe you can make something new out of the waste.

4.4 Import Substitution

Can you think of anything that is imported that might be made locally? Some imported goods have high import duties, making them very expensive. You could investigate the possibility of operating a business that can easily make the imported goods locally.

4.5 Publications

Publications from the internet and other printed material may help you find ideas. There are many sites on the internet that you can visit to find out about business ideas as well as franchise businesses for sale. There are also web-based businesses that you can search from home if you have internet connection.

Newspapers are a great source of ideas. They often describe types of businesses that you could start or products that you could provide in your area. The classified advertisements may give your ideas, as well as articles about business trends in other places.

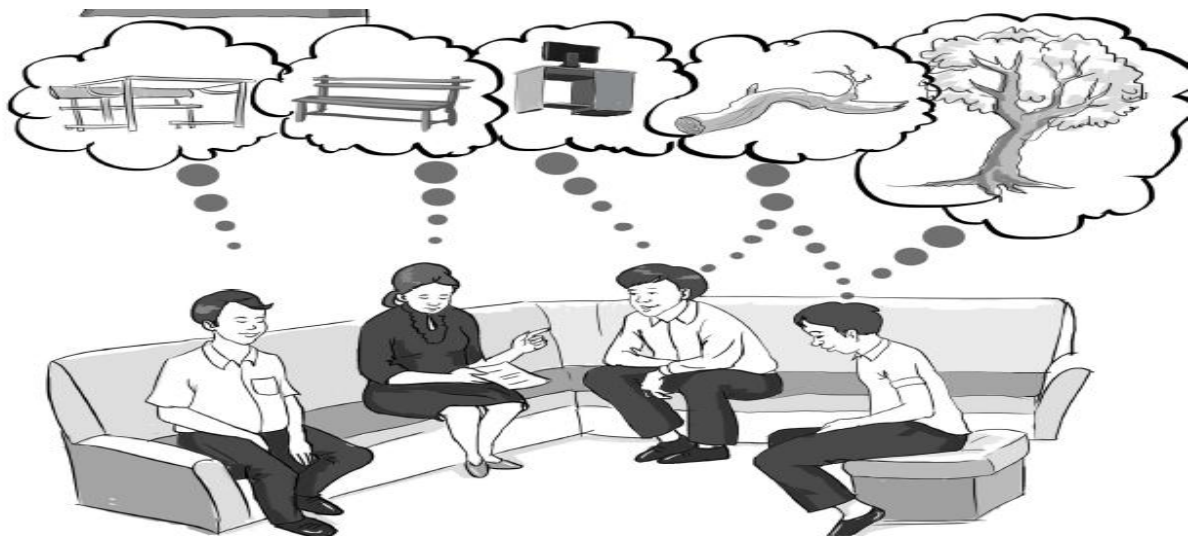
4.6 Trade Fairs and Exhibitions

Organizations hold trade fairs for different goods or services. Attending these fairs may give you exposure to a number of new business ideas that you had not previously considered. Be sure to attend any trade fair for fields of business in which you may be interested.

5. Brainstorming

Brainstorming means opening up your mind and thinking about many different ideas. You start with a word or a topic and then write down everything that comes to mind relating to that subject. You continue writing for as long as possible, putting down things that you think of, even if they seem irrelevant or odd. Good ideas can come from concepts that initially seem strange.

Brainstorming works best in a group. Get your family, friends or classmate together and ask them to help by writing down ideas they have when they hear the word or subject matter.



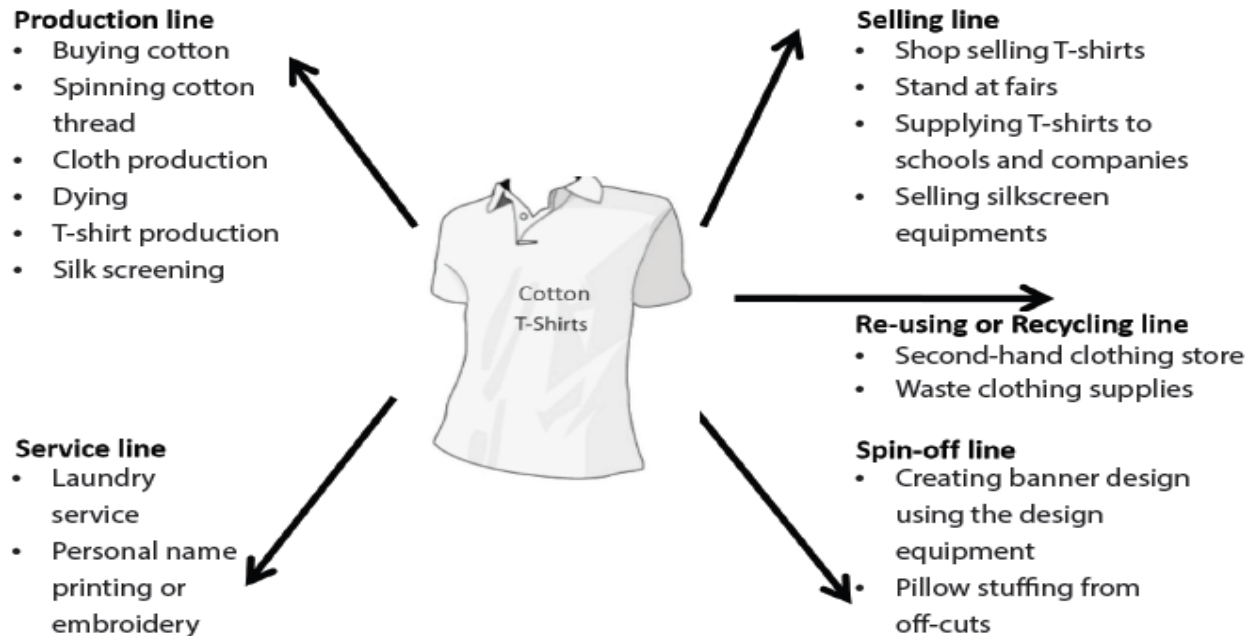
6. Structured Brainstorming

Structured brainstorming is when you think of the different processes that are involved in the operation of a particular business and the goods/services that can be offered with respect to those processes. This is different from thinking about random items related to a particular business field and type.

Try to think of all the businesses that are related to different aspects of a product:

- Those involved in production,
- Those involved in the selling process,
- Those involved in recycling or re-using materials,
- Those indirectly related (spin-offs),
- Those involved in servicing,

For example, you can think of different processes within each line. You continue until you have run out of ideas. Again, whatever comes to mind should be written down. Decide later if it is worthwhile or correct. Let's take the example of cotton T-shirts:



As far as all brainstorming exercises are concerned, it is essential to recall the basic rules of brainstorming: no criticizing or censoring of ideas, wild and turbulent sessions allowing the uninterrupted flow of ideas, no interruption once the basic idea of the exercise has been introduced, no shyness and no limitations.

7. Focus Group

Focus group is a group of individuals providing information on a structured format which is led by moderators. It is characterized by an open and in depth discussion: rather than simply asking questions to solicit student response. The moderator focuses the discussion in either Directive or non-directive manner. It is useful for both getting new idea on existing product or screening idea/concepts.

8. Problem Inventory Analysis

It is similar to focus group to generate new product ideas. The difference is rather than generating new idea themselves, consumers are provided with a list of problems in general product category. It is a method of obtaining “New Idea” and solutions by focusing on problems.

9. Free Association

One of the simplest methods that entrepreneurs can use to generate new ideas is free association. This technique is particularly helpful in developing an entirely new slant to a problem. First, a word or phrase related to the problem is written down, then another and another, with each new word attempting to add something new to the ongoing thought processes, thereby creating a chain of ideas ending with a new product/service idea emerging.

10. Forced Relationships

Forced relationships- as the name implies- is the process of forcing relationships among some product combinations. It is a technique that asks questions about objects or ideas in an effort to develop a new idea.

11. Attribute Listing

Attribute listing is an idea-finding technique that has the entrepreneur list the attributes of an item or problem and then look at each from a variety of viewpoints. Through this process, originally unrelated objects can be brought together to form a new combination and possibly a new product/service that better satisfies a need.

2.6 Business Idea Screening

Idea screening is the process to spot good ideas and eliminate poor one. To screen the business idea generated, three approaches are discussed as follow:

1) Macro screening: is aimed screening down ideas to 10. And the common criteria are:

- Are my own competencies (see strength detector) sufficient?
- Can I finance it to a large extent with my own equity?
- Will people buy my product/service (i.e. is it needed and can people afford it)?

2) Micro Screening: is aimed screening down ideas into 3. The common criteria used for screening are:

- Solvent demand
- Availability of raw materials
- Availability of personal skills
- Availability of financial resources

3) Scoring the Suitability of Business Idea:

This approach is most appropriate when deciding on starting a business. When there are more than one possible business ideas and one needs to decide which one to follow, we use score

business ideas (e.g., BI1, BI2, BI3) by assigning a rating from 1 to 3 for each question, with 3 being the strongest. After we score the ideas we sum the total and select the idea with the highest score.

S. No	Questions	BI1	BI2	BI3
1.	Are you familiar with the operations of this type of business?			
2.	Does the business meet your investment goals?			
3.	Does the business meet your income goals?			
4.	Does the business generate sufficient profits?			
5.	Do you feel comfortable with the business?			
6.	Does your family feel comfortable with the business?			
7.	Does the business satisfy your sense of status?			
8.	Is the business compatible with your people skills?			
9.	Is there good growth projected for the overall industry of the business?			
10.	Is the risk factor acceptable?			
11.	Does the business require long hours?			
12.	Is the business location-sensitive?			
13.	Does the business fit your personal goals and objectives?			
14.	Does this business fit your professional skills?			
Totals				

Notes: while to answer the above listed questions it is important to conduct survey. Collecting information on your business idea gives you an opportunity to promote your business idea and to present yourself as a potential entrepreneur. While to answer the above questions, there are four important groups that you should talk to:

- ☞ **Potential customers:** Their views are essential to your understanding of whether or not your proposed product is important to them and if you need to modify your idea to meet their needs.
- ☞ **Competitors, suppliers and entities with financial resources:** Their views will reveal the challenges of competition that you would face, as well as other issues related to your potential business.
- ☞ **Financial institutions:** Find out the lending requirements to determine whether borrowing for a new business is possible.

-
- ☞ **Key informants and opinion leaders:** These are people who would know a lot about the type and field of business you want to go into and/or a lot about your potential customers. Their views would give you a lot to think about and could also give you a better insight into the feasibility of your business idea.

When you have completed the summary of your business idea, you can go on to the next step to start your own business: Prepare a business plan for the proposed business.

2.7 Concept of Business Plan

Planning is the first and the most crucial step for starting a business. A carefully charted and meticulously designed business plan can convert a simple idea/innovation into a successful business venture.

A business plan is a road map for starting and running a business. A well-crafted business plan identifies opportunities, scans the external and internal environment to assess the feasibility of business and allocates resources in the best possible way, which finally leads to the success of the plan. It provides information to all concerned people like the venture capitalist and other financial institutions, the investors, the employees. It provides information about the various functional requirements (marketing, finance, operations and human resources) for running a business.

A business plan is the blueprint of the step-by-step procedure that would be followed to convert a business idea into a successful business venture. A business plan first of all identifies an innovative idea, researches the external environment to list the opportunities and threats, identifies internal strengths and weakness, assesses the feasibility of the idea and then allocates resources (production/operation, finance, human resources) in the best possible manner to make the plan successful:.

The objectives of a business plan are to:

- ☞ Give directions to the vision formulated by entrepreneur.
- ☞ Objectively evaluate the prospects of business.
- ☞ Monitor the progress after implementing the plan.
- ☞ Persuade others to join the business.
- ☞ Seek loans from financial institutions.

-
- ☞ Visualize the concept in terms of market availability, organizational, operational and financial feasibility.
 - ☞ Guide the entrepreneur in the actual implementation of the plan.
 - ☞ Identify the strengths and weakness of the plan.
 - ☞ Identify challenges in terms of opportunities and threats
 - ☞ Clarify ideas and identify gaps in management information about their business, competitors and the market.
 - ☞ Identify the resources that would be required to implement the plan.
 - ☞ Document ownership arrangements, future prospects and projected growths of the business venture.

2.8 Developing a Business Plan

2.8.1 Business Planning Process

A plan, which looks very feasible at the first instance, might actually not be when the details are drawn. Hence documenting the business plan is one of the early steps that an entrepreneur should take. As discussed above, the successful entrepreneur lays down a step-by-step plan that she/he follows in starting a new business. This business plan acts as a guiding tool to the entrepreneur and is dynamic in nature – it needs continuous review and updating so that the plan remains viable even in changing business situations. The various steps involved in business planning process are discussed here below:

1) Preliminary Investigation

Before preparing the plan entrepreneur should:

- ☞ Review available business plans (if any).
- ☞ Draw key business assumptions on which the plans will be based (e.g. inflation, exchange rates, market growth, competitive pressures, etc.).
- ☞ Scan the external environment and internal environment to assess the strengths, weakness, opportunities and threats.
- ☞ Seek professional advice from a friend/relative or a person who is already into similar business (if any).

2) Opportunity Identification and Idea Generation

Entrepreneurship is not just limited to innovation (generation of an entirely new concept, product or service, but it also encompasses incremental value addition to the concept/product/ services offered to the consumer, shareholder and employee).

Opportunity identification and business idea generation is the first stage of business planning process. It involves generation of new concepts, ideas, products or services to satisfy demand.

3) Environmental Scanning

Once a promising idea emerges through idea generation phase the next step is environmental scanning, which is carried out to analyze the prospective strengths, weakness, opportunities and threats of the business enterprise. Hence before getting into the finer details of setting up business it is advisable to scan the environment both external and internal and collect the information about the possible opportunities, threats from the external environment and strengths and weaknesses from the internal environment (the detail has been addressed in chapter one).

4) Feasibility Analysis

Feasibility study is done to find whether the proposed project (considering the above environmental scanning) would be feasible or not. It is important to demarcate environmental scanning and feasibility study at this point. Environmental scanning is carried out to assess the external and internal environment of the geographical area/areas where, entrepreneur intends to set up his business enterprise, whereas feasibility study is carried out to assess the feasibility of the project itself in a particular environment in greater detail.

5) Report Preparation

After environmental scanning and feasibility analysis, a business plan report is prepared. It is a written document that describes step-by- step, the strategies involved in starting and running a business.

2.8.2 Essential Components of Business Plan

- I) Cover Sheet:** Cover sheet is like the cover page of the book. It mentions the name of the project, address of the headquarters (if any) and name and address of the promoters.
- II) Executive Summary:** Executive summary is the first impression about the business proposal. As the saying goes, the first impression is the last impression. A careful presentation of information should be done to attract the attention of the evaluators. It

should be in brief (not more than two or three pages) yet it should have all the factual details about the project that can improve its marketability. It should briefly describe the company; mention some financial figures and some salient features of the project. Generating interest in the minds of the readers is the prime motive of the executive summary.

III) The Business: This will give details about the business concept. It will discuss the objective of the business, a brief history about the past performance of the company (if it is an old company), what would be the form of ownership (whether it would be a single proprietor, partnership, cooperative society or a company under company law). It would also label the address of the proposed headquarters.

IV) Funding Requirement: Since the investors and financial institutions are one of the key bodies examining the business plan report and it is one of the primary objectives of preparing the business plan report, a careful, well-planned funding requirement should be documented. It is also necessary to project how these requirements would be fulfilled. Debt equity ratio should be prepared, which can give an indication about how much finance would the company require and how it would like to fund the project.

V)The Product or Services: A brief description of product/services is given in this subsection. It includes the key features of the product, the product range that would be provided to the customers and the advantages that the product holds over and above the similar products/ substitute products available in the market. It also gives details about the patents, trademarks, copyrights, franchises, and licensing agreements.

VI)The Plan: Now the functional plans for marketing, finance, human resources and operations are to be drawn.

- 1) **Marketing Plan:** Marketing mix strategies are to be drawn, based on the market research.
- 2) **Operational Plan:** The operational plan would give information about (i) Plant location: why was a particular location chosen? Is it in the vicinity of the market, suppliers, labor or does it have an advantage of government subsidies for that particular location or are there any other specific reasons for choosing the particular location?, (ii) Plan for material requirements, inventory management and quality control are also drawn for

identifying further costs and intricacies of the business. Finally, the budget for operational plan is also drawn.

- 3) **Organizational Plan:** The organizational plan indicates the pattern of flow of responsibilities and duties amongst people in the organization, it provides details about the manpower plan that would be required to put life into the business and it would also enlist the details about the laws that would be governed in managing the employees of the organization. In the end the organizational plan is also budgeted.
- 4) **Financial Plan:** The financial plan is usually drawn for two to five years for an existing company. For a new organization the following projections are drawn:
 - a) Projected Sales
 - b) Projected Income and Expenditure Statement
 - c) Projected Break Even Point
 - d) Projected Profit and Loss Statement
 - e) Projected Balance Sheet
 - f) Projected Cash Flows
 - g) Projected Funds Flow
 - h) Projected Ratios

VII) Critical Risks: The investors are interested in knowing the tentative risks to evaluate the viability of the business and to measure the risks involved in the business. This can further give confidence to the investors as they can calculate the risks involved in the business from their perspectives as well.

VIII) Exit Strategy: The exit strategies would provide details about how the organization would be dissolved, what would be the share of each stakeholder in case of winding-up of the organization. It further helps in measuring the risks involved in investing.

IX) Appendix: The appendix can provide information about the Curriculum Vitae of the owners, Ownership Agreement and the like.

2.9 Sample Business plan Format

The business plan outlined below presents all necessary chapters in detail, including all necessary explanations in the context of Ethiopia.

Business plan outline

for micro-enterprises - Ethiopian application

Business Plan

1. **Full name** of the business operator.....
2. **Address:** Woreda..... Town.....
 Kebele..... House no.....
3. **Type of the plan/work/business** in which the operator is to be engaged.
.....
4. **Year of the plan:** From..... to.....
5. **Work premises at the disposal of the operator**.....
.....
.....

Specify, if there is any problem:

.....

6. Yearly sales plan:

Ser. no.	Product/service to be sold, marketed / year	Unit	Qua.	Unit price	Total price	Remark
	Total sales					

Months during which sales are expected to be high

.....
.....
.....

1. Equipment currently owned by the operator:

Ser. no.	Type of equipment	Unit of measure	Qua.	Unit cost	Total cost	Remark
	Total cost of equipment					

8. Equipment to be purchased by the operator

Ser. no.	Type of equipment	Unit of measure	Qua.	Unit cost	Total cost	Remark
	Total cost of equipment					

9. Yearly raw material requirement:

Ser. no.	Type of raw material	Unit	Qua.	Unit price	Total price	Remark
	Total yearly raw material cost					

Source of raw material.....

.....

10. Other yearly operating expenses (e.g. labor expense, sales expense, depreciation expense, tax expense etc..)

Ser. no.	Types of expense	Amount of expense in Birr	Remark
	Total expense		

11. Yearly production/service plan:

Ser. no.	Types of production/service to be produced or rendered	Unit	Qua.	Unit cost	Total cost	Remark
	Total cost					

12. Financial plan:

Capital requirements	Equity	Loan	Total
Investment capital:			
Machinery + equipment			
Furniture + fixture			
Business premises			
Any other initial and significant outlay			
Working capital:			
· Salary/wage			
· Raw material and/or supplies			
· Rent			
· Maintenance			
· Business promotion			
· Other cash outlay to meet short-term and recurrent expenditure			
Total			

13. Yearly profit and loss plan

Profit + Loss Statement Format: [Accounting](#)

Business plan outline 2 for micro and small enterprises and start ups

Business plan outline

For micro and small enterprises and start ups

Executive summary

1. Brief Description of the Project

-
2. Brief Profile of the Entrepreneur
 3. Project's Contributions to the Economy
 1. Sales and Marketing
 - 1.1 Product description
 - 1.2 Competitors'
 - 1.3 Location
 - 1.4 Market Area
 - 1.5 Main Customers
 - 1.6 Total Demand
 - 1.7 Market Share
 - 1.8 Selling Price
 - 1.9 Sales Forecast
 - 1.10 Promotional Measures
 - 1.11 Marketing Strategy
 - 1.12 Marketing Budget
 2. Production
 - 2.1 Production Process
 - 2.2 Fixed Capital
 - 2.3 Life of Fixed Capital
 - 2.4 Maintenance and Repairs
 - 2.5 Sources of Equipment
 - 2.6 Planned Capacity
 - 2.7 Future Capacity
 - 2.8 Terms and Conditions of Purchase of Equipment
 - 2.9 Factory Location and Layout
 - 2.10 Raw Materials Needed
 - 2.11 Cost of Raw Materials
 - 2.12 Raw Materials Availability
 - 2.13 Labor
 - 2.14 Cost of Labor

2.15 Labor Availability
2.16 Labor Productivity
2.17 Factory Overhead Expenses
2.18 Production Cost
3. Organization and Management
3.1 Form of Business
3.2 Organizational Structure
3.3 Business Experience and Qualifications of the Entrepreneur
3.4 Pre-Operating Activities
3.5 Pre-Operating Expenses
3.6 Office Equipment
3.7 Administrative Expenses
4. Financial plan
4.1 Project Cost
4.2 Financing Plan and Loan Requirement
4.3 Security for Loan
4.4 Profit and Loss Statement
4.5 Cash Flow Statement
4.6 Balance Sheet
4.7 Loan Repayment Schedule
4.8 Break-even Point (BEP)
4.9 Return on Investment (ROI)
4.10 Financial Analysis

2.10 Summary

Virtually to start any type of business or expand the existing one needs to work on opportunity identification and evaluation, business idea development and then prepare business plan. Lack of proper opportunity identification and evaluation, idea development process and business planning are the most often cited reasons for business failure.

Opportunity identification and evaluation are the initial stages of the entrepreneurial process and principal activities that take place before a business is formed or structured. The opportunity

identification and evaluation process have five main steps namely, getting the idea/scanning the environment, identifying the opportunity, developing the opportunity, evaluating the opportunity and evaluating the team.

After opportunity is recognized, you need to have a clear idea of the sort of business you want to run. Your business idea will address: Which need will your business fulfill for the customers and what kind of customers will you attract?; What good or service will your business sell? Who will your business sell to? And how is your business going to sell its goods or services? All business ideas are not equally worth. Therefore, to identify promising business idea among others, it is important to answer the raised questions so that to proceed into the phase of preparing plan on the selected business idea.

Business plans help companies identify their goals and objectives and provide them with tactics and strategies to reach those goals. It is not historical document; rather, they embody a set of management decisions about necessary steps for the business to reach its objectives and perform in accordance with its capabilities. Business plans have several major uses. These include internal planning and forecasting, obtaining funding for ongoing operations or expansion, planned divestiture and spinoffs, and restructuring or reorganizing. While business plans have elements common to all uses, most business plans are tailored according to their specific use and intended audience.

Business plan is an outline of a business giving details of the finance, assets, staff, products or services and markets. It guides the entrepreneur, identifies possible problems and is also used in funding applications. The business plan sets out how the owner of a business intends to realize its objectives. Steps in a business plan include: Idea Generation, Environmental Scanning, Feasibility Analysis, Functional Plan (Marketing plan, financial plan, organizational plan and operational plan), Project Report Preparation, Evaluation, Control and Review.

2.11 Review Questions

1. List and discuss opportunity Identification steps.

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.....

2. Discuss the business idea Identification processes.

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-
-
-
3. List at least three approaches of business idea generation and discuss them.

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4. Discuss steps involved in business planning process.

.....

.....

5. Discuss the Components of Business Plan.

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CHAPTER 3: BUSINESS FORMATION

3.1 INTRODUCTION

A business formation deals with the formalization and actual implementation of business ideas in to practice. In today's economic development/transformation, small businesses are creating new jobs even as large businesses continue eliminating jobs and they are more flexible than large ones in the products and services they offer. This chapter discusses the issues of business development and the different legal forms of business. In addition, the concept of MSEs in the Ethiopian and international context are discussed. The importance/roles of MSEs and a business formation deal with the formalization and actual implementation of business ideas in to practice. This chapter discusses the issues of business development and the different legal forms of business. In addition the concept of MSEs in the Ethiopian and international context are discussed. The importance/roles and set up of MSEs are discussed very well. Besides the success and failure factors of MSEs and the common problems of MSEs in Ethiopia are discussed. Furthermore, the chapter highlights the reality in the era of entrepreneurship environment as, not only are the skills and abilities important, but the entrepreneur also will need to consider the personality and character of each individual to create a viable organization culture.

Chapter Objectives

After completing this chapter, students will be able to:

- Explain the Concept of Business Development;
- Identify the Forms of Business Ownership;
- Analyze the Importance/Role of MSEs;
- Set Up Small Scale Business;
- Distinguish the Failure and Success Factors of MSEs;
- Identify the Problems of Small Scale Business in Ethiopia; and
- Develop Organizational Culture.

3.2 The Concept of Small Business Development

Specifying size and standard to define small business is necessarily arbitrary, because people adopt different standards for different purposes. Based on socio- economic conditions, countries

define small business differently. But all may use size and economic criteria as a base to define small business. Size criteria include number of employees and the startup capital. Size does not always reflect the true nature of an enterprise; in addition, qualitative characteristics are used to differentiate small business from other business. The economic/control definition covers market share, independence and personalized management.

Micro and small enterprises (MSEs) cover a wider spectrum of industries and play an important role in both developed and developing economies. Ethiopia is no exception and MSEs occupy a prominent position in the development of the Ethiopian economy. While the small entrepreneurs can set up a unit even with less capital, enjoy quick returns and have the flexibility to handle the vagaries(change) of the market, they have to face many problems like lack of finance, poor operations management, lack of experience, poor financial management, etc,. The process of setting up a venture begins with searching for an opportunity. Identifying a good opportunity is a difficult task and involves scanning the environment and the use of creativity and innovation.

3.3 Forms of Business (A Short Explanation)

There are three basic legal forms of business formation with some variations available depending on the entrepreneurs' needs.

The three basic legal forms are:-

- 1) Proprietorship,
- 2) Partnership, and
- 3) Corporation, with variations particularly in partnerships and corporations.

Legal Forms of Business	Description
1) Proprietorship	Form of business with single owner who has unlimited liability, controls all decisions, and receives all profits.
2) Partnership	Two or more individuals having unlimited liability who have pooled resources to own a business
3) Corporation	Separate legal entity that is run by stockholders having limited liability

These three basic legal forms are compared with regard to *ownership, liability, start-up costs, continuity, transferability of interest, capital requirements, management control, distribution of profits, and attractiveness for raising capital.*

It is very important that the entrepreneur carefully evaluate the pros and cons of the various legal forms of organizing the new venture. This decision should be made before the submission of a business plan and request for venture capital.

The comparison for the three basic legal forms against the aforementioned factors is briefly presented in the table below:-

Table 3.1 Factors in Three Forms of Business Formation

Factors	Basic Forms of Business Formation		
	Proprietorship	Partnership	Corporation
Ownership	Individual	No limitation on number of partners.	No limitation on number of stockholders.
Liability of Owners	Individual liable for business liabilities.	- In general partnership, all individuals liable for business liabilities. - Limited partners are liable for amount of capital contribution. - In limited liability partnership (LLP), there is no liability except when negligence exists.	Amount of capital contribution is limit of shareholder liability.
Costs of Starting Business	None, other than filing fees for trade name.	Partnership agreement, legal costs, and minor filing fees for trade name.	- Created only by statute. - Articles of incorporation, filing fees, taxes, and fees for states in which corporation registers to do business.
Continuity of Business	Death dissolves the business.	- Death or withdrawal of one partner terminates partnership unless partnership agreement stipulates otherwise. - Death or withdrawal of one of limited partners has no effect on continuity.	- Greatest form of continuity. - Death or withdrawal of owner(s) will not affect legal existence of business.
Transferability of Interest	Complete freedom to sell or transfer any part of business.	- General partner can transfer his/her interest only with consent of all other general partners. - Limited partner can sell interest without consent of general partners. No transfer of interest in an LLP.	Most flexible. Stockholders can sell or buy stock at will. Some stock transfers may be restricted by agreement.
Capital Requirements	Capital rose only by loan or increased contribution by proprietor.	- Loans or new contributions by partners require a change in partnership agreement. - In LLP partnership, entity raises money.	New capital raised by sale of stock or bonds or by borrowing (debt) in name of corporation.

Management Control	• Proprietor makes all decisions and can act immediately.	• All general partners have equal control, and majority rules. • Limited partners have limited control. • Can vary in an LLP.	• Majority stockholder(s) have most control from legal point of view. • Day-to-day control in hands of management, who may or may not be major stockholders.
Distribution of Profits and Losses	• Proprietor responsible and receives all profits and losses.	• Depends on partnership agreement and investment by partners.	• Shareholders can share in profits by receipt of dividends.
Attractiveness for Raising Capital	• Depends on capability of proprietor and success of business.	• Depends on capability of partners and success of business.	• With limited liability for owners, more attractive as an investment opportunity.

LLP- Limited Liability Partnership

3.4 Definition and Role/Importance of MSEs in Developing Countries

3.4.1 Definition of MSEs

Small businesses are playing an important role in the industrial economy of the world. These are particularly important in the developing economies. Small business is predominant even in developed countries such as USA, Japan etc.

There is a difference between small business owners and entrepreneurial ventures as well. An entrepreneurial venture often is a growth-oriented innovative company with product or service offerings that are new to the market. Small businesses could be entrepreneurial ventures. Most entrepreneurial ventures start as a small business.

However, some discernible characteristics still differ them. Most small businesses' owners work with known products and services aimed at incremental growth, and their innovation is focused on sales, marketing, and market expansion. Entrepreneurial ventures incorporate a different set of strategies. These entities are aimed at rapid growth and apply innovation and creativity at every node of the business process. They work with new offerings, and they face a lot more uncertainties; hence, their strategy calls for continuous work on mitigating uncertainty and risk reduction.

Specifying size and standard to define small business is necessary because people adopt different standards for different purposes. For example, legislators may exclude small firms from certain

regulations and specify ten employees as the cut-off point. Moreover, a business may be described as “small” when compared to larger firms, but “large” when compared to smaller ones. For example, most people would classify independently owned gasoline stations, neighborhood restaurants, and locally owned retail stores as small business.

Similarly, most would agree that the major automobile manufacturers are big businesses. And firms of in-between sizes would be classified as medium on the basis of individual viewpoints. There are two approaches to define small business. They are: Size Criteria, and Economic/control criteria.

1. Size Criteria

Even the criteria used to measure the size of businesses vary; size refers to the scale of operation. Some criteria are applicable to all industrial areas, while others are relevant only to certain types of business. For instance, some of the criteria used to measure size are: number of employees; volume, and value of sales turnover, asset size, and volume of deposits, total capital investment, volume/value of production, and a combination of the stated factors.

Even though the number of employees-is the most widely used yardstick, the best criterion in any given case depends upon the user’s purpose. To provide a clearer image of the small firms, the following general criteria for defining a small business are suggested by Small Business Administration (SBA).

- Financing of the business is supplied by one individual or a small group. Only in a rare case would the business have more than 15 or 20 owners.
- Except for its marketing function, the firm’s operations are geographically localized.
- Compared to the biggest firms in the industry, the business is small.
- The number of employees in the business is usually fewer than 100.

This size criteria based definition of MSEs varies from country to country. All over the world, number of employees or capital investment or both has been used as the basis for defining MSEs.

2. Economic/Control Criteria.

Size does not always reflect the true nature of an enterprise. In addition, qualitative characteristics may be used to differentiate small business from other business. The economic/control definition covers:

- Market Share,
- Independence, and

-
- Personalized Management.
 - Geographical Area of Operation.

All four of these characteristics must be satisfied if the business is to rank as a small business.

I) *Market Share:* - The characteristic of a small firm's share of the market is that it is not large enough to enable it to influence the prices of national quantities of goods sold to any significant extent.

II) *Independence:* - Independence means that the owner has control of the business himself/herself. It, therefore, rules out those small subsidiaries which though in many ways fairly autonomous, nevertheless have to refer to major decisions (e.g., on capital investment) to a higher level of authority.

III) *Personalized Management:* - It is the most characteristics factor of all. It implies that the owner actively participates in all aspects of the management of the business, and in all major decision-making process. There is little delegation of authority and one person is involved when anything material is involved.

IV) *Technology:* - Small business is generally labor intensive and only few are technology intensive.

V) *Geographical Area of Operation:* - The area of operation of a small firm is often local.

Generally, small business is a business that is privately owned and operated, with a small number of employees and relatively low volume of sales.

3.4.2 Role/Importance of MSEs in Developing Countries

Micro and Small Enterprises (MSEs) cover a wider spectrum of industries and play an important role in both developed and developing economies. Ethiopia is no exception and MSEs occupy a prominent position in the development of the Ethiopian economy. Over the years, the number of MSEs is growing from time to time and they need a strong support on Scio- economic and political ground. Some of the contributions are hereunder.

- 1) *Large Employment Opportunities:*** MSEs are generally labor-intensive. For every fixed amount of investment, MSE sector provides employment for more persons as against few persons in the large scale sector. Thus in a country like Ethiopia where capital is scarce and labor is abundant, MSEs are especially important.
- 2) *Economical Use of Capital:*** MSEs need relatively small amount of capital. Hence it is suitable to a country like Ethiopia where capital is deficient.

-
- 3) Balanced Regional Development/ Removing Regional Imbalance/:** Generally small enterprises are located in village and small towns. Therefore it is possible to have a balanced regional growth of industries. Ethiopia is a land of villages.

Another problem is the continuous shifting of people from rural to urban areas which causes over-crowding in cities with slum conditions due to lack of social and medical amenities which require heavy investments. This problem can be solved by inducing people to set up micro and small firms in rural areas.

Large scale industries have the tendency to concentrate in big cities. As a result, semi urban and rural areas remain deprived of the benefits of industrialization. Moreover, undue concentration of large industries in urban areas creates several problems, e.g., pollution, shortage of civic facilities, etc. Due to lack of employment opportunities in the country side, people migrate in large numbers to big cities. Micro and small-scale units can be located in rural and semi urban areas to reduce regional disparities.

- 4) Equitable Distribution of Wealth and Decentralization of Economic Power:** It removes the drawbacks of capitalism, abnormal profiteering, concentration of wealth and economic power in the hands of few etc.
- 5) Unregulated Growth of Large-scale industries** results in concentration of economic power in the hands of a few; and consequently, gross inequalities in the distribution of income and wealth will occur. On the other hand; income generated in a large number of small enterprises is dispersed more widely and its benefit is derived by the large segments of the society. This is due to wide spread ownership and decentralized location of small scale enterprises. In this way, small & medium scale enterprises bring about greater equality of income distribution. It is also argued that most of the micro and small scale units are either proprietary or partnership concerns. As a result, relations between workers and employers are more harmonious in micro and small enterprises than in large enterprises. Micro and small enterprises also encourage competitive spirit and generate the impetus to self-development.
- 6) Dispersal over Wide Areas-** MSEs has a tendency to disperse over wider areas and they play a key role in the industrialization of a developing country.
- 7) Higher Standard of Living:** MSEs bring higher national income, higher purchasing power of people in rural and semi-urban areas.

8) Mobilization of Locals Resources/Symbols of National Identity: The spreading of industries even in small towns and villages would encourage the habit of thrift and investment among the people of rural areas.

Small scale businesses are locally owned and controlled, and can strengthen family and other social systems and cultural traditions. They are perceived as valuable in their own right as well as symbols of national identity.

9) Innovative and Productive /Simple Technology: New but simple techniques of production can be adopted more easily by MSEs without much investment.

Small businesses are highly innovative though they do not maintain their own research and development.

10) Less Dependence on Foreign Capital/ Export Promotion: MSEs use relatively low proportion of imported equipment and materials. The machinery needed for these industries can be manufactured within the country. Micro and small scale enterprises are opening up fresh avenues in the export market in our world. Realizing the importance of the small and medium- scale sectors in the economy; the Ethiopian government has adopted several measures to speed up the growth of micro and small size enterprises.

11) Promotion of Self Employment: MSEs foster individual skill and initiative and promote self-employment particularly among the educated and professional class.

12) Protection of Environment: MSEs help to protect the environment by reducing the problem of pollution.

13) Shorter Gestation Period: In these enterprises the time-lag between the execution of the investment project and the start of flow of consumable goods is relatively short.

14) Facilitate Development of Large Scale Enterprises: MSEs support the development of large enterprises by meeting their requirements of inputs of raw materials, intermediate goods, spare parts etc. and by utilizing their output for further production.

15) Individual Tastes, Fashions, and Personalized Services: Small businesses have the flexibility to adapt quickly to changes in the business or technological environment.

16) More Employment Creation Capacity: Economic planners have realized the necessity of encouraging micro and small enterprises because they require less capital but generate more employment. The micro and small scale sectors have the capacity to generate a much higher degree of employment than the large-scale sector. This is because micro and small

scale enterprises are labor intensive and thus create more employment with a given level of capital. More production needs more capital in such a situation. The micro and small firms will stand in good position because they are less capital intensive and more labor intensive.

3.5 Classification of Micro and Small Enterprises

1. In Case of Manufacturing Enterprise (Manufacturing, Construction and Mining):

- a) **A Micro Enterprise** is one in which the investment in plant and machinery (total asset) does not exceed birr100, 000 (one hundred thousand); and operates with 5 people including the owner.
- b) **Small Enterprises** is one in which the investment in plant and machinery (a paid up capital of total asset) of birr100, 000 (one hundred thousand) and not more than Birr 1.5 million; and operates with 6-30 persons.

2. In Case of Service Enterprise (Retailing, Transport, Hotel and Tourism, ICT and Maintenance):

- a) **A micro enterprise** is one with the values of total asset is not exceeding Birr 50,000(fifty thousands); and operates with 5 persons including the owner of the enterprise.
- b) **Small Enterprises** is one in which the total asset value or a paid up capital of birr100, 000 (one hundred thousand) and not more than Birr 1.5 million; and operates with 6-30 persons.

More clearly, the improved definition of MSE is presented in the table below.

Table 3.2 Improved Definitions of MSEs

Level of the Enterprise	Sector	Human Power	Total Asset
Micro Enterprise	Industry	≤ 5	≤ 100000 (\$6000 or E4500)
	Service	≤ 5	$\leq 50,000$ (\$3000 or E2200)
Small Enterprise	Industry	6-30	$\leq$ birr 1.5 million (\$9000 or E70000)
	Service	6-30	$\leq$ birr 500,000 (\$30000 or E 23000)

When ambiguity is encountered between manpower and total assets as explained above, total asset is taken as primary yardstick.

Priority Sectors and Sub-Sectors for MSEs Engagement In Ethiopia

1. **Manufacturing Sector-** This is the one which comprises textile and garment; leather and leather products; food processing and beverage; metal works and engineering wood works including furniture and ornaments service; and agro-processing.
2. **Construction Sectors-** This is the one which comprises sub-contracting; building materials; traditional mining works; cobble stone; infrastructure sub-contract; and prestigious goods
3. **Trade Sectors-** This is the one which comprises whole sale of domestic products; retail sale of domestic products and raw materials supply.
4. **Service Sectors-** This is the one which comprises small and rural transport service; café and restaurants; store service; tourism service; canning/packing service; management service; municipality service; project engineering service; product design & development service; maintenance service; beauty salon; and electronics software development; decoration and internet café.
5. **Agriculture Sector (Urban Agriculture) -** This is the one which comprises modern livestock rearing; bee production; poultry; modern forest development; vegetables and fruits; modern irrigation; and animal food processing.

- **Levels of MSEs in Ethiopia**

Start-up:- Start up level refers to enterprises that incorporate people who are interested to establish MSE and those who completed the required profession/skill from various institutions and innovated by legally either in the form of association or private. It is a level where an enterprise begins production and service under legal framework or legal entity.

Growth Level: - An enterprise is said to be at growth level when an enterprise become competent in price, quality and supply and profitable using the support provided. At this level, the enterprise man power and total asset is larger than at startup level; and use book keeping system.

Maturity Level: - Maturity level means when an enterprise able to be profitable and invest further by fulfilling the definition given to the sector and using the support provided.

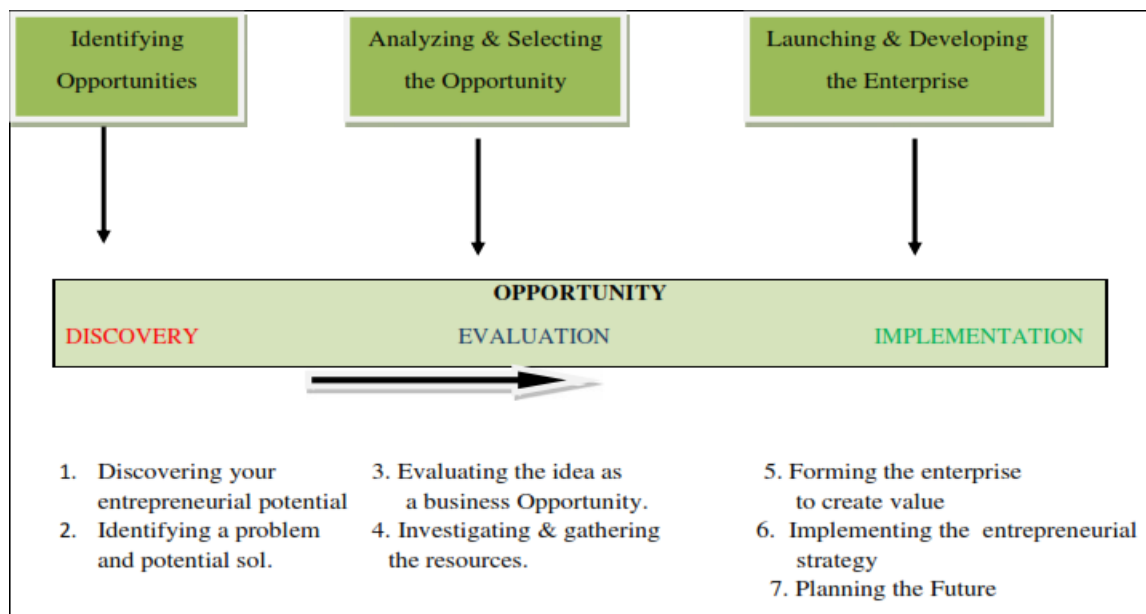
Growth- Medium Level:- An enterprise is said to be transformed from small to medium level of growth is when it enabled to be competent in price, quality and supply using the support given to the level.

3.6 Setting up Small Scale Business

Steps for Setting up the Entrepreneurial Venture

Once an individual decides to take up entrepreneurship as a career path, to be a job provider instead of a job seeker, s/he has to establish an enterprise. However, setting up of a small new enterprise is a very challenging as well as a rewarding task. Several problems are involved in this task. It is extremely important to take utmost care in identifying the product or service to be launched by the entrepreneur; otherwise it might prove to be a costly mistake. After tentatively identifying four to five ideas, s/he should go in for detailed assessment and feasibility study. This will help the entrepreneur to crystallize one idea in an objective and systematic manner, which will greatly enhance his/ her chances of success.

The entrepreneurial process of launching a new venture can be divided into three key stages of: Discovery; Evaluation; and Implementation. These can be further sub-divided into seven steps as shown below:



Discovery: The first stage of discovery is to identify opportunities that may form the basis of an entrepreneurial venture. It requires creative thinking to identify issues that can benefit from an entrepreneurial vision. This stage can be divided into two steps:

- Step 1 Discovering your entrepreneurial potential - the first step is to know more about your personal resources and attributes through some self-evaluation– what will you bring to the venture? What are your strengths and challenges? These will affect the type of venture you choose.
- Step 2 Identifying a problem and potential solution – a new venture has to solve a problem and meet a genuine need.

Evaluation: By the end of first stage of discovery, you should have selected an idea worthy of further detailed investigation. The next stage evaluates if this all adds up to a feasible business in two further steps:

- Step 3 Evaluating the idea as a business opportunity– find out information about the market need. Is the solution to this problem really wanted by enough customers? Investigate the feasibility of the proposed solution (technically, economically, socially, and legally).
- Step 4 Investigating and gathering the resources – How will the product/service get to market? How will it make money? What resources are required?

Exploitation: By the end of the second stage of evaluation, you should have identified an opportunity that has reasonable prospects of success, and analyzed what is required to launch it. The next stage is to make the final preparations and launch it into the market. It can be developed in three further steps:

- Step 5 Forming the enterprise to create value – set up a business entity and protect any intellectual property. Get ready to launch the venture in a way that minimizes risk and maximizes returns.
- Step 6 Implementing the entrepreneurial strategy – activate the marketing, operating, and financial plans.
- Step 7 Planning the future – look ahead and visualize where you want to go.

Environmental Analysis: Entrepreneurship does not exist in a vacuum. It is affected by and affects the environment. Relationship between entrepreneurship and environment is shown in the figure below.



Figure 3.1 Entrepreneurship vs Environment

As the economies are getting internationally integrated, for an analysis of the environment of entrepreneurship you would be required to develop an understanding of macroeconomic, and industry/sector specific factors.

a) Macro Environment

The macro environment of an entrepreneur consists of the political, technological, social, legal and economic environments. All of these are not immediate part of the entrepreneur's venture yet they have an impact on his/her enterprise.

b) Sectoral Analysis

After having understood the general environment in which the business has to take birth, it is important to study the sector or industry conditions in which the entrepreneur proposes to launch a venture. This will help to put the proposed venture in the proper context. The purpose of industry analysis is to determine what makes an industry attractive- this is usually indicated either by above normal profits or high growth rates. For such analysis one should study the history of the industry, the future trends, new products developed in the industry, forecasts made by the government or the industry. It is also advisable to study the existing or potential competition, threat of substitutes and entry barriers. Sometimes there might be bilateral agreements between countries regarding some sectors or government policy that is sector specific or some event that throw up challenges.

There might be certain constraints regarding availability of technology, manpower or raw materials, which are industry specific. Similarly, there might be certain strengths of a particular sector, which might outweigh some negative general trends. **For instance**, currently the cement and steel sector are on an upward swing with a favorable climate in the housing sector as well as government's thrust on the construction sector.

SWOT Analysis

At this stage, conducting a SWOT analysis will help the entrepreneur to clearly identify his/her own strengths and weaknesses as well as the opportunities and threats in the environment.

Strengths are positive internal factors that contribute to an individual's ability to accomplish his/her mission, goals and objectives. *Weaknesses* are negative internal factors that inhibit an individual's ability to accomplish his/her mission, goals and objectives. An entrepreneur should try to magnify his strengths and overcome or compensate for his/her weaknesses.

Opportunities are positive external options that an individual could exploit to accomplish his/her mission, goals and objectives. *Threats* are negative external forces that hinder an individual from accomplishing his/her mission, goals and objectives. These could arise due to competition, change in government policy, economic recession, technological advances etc. *Threats* in the environment can arise from competition, technological breakthroughs, change in government policies etc. S/he might possess certain unique skills or abilities, which along with his/ her knowledge and experience can provide him/ her cutting edge.

An analysis of the above can give the entrepreneur a more realistic perspective of the business, pointing out foundations on which s/he can build future strengths and remove obstacles. The hierarchical approach to the development of business idea is given below.

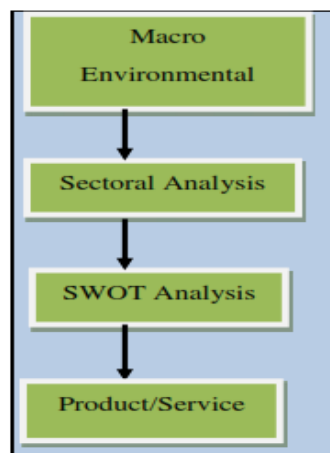


Figure 3.2 Hierarchical of Environmental Analyses

The entrepreneur has to use the opportunities provided by the environment, combine these with his/her unique strengths in terms of knowledge, skills, experience etc. and then take a decision to launch a particular product or service. The proposed product / service should be compatible with the capability of the entrepreneur, resources available in the environment and the need of the society.

3.7 Small Business Failure and Success Factors

3.7.1 Small Business Failure Factors

What Is Business Failure?

Even though business owners launch their ventures with the best of intentions and work long, hard hours, some businesses inevitably fail. Dun & Bradstreet, a financial research firm, defines a business failure as a business that closes as a result of either (1) actions such as bankruptcy, foreclosure, or voluntary withdrawal from the business with a financial loss to a creditor; or (2) a court action such as receivership (taken over involuntarily) or reorganization (receiving protection from creditors).

Causes of Business Failure

The rates of business failure vary greatly by industry and are affected by factors such as type of ownership, size of the business, and expertise of the owner. The causes of business failure are many and complex; however, the most common causes are inadequate management and financing.

Although financial problems are listed as the most common cause of business failure, consider management's role in controlling them. Could business failure due to industry weakness be linked to poor management? Yes, if the owner tried to enter an industry or market with no room for another competitor or responded only slowly to industry changes. High operating expenses and insufficient profit margins also reflect ineffective management. Finally, business failure due to insufficient capital suggests inexperienced management.

Inadequate Management: - Business management is the efficient and effective use of resources. For small business owners, management skills are especially desirable—and often especially difficult to obtain. Lack of experience is one of their most pressing problems. Small business owners must be generalists; they do not have the luxury of specialized management. On the one hand, they may not be able to afford to hire the full-time experts who could help avert costly mistakes. On the other hand, their limited resources will not permit them to make many mistakes and stay in business. As a small business manager, you will probably have to make decisions in areas in which you have little expertise.

Entrepreneurs are generally correct in pointing to internal factors as the reason for the failure of their businesses; these factors are the cause of 89 percent of such failures. Internal problems are

those more directly under the control of the manager, such as adequate capital, cash flow, facilities/equipment inventory control, human resources, leadership, organizational structure, and accounting systems.

The manager of a small business must be a leader, a planner, and a worker. You may be a “top gun” in sales, but that skill could work against you. You might be tempted to concentrate on sales while ignoring other equally important areas of the business, such as record keeping, inventory, and customer service.

Inadequate Financing: - Business failure due to inadequate financing can be caused by improper managerial control as well as shortage of capital. On the one hand, if you don’t have adequate funds to begin with, you will not be able to afford the facilities or personnel you need to start up the business correctly. On the other hand, if you do possess adequate capital but do not manage your resources wisely, you may be unable to maintain adequate inventory or keep the balance needed to run the business.

There are a lot of ways to fail in business. You can extend too much credit. You can fail to plan for the future or not have strategic direction. You can overinvest in fixed assets or hire the wrong people. Identifying mistakes that can be made is merely one component of the problem. Figuring out how to avoid them is the hard part.

Other common causes of business failure include *Neglect, Fraud, and Disaster*.

- *Neglect* occurs whenever an owner does not pay a due attention to the enterprise. The owner who has someone else managing the business while s/he goes fishing often finds the business failing because of neglect.
- *Fraud* involves intentional misrepresentation or deception. If one of the people responsible for keeping the business’s books begins purchasing materials or goods for himself or herself using the business’s money, the business might find itself bankrupt before too long.
- *Disaster* refers to some unforeseen happening. If a hurricane hits the area and destroys the property in the company’s yard, the loss may require the firm to declare bankruptcy. The same is true for fires, burglaries, robberies, or extended strikes.

Business Termination versus Failure

There is a difference between a business termination and a business failure. A termination occurs when a business no longer exists for any reason. A failure occurs when a business closes with a financial loss to a creditor.

Reasons for a termination abound. The owner may have an opportunity to sell her business to someone else for a healthy profit, or be ready to move on to a new business or to retire, or s/he may have simply lost interest in the business. The market for the business's product may have changed or become saturated. Perhaps the owner has decided it would be more appealing to work for someone else. In other cases, businesses may change form. A partnership may be restructured as a corporation, or a business may move to a new location. Businesses that undergo such changes are considered terminated even though they continue in another form.

Mistakes Leading to Business Failure

No one likes to think about failing, yet many small business owners invite failure by ignoring basic rules for success. One of the most common mistakes is to neglect to plan for the future because planning seems too hard or time-consuming. Planning what you want to do with your business, where you want it to go, and how you're going to get there are prerequisites for a sound business. Of course, that doesn't mean you can't change your plans as circumstances dictate. Your plan should provide a road map for your business, showing you both the expressways and the scenic routes and the detours.

Another common mistake is failing to understand the commitment and hard work that are required for turning a business into a success. Having to work long hours and do things you don't enjoy because no one else is available to do them are part and parcel of owning a small business. Yet, when you have the freedom of being your own boss, the hard work and long hours often don't seem so demanding!

Still another mistake that small business owners make, particularly with rapidly growing businesses, is not hiring additional employees soon enough or not using existing employees effectively. There comes a point in the growth of a business when it is no longer possible for the manager to do it all, but s/he resists delegation in the belief that it means s/he is giving up control. It is important to recognize that delegating tasks to others isn't giving up control—it's giving up the execution of details.

The last type of mistake involves with finances. Inaccurate estimates of cash flow and capital requirements can swamp a business quickly. Figuring the correct amount of money needed for starting a business is a tough balancing act: Asking for too little may hinder growth and actually jeopardize survival, whereas asking for too much might cause lenders or investors to hesitate. An important rule to remember in terms of arranging financing or calculating cash-flow projections is to figure the unexpected into your financial plans. In this way, you can have more of a cushion to fall back on if things don't go exactly according to plan. After all, without the right amount of capital, it's impossible to succeed.

Business failure, then, is a serious reality. How can a small business owner avoid it? Difficult changes may be needed, and change requires leaders to overcome all sorts of human dynamics, like inertia, tradition, and head-in-the-sand hoping that things will get better. Strategic moments require courage, or at least a lack of sentimentality, which is rare.

It is in these moments that the best leaders find a mirror and ask themselves the defining question that the late, great Peter drucker posed nearly 40 years ago: "If you weren't already in your business, would you enter it today?" If the answer is no, Drucker said, you need to face a second tough question: "What are you going to do about it?" Every leader should heed this good advice and, if need be, follow it through to its conclusion, whether that will be to fix, sell, or close the business.

Reflection: For instance, starting a business does involve risk, but the assumption of risk is part of life. An Economic consultant, David Birch, conducted his research on 2007 and found the divorce rate was 3.7 per 1,000. Of every 10,000 students who start college, about 52 percent fail to graduate. Would you decide not to get married because the divorce rate is too high? Were you afraid to go to college because of the dropout rate? The point to remember is that if you have a clear vision, know your product and your market, and devote the time and effort needed, your small business, like many others, can succeed.

3.7.2 Small Business Success Factors

When large and small businesses compete directly against one another, it might seem that large businesses would always have a better chance of winning. In reality, small businesses have certain inherent factors that work in their favor. You will improve your chances of achieving success in running a small business if you identify your competitive advantage, remain flexible and innovative, cultivate a close relationship with your customers, and strive for quality.

It may come as a surprise, but big businesses need small businesses a symbiotic relationship exists between them. For instance, John Deere relies on hundreds of vendors, many of which are small, to produce component parts for its farm equipment. Deere's extensive network of 3,400 independent dealers comprising small businesses provides sales and service for its equipment. These relationships enable Deere, the world's largest manufacturer of farm equipment, to focus on what it does best, while at the same time creating economic opportunity for hundreds of individual entrepreneurs.

Small businesses perform more efficiently than larger ones in several areas. For example, although large manufacturers tend to enjoy a higher profit margin due to their economies of scale, small businesses are often better at distribution. Most wholesale and retail businesses are small, which serves to link large manufacturers more efficiently with millions of consumers spread all over the world.

Small business success factors can be seen the same as the efforts exerted in reversing the factors of failure. There are several positive steps in addition to planning that business owners can take to improve a firm's chance for success.

From the discussion about factors of failure, we can conclude that a proper attitude is important to ensure a customer orientation for quality and service; the owner must have a purpose for being in business and want to provide customers with value for their money; and having a variety of basic business skill is important (such as the ability to keep accounting records.) So, by understanding why business fail, entrepreneurs can discover ways to tilt the scales towards success. These success factors are categorized as:-

1. Conducive Environment;
2. Adequate Credit Assistance;
3. Markets and Marketing Support.

1. Conducive Environment

Successful small enterprises do not emerge, and thereafter survive and grow unless the environment is conducive. *Political, economic, technological and socio-cultural factors* in the environment impinge upon the life of the small enterprises and generate much of the needs required for their existence.

Political Climate: - The overall political climate in a country is important for the small scale entrepreneur to consider. Small scale entrepreneur will need positive and encouraging measures

by government and political constituencies to establish private investment. Such measures could include liberal or nonrestrictive investment policy, creation of promotional agencies, creation of industrial estates and free trade zones and availability of low-cost loan capital for private investors.

The Economic Environment: - An analysis of the economic environment is particularly helpful in investment decision, market measurement and in forecasting.

The general state of the economy dictates what the small enterprise will need especially since it is handicapped in obtaining capital and credit owing to greater unit costs of small transactions, greater risks involved, etc. .

Technology: - Technological advances in the environment create new needs for the small entrepreneur as far as adaptation and adjustment is concerned.

Small scale entrepreneur needs to learn how to adjust to the new technological environment surrounding him/her, or needs to take a set of advance technologies and bring these to his/her own level in the small enterprise. Either way, constant reexamination is needed for possible utilization and improvement of existing technologies.

Socio-Cultural Environment: - Finally, the socio-cultural environment also creates a very important climate for the survival of the enterprises.

2. Adequate Credit Assistance

Small enterprise development cannot be ensured without arrangement for financing. Adequate and timely supply of credit is critical for new entrepreneurs to emerge especially from a wide base. A great majority of micro and smallbusiness activities have come about because of special financing programs offered to them.

Thus, requirements are less strict in terms of lower interest rates than the prevailing commercial rates; less collateral requirements and lower equity ratio; various assistance schemes such as preparing the project study; etc.

3. Markets and Marketing Support

Market for a small enterprise in a developing country can be quite a problem. The small business entrepreneur will be in competition not only with locally mass-produced goods but even imports. Small enterprises can band together and sell their products as one body through closely-knit associations or organizations. The government too can take an active part in marketing specific products or assisting small groups of entrepreneurs in selling their products.

3.8 Main Supporting Packages for MSEs Development in Ethiopia

When entrepreneurs are deciding to involve and develop MSEs in Ethiopia, they are more likely entitled with some supporting packages which include awareness creation about the sector; provision of legal services, to form legal business enterprises; providing Technical and business management training; financial support based on personal saving, 20/80 (the beneficiaries are save 20% and the MFIs provide Loan 80% of the projects); facilitate working premises; industry extinction services and BDS provision; bookkeeping and audit services.

3.9 Problems of Small Scale Business in Ethiopia

Small-scale businesses have not been able to contribute substantially to the economic development, particularly because of financial, production, and marketing problems. These problems are still major handicaps to their development. Lack of adequate finance and credit has always been a major problem of the Ethiopian small business.

Small-scale units do not have easy access to the capital because they mostly organized on proprietary and partnership basis and are of very small size. They do not have easy access to industrial sources of finance partly because of their size and partly because of the fact that their surpluses which can be utilized to repay loans are relatively small. Because of their size and partly because of the limited profit, they search for funds for investment purposes. Consequently, they approach traditional money lenders who charge extra high rate of interest hence small enterprise continue to be financially weak.

Small scale enterprises find it difficult to get raw materials of good quality at reasonable prices in the field of production. Furthermore, the techniques of production, which the enterprises have adopted, are usually outdated. Because of their poor financial position they are not able to buy new equipment, consequently their productivity suffers.

Small business's owner can avoid some of the common pitfalls that lead to business failure by knowing the business in depth; developing a solid business plan; managing financial resources; understanding financial statements; and learning to manage people effectively.

3.9 Organizational Structure and Entrepreneurial Team Formation

3.9.1 Introduction

We can perceive from the experiences of companies the importance of employees and their loyalty and commitment to the organization. Also significant to potential investors is the management team and its ability and commitment to the new venture.

Investors will usually demand that the management team not attempt to operate the business as a sideline or part-time venture while employed full time elsewhere. It is assumed that the management team is prepared to operate the business full time and at a modest salary. It is unacceptable for the entrepreneurs to try to draw a large salary out of the new venture, and investors may perceive any attempt to do so as a lack of psychological commitment to the business.

3.9.2 Designing the Organization

Generally, the design of the initial organization will be simple. In fact, the entrepreneur may find that he or she performs all the functions of the organization alone. This is a common problem and a significant reason for many failures.

The entrepreneur sometimes thinks that he or she can do everything and is unwilling to give up responsibility to others or even include others in the management team. In most cases when this occurs, the entrepreneur will have difficulty making the transition from a start-up to a growing, well-managed business that maintains its success over a long period of time.

Regardless of whether one or more individuals are involved in the start-up, as the workload increases, the organizational structure will need to expand to include additional employees with defined roles in the organization. Effective interviewing and hiring procedures will need to be implemented to ensure that new employees will effectively grow and mature with the new venture.

All the design decisions involving personnel and their roles and responsibilities reflect the formal structure of the organization. In addition to this formal structure, there is an informal structure or organization culture that evolves over time that also needs to be addressed by the entrepreneur.

For many new ventures, predominantly part-time employees may be hired, raising important issues of commitment and loyalty. However, regardless of the number of actual personnel

involved in running the venture, the organization must identify the major activities required to operate it effectively.

The design of the organization will be the entrepreneur's formal and explicit indication to the members of the organization as to what is expected of them. Typically, these expectations can be grouped into the following five areas:-

- *Organization structure*- This defines members' jobs and the communication and relationship these jobs have with each other. These relationships are depicted in an organization chart.
- *Planning, measurement, and evaluation schemes*- All organization activities should reflect the goals and objectives that underlie the venture's existence. The entrepreneur must spell out how these goals will be achieved (plans), how they will be measured, and how they will be evaluated.
- *Rewards*- Members of an organization will require rewards in the form of promotions, bonuses, praise, and so on. The entrepreneur or other key managers will need to be responsible for these rewards.
- *Selection criteria*- The entrepreneur will need to determine a set of guidelines for selecting individuals for each position.
- *Training*- Training, on or off the job, must be specified. This training may be in the form of formal education or learning skills.

In a nutshell, the organization's design can be very *simple*-that is, one in which the entrepreneur performs all the tasks (usually indicative of a start-up) -or *more complex*, in which other employees are hired to perform specific tasks. As the organization becomes larger and more complex, the preceding areas of expectation become more relevant and necessary.

As the organization evolves, the manager or entrepreneur's decision roles also become critical for an effective organization. As an entrepreneur, the manager's primary concern is to adapt to changes in the environment and seek new ideas. When a new idea is found, the entrepreneur will need to initiate development either under his or her own supervision or by delegating the responsibility to someone else in the organization. In addition to the role of adaptor, the manager will also need to respond to pressures such as an unsatisfied customer, a supplier reneging on a contract, or a key employee threatening to quit. Much of the entrepreneur's time in the start-up will be spent "putting out fires."

Another role for the entrepreneur is that of allocator of resources. The manager must decide who gets what. This involves the delegation of budgets and responsibilities. The allocation of resources can be a very complex and difficult process for the entrepreneur since one decision can significantly affect other decisions. The final decision role is that of negotiator. Negotiations of contracts, salaries, prices of raw materials, and so on are an integral part of the manager's job, and since he or she can be the only person with the appropriate authority, it is a necessary area of decision making.

3.9.3 Building the Management Team and a Successful Organization Culture

In conjunction with the design of the organization, the entrepreneur will need to assemble the right mix of people to assume the responsibilities outlined in the organization structure.

Some of the issues identified in the organization design will be revisited here since they are not only critical to the building of the team but are just as important in establishing a positive and successful organization culture.

This strategy must be maintained through the stages of start-up and growth of the enterprise. There are some important issues to address before assembling and building the management team. In essence, the team must be able to accomplish three functions:-

- Execute the business plan;
- Identify fundamental changes in the business as they occur; and
- Make adjustments to the plan based on changes in the environment and market that will maintain profitability.

Although these functions may seem simple and easy to achieve, the people engaged and the culture promoted by the entrepreneur are critical in accomplishing these functions. As we underscored in the organization design section, the entrepreneur will first need to assume the responsibility of determining what skills and abilities are needed to meet the goals in the business plan. Not only are the skills and abilities important, but the entrepreneur also will need to consider the personality and character of each individual to create a viable organization culture.

The organization culture will be a blend of attitudes, behaviors, dress, and communication styles that make one business different from another. There is no specific technique for accomplishing this since every organization will be different. One thing that is important is that the

entrepreneur(s) need to be able to delegate responsibility in order to create a vibrant organizational culture.

Let us explore some of the important considerations and strategies in recruiting and assembling an effective team and hence in creating an effective and positive organization culture.

- **First**, the entrepreneur's desired culture must match the business strategy outlined in the business plan. It can be done by working with his/her staff to develop the Core Family Values that represent the key elements of the firm's culture and strategy. In other words, takes a hands-on approach to leadership but then steps away to let everyone make their own decisions regarding company strategy.
 - **Second**, the leader of the organization must create a workplace where employees are motivated and rewarded for good work.
 - **Third**, the entrepreneur should be flexible enough to try different things. This is not always possible in a very small organization but has been the successful strategy in the growth of Google. The leadership of this company has an abundance of talent, and the attitude of management is that this talent needs to be given enough flexibility to make decisions, as long as they do so within the model established by the company.
 - **Fourth**, it is necessary to spend extra time in the hiring process. There is sometimes a tendency to want to hurry the process of finding the appropriate skills to fill the organization's needs. As always happened, there is more to a person than his or her skills. Character is also an important factor in building an effective organization culture.
- ✓ **Next**, the entrepreneur needs to understand the significance of leadership in the organization. Leadership should help establish core values and provide the appropriate tools so that employees can effectively complete their jobs.
- ✓ An approach such as, "We're all in this together, no one is bigger than anyone else, and here are the rules we live by," can lead to greater challenges and job satisfaction.
- ✓ A reward system can play an important role in providing consistent and positive behavior patterns.

All in all, finding the most effective team and creating a positive organization culture is a challenge for the entrepreneur but is just as critical as having an innovative, marketable product. It is an important ingredient in an organization's success.

3.10 Chapter Summary

- ☞ Launching a new venture and becoming an entrepreneur is an exciting and challenging task. Can you learn how to be an entrepreneur or are some people just born that way? Some have argued that great entrepreneurs like Anita Roddick and Mohammed Yunis are simply born with different qualities to the rest of us – and it is these qualities that explain their success as entrepreneurs. But we know that a key human quality is the ability to change and develop over time. This is good news for anyone who wants to become an entrepreneur because it will require you to adapt and change with the enterprise you are founding as it develops and faces challenges. Becoming an entrepreneur is a never ending lesson as new challenges arise that offer experiences in how to do and not to do things.
- ☞ Small businesses include a wide variety of business types that are independently owned, operated, and financed. By itself, each individual small business has relatively little impact in its industry.
- ☞ Small businesses provided the economic foundation on which the country's economy was built. Today these businesses are creating new jobs even as large businesses continue eliminating jobs. Small businesses are more flexible than large ones in the products and services they offer. Most real product innovations come from small businesses.
- ☞ As the population becomes more diverse, the owners and employees of small businesses are likewise becoming more diverse. Businesses owned by women and minorities are growing at a faster rate than the overall rate of business growth. Diversity is important in small business because a wide range of viewpoints and personal backgrounds can improve problem solving.
- ☞ Small and large businesses need each other to survive—they have a symbiotic relationship. This relationship provides opportunities to small businesses in that they can supply needed parts to large manufacturers and can distribute manufactured goods. Moreover, small businesses often pick up functions that large businesses outsource. Other opportunities exist for small businesses where they enjoy the advantage of being able to profitably serve smaller niches than can their larger counter-parts. For all these reasons, small businesses are rapidly becoming important players in international trade.

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- ☞ Ineffective and inefficient management, which shows up in many ways, is the number one cause of business failure. Inadequate financing, industry weakness, inexperience, and neglect are other major causes.
 - ☞ To prevent your small business from becoming another casualty noted in business failure statistics, you must begin with a clearly defined competitive advantage. You must offer a product or service that people want and are willing to buy. You must do something substantially better than your competition does it. You must remain flexible and innovative, stay close to your customers, and strive for quality.
 - ☞ In conjunction with the design of the organization, the entrepreneur will need to assemble the right mix of people to assume the responsibilities outlined in the organization structure.
 - ☞ In the era of entrepreneurship environment, not only are the skills and abilities important, but the entrepreneur also will need to consider the personality and character of each individual to create a viable organization culture.

3.12 Questions for Review and Discussions

1. How would you define small business?
2. Name a company that seems large but might be classified as small because it has relatively little impact on its industry.
3. Why are small businesses more likely than large businesses to be innovative?
4. How would you show that small business is becoming a more important part of the economy?
5. We compared the failure rate for small businesses with the divorce rate in marriage and the student failure rate in college. Are these fair comparisons?
6. Describe four causes of small business failure.
7. How does the quality of management relate to each of these causes?
8. Describe the techniques that a business with which you are familiar has used to prevent its failure.
9. Predict the future of small business. In what industries will it be most involved? What trends do you foresee? Will the failure rate go up or down? Will the importance of small business increase or decrease by the year 2030?

CHAPTER 4: PRODUCT/SERVICE DEVELOPMENT

4.1 INTRODUCTION

In Entrepreneur's business, product/service development is the term used to describe the complete process of bringing a new product or service in the market and it's an ongoing practice in which the entire business is looking for opportunities as new products provide growth promise to businesses that allow them to strengthen their market position. The new product development process involves the idea generation, product design, and detail engineering; and also involves market research and marketing analysis. Intense global competition, short product and technology lifecycles, unpredictable consumer buying patterns and possible market stagnation makes new product development a critical activity in most businesses. Hence, this chapter explores the new product development process and at the same time sketch outs the product development procedure in reality where consideration of real life situation and consumer insight are the main concern. Besides, the chapter; considering (often entrepreneur), because of their lack of understanding of intellectual property, ignore important steps that they should have taken to protect these asset; will describe all the important types of intellectual property which have become unique problems to the Patent and Trademark Office.

Chapter Objectives

After completing this chapter, students will be able to:

- Describe the Concept of Product and Services;
- List Product/Service Development Process; and
- Discuss the Intellectual Property Protection.

4.2 The Concept of Product/Service

Many entrepreneurs find it difficult to identify a new product/service or a new market opportunity. To start and expand a small venture, an entrepreneur needs to identify opportunities for domestic and/or international expansion. As the new venture grows and matures a need for different management skills can occur as well as for a new infusion of the entrepreneurial spirit (corporate entrepreneurship). Entrepreneurs like Richard China or Mal Mixon, CEO of Invacare, understands this axiom and effectively manages change by continually adapting organizational

culture, structure, procedures, strategic direction, and products in both a domestic and an international orientation.

Organization's success is dependent on customer satisfaction and delight. Customer satisfaction is achieved through the development of product and service, which have all attributes required by the customer. A success product or services do not only have an attractive package design but should be also able to provide robust performance. Thus, product design must be practical enough for production and powerful enough to provide a competitive advantage.

The essence of product design is to satisfy customer and maximizes the value for the customer at minimum cost. The merchandise or service should also be able to meet primary needs and desire of the customer. This may not require development of new merchandise, but an enhancement to existing merchandise or service.

Most companies apparently are introducing a wide variety of smaller, more efficient, and more intelligent products, coupled with a leaner, more efficient approach to operation. The goal is to create products and services by identifying an emerging trend and to match that trend with the right technology and understanding of the purchasing dynamics.

A successful startup depends on its distinctive and compelling proposition. This is how merchandise or services stand out from the competition and are compelling to the young company's customers.

The merchandise or service will succeed most if it either eliminates an existing pain or adds significant tangible benefits. It is easier to sell/deliver a new merchandise/service that eliminates a well-known existing pain, as opposed to sell an item or service that doesn't clearly solve a potential client's pain.

There also seems to be a popular myth that anyone can be successful by simply working on any given idea or opportunity. This isn't true! You can't. Most businessmen are very knowledgeable about the merchandise before they start, since even experienced operators will run into unexpected troubles when they start their new business. Novices generally introduce more problems than they can deal with, which only undercuts their ability to be lean, fast or effective.

4.3 Product/Service Development Process

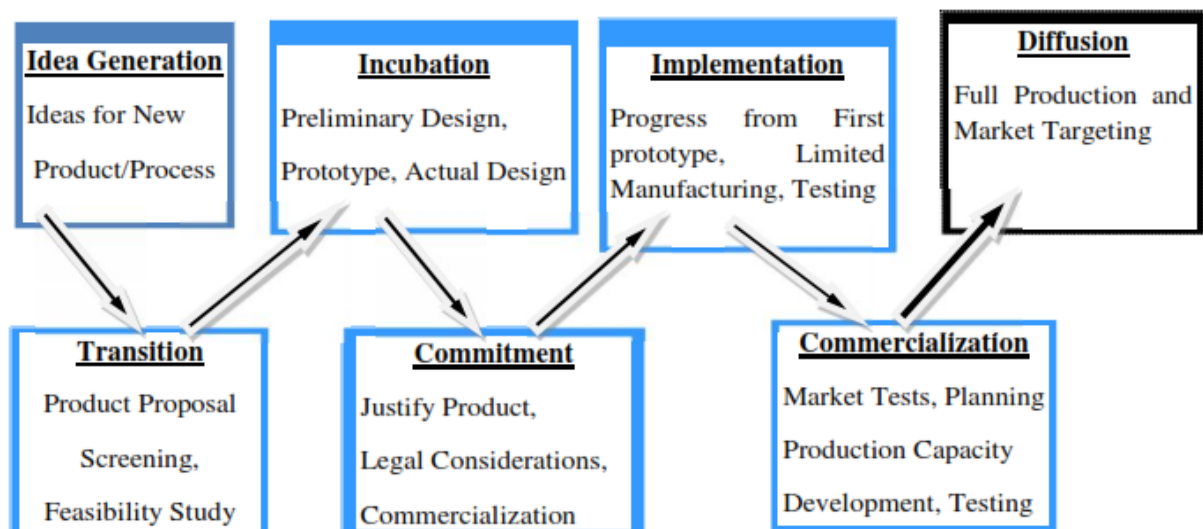
Once the opportunity is selected, and a business model has been designed, the next step is to develop a commercial version of the opportunity which in most cases is either a product or a

service. One of the essential characteristics of a successful business is exemplified by its ability to continuously and rapidly develop new or improved versions of existing products that deliver values more than customers expect (*Palgrave, 2019.*)

Product development is the process through which companies react to market signals, respond to changes in customer demand, adopt new technologies, foray into new areas, and ensure continuous growth. It is a core process in achieving strategic objectives, renewal of the company business model and deterring competition from displacing the company from its market position. Product/service development process is part of the overall new-venture creation process. Even though there are many models that advocate what the product/service generation process should look like, for this purpose we shall adopt four distinct stages.

These stages can be referred to as:

1. Idea Generation
2. Incubation
3. Implementation
4. Diffusion



The various stages of new product development process are explained next:

1. **New Idea Generation**

The new product development process starts with search for ideas. Companies have to encourage any new idea coming. The key to successful domestic and international entrepreneurship is to develop an idea that has a market for the new product/service idea conceived.

Some of the more fruitful sources of ideas for entrepreneurs include consumers, existing products and services, distribution channels, the federal government, and research and development.

2. **Idea Screening**

In the 2nd stage, the purpose is to lessen the number of ideas to few vital/valuable ideas. The ideas should be written down and reviewed each week by an idea committee who should sort the ideas into three groups- ***Promising Ideas, Marginal Ideas, and Rejects***: Each promising idea should be researched by committee member.

3. **Concept Development and Testing**

Attractive ideas must be refined into fast able product concepts since people do not purchase ideas but they buy concepts. Any product idea can be turned into several product concepts. The questions asked probably include:-

- Who will use the product?
- What benefits should the product provide?
- When will people consume the produced?

Concept Testing: - calls for testing product concepts with an appropriate group of target consumers/customers, and then getting the consumers' reactions. At this stage, the concepts can be in words or picture description.

4. **Marketing Strategy Development**

After testing the new product the concerned body must develop a preliminary marketing strategy plan for introducing the new product into the market. The marketing strategy will undergo further refinement in subsequent stages.

The marketing strategy plan consists of three parts: (1) Market size, structure, behavior ;(2) Planned price, distribution strategy, and marketing budget of the 1st year; and (3) Long run sales and profit goals, marketing mix strategy.

5. **Business Analysis**

After management develops product concept and marketing strategy, it can evaluate the proposals' business attractiveness. Management needs to prepare sales, cost and profit projections to determine whether they satisfy the company's objective or not.

Estimated Total Sales: - Management needs to estimate whether sales will be high enough to yield satisfactory profit.

Estimating Cost and Profits: - After sales forecast the management should estimate the expected cost and profit at various levels of sales volume.

The company can use other financial measure to evaluate the merit of a new product proposal. The simplest is **breakeven analysis**.

Activity

- *You are required to read on Breakeven Analysis and familiar with how it will be applied for the intended purpose.*

6. Product Development

If product concept passes the business test, it moves to R&D or engineering to be developed to one or more physical version of the product concept. Its goal is to find a proto type that the consumers/customers see as embodying the key attribute described in the product concept statement,

Scientists must not only design the products' required functional characteristics but also know how to communicate its psychological aspects through physical cues and how will the consumer/customer react to different colors, sizes, weight & other physical cues.

When the prototypes are ready, they must be put through regroups functions and consumer/customer tests. Functional tests are conducted under laboratory & field conditions to make sure that the product performs safely and effectively (Durability, Speed, Cost, etc) Consumer testing can take variety of forms, from bringing consumers/customers into laboratory to giving them samples to use in their homes.

7. Market Testing

After management is satisfied with the products' functional and psychological performance, the product is ready to be dressed up with the brand name.

The goals are to test the new product is more authentic consumer/customer settings and to learn how large the market is and how consumers/customers and dealers react to handling, using and repurchasing the actual product.

Most companies know that market testing can yield valuable information about buyers, dealers, marketing program effectiveness, market potential & other matters.

Test Marketing yields several benefits include more reliable forecast of future sale, and pretesting of alternative of future sale.

8. Commercialization

When (Timing):- In commercializing, market entry timing is critical. If the company hears about a competitor nearing the end of its development work, it will face three choices. The 1st choice is **First Entry**. Under this category, the firm usually enjoys the "first mover advantage" of locking up key distributors & gaining reputation. The 2nd choice goes with **Late Entry Strategy**- which has three advantages include:-

- The competition will have borne the cost of educating the market;
- The competing product may reveal fault that the late entrant can avoid; and
- The company can learn the size of the market.

The 3rd strategy- **Parallel Entry**- can be also chosen by the company to get in the market. The strategy to work, a prospective businessman can take the advantage of opting for the latest technology and production process and operate at higher volume of operation. This leads to reduced production cost and production of quality goods and services. A new businessman can thus provide improved quality goods and services at lower cost and further tap the market with an innovative marketing approach.

Where (Geographical Strategy):- The company must decide whether to launch the new product in a single locality, a region/several regions, in the national/international market.

To Whom (Target-Market-Prospect):- Within the rollout markets, the company must target its distribution and promotion to the best prospect group. Prime prospects for a new consumer/customer's product would ideally have the following characteristics:

- They would be early adapters;
- They would be heavy users;
- They would be Opinion leaders; and
- Could be reached at low cost.

How (Introductory Markets Strategy):- To sequence and coordinate many actives involved in launching a new product may/can use network-planning techniques such as **Critical Path Scheduling (CPS)**.

Activity:

- Please read on Critical Path Scheduling technique and try to relate it with the how strategy.

4.4 Legal and Regulatory Frameworks for Entrepreneurs

Since there are many options that an entrepreneur can choose in setting up an organization, it will be necessary to understand all the advantages and disadvantages of each regarding such issues as liability, taxes, continuity, transferability of interest, costs of setting up, and attractiveness for raising capital. Legal advice for these agreements is necessary to ensure that the most appropriate decisions have been made.

One of the challenges the novice entrepreneur will face as she goes into business understands the regulatory environment which is made up of numerous laws and regulations. To operate as a legal businessperson and protect the business from unnecessary suits and liabilities, the entrepreneur needs to understand the various laws that govern his/her business. Following are the key legal issues for the entrepreneur.

4.5 Intellectual Property Protection/Product/Service Protection

4.5.1 What is Intellectual Property?

Intellectual Property which includes patents, trademarks, copyrights, and trade secrets represents important assets to the entrepreneur and should be understood even before engaging the services of an attorney. Too often entrepreneurs, because of their lack of understanding of intellectual property, ignore important steps that they should have taken to protect these assets.

Intellectual property is a legal definition of ideas, inventions, artistic works and other commercially viable products created out of one's own mental processes. In the same sense that real estate titles establish ownership of tangible items, intellectual property is protected by such legal means as patents, copyrights, and trademark registrations. In order to enjoy the benefits arising from the exclusive ownership of these properties, the entrepreneur needs to protect these assets by the relevant law. This is the reason why' experts strongly recommend that those in creative fields seek protection through official registration of their intellectual properties.

4.5.2 Patents

An entrepreneur who invents a new thing or improves an existing invention needs to get legal protection for her invention through a patent right. A patent is a contract between an inventor and the government in which the government, in exchange for disclosure of the invention, grants the inventor the exclusive right to enjoy the benefits resulting' from the possession of the patent.

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- ✚ Utility Patent: A utility patent protects any new invention or functional improvements on existing inventions.
 - ✚ Design Patent: This patent protects the appearance of an object and covers new, original, ornamental, and unobvious designs for articles of manufacture. Like utility patents, design patents provide the inventor with exclusive right to make, use and/or sell an item having the ornamental appearance protected by the patent. This patent is appropriate when the basic product already exists in the marketplace and is not being improved in function but only in style. These patents are particularly important to companies such as shoe producers and product package design firms that need to protect their ornamental designs.

A patent provides the owner with exclusive rights to hold, transfer, and license the production and sale of a product/process. It is an intellectual property right and it is issued by government to the inventor. This exclusive property right can be granted for a number of years depending on the country's laws and type of property. Patents are property rights that can be sold and transferred, willed as well as licensed and at times used as collateral.

What Can Be Patented Then?

- *Processes*: Methods of production, research, testing, analysis, technologies with new applications.
- *Machines*: Products, instruments, physical objects.
- *Manufactures*: Combinations of physical matter not naturally found.
- *Composition of matter*: Chemical compounds, medicines, etc.

4.5.3 Trademarks

A trademark may be a word, symbol, design, or some combination of such, or it could be a slogan or even a particular sound that identifies the source or sponsorship of certain goods or services.

These are distinctive names, marks, symbols or motto identified with a company's product or service and registered by government offices. Unlike the patent, a trademark can last indefinitely, as long as the mark continues to perform its indicated function. Trademarks unlike patents are periodically renewed unless invalidated by cancellations, abandonment, or other technical registration/renewal issues.

Benefits of a Registered Trademark

- It provides notice to everyone that you have exclusive rights to the use of the mark throughout the territorial limits of the country.
- It entitles you to sue in federal court for trademark infringement, which can result in recovery of profits, damages, and costs.
- It establishes incontestable rights regarding the commercial use of the mark.
- It establishes the right to deposit registration with customs to prevent importation of goods with a similar mark.
- It entitles you to use the notice of registration (®).
- It provides a basis for filing trademark application in foreign countries.

4.5.4 Copyrights

Copyright is a right given to prevent others from printing, copying, or publishing any original works of authorship.

Copyrights provide exclusive rights to creative individuals for the protection of literary or artistic productions. It protects original works of authorship including literary, dramatic, musical, and artistic works, such as poetry, novels, movies, songs, computer software, and architecture. They pertain to intellectual property. Usually copyrights are valid for the life of the inventor plus a few decades.

4.6 The Intellectual Property System in Ethiopia

Ethiopia became a party to the convention establishing the world Intellectual Property Organization (WIPO) in February 1998 right after some time the Country had joined the Nairobi Treaty on the Protection of the Olympic Symbol in 1981. It is a member of the Treaty establishing the Common Market for Eastern and Southern Africa (COMESA) which was formed in 1994, the Partnership Agreement between members of the African, Caribbean and Pacific (ACP) Group of States and the European Union (EU).

The Ethiopian Government established the Ethiopian Intellectual Property Office in the year 2003 containing the understated Objectives:-

- To facilitate the provision of adequate legal protection for and exploitation of intellectual property in the country;

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- To collect, organize and disseminate technological information contained in patent documents and encourage its utilization;
 - To study, analyze and recommend policies and legislation on intellectual property to the government; and
 - To promote knowledge and understanding of intellectual property among the general public;

The existing laws and directives in Ethiopia in the field of Intellectual Property (IP) are the Patent Proclamation and the Implementing Regulation, the Copyright and Related Rights Proclamation and The Trademark Registration Directive.

According to the proclamation in order to be granted a patent, an invention must fulfill three conditions- (1) it must be new- It should never have been published or publicly used before; (2) It should be capable of industrial application- It must be something which can be industrially manufactured or used; and (3) It must be "non-obvious"- It should not be an invention which would have occurred to any specialist working in the relevant field.

The proclamation excludes the following from patentability:-

- Inventions contrary to public order or morality;
- Plant or animal varieties or essentially biological processes for the production of plants or animals; and
- Schemes, rules or methods for playing games or performing commercial and industrial activities and computer programs;
- Discoveries, scientific theories and mathematical methods; and
- Methods for treatment of the human or animal body by surgery or therapy as well as diagnostic methods practiced on the human or animal body.

Rights of a patentee include making, using and exploiting the patented invention in any other way. Any person who wants to use the patented invention has to get the authorization of the owner/inventor. The patentee does not have import monopoly right over the products of the patented invention in Ethiopia.

There are certain limitations of rights of the patentee included in the proclamation such acts done for non-commercial purposes; the use of the patented invention solely for the purposes of scientific research and experimentation; the use of patented articles on aircraft, land vehicles or vessels of other countries which temporarily or accidentally enter in to the air space, territory or

waters of Ethiopia; acts in respect of patented articles which have been put on the market in Ethiopia by the owner of the patent or with his/her consent; the use of the patented invention for national security, nutrition, health or for the development of vital sectors of the economy, subject to payment of an equitable remuneration to the patentee; the duration of a patent is 15 years which may be extended for a further period of five years if proof is furnished that the invention is properly worked in Ethiopia.

Trademark Directive is issued in the country in 1986 with the following objectives in that it helps:-

- To centrally deposit trademarks which are used by local and foreign enterprises to distinguish their goods or services;
- To distinguish the products or services of one enterprise from those of other enterprises and prevent consumers from being victims of unfair trade practices;
- To provide information on trademark ownership and right of use when disputes arise between parties;
- To provide required information on trademarks to government and individuals; and
- Protection is granted after publication of cautionary notice;

Copyright is protected on the basis of the copyright and related rights proclamation issued in 2004. The proclamation gives protection to literary, artistic and scientific works which include books, pamphlets, articles, computer programs and other writings; speeches, lectures, addresses, sermons, and other oral works; dramatic, dramatic-musical works, pantomimes, choreographic works, and other works created for stage production; musical works, with or without accompanying words; audiovisual works and sound recordings works of architecture; works of drawing, painting, sculpture, engraving, lithography, tapestry, and other works of fine arts; photographic and cinematographic works; illustrations, maps, plans, sketches, and three dimensional works related to geography, topography, architecture or science; derivative works; and collection of works, collection of mere data (databases) whether readable by machine or other form.

The Proclamation gives protection to:

- Works of authors who are nationals of or have their habitual residence in Ethiopia;
- Works first published in Ethiopia; or works first published in another country and published within thirty days in Ethiopia;

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- Audio-visual works whose producer has his headquarter or habitual residence in Ethiopia; and
 - Works of architecture erected in Ethiopia and other artistic works incorporated in a building or other structure located in Ethiopia.

The author of a work shall be entitled to protection, for his work upon creation where it is an original work; and written down, recorded, fixed or otherwise reduced to any material form. Quality of the work and the purpose for which the work may have been created is not taken in to consideration.

The rights of performers, producers of phonograms and broadcasting organizations are also protected by law. Copyright is protected for the life of the author plus fifty years. Fifty years for the rights of performers and producers of sound Recordings and 20 years for the rights of broadcasting organizations.

4.7 Chapter Summary

- ☞ Entrepreneurs must always remember that marketing, advertising, or promotional activities are completely worthless, regardless of how clever, expensive, or perfectly targeted they are, unless one simple thing is accomplished--ask for the sale. This is not to say that being a great salesperson, advertising copywriting whiz or a public relations specialist isn't a tremendous asset to your business. However, all of these skills will be for naught if you do not actively ask people to buy what you are selling.
- ☞ Your business is all about your customers, or clients, period. Everything you do in business must be customer focused, including your policies, warranties, payment options, operating hours, presentations, advertising and promotional campaigns and website. In addition, you must know who your customers are inside out and upside down.
- ☞ Laws and regulations exist to protect competition, consumers, people in the workplace, and intellectual property; to allow bankruptcy; and to establish contracts.
- ☞ Too often entrepreneurs, because of their lack of understanding of intellectual property, ignore important steps that they should have taken to protect these assets. This informs will describe all the important types of intellectual property which have become unique problems to the Patent and Trademark Office.
- ☞ Patents, copyrights, and trademarks are legal way to protect intellectual property. A patent grants an inventor the exclusive right to make, use, and sell

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- ☞ Since all business is regulated by law, the entrepreneur needs to be aware of any regulations that may affect his or her new venture and will need legal advice.

4.8 Questions for Review and Discussions

1. What advice would you give to a business colleague who is about to start a new high-tech firm that has developed a new accessory for computer tablets? Would you recommend that s/he seek a patent immediately?
2. Imagine that you have developed a unique formula for a soft drink that, upon entering a person's mouth, analyzes the drinker's DNA to determine his/her favorite flavor, and then the drink instantly realigns its chemical composition become that flavor. Describe as how you can best protect this trade secret? Will you patent it? Why or why not?
3. What factors should s/he consider in the process of debating whether a patent would be appropriate?
4. What rights does owning a patent protect? How do you get this protection?
5. What tests must an invention pass to receive a patent?
6. What is the difference between a copyright and a trademark? Between a trademark and a brand?

CHAPTER 5: MARKETING

5.1 INTRODUCTION

Business firms and non-profit organizations engage in marketing. Products marketed include goods as well as services, ideas, people, & places. Marketing activities are targeted at market consisting of product purchasers who may be individuals and groups that influence the success of an organization.

The foundation of marketing is exchange. In which one party provides to another party something of value in return for something else of value. In a broad sense, marketing consists of all activities designed to generate or facilitate an exchange intended to satisfy human needs. The concept of market is very important in marketing. The American marketing Association defines a market as “The aggregate demand of the potential buyers for product or a product or services “. Philip Kotler defines “A market as an area of potential exchanges”. Thus, a market is a group of buyers and sellers interested in negotiating the terms of purchase/sale for goods or services. The negotiation work may be conducted face-to-face at a certain place or it may be done through other means of communication, such as correspondence, phone, cable, or it may be done through business middlemen, e.g., brokers and commission agents. This chapter discusses about marketing and its basic components.

Chapter Objectives:

By the end of this module, learners will be able to:

- Define marketing concepts.
- Analyze marketing philosophies.
- Describe the role of marketing in achieving the goals of a business enterprise.
- Assist in conducting marketing research.
- Make competitive analysis of the level,
- Implement marketing intelligence in their organization,
- Apply the various marketing mixes and strategies in their businesses.
- Understand and implement selling and customer service skills.

5.2 Meaning and Definitions of Marketing

Marketing can occur any time with one social unit (person or organization) who strives to exchange something of values with another social unit. Thus, the essence of marketing is a transaction or exchange. In this broad sense, marketing consists of activities designed to generate and facilitate exchange intended to satisfy human needs or wants.

Business firms and non-profit organization engaged in marketing. Products marketed include goods as well as services, ideas, people and places. Marketing activities are targeted at market consisting of product purchasers and also individuals and groups that influence the success of an organization. Marketing has been defined in various ways. The definitions that serve our purpose best are as follows:

1. Marketing is a social and managerial process by which an individual or group obtain what they need and want through creating, offering and exchanging of product of values with others (Philip Kotler,2012).
2. Marketing is the total business activity designed to plan, price, promote and distribute want satisfying products to target market to achieve organizational goal (William J.Stanton, 1984).
3. Marketing is the creation and delivery of standard of living to society (Paul. Mazor, 2005).
4. Marketing management is the process of planning and executing, the conception, pricing, promoting and distributing of ideas, goods and services to create an exchange that satisfy individual or group objectives (American marketing Association, 2015).
5. Marketing is the effort to identify and satisfy customers' needs and wants. It involves finding out who your customers are, what they need and want, the prices, the level of competition. It involves the knowledge and all the processes you undertake to sell your product.

The above definitions of marketing reset on the following core concepts: needs, wants and demands; products (Goods, Services and Idea), value, cost and satisfaction: exchange and transaction; Relationship and Networks; market; and marketers and prospects. Marketing answers the following questions:

- Who are my customers?
- What are my customer's needs and wants?

-
- How can I satisfy my customers’?
 - How do I make a profit as I satisfy my customers?

Who are your customers?

Your customers are the people or other businesses that want your products/ services and are willing to pay for them. They include;

- People who are buying from you now.
- People you hope will buy from you in the future.
- People who stopped buying from you but you hope to get them back.

What are my customer’s needs and wants?

An important point to note is that customers want to look at different products so that they can choose what they like best. Some customers want a different design and others want high quality and are willing to pay extra for that.

How can I satisfy my customers’?

You need to do everything to find out who your customers are and what they need and want in order to satisfy them improve your sales and make a profit. You need to find out;

- Products/services your customers want.
- Price your customers are willing to pay.
- Location of your business in-order to reach your customers (Place).
- Promotion to use to inform your customers and attract them to buy your products or services.

5.3 Core Concepts of Marketing

5.3.1 Needs, Wants and Demand

A person at any given time has a need. This need arises out of physical or psychological imbalances. Marketing starts with human needs and wants. People need food, air, water, clothing and shelter to survive. Beyond this, people have a strong desire for recreation, education and other services. Let see terms related with this as follow:

- ☞ **Need:** - Human Need is a state of deprivation of some basic satisfaction. People require food, clothing, shelter, safety and belonging and esteem.

-
- ☞ **Wants:** - Wants are desires for specific satisfiers of needs. Human wants are continually shaped and reshaped by social forces and institutions including churches, schools, families and business cooperation. Eg. A person needs food but wants spaghetti
 - ☞ **Demands:** - Demands are wants for specific products that are backed by ability and willingness to buy them. Wants become demand when supported by purchasing power. Companies must therefore measure not only how many people want their product but, more importantly how many would actually be willing and able to buy it.
 - ☞ **Product:** - is anything that can be offered to satisfy a need or want. Products broadly classify as tangibility and intangibility features.
 - ☞ **Value:** - is the consumer's estimate of the products overall capacity to satisfy his or her needs.
 - ☞ According to DeRose, value is "the satisfaction of customer requirement at the lowest cost of acquisition, ownership and use".
 - ☞ **Cost:** - is the amount of money that are going to be expended or already incurred to acquire a product.
 - ☞ **Exchange:** - is the act of obtaining a desired product from someone by offering something in return.
 - ☞ **Transaction:** - is the trade of values between two parties.
 - ☞ **Market:** - consists of all the potential customers sharing a particular need or want who might be willing and able to engage in exchange to satisfy their need or want.

5.4 Importance of Marketing

On the average, about 50 cents of each dollar we spend as consumers goes to cover marketing costs. The money pays for designing the products to meet our needs, making products readily available when and where we want them, and informing us about producers. These activities add want satisfying ability or what is called utility, to products.

A customer purchases a product because it provides satisfaction. That something that makes a product capable of satisfying want is its utility. And it is through marketing that much of a products utility is created. Then potential buyers must be informed about the products existence and the benefits it offers through various forms of promotion. The kinds of utility that marketing provides in the process are as follows:

1. Form Utility: Form utility is associated primarily with production- the physical or chemical changes that make a product more valuable. When timber is made into furniture, form utility is created. This is production, not marketing. However, marketing research may aid in decision making regarding product design, color, quantities produced, or some other aspect of a product. All of these things contribute to the product's form utility.

2. Place Utility: Place utility exists when a product is readily accessible to potential customers. So physically moving the products to a store near the customers add to its value.

3. Time Utility: Time utility means having a product available when you want it. Having a product available when we want it is very convenient but it means that the retailer must anticipate our desires and maintain an inventory. Thus, there are costs involved in providing time utility.

4. Information Utility: Information utility is created by informing prospective buyers that a product exists. Unless you know a product exists and where you can get it, the product has no value. Advertising that describes a sales person answering a customer questions about the durability of a product creates information utility. Image utility is a special type of information utility. It is the emotional or psychological values that a person attaches to a product or brand because of its reputation or social standing.

5. Possession Utility: Possession utility is created when a customer buys the product-that is, ownership is transferred to the buyer. Thus, for a person to consume and enjoy the product, a transaction must take place. This occurs when you exchange your money for a product.

Activity 5.1

Think of a recent purchase you made. How did the company provide you with the following utilities?
Form:

Time:

Place:

Ownership:

5.5 Marketing Philosophies

Large-scale marketing activities in the world did not take shape until the industrial revolution in the latter part of the 1800s. Clearly, marketing activities should be carried out under a well-thought out philosophy of efficient, effective and socially responsible marketing. There are five competing concepts under which organizations can choose to conduct their marketing activities: namely, the production concepts, the product concept, the selling/sales concept, the marketing concept, the societal marketing concept and the Relationship Marketing Concept.

1. The Production Concept

The production concept is one of the oldest concepts in business. The production concept holds that consumers will favor products that are widely available and low in cost. Managers of production-oriented organization concentrate on achieving high production efficiency and wide distribution. The assumption that consumers are primarily interested in product availability and low price holds in at least two situations. The first is where the demand for a product exceeds supply, as in many developing countries. Here consumers are more interested in obtaining the product than in its fine points, and suppliers will concentrate on finding ways to increase production. The second situation is where the product's cost is high and has to decrease to expand the market.

2. The Product Concept

Other businesses are guided by the product concept. The product concept holds that consumers will favor those products that offer the most quality, performance or innovative features. Managers in product oriented organization focus their energy on making superior products and improving them over time. Under the concept, managers assume that buyers admire well-made products and can appraise product quality and performance. In such situation, customers are ready to pay high prices for product extra features. Product-oriented companies often design their products with little or no customer input. They trust that their engineers will know how to design or improve the product.

3. The Selling Concept/Sales Concept

The selling concept (or sales concept) is another common approach. The selling concept holds that consumers, if left alone, will ordinarily not buy enough of the organization product. The organization must therefore undertake an aggressive selling and promotion effort. This concept

assumes that consumers typically show buying inertia or resistance and must be coaxed into buying. It also assumes that the company has made available a whole battery of effective selling and promotion tools to stimulate more buying.

The selling concept is practiced more aggressively with unsought goods, those goods that buyers normally do not think of buying, such as insurance, encyclopedia, and funeral plots. Most firms practice the selling concept when they have over capacity. Their aim is to sell what they make rather than make what the market wants. Therefore, people are surprised what they are told that the most important part of marketing is not selling; selling is only the tip of marketing iceberg.

4. The Marketing Concept

The marketing concept is a business philosophy that challenges the three concepts we just discussed. Its central tents crystallized in the mid-1950s.

The marketing concept holds that the key to achieving organizational goals consists of being more effective than competitors in integrating marketing activities toward determining and satisfying the needs and wants of target markets.

The marketing concept has been expressed in many colorful ways:

“Meeting needs profitably”

“Find wants and fills them”

“Love the customers, not the product etc.”

Table 5.1 Selling and Marketing Concept Contrasted

Point of Difference	Selling	Marketing
Starting point	Factory	Market place
Focus	Existing product	Customer need
Means	Selling and promotion	Integrated marketing
End	Profit through Volume	Profit through satisfaction

5. The Societal Marketing Concept

The societal marketing concept holds that the organization should determine the needs, wants and interests of target markets. It should then deliver the desired satisfactions more effectively and efficiently than competitors in a way that maintains or improves the consumers and the society’s well-being. The societal marketing concept holds that the organization’s task is to determine the needs, want, and interests of target markets and to deliver the desired satisfactions

more effectively and efficiently than competitors in a way that preserves or enhances the consumers and the society's wellbeing.

The societal marketing concept questions whether the pure marketing concept is adequate in an age of environmental problems, resource shortages, rapid population growth, worldwide economic problems, and neglected social services. It asks if the firm that senses, serves and satisfies individual wants is always doing what's best for consumers and society in the long run. According to the societal marketing concept, the pure marketing concept overlooks possible conflicts between short-run consumer wants and long run consumer welfare.

Table 5.2: Summary of the Evolution of Marketing

Production	▪ Consumers favor products that are available and highly affordable ▪ Improve production and distribution ▪ 'Availability and affordability is what the customer wants'
Product	▪ Consumers favor products that offer the most quality, performance and innovative features ▪ 'A good product will sell itself'
Sales	▪ Consumers will buy products only if the company promotes/ sells these products ▪ 'Creative advertising and selling will overcome consumers' resistance and convince them to buy'
Marketing	▪ Focuses on needs/ wants of target markets and delivering satisfaction better than competitors ▪ 'The consumer is king! Find a need and fill it'
Relationship marketing	▪ Focuses on needs/ wants of target markets and delivering superior value ▪ 'Long-term relationships with customers and other partners lead to success'

6. Relationship Marketing

Relationship marketing is the practice of building long term satisfying relations with key parties- customers, suppliers, distributors- in order to retain their long term preferences and business. The ultimate outcome of relationship marketing is the building of a unique company asset called a marketing network. In this case, customer experience rather than customer satisfaction is the most critical component in relationship marketing.

Activity 5.2

Make a statement to describe each of the stages in the evolution of marketing. You may consider the given examples before coming up with your own statements.

1. Production era

- a. 'Cut costs. Profits will take care of themselves'
2. Product era
 - a. 'A good product will sell itself'
3. Sales era
 - a. 'Selling is laying the bait for the customer'
4. Marketing era
 - a. 'The customer is King!'
5. Relationship marketing era
 - a. 'Relationship with customers determine our firm's future'
6. Customer Relationship marketing
 - a. Create networking with customers and develop the relationship to the highest level.

5.6 Marketing Information Systems

Every firm must organize the flow of information to its marketing managers. Companies are studying their manager's information needs and designing marketing information system to meet these needs.

A marketing information system consists of people, equipment and procedure to gather, sort, analyze, evaluate and distribute needed timely and accurate information to marketing decision makers. The marketing information system is illustrated as fig 5.1 below:

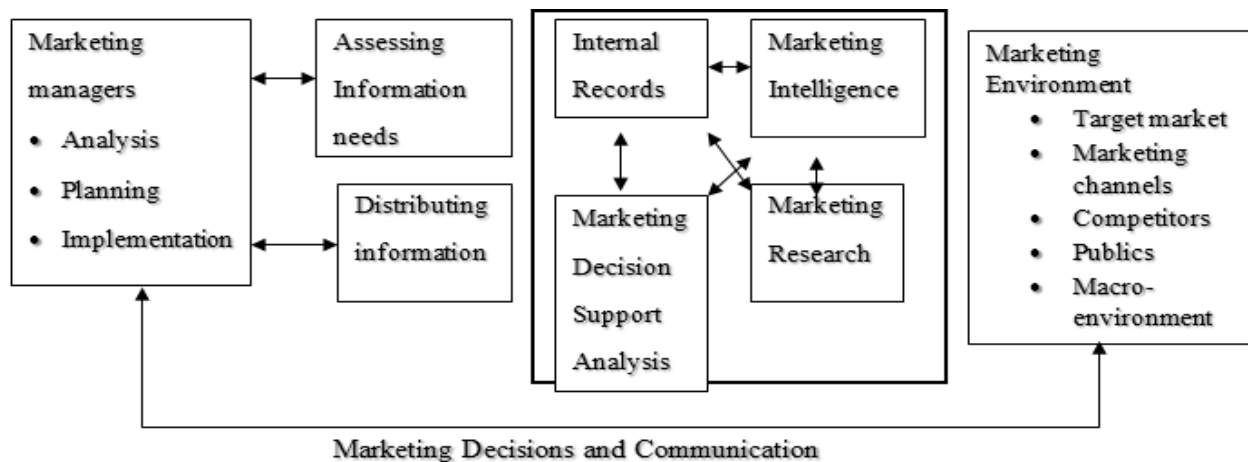


Figure 5.1 Marketing information systems

The marketing managers to carry-out their analysis, planning, implementation, and control responsibilities, they need information about development in the marketing environment. The role of the information system is to assess the manager's information needs, develop the needed information, and distribute the information in a timely fashion to the marketing managers. The needed information is developed through internal company records, marketing intelligence activities, marketing research, and marketing decision support analysis.

5.6.1 Marketing Research

Marketing research is the systematic and objective identification, collection, analysis, and dissemination of information for the purpose of assisting management in decision making related to the identification and solution of problems and opportunities in marketing. Thus, systematic planning is required at all the stages of the marketing research process. The procedures followed at each stage are methodologically sound, well documented, and, as much as possible, planned in advance. It uses the scientific method in that data are collected and analyzed to test prior thinking or hypotheses.

Marketing research is objective. It attempts to provide accurate, impartial information. Accordingly, marketing research involves the identification, collection, analysis, and dissemination of information.

5.6.1.1 The Role (Significance) Of Marketing Research In Decision Making

There are three Functional Roles of Marketing Research. These are:

- Descriptive Function - the gathering and presentation of statements of fact.
- Diagnostic (analytical) Function - The explanation of data.
- Predictive Function - Specification of how to use the descriptive and diagnostic research to predict the result of a planned marketing decision.

5.6.1.2 Marketing Research Components

Marketing researchers deal with many aspects of a market including the following:

- ☞ **Market size:** this deals with the number or value of units sold to a market in a given period.
- ☞ **Market Share:** this one is about a specific corporation's share of the market size out of the whole market of a product or products of the same purpose.
- ☞ **Market penetration:** this is a marketing strategy which is used to know when a company enters/penetrates a market with current products to get better market share by lowering the price of a product.
- ☞ **Brand equity research** – this research is conducted to know how favorably consumers view the brand.
- ☞ **Buyer decision processes research** – this part of marketing research activity is used to determine what motivates people to buy and what decision-making process they use.

5.6.1.3 Customer Satisfaction Research

In this type of research there are different types of research that are used to assess about customers.

- ☞ **Distribution channel audits** - to assess distributors' and retailers' attitudes toward a product, brand, or company.
- ☞ **Marketing effectiveness and analytics** - Building models and measuring results to determine the effectiveness of individual marketing activities.
- ☞ **Mystery Consumer or Mystery shopping** – here the researcher acts as a shopper. This is often used for quality control or for researching competitors' products.
- ☞ **Positioning research** – this research is mostly conducted to answer questions like
 - ✓ How does the target market see the brand relative to competitors?
 - ✓ What does the brand stand for?
- ☞ **Price elasticity testing** – here the objective of the research is to determine how sensitive customers are to price changes
- ☞ **Sales forecasting** - to determine the expected level of sales given the level of demand with respect to other factors like advertising expenditure, sales promotion etc.
- ☞ **Segmentation research** – this type of research helps to determine the demographic, psychographic, and behavioral characteristics of potential buyers.
- ☞ **Test marketing** – this is a small-scale product launch used to determine the likely acceptance of the product when it is introduced into a wider market.

5.6.1.4 Marketing Research Process

Since research is a process which consists of a number of steps to be accomplished in a logical and systematic manner marketing research consists of the following related phases:

Step 1: Define the research purpose or objectives

The following questions help to establish objectives:

- Where potential customers buy the product?
- Why they purchase there?
- What is the size of the market? How much of it can your business capture?
- How does your business compare with competitors?
- The impact of promotion on customers.
- What types of products are desired by potential customers?

Step 2: Research Design Formulation

The research design is a **blueprint** for conducting the marketing research. More formally, formulating the research design involves the following steps:

- Study period and place determination.
- Qualitative data collection methods.
- Methods of collecting quantitative data (survey, observation, and experimentation).
- Definition of the information needed.
- Questionnaire design.
- Measurement and scaling procedures.
- Sampling process and sample size.
- Plan of data analysis.

Step 3: Gather at this stage secondary data,

A data which is originally collected by others for their own purpose, but such data can be used by the researcher when it is relevant to the current study. Secondary data:

- Is less expensive.
- Can be acquired within or outside the venture.
- But, may be out-dated and less valid.

Step 4. Gather Primary Data

Primary data collection techniques can be categorized as;

- Observational techniques-do not involve contact with respondents.
- Focus groups.
- Experimentation-investigates cause and effect relationships.
- Survey techniques- generate data by asking people questions and recording their responses.

The following are examples of survey techniques.

- A. Mail questionnaires: The researcher may send the questionnaires to research Participants.
- B. Telephone interviews: Using the telephone numbers from telephone directory, the researcher may ask research participant via the telephone.
- C. Personal interviews. The researcher may go to the research participants' address and may drop and pick the questionnaire or may interview the research participants.

Step 5: Data Processing and Analysis

Data processing includes the editing, coding, transcription, and verification of data. And data analysis, guided by the plan of data analysis, gives meaning to the data that have been collected. Research results should be evaluated and interpreted in response to the research objectives.

Step 6: Report Preparations and Presentation

At the end the research results will be written in a report form and presented to the concerned parties. The report includes:

- ❖ The specific research questions identified,
- ❖ Describes the research approach,
- ❖ The research design,
- ❖ The data collection methods, and sampling procedures,
- ❖ The data processing and analysis procedures,
- ❖ The major findings and suggestions for actions.
- ❖ In addition, an oral presentation should be made to management using tables, figures, and graphs to enhance clarity and impact.

5.6.2 Marketing Intelligence

Market intelligence is the systematic process of gathering, analyzing, supplying and applying information (both qualitative and quantitative) about the external market environment. Intelligence is evaluated information. Marketing intelligence is used to determine:

- ❖ Current and future market needs,
- ❖ Changes in the business environment that may affect the size and nature of the market in the future.
- ❖ Environment that may affect the size and nature of the market in the future.

5.6.2.1 The Importance of Marketing Intelligence

Marketing intelligence provides the following benefits;

- Market and customer orientation – promote external focus.
- Identification of new opportunities.
- Smart segmentation.
- Early warning of competitor moves.
- Minimizing investment risks.
- Quicker, more efficient and cost-effective information.

5.6.2.2 Ways to Undertake Marketing Intelligence

- i. **Unfocused scanning:** Any information that may be useful is gathered without any specific purpose in mind.
- ii. **Semi-focused scanning:** no specific purpose. The manager is not in search of particular pieces of information that he/she is actively searching but does narrow the range of media that is scanned. For instance, the manager may focus more on economic and business publications, broadcasts etc. and pay less attention to political, scientific or technological media.
- iii. **Informal search:** - limited and unstructured attempt to obtain information for a specific purpose. For example, entering the business of importing frozen fish from a neighbouring country may make informal inquiries as to prices and demand levels of frozen and fresh fish.
- iv. **Formal search:** - this is a purposeful search for information in some systematic way.

Marketing intelligence is carried out by the manager him/herself rather than a professional researcher. Scope of the search in this case is likely to be narrow and far less intensive (less rigorous) than marketing research.

5.6.3 Competitive Analysis

Competitive analysis refers to determining the strengths and weaknesses of competitors and designing ways to take opportunities or tackle threats posed by competitors.

5.6.3.1 Uses of Competitive Analysis

Competitive analysis is important for businesses since it has the advantages stated as follow:

- ☞ It helps management understand its competitive advantages/ disadvantages relative to competitors.
- ☞ It generates understanding of competitors' past, present (and most importantly) future strategies.
- ☞ It provides an informed basis to develop strategies to achieve competitive advantage in the future (e.g. how will competitors respond to a new product or pricing strategy?)
- ☞ It helps forecast the returns that may be made from future investments.

Competitive analysis is a method of gathering data about competitors from different sources. It should answer the following questions:

-
- Who are your competitors?
 - What customer needs and preferences are you competing to meet?
 - What are the similarities and differences between their products/services and yours?
 - What are the strengths and weaknesses of each of their products and services?
 - How do their prices compared to yours? How are they doing overall?
 - How do you plan to compete? Offer better quality services? Lower prices? More support? Easier access to services? How are you uniquely suited to compete with them?

5.6.3.3 Steps of Competitive Analysis

Every business owner should have a complete understanding of the competitive landscape in the market. Competition is defined as any business that provides a similar service or product in the same market, region or industry. A strategic business owner not only knows who its competitor is but also understands the best way to position ahead of its competitor. The following provides a step-by-step process in creating your competitive analysis.

1) Identify your competitors: Determine both local and international competitors. Be sure to define the competitive landscape broadly. Your competitor includes anything that could draw customers away from your business.

2) Gather information about competitors: At this stage you need to know; what markets or market segments your competitors serve; what benefits your competitors offer; why customers buy from them; and as much as possible about their products and/or services, pricing, and promotion strategies.

4) Gathering Information on Competitors

To gather information about your competitor you can go either to your competitors' company site or to the company's Web site (if any) using which you can learn about; promotion strategies by visiting their business site; prices; your competitors' customers; vendors or suppliers, and their employees; trade shows; and publicly available information - from Newspapers, magazines, press releases and online publications.

5) Analyzing the Competition

After studying the information you have gathered about each of your competitors, ask yourself these primary questions:

-
- ☞ How are you going to compete with that company?
 - ☞ Is there a particular segment of the market that your competitor has overlooked?
 - ☞ Is there a service that customers or clients want that your competitors do not supply?

6) Develop a pricing: The last step in the process is to develop a pricing model that represents what you are offering the market and the value you bring to your target buyers. There are many factors that go into designing the appropriate pricing structure so you will need to do some research and evaluate what price levels your market will bear, your cost basis for the development of your product, how much you need to cover overhead and marketing costs and lastly how much profit you think is appropriate for what you are offering. Do not immediately think you have to price your products below your competition, people appreciate the value in your product and set your price accordingly.

The goal of your competitive analysis is to identify and expand upon your competitive advantage. To make your competitive analysis effective, transfer the weaknesses of your competitors into potential strengths for your business.

5.7 The Marketing Mix and Marketing Strategies

5.7.1 The 4 P's Of Marketing/The Marketing Mix

These are marketing variables that the marketing manager can manipulate as controllable variables. They include product, pricing, place (channel) and promotion.

1. Product: refers to goods/services produced for sale, the product /service should relate to the needs and wants of the customers. Some important questions you need to ask yourself include:

- a) What products/services do I sell?
- b) Why did I decide to sell these products?
- c) Do I have the products customers want?
- d) Do any of my products not sell well?
- e) Do I stock products that do not sell well?
 - ✓ Always listen to what your customers like and don't like. When their needs change, change your products and services to satisfy the new needs.
 - ✓ Do more market research in order to provide those products or services and increase your sales.
 - ✓ If your product is not selling well, think of new ideas like finding new customers.

2. Pricing: refers to the process of setting a price for a product/service. Your prices must be low enough to attract customers to buy and high enough to earn your business a profit. To set your price you need to:

- Know your costs.
- Know how much customers are willing to pay.
- Know your competitors price.
- Know how to make your prices more attractive

3. Place: means the different ways of getting your products or services to your customers. It is also referred to as distribution. If your business is not located near your customers, you must find ways to get your products/services to where it is easy for customers to buy. You can distribute your products to your customers through:

- Selling directly to the consumers of the products.
- Retail distribution and wholesale distribution.

4. Promotion: Refers informing your customers of your products and services and attracting them to buy them. Promotion includes advertising, sales promotion, publicity (non-paid promotion) and personal selling. Use advertising to make customers more interested in buying your products or services. Some useful ways of advertising include signs, boards, posters, handouts, business cards, pricelists, photos and newspapers.

You can use sales promotion (short term incentives) to make customers buy more when they come to your business, you could also:

- Ensure you maintain attractive displays.
- Let customers try new products.
- Have competitions.
- Give demonstrations.
- Sell complementary products (products that go together)

5.7.2 What Is Marketing Strategy?

A marketing strategy is a process that can allow an organization to concentrate its limited resources on the greatest opportunities to increase sales and achieve a sustainable competitive advantage.

Marketing strategy is a method of focusing an organization's energies and resources on a course of action which can lead to increased sales and dominance of a targeted market.

A marketing strategy combines product development, promotion, distribution, pricing, relationship management and other elements; identifies the firm's marketing goals, and explains how they will be achieved, ideally within a stated timeframe. Marketing strategy determines the choice of target market segments, positioning, marketing mix, and allocation of resources. It is effective when it is an integral component of the overall firm strategy, defining how the organization will successfully engage customers, prospects, and competitors in the market arena.

1. Pricing Strategy

Price is the value placed on what is exchanged. Something of value is exchanged for satisfaction and utility, includes tangible (functional) and intangible (prestige) factors. It can even be barter.

Price is often the only element the marketer can change quickly in response to demand shifts.

It relates directly to total revenue $TR = \text{Price} * \text{Quantity}$

$$\text{Profit} = TR - TC$$

Where, TR=Total Revenue, TC=Total Cost

Pricing strategies are subject to incredibly complex environmental and competitive forces. A company sets no single price, but rather a pricing structure that covers different items in its line. This pricing structure changes through time as products pass through their life cycles.

To come up with this situations marketers use dynamic pricing strategies. The following are some of pricing strategies mostly applicable in the real world scenario.

- i) **Price Skimming:** this is a type of marketing strategy that firms use by charging the highest possible price that buyers who most desire the product will pay. It attracts a market segment that is more interested in quality, status, uniqueness etc. In this case, consumers' demand must be inelastic.
- ii) **Penetration Pricing:** In this strategy, prices of products are reduced compared to competitors' price for the same product to penetrate into markets and to increase sales. However, the quality of the product should not be lower as compared to other competitors' product. It should be again noted that the cost of production should be lower to the extent that can enable the firm to get the desired profit. This is appropriate when the demand is elastic.
- iii) **Cost-plus pricing:** Any amount that is above unit cost may be considered.

-
- iv) **Mark-up pricing:** A certain percentage of the selling price is added to unit cost.
 - v) **Competition Oriented Pricing:** Considers competitors prices primarily; but the market type matters.
 - vi) **Odd-even pricing:** This is Psychological pricing method based on the belief that certain prices or price ranges are more appealing to buyers. This method involves setting a price in odd numbers (just under round even numbers) such as \$49.95 instead of \$50.00. Although not supported by any research findings, its proponents claim that the consumers see a \$49.95 price as 'just in the price range of \$40' rather than in the \$50.

2. Promotion Strategies

Promotion is the communication of the company and its products to customers. Promotional strategy is choosing a target market and formulating the most appropriate promotion mix to influence it. An organization's promotional strategy can consist:

- i) **Advertising:** It is any paid form of non-personal, one-way, mass communication about an organization, good, service, or idea by an identified sponsor.
- ii) **Personal selling:** This is the two-way flow of communication between a buyer and seller, often in a face to face encounter, designed to influence a person's or group's purchase decision.
- iii) **Public relations:** Public relation is a form of communication that seeks to change the perceptions of customers, shareholders, suppliers, employees and other publics about a company and its products.
- iv) **Sales promotion:** This promotion type involves short term incentives of value such as discounts, free samples, and prizes to be offered to arouse interest of customers in buying the good/service. Businesses may use one of the above promotional mix elements to arouse the interest of customers and make them take action by informing, persuading and reminding about the goods and services that they provide to the market.

3. Distribution Strategies

A successful product or service means nothing unless the benefit of such a service can be communicated clearly to the target market. For product-focused companies, establishing the most appropriate distribution strategies is a major key to success, defined as maximizing sales

and profits. Unfortunately, many of these companies often fail to establish or maintain the most effective distribution strategies. Problems that researchers identified include:

- ☞ Unwillingness to establish different distribution channels for different products,
- ☞ Fear of utilizing multiple channels, especially including direct or semi-direct sales, due to concerns about erosion of distributor loyalty or inter-channel cannibalization
- ☞ Failure to periodically re-visit and update distribution strategies.
- ☞ Lack of creativity, and
- ☞ Resistance to change.

As can be noted from the above points marketing channels are the most important actors for the effective and efficient distribution of products.

Marketing Channels are individuals/organizations involved in the process of making the product available for use or consumption by consumers. Channels are used to improve exchange efficiency. It is divided into Direct and Indirect channels.

- **Direct channels:** In this type of channel, producers and end users directly interact.
- **Indirect channels:** In this type of channel intermediaries are inserted between seller and buyer. Intermediaries include Merchant Wholesalers, retailers, dealers, agents, brokers; and manufacturer's branches and offices.

Decisions about marketing channels, which help producers deliver goods and services to their target markets, are among the most critical tasks facing management-because the channels that are chosen intimately affect all of the other marketing decisions. For example, the company's pricing depends on whether it uses a direct channel, discount merchants, or high-quality boutiques. Also, the firm's sales force and advertising decisions depend on how much training and motivation its dealers need.

The following factors should be considered to select the best channel under the condition of using best distribution strategy.

- **Company Factors:** financial, human and technological capabilities of a company to do its business activities.
- **Market Characteristics:** Geography, market density, market size, target market
- **Product Attributes:** perishability, value and sophistication of the product
- **Environmental Forces:** those forces that affect the business like competition, technology and culture.

5.8 Selling and of Customer Service

Many employees have unclear understanding of what customer service really is. There are indications everywhere that there are customer service problems that demand solutions. How service providers do their jobs, how fast and accurately they process paper works, how successfully they pursue accounts, and how effective they are in taking the next step to develop customer loyalty, will determine an organization's success in serving customers. It is because of these reasons that customer service delivery improvement programs fail in some instances.

Customer service is what happens between the customer determining his/her needs and receiving the desired benefits. However, most service providers do not appropriately understand what service delivery really means. For this reason, many organizations fail to improve the level of their customer service delivery.

5.8.1 The Concept of Service

Service refers to any activity undertaken to fulfil customer's needs. It is any act or performance that one party can offer to another that is essentially intangible and does not result in the ownership of anything. Its production may or may not be tied to a physical product. Distinctive features of services include intangibility, inseparability, variability, and perishability as opposed to goods.

The feature of intangibility shows that pure services cannot be defined in terms of the physical dimensions; or the customer cannot see or feel them before purchase. The concept of inseparability, on the other hand, refers that production and consumption of services are inseparable; the 'sale' occurs just before both.

There are also features of variability and perishability associated in service. Services are highly variable, because they depend on who provides them, and when and where they are provided. In addition to this, services are produced and consumed at the same point, and are totally perishable right after use. Service cannot be reproduced as a concert object and it can vary from one moment to the next. Based on this concept, service is characterized as; situational, difficult to measure, subjective and influenced by the service provider.

Service is situational in the sense that what is good for one customer one day may be perceived differently by the same customer another day. There is also difficulty associated in measurement

of service. This is because the higher one sets expectation by delivering service, the more the customers expect the next time they deal with the service provider.

Service is also subjective in the sense that an acceptable service for one customer may not be equally or totally acceptable by another customer. Finally, service is influenced by the service provider. If the service provider sets expectations effectively, the customer will probably be satisfied.

5.8.2 The Concept of Customer

Customer is a person or organization that buys a product or service either for use or for resale. Customers can be internal (e.g. member of the organization) or external (customers coming from outside). A thorough understanding of the concept of customer service enables organizations to provide quality service by using proper service management approaches.

5.8.3 Strategic Activities needed for Quality Customer Service Delivery

Organizations should identify important strategic activities to ensure consistent, efficient and excellent customer service delivery using continuous improvement philosophy. Especially, the following specific areas should be considered:

1. Establishing a clear customer service strategy.
2. Ensuring that correct people are in place, with the correct skills to deliver outstanding personal service.
3. Establishing clear material service delivery processes.
4. Improving in terms of process improvement, quality monitoring and recovery continuously.
5. Participatory Management.

5.8.4 Customer Handling and Satisfaction

Customer handling and satisfaction is a key for successful organizations. Managers and employees should work hand-in-hand to improve their service delivery programs. Existing customers must be satisfied with the existing service. Existing customers are also means of potential customers. What is expected from successful service providers in this regard are the following.

Poor service/defective service is the causes of loss and bankruptcy for many organizations. Many organizations, especially business organizations worried about the reduction of sales or profitability due to lost customers/ or gradual reduction of customers. Organizations invest huge cost to increase market share by using advertisement or different sales promotion techniques. But the first most important principle here is not losing a single customer.

Retaining existing customers, however, requires systematic handling. You have to make customer satisfaction your religion. Understand the importance of satisfying existing customers. Usually, organizations tried to increase sales by a much larger percentage than what they had planned, because of sales lost due to defecting customers.

In addition to retaining existing customers, organizations should also strive to increase the number of customers. Organizations could possibly increase their market share by getting new customers. Attracting new customers is directly related to keeping existing customers satisfied.

The consequence of poor customer handling, therefore, is losing existing customers. Again, organizations invest huge resources to acquire new customers, who are later lost, resulting in a total loss of investment. There is unnecessarily spending money on advertising and marketing to get customers. Customer retention and satisfaction comes not from words, but from putting time, effort, and money to satisfy customers. Establish an information system to track lost customers and record your day-to-day progress. Also take into account that the major reasons to lose customers are:

- Poor service,
- Poor quality and
- Rude behaviour.

There are organizations that tend to lose a very high percentage of their customers every year. The majority of these customers are not even aware of this phenomenon. But we have to consider the fact that when we lose a customer, we don't lose revenue and profits for just one year, but for a number of years, that is for the lifetime of the customer. Organizations should make the effort to retain every single customer. It is understandable when you lose a customer because of reasons that are beyond your control, but unpardonable when you lose one for poor service and an uncaring attitude towards the customer.

5.8.4.1 Considering Customers as an Invaluable Asset

The value of one customer is infinite, and you cannot possibly calculate it. This includes, sales to him in his lifetime as well as to customers he generates for you through word of mouth. This means, your most precious asset is your customer. We think of the immediate profit and ignore the future profits expected over the lifetime of the customer.

5.8.4.2 Reducing Customer Complaints

Every single complaint should be treated as an opportunity to improve the quality of your products and services. A complaining customer is a very fair person. Turn customer discontent to your advantage. Consider also the following research findings about customer satisfaction:

- 91% of customers who have major complaints decide they will never come back. But if the complaint is resolved quickly, 82% of them will return.
- Quick complaint resolution drops customer defection rate from 91% to 18%. It is better to have a complaining customer than no customer at all. It pays to resolve complaints quickly.
- There is no investment like investment in customer satisfaction.
- Treat the cost of satisfying a customer as an investment rather than as an expense. You will get unmatched returns through referrals, repeat purchases decreased operational costs and increased profits.
- In the customer's benefit lies our benefit.

Therefore, organizations should start tracking the cost of customer dissatisfaction to convince employees and management about the importance of keeping customers satisfied. Your competitive advantage will lie in retaining the customer longer than your competition. Because of a few disloyal customers, you cannot lose your faith in all your customers.

5.8.4.3 Place Yourself in The Customer's Shoes

You have the right to choose your customers but not the luxury to compromise on your level of service. Get rid of the unwanted customer but do it with tact. Part with the unwanted customer with a smile and a handshake. Place yourself in the customer's shoes. 'Do unto your customer as you would have done unto you'.

Activity 5.3

The following list consists of some MARKETING MYTHS. Tick the myths you thought about marketing before reading this section? Add some new myths you might have discovered (you may browse the Internet for more myths).

- Marketing and selling are synonymous,
- The job of marketing is to develop good advertisements,
- Marketing is pushing the product to the customers,
- Marketing is transaction-oriented than relationship-oriented,
- Marketing is a short-term business strategy,
- Marketing is an independent function of a business,
- Marketing is part of selling.

5.9 Chapter Summary

Business firms and non-profit organization engage in marketing. Products marketed include goods as well as services, ideas, people and places. Marketing activities are targeted at markets, consisting of product purchases and also individuals and groups that influence the success of an organization. The foundation of marketing is exchange, in which one party provides to another party something of value in return for something else of value. In a broad sense, marketing consists of all activities designed to generate or facilitate an exchange intended to satisfy human needs. In a business context, marketing is the total system of business activities designed to plan, price, promote, and distribute want satisfying products to target markets to achieve organizational objectives. Also, it is a social and managerial process by which an individual obtain what they need and want through creating, offering and exchanging of product of values with other.

A business philosophy called the marketing concept developed to aid companies with supply capabilities that exceed consumer demand. According to a marketing concept, a firm is best able to achieve its performance objectives by adopting a customer orientation and coordinating all of its marketing activities. More recently, the societal marketing concept has been proposed as a philosophy by which a company can satisfy its customers and at the same time fulfil its social responsibility.

Marketing activities have undergone a series of successive stages. The evolution starts with a production orientation, passed through a product orientation followed by a sales orientation, then to marketing orientation and societal orientation stage. The main difference between marketing and selling is that selling emphasis is on the product; in marketing the emphasis is on customer's wants.

5.10 Review Questions

1. Define the term marketing? And explain the core concepts of marketing?
2. Identify and explain briefly the marketing philosophies?
3. Identify at least three distinctions between marketing and selling.
4. Discuss the importance of marketing Intelligence?
5. Discuss how to reduce customer dissatisfaction.

PRACTICAL ACTIVITY ON MARKETING

Activity name: Market simulation activity

Objective(s) of activity:

Participant will get to experience marketing through a live simulation.

At the end of the activity participants will be able to;

- Experience the interplay of factors influencing the market such as price, product, place and promotion
- Realize the difficulties new entrepreneurs have when entering the market place
- Observe the impact of different marketing strategies on the capturing of market share

Materials/ Handouts needed:

- Materials found in the classroom e.g. pens, mobile phones, bag, shoes etc.
- Pen
- Paper

Instructions:

1. Divide participants into buyers and sellers.
2. In the first round, four sellers set up shops in demarcated areas of the training room and sell their allocated products to the buyers at a set selling price.
3. The buyers are divided into high, middle and low-income groups. Each income group is given a limit on how much it can spend to purchase products.

Reflection questions:

- What are your thoughts on your experience of the exercise?
- What have you learnt about marketing and competition analysis during the exercise?
- What lessons can you apply in your business today?

Extension/ Simplification options:

1. One of the, buyers in this round is an entrepreneur who wants to start a business.
2. In the second round, he/she (entrepreneur) uses the opportunity to study the competition and potential customers and develop a marketing strategy that will ensure a profitable market share is captured.
3. In the second round the fifth seller enters the market and applies his/her marketing strategy.
4. The second round is less restrictive than the first round as selling prices, demarcated areas and products are not allocated to sellers. The fifth seller's success depends on the strategy applied, his/her selling ability and how the other competitors respond to their market shares being encroached upon .The role of the fifth seller is similar to that of the participants, after the training, as they are new entrepreneurs about to enter an existing market.

CHAPTER 6: BUSINESS FINANCING

6.1 INTRODUCTION

Sourcing money may be done for a variety of reasons. Traditional areas of need may be for capital asset acquisition- new machinery or the construction of a new building. The development of new products can be costly but capital may be required. Such developments are financed internally, whereas capital for the acquisition of machinery may come from external sources. In this day and age of light liquidity, many organizations have to look for short term capital in the way of loans, working capital etc., in order to provide a cash flow cushion. This chapter of the module discusses about financing of firms.

Chapter Objectives:

By the end of this module, trainees will be able to:

- Learn about the cost of starting an enterprise.
- Know the different sources of finance to start a business venture.
- Understand lease financing.
- Learn micro finances.
- Understand crowd funding.
- Know micro financing.
- Learn about traditional financing in Ethiopia.

6.2 Financial Requirements

All businesses need money to finance a host of different requirements. In looking at the types and adequacy of funds available, it is important to match the use of the funds with appropriate funding methods.

1) Permanent Capital

The permanent capital base of a small firm usually comes from equity investment in shares in a limited company or share company, or personal loans to form partners or to invest in sole proprietorship. It is used to finance the start - up costs of an enterprise, or major developments and expansions in its life - cycle. It may be required for a significant innovation, such as a new product development.

Equity from private investors may also be sought to take a small firm into the medium or large size category or as an exit route for the original investors. Ideally, permanent capital is only serviced when the firm can afford it; investment in equity is rewarded by dividends from profits, or a capital gain when shares are sold. It is not therefore a continual drain from the cash flow of a company, such as a loan, which needs interest and capital repayments on a regular basis. Equity capital usually provides a stake in the ownership of the business, and therefore the investor accepts some element of risk in that returns are not automatic, but only made when the small firm has generated surpluses.

2) Working Capital

It is short-term finance. Most small firms need working capital to bridge the gap between when they get paid, and when they have to pay their suppliers and their overhead costs. Requirements for this kind of short-term finance will vary considerably by business type. For example, a manufacturer or small firm selling to other businesses will have to offer credit terms, and the resulting debtors will need to be financed; the faster the growth, the more the debtors, and the larger the financial requirement.

A retailer, a restaurant, a public house, or other types of outlet selling directly to the public will often collect cash with the sale, however, earns the cash flow will be advantageous. In some cases, this will be sufficient to finance the start - up of a small firm, so that suppliers are effectively financing the business.

However, even these types of business may need working capital to fund temporary losses, caused by seasonal fluctuations, or to cope with prepayment of expenses such as rent payable in advance. Although short-term finance is normally used to fund the trading of a business, it is also sometimes needed to purchase assets, which are short-lived such as company vehicles, which may be changed every 4 or 5 years.

3) Asset Finance

It is medium to long term finance. The purchase of tangible assets is usually financed on a longer-term basis, from 3 to 10 years, or more depending on the useful life of the asset. Plant, machinery, equipment, fixtures, and fittings, company vehicles and buildings may all be financed by medium or long-term loans from a variety of lending bodies.

6.3 Sources of Financing

Financial resources are essential for business, but particular requirements change as an enterprise grows. Obtaining those resources in the amount needed and at the time needed can be difficult for entrepreneurial ventures because they are generally considered more risky than established enterprises. As we shall see, financing means more than merely obtaining money; it is very much a process of managing assets wisely to use capital efficiently.

Managing assets effectively is crucial because underwriting assets creates liabilities that, if uncontrolled, can devastate a business. Cash is the most important asset to manage, and to generate cash, business must generate sales. In order to generate sales, most businesses must have inventory and facilities. Service enterprises need offices and staff, and manufacturers face more extensive requirements, including plant and equipment. Assets management for the start-up entrepreneur is a matter of determining what is needed to support sales, and then gaining access to those assets at the optimum cost. The term “gaining access” is used because there are alternatives other than a cash purchase of assets. Equipment can be leased, for example, and office furniture can be rented. Manufactured products initially can be subcontracted rather than made, thereby avoiding the expense of procuring materials, equipment, and plant facilities. Entrepreneurs, therefore, have choices about what assets to obtain, when they must be obtained, and how to gain access to them.

The critical issue in financing is to assure sufficient cash flow for operations, as well as to plan financing that coincides with changes in the enterprise. Businesses obtain cash through two general sources, equity or debt, and both can be obtained from literally hundreds of different sources. The various sources of finance may be broadly be classified as follows:

6.3.1 Internal Sources (Equity capital)

Owner’s capital or owner’s equity represents the personal investment of the owner(s) in a business and it is sometimes called risk capital because these investors assume the primary risk of losing their funds if the business fails. However, if the venture succeeds, they also share in the benefit.

Sources of Equity Capital

1. **Personal saving:** The first place entrepreneurs should take for startup money is in their own pockets. As a general rule, entrepreneurs should provide at least half of the start-up funds in the form of equity capital.
2. **Friends and relatives:** After emptying their own pockets, entrepreneurs should turn to friends and relatives who might be willing to invest in the business. The entrepreneur is expected to describe the opportunities and threats of the business.
3. **Partners:** An entrepreneur can choose to take on a partner to expand the capital formation of the proposed business.
4. **Public stock sale (going public):** In some case, entrepreneurs can go public by selling share of stock in their corporation to outsiders. This is an effective method of raising large amounts of capital.
5. **Angels:** These are private investors (or angles) who are wealthy individuals, often entrepreneurs, who invest in the startup business in exchange for equity stake in these businesses.
6. **Venture capital companies:** Are private, for profit organizations that purchase equity positions in young business expecting high return and high growth potential opportunity. They provide start-up capital, development funds or expansion funds

Comparison of Angles and Venture Capitalist

Angels	Venture Capitalists (VCs)
• Individuals who wish to assist others in their business venture, • Usually found through networks, • Reasonable expectations on equity position and ROI, • Often passive, but realistic perspective about business venture, Exit strategy is important,	• Finance, small scale new technology and any risky idea. • Funds are more specialized versus homogeneous • High expectations of equity position and ROI,

ADDITIONAL REMARKS ON SAVING

WHAT ARE SAVINGS?

Savings are money or other assets kept over a period of time, usually not to be consumed immediately but in the future. Savings can be kept in a bank or any other safe place where there is no risk of loss, spending, or making profit.

Savings can be done through

- **Small but regular deposits** – this happens when someone has decided to sacrifice current consumption (use of assets, e.g. of money and goods) in order to increase the availability of assets for future consumption. It therefore involves postponing expenditures in order to accumulate a sizeable amount of resources for future use.
- **Automatic deductions from salaries, wages or income** - this type of saving is not voluntary. It is a system used by most employers under the labour law.

Advantage of saving

- To provide for specific needs in the future
- To have access to monetary or other assets whenever needed
- To ensure financial independence
- To make one's own resources inaccessible for others without one's approval
- To safely store surplus
- To acquire skills for proper money management and self-discipline
- To qualify for certain types of loans

Investments

These are monetary assets purchased in the hope that they will generate income, reduce costs, or appreciate in the future. In short, investment means the use of money to make more profit in the future.

Personal Budget

A **personal budget** is a finance plan that allocates future personal income towards expenses, Savings and debt repayment.

How to prepare a personal budget for saving purposes?

Identify your sources of income and how much you earn from each source

- Add up to get total income per month.
- Track all your expenses daily, weekly or monthly
- Then divide them by categories
- For daily expenses, multiply each by four to get monthly expenses and add them to get a monthly total for daily expenses
- Take the total income per month and subtract the monthly total for daily expenses. The difference can be taken as savings. If the difference is negative or the expenses exceed the income then:
 - o Cut back your expenses
 - o Adjust your expenses

6.3.2 External Sources (Debt capital)

Borrowed capital or debt capital is the external financing that small business owner has borrowed and must repay with interest. There are different sources as discussed here below:

I) Commercial banks: Commercial banks are by far the most frequently used source for short term debt by the entrepreneur. In most cases, commercial banks give short term loans (repayable within one year or less) and medium term loan (maturing in above one year but less than five years), long term loans (maturing in more than five years).

To secure a bank loan, an entrepreneur typically will have to answer a number of questions, together with descriptive commentaries.

- ☞ What do you plan to do with the money?
- ☞ When do you need it?
- ☞ How much do you need?
- ☞ For how long do you need it?
- ☞ How will you repay the loan?

Bank Lending Decision:-The small business owner needs to be aware of the criteria bankers use in evaluating the credit worthiness of loan applications. Most bankers refer to the five C's of credit in making lending decision. The five C's are capital, capacity, collateral, character, and conditions.

1. **Capital:** A small business must have a stable capital base before a bank will grant a loan.
2. **Capacity:** The bank must be convinced of the firm's ability to meet its regular financial obligations and to repay the bank loan.
3. **Collateral:** The collateral includes any assets the owner pledges to the bank as security for repayment of the loan.
4. **Character:** Before approving a loan to a small business, the banker must be satisfied with the owner's character. The evaluation of character frequently is based on intangible factors such as honesty, competence, willingness to negotiate with the bank.
5. **Conditions:** The conditions surrounding a loan request also affect the owner's chance of receiving funds. Banks consider the factors relating to the business operation such as potential growth in the market, competition, location, and loan purpose. Another important condition influencing the banker's decision is the shape of the overall economy including interest rate levels, inflation rate, and demand for money.

The higher a small business scores on these five Cs, the greater its chance will be of receiving a loan. In the Ethiopian context, collateral is very critical.

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- II) Micro Finances:** provide financial services mainly to the poor ,micro and small enterprises(detail to be discussed later in part 6.7)
- III) Trade Credit:** It is credit given by suppliers who sell goods on account. This credit is reflected on the entrepreneur's balance sheet as account payable and in most cases it must be paid in 30 to 90 or more days.
- IV) Equipment Suppliers:** Most equipment vendors encourage business owners to purchase their equipment by offering to finance the purchase.
- V) Account receivable financing:** It is a short term financing that involves either the pledge of receivables as collateral for a loan.
- VI) Credit unions:** Credit unions are non-profit cooperatives that promote savings and provide credit to their members. But credit unions do not make loans to just any one; to qualify for a loan an entrepreneur must be a member.
- VII)Bonds:** A bond is a long term contract in which the issuer, who is the borrower, agrees to make principal and interest payments on specific date to the holder of the bond. Bonds have always been a popular source of debt financing for large companies in the western world.
- VIII) Traditional Sources of Finance:** “Idir”, “equib” (detail to be discussed later in 6.5)

LOCAL CASE

THE STORY OF ABDELA'S FAMILY

Abdella and his wife Fatuma live in a small rural trading center near to Dessie. Abdella is a tailor who has had a successful tailoring business ever since he learnt the skill from his father at his young age. His wife Fatuma raises vegetables that she sells at the weekly market. Part of the produce is consumed by the family, which includes three sons and two daughters.

Their oldest son Abdi has recently returned home to start a new life, after his contract work in a factory at Kombolcha town. Abdi appealed to his parents for a loan to start up a mini fast food selling in the trading center. He decided on this business because he was fairly knowledgeable about food business, having done some part-time work in a restaurant while he was in Kombolcha. Abdi also observed that there were no many fast food providers nearby. He lacked his father's tailoring skills because he went to work in Kombolcha when he was young. Abdi's wife, Amina grew up in town and she does not have the knowledge of vegetable growing like her mother-in law Fatuma.

Abdella and his wife are reluctant to lend their son the fifty thousand birr he requested because they noticed recently that their sewing machines, which have served them well for many years, is no longer working properly. They have taken it to a repairer in Kombolcha several times and recently were told that once it stopped working it might not be fixed. Therefore, Abdella and his wife do not want to withdraw money from their savings account at the Commercial Bank as they need it to buy new sewing machines. Moreover, they want to keep some money for emergency cases that. They know that their son Abdi spent the terminal benefits he collected from the factory instead of investing it in some business. So they wondered why they should support their son's business idea. However, Abdi is now hanging around town unemployed. As a result, Abdella and his wife have to provide food and lodging for Abdi, Amina and their two children until they get earning for themselves.

Abdi recently attended a training course on business skills and he assures his parents that he has learnt some skills that help him manage the business successfully. Among others, one thing that he learnt is to think about all the family's needs for capital than just the new business activity planned to be started. And he tells his parents that he would like to discuss with them before they make final decision on his loan request.

Instruction to the instructor:

Break the participants into small groups of four persons each. Allow each group about 30 minutes to decide what the family should do. At the end of the given time, have all the participants come back together into a large group.

A spokesperson for each small group should tell the large group what they decided, and why. After each presentation, discuss the decision taken, answering all these questions:

- What are the advantages of the decision taken?
- What are the disadvantages?
- Does this decision expose the family to a lot of risks?
- Are there any alternatives that would be less risky?

Some of the identified alternatives might be loans from moneylenders, a bank, NGO, MFI or relatives savings associations or personal savings.

Next Step:

Tell the participants that they are going to discuss the advantages and disadvantages of the different sources of funds that they would consider for starting and operating their business using a matrix. This should help them come out with the less risky source.

- Tell participants to go and collect local materials
- Ask one participant to draw a table similar to the matrix below. Solicit for the different sources of funds from the participants.
- Place the local material in the table according to the rate that each source of finance according the criteria set on the columns
- Add up the score in the row and place the rating and select the one with highest score to be the best financing.

Example:

	Interest	Accessibility	Repayment period	Score	Rating
Borrowing from relatives					
Loan from Banks					
Loan from MFIs					
Loan from VSLA					
Personal Saving					
Business people					

4=Excellent 3=Very good 2=Average 1=Fair 0=Poor

(VSLA=Village Saving and Loan Associations), MFIs=Micro Finance Institutions)

The facilitator should ensure that the points below are covered.

- Loans from moneylenders usually have high interest. This makes it more difficult to earn a profit from the activity.
- Banks may have a lower interest rate, but have a lot of requirements that poor people have trouble fulfilling.

-
- (Funding from MFI's should be emphasized with a clear explanation on the common basic requirements from these institutions;
 - Interest
 - Repayment frequency
 - Meetings
 - Group securities)
 - Loans from all sources must be repaid. If the business fails, the borrower will lose some of his assets. In the case of Banks, a loan in default must be repaid by the other members of the group.
 - Loans from a revolving fund.
 - Using own savings is less risky than using loans.

Processing and Generalizing: The process of the financial plan preparation and its usefulness for entrepreneurial activities are being reviewed and discussed

6.4 Lease Financing

Lease financing is one of the important sources of medium- and long-term financing where the owner of an asset gives another person, the right to use that asset against periodical payments. The owner of the asset is known as lessor and the user is called lessee. The periodical payment made by the lessee to the lessor is known as lease rental. Under lease financing, lessee is given the right to use the asset but the ownership lies with the lessor and at the end of the lease contract, the asset is returned to the lessor or an option is given to the lessee either to purchase the asset or to renew the lease agreement.

6.4.1 Types of Lease

Depending upon the transfer of risk and rewards to the lessee, the period of lease and the number of parties to the transaction, lease financing can be classified into two categories. Finance lease and operating lease.

1) Finance Lease

It is the lease where the lessor transfers substantially all the risks and rewards of ownership of

assets to the lessee for lease rentals. In other words, it puts the lessee in the same condition as he/she would have been if he/she had purchased the asset. Finance lease has two phases: The first one is called primary period. This is non-cancellable period and in this period, the lessor recovers his total investment through lease rental. The primary period may last for indefinite period of time. The lease rental for the secondary period is much smaller than that of primary period.

From the above discussion, following features can be derived for finance lease:

- A finance lease is a device that gives the lessee a right to use an asset.
- The lease rental charged by the lessor during the primary period of lease is sufficient to recover his/her investment.
- The lease rental for the secondary period is much smaller. This is often known as peppercorn rental.
- Lessee is responsible for the maintenance of asset.
- No asset-based risk and rewards are taken by lessor.
- Such type of lease is non-cancellable; the lessor's investment is assured.

2) Operating Lease

Lease other than finance lease is called operating lease. Here risks and rewards incidental to the ownership of asset are not transferred by the lessor to the lessee. The term of such lease is much less than the economic life of the asset and thus the total investment of the lessor is not recovered through lease rental during the primary period of lease. In case of operating lease, the lessor usually provides advice to the lessee for repair, maintenance and technical knowhow of the leased asset and that is why this type of lease is also known as service lease. Operating lease has the following features:

- The lease term is much lower than the economic life of the asset.
- The lessee has the right to terminate the lease by giving a short notice and no penalty is charged for that.
- The lessor provides the technical knowhow of the leased asset to the lessee.
- Risks and rewards incidental to the ownership of asset are borne by the lessor.
- Lessor has to depend on leasing of an asset to different lessee for recovery of his/her investment.

Advantages and Disadvantages of Lease Financing

At present leasing activity shows an increasing trend. Leasing appears to be a cost-effective alternative for using an asset. However, it has certain advantages as well as disadvantages.

The advantages of lease financing from the point of view of lessor are summarized below:

- ☞ **Assured Regular Income:** Lessor gets lease rental by leasing an asset during the period of lease which is an assured and regular income.
- ☞ **Preservation of Ownership:** In case of finance lease, the lessor transfers all the risk and rewards incidental to ownership to the lessee without the transfer of ownership of asset. Hence the ownership lies with the lessor.
- ☞ **Benefit of Tax:** As ownership lies with the lessor, tax benefit is enjoyed by the lessor by way of depreciation in respect of leased asset.
- ☞ **High Profitability:** The business of leasing is highly profitable since the rate of return based on lease rental, is much higher than the interest payable on financing the asset.
- ☞ **High Potentiality of Growth:** The demand for leasing is steadily increasing because it is one of the cost efficient forms of financing. Economic growth can be maintained even during the period of depression. Thus, the growth potentiality of leasing is much higher as compared to other forms of business.
- ☞ **Recovery of Investment:** In case of finance lease, the lessor can recover the total investment through lease rentals.

Lessor suffers from certain limitations which are discussed below:

- ☞ **Unprofitable in Case of Inflation:** Lessor gets fixed amount of lease rental every year and they cannot increase this even if the cost of asset goes up.
- ☞ **Double Taxation:** Sales tax may be charged twice. First at the time of purchase of asset and second at the time of leasing the asset.
- ☞ **Greater Chance of Damage of Asset:** As ownership is not transferred, the lessee uses the asset carelessly and there is a great chance that asset cannot be useable after the expiry of primary period of lease.

6.5 Traditional Financing in Ethiopian (Equib/Edir, Etc.)

While Ethiopia has one of the least-developed formal financial sectors in the world, it possessed a rich tradition in indigenous, community-based groups such as savings and credit associations and insurance like societies. These "iqub" and "idir" groups provide a source of

credit and insurance outside the formal sector but much rooted in Ethiopian society. The contributions of these groups, especially iqub, to economic growth is difficult to quantify but can be assumed to play an important role. Iqub is a traditional means of saving in Ethiopia and exists completely outside the formal financial system. An iqub is a form of savings.

People voluntarily join a group and make a mandatory contribution (every week, pay period or month or example). The "pot" is distributed on a rotating basis determined by a drawing at the beginning of the iqub. Amounts contributed vary according to the ability of the participants. Iqub is widespread, especially in urban areas. Iqub offers a savings mechanism for the "unbanked" group in Ethiopia, both urban dwellers who do not have access to a traditional bank within a reasonable distance from their dwelling. Ethiopia has one of the lowest bank penetration rates in the world, with less than one bank branch for every 100,000 residents. Currently, real interest rates are significantly negative -- at least negative 12% so iqub has advantages over the formal financial system for participants. Ethiopian banks have been paying negative real interest rate for more than 25 years.

Additionally, the social and communal aspects of iqub give participants a confidence that they may not have in Ethiopia's shaky financial system. Most formal banks require a high level of collateral and/or a guarantor for loans, which discourages start-up borrowers and does not allow for borrowing for personal needs. In the absence of loans from formal banks, Ethiopians also turn to loan sharks (Arata Abedari in Amharic) who require guarantors and charge as much as 120% per year interest.

Iqub can be a driver of economic growth and development. At lower levels, a study by Tegegne Gebre Egziabher and Mulat Demeke (year) of the Institute for Development Research at Addis Ababa University examined small business owners in rural towns. The study found that the group surveyed most frequently used their payout for expanding their business (41% of participants). At higher levels, a prominent local businessman described iqubs in Addis Ababa with payouts in excess of 15 million birr (over \$500,000). They stated that much of the construction boom in Addis is being financed with iqub rather than through the formal banking system. The central bank governor has told researchers that only 5% of the country's total loan portfolio is in construction loans, Iqub is filling a vital role in providing capital for physical infrastructure expansion.

While '*Iqub*' is a means of savings and may be substitute for formal banking credit, "Idirs" are

burial societies that provide a traditional form of insurance. Idir contributions are used to pay for expenses in the event of the death of a family member. Idir is the only means, other than personal savings, to pay for these expenses. Idir contributions are generally small compared to Iqub, usually around Br.10-25 per month. Some idirs provide additional coverage, for example, in cases of illness, destruction of a member's house or death of livestock. Due to their ubiquity and influence in their communities, Idir associations are also forming the basis for some foreign assistance programs, particularly those focused on HIV/AIDS treatment and prevention.

Ethiopia's formal financial system is extremely underdeveloped and for the most part confined to cities and larger towns. The traditional systems of Iqub and Idir are perhaps centuries old, yet continue to play a vital role in Ethiopia's finance. Quantifying the magnitude of funds held in these systems, particularly in iqub, is difficult. However, based on both the formal studies and anecdotal information sources, iqub provides an alternative savings and loan structure rooted in tradition, practicality and availability that acts as an engine for a portion of Ethiopia's economic growth.

6.6 Crowd Funding

Crowd funding is a method of raising capital through the collective effort of friends, family, customers, and individual investors or even from the general public. This approach taps into the collective efforts of a large pool of individuals primarily online via social media and crowd funding platforms and leverages their networks for greater reach and exposure.

6.6.1 How is Crowd Funding Different?

Crowd funding is essentially the opposite of the mainstream approach to business finance. Traditionally, if you want to raise capital to start a business or launch a new product, you would need to pack up your business plan, market research, and prototypes, and then shop your idea around to a limited pool of wealthy individuals or institutions. These funding sources included banks, angel investors, and venture capital firms, really limiting your options to a few key players. You can think of this fundraising approach as a funnel, with you and your pitch at the wide end and your audience of investors at the closed end. Fail to point that funnel at the right investor or firm at the right time, and that's your time and money lost.

Crowd funding platforms, on the other hand, turns that funnels on-end. By giving you, the entrepreneur, a single platform to build, showcase, and share your pitch resources, this approach

dramatically streamlines the traditional model. Traditionally, you'd spend months sifting through your personal network, vetting potential investors, and spending your own time and money to get in front of them. With crowd funding, it's much easier for you to get your opportunity in front of more interested parties and give them more ways to help grow your business, from investing thousands in exchange for equity to contributing Br.500 in exchange for a first-run product or other reward.

6.6.2 The Benefits of Crowd funding

From tapping into a wider investor pool to enjoying more flexible fund raising options, there are a number of benefits to crowd funding over traditional methods. Here are just a few of the many possible advantages:

Reach: By using a crowd funding platform like Fundable, you have access to thousands of accredited investors who can see, interact with, and share your fund raising campaign.

Presentation: By creating a crowd funding campaign, you go through the invaluable process of looking at your business from the top level its history, traction, offerings, addressable market, value proposition, and more and boiling it down into a polished, easily digestible package.

PR & Marketing: From launch to close, you can share and promote your campaign through social media, email newsletters, and other online marketing tactics. As you and other media outlets cover the progress of your fund raise, you can double down by steering traffic to your website and other company resources.

Validation of Concept: Presenting your concept or business to the masses affords an excellent opportunity to validate and refine your offering. As potential investors begin to express interest and ask questions, you'll quickly see if there's something missing that would make them more likely to buy in.

Efficiency: One of the best things about online crowd funding is its ability to centralize and streamline your fund raising efforts. By building a single, comprehensive profile to which you can funnel all your prospects and potential investors, you eliminate the need to pursue each of them individually. So instead of duplicating efforts by printing documents, compiling binders, and manually updating each one when there's an update, you can present everything online in a much more accessible format, leaving you with more time to run your business instead of fundraising.

6.6.3 Types of Crowd Funding

Just like there are many different kinds of capital round raises for businesses in all stages of growth, there are a variety of crowd funding types. Which crowd funding method you select depends on the type of product or service you offer and your goals for growth. The 3 primary types are donation-based, rewards-based, and equity crowd funding.

1) Donation-Based Crowd Funding

Broadly speaking, you can think of any crowd funding campaign in which there is no financial return to the investors or contributors as donation-based crowd funding. Common donation-based crowd funding initiatives include fund raising for disaster relief, charities, nonprofits, and medical bills.

2) Rewards-Based Crowd Funding

Rewards-based crowd funding involves individuals contributing to your business in exchange for a “reward,” typically a form of the product or service your company offers. Even though this method offers backers a reward, it’s still generally considered a subset of donation-based crowd funding since there is no financial or equity return.

3) Equity-Based Crowd Funding

Unlike the donation-based and rewards-based methods, equity-based crowd funding allows contributors to become part-owners of your company by trading capital for equity shares. As equity owners, your contributors receive a financial return on their investment and ultimately receive a share of the profits in the form of a dividend or distribution.

6.7 Micro Finances

6.7.1 What is Micro Finance?

Microfinance is a term used to describe financial services, such as loans, savings, insurance and fund transfers to entrepreneurs, small businesses and individuals who lack access to banking services with high collateral requirements. Essentially, it is providing loans, credit, access to savings accounts – even insurance policies and money transfers to small business owners, entrepreneurs (many of whom live in the developing world), and those who would otherwise not have access to these resources.

Dr. Mohammad Yunus is considered a pioneer of modern microfinance. He experimented with making small loans, which he funded himself, to women in Bangladesh making bamboo furniture who had previously relied on loans with unfair and predatory terms to purchase raw materials. He discovered these very tiny loans, which traditional banks did not want to make due to the perceived risks and costs, could make a disproportionate difference to a poor person and given the chance they would pay them back creating a viable business model. He would go on to found Grameen Bank in 1983 and win the Nobel Peace Prize in 2006 for his invention of micro finance.

6.7.2 Importance of MFIs

Microfinance is important because it provides resources and access to capital to the financially underserved, such as those who are unable to get checking accounts, lines of credit, or loans from traditional banks. Without microfinance, these groups may have to resort to using loans or payday advances with extremely high interest rates or even borrow money from family and friends. Microfinance helps them invest in their businesses, and as a result, invest in themselves.

While microfinance can certainly benefit those stateside, it can also serve as an important resource for those in the developing world. For example, cell phones are being used as a way to bring financial services such as micro lending to those living in Kenya. In fact, women are major microfinance borrowers, making up 84 percent of loans in 2016, according to the 2017 Microfinance Barometer. Most of these women – around 60 percent – live in rural areas.

The microfinance industry is also growing rapidly. In 2016, there were 123 million microfinance borrowers, for a total of \$102 billion in loans. India accounted for most of these borrows, followed by Vietnam, Bangladesh, and Peru.

While some have lauded microfinance as a way to end the cycle of poverty, decrease unemployment, increase earning power, and aid the financially marginalized, some experts say that it may not work as well as it should, even going so far as to say it's lost its mission. Others argue that microfinance simply makes poverty worse since many borrowers use microloans to pay for basic necessities, or their businesses fail, which only plunges them further into debt.

For example, in South Africa, 94 percent of all microfinance loans are used for consumption, meaning, the funds are used to pay for basic necessities. This means borrowers aren't generating new income with the initial loan, which means they have to take out another loan to pay off that

loan, and so forth and so forth. This translates into a lot more debt. However, other experts say that microfinance can serve as a valuable tool for the financially underserved when used properly. They also cite the industry's high repayment rate as proof of its effectiveness. Either way, microfinance is an important topic in the financial realm, and if done correctly, could be a powerful tool for many.

6.7.3 Micro Finances in Ethiopia

Micro-finance in Ethiopia has its origin in traditional informal method used to accumulate saving and access credit by people who lacked access to formal financial institutions. Ethiopia has also more 38 MFIs (in 2018) and practice is one of the success stories in Africa even though there are certain limitations.

The history of formal establishment of Ethiopia Micro finance institution is limited to about less than twenty years (since 2000). The first groups of few MFIs were established in early 1997 following the issuance of Proclamation No. 40/1996 in July 1996. The objective of the MFIs is basically poverty alleviation through the provision of sustainable financial services to the poor who actually do not have access to the financial support services of other formal financial institutions.

The microfinance industry is growing in terms of number and size. The MFIs in Ethiopia have been able to serve the productive poor people mainly with savings, credit, money transfer, micro-insurance and other related services. Governmental and other developmental organizations have played a vital role for impressive performance the microfinance sector in the country.

The known micro finance institutions in different regions of Ethiopia with more than 90% market share are

1. Amhara Credit and Savings Ins. (ACSI) S.C.
2. Dedit Credit and Savings Ins. (DECSI) S.C.
3. Oromiya Credit and Savings Ins. S.C (OCSCO).
4. Omo Credit and Savings Ins. S.C.
5. Addis Credit and Savings Institution S.C.(ADCSI)

6.7.3.1 Types of Activities Carried Out by Ethiopian MFIs

According to Article 3(2) of the aforementioned proclamation, MFIs are allowed to carry out the following activities:

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- ☞ Accepting both voluntary and compulsory savings as well as demand and time deposits.
 - ☞ Extending credit to rural and urban farmers and people engaged in other similar activities as well as micro and small scale rural and urban entrepreneurs.
 - ☞ Drawing and accepting drafts payable within Ethiopia Micro-insurance business as prescribed by NBE,
 - ☞ Purchasing such income generating financial instruments as treasury bill and other income generating activities,
 - ☞ Acquiring, maintaining and transferring any movable and immovable property including premises for carrying out its business,
 - ☞ Supporting income generating projects of urban and rural micro and small scale operators,
 - ☞ Rendering managerial, marketing, technical and administrative advice to customers and assisting them to obtain services in those fields,
 - ☞ managing funds for micro and small scale business,
 - ☞ Providing money transfer services,
 - ☞ Providing financial leasing services,

6.8 Chapter Summary

When entrepreneurs have an idea of starting a business, they should first learn about the cost of starting an enterprise. The cost of starting an enterprise should comprises of cost of permanent capital, medium term capital and working capital. In financing their ventures, they should be clear with the different sources of finance. The internal sources of finance includes mainly Personal saving, Friends and relatives, Partners, Public stock sale (going public),Angels and Venture capital companies. The external sources of finance comprises of sources from Commercial banks, Bonds, Credit unions, Account receivable discount financing, Equipment Suppliers and Trade Credit.

In most countries including Ethiopia lease financing is becoming the common source of medium- and long-term financing where the owner of an asset gives another person, the right to use that asset against periodical payments. The owner of the asset is known as lessor and the user is called lessee. Besides the modern financing traditional financing has a paramount importance and has a long history in mobilizing huge amount of finance in Ethiopia. "Iqub" and

"Idir" groups provide a source of credit and insurance outside the formal sector but much rooted in Ethiopian society. The contributions of these groups, especially iqub, to economic growth is difficult to quantify but can be assumed to play an important role.

Crowd funding is a method of raising capital through the collective effort of friends, family, customers, and individual investors. This approach taps into the collective efforts of a large pool of individuals—primarily online via social media and crowd funding platforms—and leverages their networks for greater reach and exposure.

Microfinance is a term used to describe financial services, such as loans, savings, insurance and fund transfers to entrepreneurs, small businesses and individuals who lack access to traditional banking services

Micro-finance in Ethiopia has its origin in traditional informal method used to accumulate saving and access credit by people who lacked access to formal financial institutions.

The known micro finance institutions in different regions of Ethiopia are Addis CSI in Addis Ababa, Oromia CSI in Oromia, Amhara CSI in Amhara, Dedebit CSI in Tigray and Omo CSI SNNP regions are the known ones.

6.9 Review Questions

- 1) List and elaborate capital requirements for long-term, medium term and working capital.
- 2) Identify the common internal and external sources of finance and which of these sources are commonly used in your locality. Discuss this with the closer business operator in your locality.
- 3) Getting loan from commercial banks is more challenging. Elaborate and state the requirement that banks request to provide loan.
- 4) Explain the pros and cons of lease financing to the lesser and the lessee.
- 5) Elaborate the traditional financing system in Ethiopia emphasizing their contribution to community.
- 6) Elaborate the feasibility and applicability of crowd funding in Ethiopia.
- 7) Micro finances in different regions of Ethiopia are established with the mission of supporting the poor. Evaluate.

PRACTICAL ACTIVITY

Mary's family budget

Mary is employed in a company where she earns Br.4,000 per month as a part-time employee. She also has her own business saloon and boutique where she gets Br.1,500 and Br.2,500 respectively every month.

She has a husband (Abate) who is employed under a private company with a salary of Br.10,000 per month. He receives a bonus and allowances of Br. 2,500. The couple has two kids - Adisu and Sara - both of whom are primary school pupils. Adisu is in Grade Four and Sara is in Grade One. Mary and Abate pay Br.1,000 every month for their tuition fees. They also pay Br.200 for the school bus, Br.150 for sports and games, Br.300 for books and library services. They spend Br.1,600 every month for food. They pay Br.300 for postal services, Br.300 for electricity bills and Br.200 for water bills. They also buy house detergents at Br.100 every month and pay Br.800 for car maintenance and Br.1500 for fuel. They also go shopping once per month and spend Br.1,000. They pay Br.1,500 salary every month for a house maid and Br.1,000 for a gardener. Rent costs them Br.1,200 per month, and car insurance costs Br. 1200 per year. Mary and Abate want to build their own house. They decide to prepare a budget to find out how much they can save every month. Mary starts to prepare budget by tracking their income and expenditure for a month.

Required : Prepare a budget and monthly saving plan for Mary's Family

CHAPTER 7 MANAGING GROWTH AND TRANSITION

7.1 INTRODUCTION

This chapter discusses about managing growth and transition to more formalization of organization. Entrepreneurs at the initial stage focus on resource mobilization. However, once companies reach to growth stage, they must continue to grow with proper management and leadership. The success of an entrepreneur in this process depends upon controllable and uncontrollable variables. In developing countries such as Ethiopia, the environment is not business friendly and a lot of challenges will start to emerge as the business grows. This chapter discusses about the challenges of growth, business ethics and corporate social responsibility.

Chapter Objectives

After completing this chapter, students will be able to:

- ❖ Identify factors that affect business growth,
- ❖ Understand business expansion strategies,
- ❖ Know & internalize business ethics & social responsibilities.

7.2 Timmons Model of Entrepreneurship

- **What key aspects does an entrepreneur need to manage to start and grow a business?**

To answer this question, we used Timmons basic model of entrepreneurship as indicated in Figure 7.1. This model identified the internal and external factors that determine the growth of business.

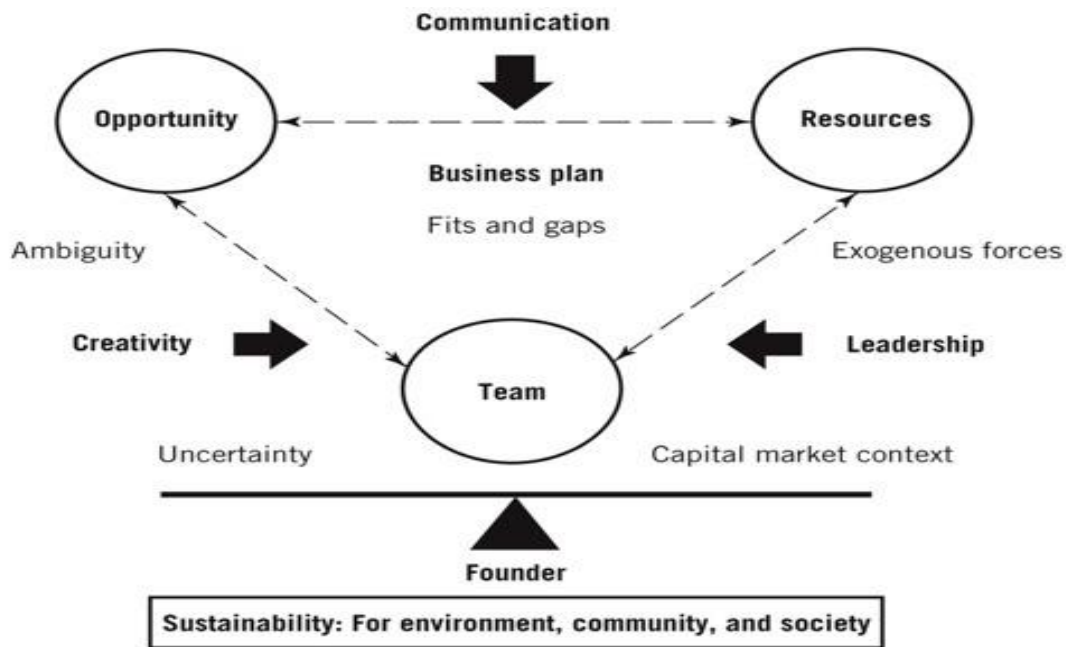


Figure 7.1 Timmons model of entrepreneurship

Jeffrey Timmons (2006) developed the Timmons model of entrepreneurship through his doctoral thesis. Further research and case studies have since enhanced the model, which works as a guide for entrepreneurs to increase their chances of success. According to Timmons, success in creating a new venture is driven by a few central themes that dominate the dynamic entrepreneurial process: it takes **opportunity**, a lead **entrepreneur** and an **entrepreneurial team**, **creativity**, **being careful with money**, and an **integrated, holistic, sustainable and balanced approach to the challenges ahead**. These controllable components of the entrepreneurial process can be assessed, influenced and altered. The entrepreneur searches for an opportunity, and on finding it, shapes the opportunity into a high-potential venture by drawing up a team and gathering the required resources to start a business that capitalizes on the opportunity, the entrepreneur risks his or her career, personal cash flow and net worth

According to the model, for an entrepreneur to create a successful venture, they must balance three key components indicated earlier as elaborated here below:

1. **Opportunities:** rather than developing a perfect business plan, Timmons suggests that the entrepreneur's first and most important step is to identify and evaluate a solidly viable market opportunity, where after the business plan and funding will follow. Problems in the environment become opportunities for entrepreneurs.

As stated earlier, Timmons model dictates that the entrepreneurial process does not start with business plan, money, strategy, networks or team. The Timmons model believes

strongly that entrepreneurship is nothing but opportunity driven. Opportunities are more essential than the talent or competence of lead entrepreneur and the team because a right opportunity identified ensures long- term success of the business. A good idea does not necessarily bring about a great business. An excellent idea is found when product or services could be positioned to create or add values to customer, remains attractive, durable and timely. For example, quality problems in education created tutorial programs in residential areas for parents and their children. The shortage and problems of housemaids created daycare centers in residential areas for working mothers. These become a business in Ethiopian cities. Weaknesses in student textbook preparation in Ethiopian schools created the opportunity of preparing supplementary textbooks by business operators for which questions banks and solved problems are developed.

2. **Teams:** once an opportunity has been identified, it is critical to gather a good team of people to unlock the potential of the opportunity. Team members do have defined roles. For instance, the success of a football team is determined by the qualities of team members as goal keeper, defense, midfield and attacking teams. Likewise, people in the team have different roles, weaknesses and strengths. No one is complete in all aspects. Teams do have also evolutionary stages for maturity.

A highly effective lead entrepreneur should be able to put the best talent together after identifying the opportunity and gathering required resources. The sizes and the background of the team are contingent upon the size and nature of opportunity. According to Timmons model, a good team can lead to great success and a badly formed team can waste great idea which is disaster to any form of business. Among all resource, only a good team can unlock a high potential with any opportunity and manage the pressure related to growth.

The two major roles of the team, relative to the other critical factors are:

- Removing the ambiguity and uncertainty of the opportunity by applying creativity (inventiveness).
 - Providing leadership to manage the available resources in the most effective manner by interacting with exogenous (external) forces and the capital market context that keeps changing constantly.
3. **Resources:** finding and managing appropriate resources requires different skills than finding and managing good people, but it is equally important for eventual success. Resources may

include tangible and intangible resources. Knowledge, goodwill, information, etc., are intangible resources. Buildings, land, information technology, human resource, money, etc., are tangible resources.

Timmons suggests that balancing, or successfully juggling, these three dynamic factors is key to achieving business success. These factors are to be primarily managed through creativity, communication and leadership, to help bring the opportunity to a viable business model. Entrepreneurs, or aspiring entrepreneurs, tend to have a number of qualities that help them to identify a good market opportunity. These can include knowledge of the industry, the possible offering for the user, a sense of timing and how to enter the market, and the capacity to deal with changing situations and uncertainties. It is the entrepreneur's task to identify and capitalize on favorable events and take charge of the success equation.

As stated earlier, the Timmons model stimulates the focus on opportunities rather than threats or limitations. It brings an academically tested approach to creating new ventures, at least in concept, written down in a business plan, describing where the fits and gaps are among the three key factors of the model. It must be acknowledged that the model sees the creation of a venture as an evolutionary process. The three critical factors of entrepreneurship in the model (opportunities, team and resources) are therefore not easy to manage separately; changes in one factor have a strong influence on the other factors.

7.3 New Venture Expansion Strategies

7.3.1 Introduction

All successful small business startups eventually face the issue of handling business expansion or growth. Business expansion is a stage of a company's life that is troubled with both opportunities and perils. On the one hand, business growth often carries with it a corresponding increase in financial fortunes for owners and employees alike. In addition, expansion is usually seen as a validation of the entrepreneur's initial business startup idea, and of his or her subsequent efforts to bring that vision to fruition. But business expansion also presents the small business owner with myriad issues that have to be addressed. Growth causes a variety of changes, all of which present different managerial, legal, and financial challenges. Growth means that new employees will be hired who will be looking to the top management of the company for leadership. Growth means that the company's management will become less and less centralized, and this may raise

the levels of internal politics, protectionism, and disagreement over what goals and projects the company should pursue. Growth means that market share will expand, calling for new strategies for dealing with larger competitors. Growth also means that additional capital will be required, creating new responsibilities to shareholders, investors, and institutional lenders. Thus, growth brings with it a variety of changes in the company's structure, needs, and objectives. Given these realities the need of the organization to grow must be strengthened by the need to understand that meaningful, long-term objectives. Profitable growth is a by-product of effective management and planning of the three factors indicated.

7.3.2 Methods of Growth

Small businesses can expand their operations by pursuing any number of avenues. The most commonplace methods by which small companies increase their business are incremental in character, i.e., increasing product inventory or services rendered without making wholesale changes to facilities or other operational components. But usually, after some period of time, businesses that have the capacity and desire to grow will find that other options should be studied. Common routes of small business expansion include the following common options:

- Growth through acquisition of another existing business (almost always smaller in size),
- Offering franchise ownership to other entrepreneurs,
- Licensing of intellectual property to third parties, (license for the use of certain innovative models on fee basis may be given to certain companies). This is very common for Software products.
- Establishment of business agreements with distributorships and/or dealerships,
- Pursuing new marketing routes (such as catalogs),
- Joining industry cooperatives to achieve savings in certain common areas of operation, including advertising and purchasing,
- public stock offerings (selling shares to investors and to the general public),
- Employee stock ownership plans (entrepreneurs may give/sell shares to employees as incentive for motivation. Through this process, employee owned companies may be established. This is very common for social enterprises and among Chinese firms.

Of course, none of the above options should be pursued until the business's ownership has laid the necessary groundwork for growth. The growth process begins with an honest assessment of

strengths and weaknesses. Given those skills, the organization then identifies the key markets or types of future market opportunities the company is likely to capture. This, of course, raises another set of issues about how to best develop the structures and processes that will further enhance the organization's core capabilities. Once these structures and processes are identified and the long range planning completed, the business has a view of where it will be in three to five years and agreement on key strategies for building future business. One method of growth, namely organic business growth, is explained here.

7.3.3 The Ansoff Matrix – Growth Strategy

What is our business growth strategy in relation to new or existing markets and products?

The Ansoff Matrix is a strategic-planning tool that provides a framework to help executives, senior managers, and marketers devise strategies for future growth. It is named after Russian American Igor Ansoff, who came up with the concept. Ansoff suggested that there were effectively only two approaches to developing a growth strategy; through varying what is sold (product growth) and who it is sold to (market growth).

“When we are in peak, we make a ton of money, as soon as we make a ton of money; we are desperately looking for ways to spend it. And we diversify into areas that, frankly, we don’t know how to run very well,” thought Bill Ford, great grandson of Henry. Ford’s story is neither unique nor new and companies often choose sub-optimal growth paths.

Igor Ansoff created the product/market matrix to illustrate the inherent risks in four generic growth strategies as summarized here below:

1. **Market penetration / consumption** – the firm seeks to achieve growth with existing products in their current market segments, aiming to increase market share. This is a low risk strategy because of the high experience of the entrepreneur with the product and market.
2. **Market development** – the firm seeks growth by pushing its existing products into new market segments. Market development has medium to high risk.
3. **Product development** – the firm develops new products targeted to its existing market segments. This alternative growth strategy is characterized by medium to high risk due to lack of experience about the new product.
4. **Diversification** – the firm grows by developing new products for new markets. This is high risk option as entrepreneurs do not have experience about the product and the market.

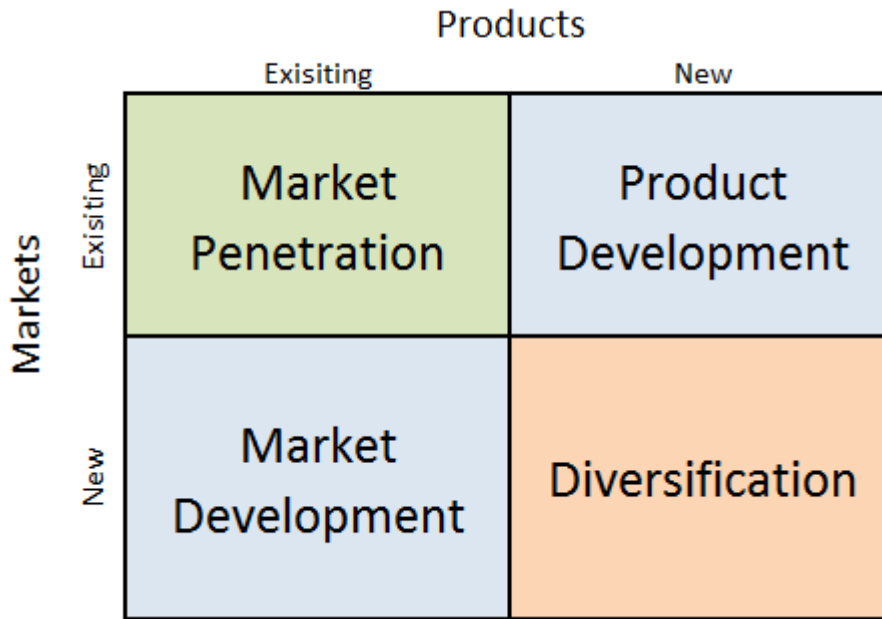


Figure 7.2 Ansoff's Matrix

7.3.3.1 Selecting a Product-Market Growth Strategy

I) Market penetration / consumption:

Market penetration and consumption covers products that are existent in an existing market. In this strategy, there can be further exploitation of the products without necessarily changing the product or the outlook of the product. This will be possible through the use of promotional methods, putting various pricing policies that may attract more customers, or one can make the distribution more extensive.

Market penetration or consumption can also be increased by coming up with various initiatives that will encourage increased usage of the product. A good example is the usage of toothpaste. Research has shown that the toothbrush head influences the amount of toothpaste that one will use. Thus if the head of the toothbrush is bigger it will mean that more toothpaste will be used thus promoting the usage of the toothpaste and eventually leading to more purchase of the toothpaste.

In market penetration / consumption, the risk involved is usually the least since the products are already familiar to the consumers and so is the established market.

II) Market development

In this strategy, the business sells its existing products to new markets. This can be made possible through further market segmentation to aid in identifying a new clientele base. This

strategy assumes that the existing markets have been fully exploited thus the need to venture into new markets. There are various approaches to this strategy, which include: new geographical markets, new distribution channels, new product packaging, and different pricing policies.

Going into new geographies could involve launching the product in a completely different market. A good example is Guinness. This beer had originally been made to be sold in countries that have a colder climate, but now it is also being sold in African countries including Ethiopia.

New distribution channels could entail selling the products via e-commerce or mail order. Selling through e-commerce may capture a larger clientele base since we are in a digital era where most people access the Internet often. In new product packaging, it means repacking the product in another method or dimension. That way it may attract a different customer base. In different pricing policies, the business could change its prices so as to attract a different customer base or create a new market segment.

III) Product development

With a product-development growth strategy, a new product is introduced into existing markets. Product development can be from the introduction of a new product in an existing market or it can involve the modification of an existing product. By modifying the product one could change its outlook or presentation, increase the product's performance or quality. By doing so, it can be more appealing to the existing market. A good example is car manufacturers who offer a range of car parts so as to target the car owners in purchasing additional products.

IV) Diversification

This growth strategy involves an organization marketing or selling new products to new markets at the same time. It is the most risky strategy as it involves two unknowns:

- New products are being created and the business does not know the development problems that may occur in the process.
- There is also the fact that there is a new market being targeted, which will bring the problem of having unknown characteristics.

For a business to take a step into diversification, they need to have their facts right regarding what it expects to gain from the strategy and have a clear assessment of the risks involved. There are two types of diversification – related diversification and unrelated diversification.

In related diversification, the business remains in the same industry in which it is currently operating. For example, a cake manufacturer diversifies into fresh-juice manufacturing. This diversification is within the food industry.

In unrelated diversification, there are usually no previous industry relations or market experiences. One can diversify from a food industry into the personal-care industry. A good example of the unrelated diversification is Richard Branson. He took advantage of the Virgin brand and diversified into various fields such as entertainment, air and rail travel, foods, etc. Sir Branson has more than 400 companies.

7.3.4 Expansion Issues

Whatever method a company chooses to utilize to expand—and whatever guiding strategy it chooses to employ its owners will likely face a combination of potentially frustrating issues as they try to grow their business in a smooth and productive manner. *Growth* means understanding, adjusting to, and managing a whole new set of challenges in essence, a very different business.

IX) Growing Too Fast

This is a common disease that strikes ambitious and talented entrepreneurs who have built a flourishing business that meets a strong demand for a specific set of goods and/or services. Success is wonderful, of course, but rapid growth can sometimes overwhelm the ill-prepared business owner. Companies growing at hyper-speed sometimes pay a steep price for their success. According to management experts, controlling fast-track growth and the problems that come with it can be one of the most frightening tasks an entrepreneur will face. This problem most often strikes on the operational end of a business. Demand for a product will outpace production capacity, for example. Effective research and long range planning can do a lot to relieve the problems often associated with rapid business expansion.

X) Recordkeeping and Other Infrastructure Needs

It is essential for small businesses that are undergoing expansion to establish or update systems for monitoring cash flow, tracking inventories and deliveries, managing finances, tracking human resources information, and myriad other aspects of the rapidly expanding business operation. In addition, growing enterprises often have to invest in more sophisticated communication systems in order to provide adequate support to various business operations.

XI) Expansion Capital

Small businesses experiencing growth often require additional financing. Finding expansion capital can be a frustrating experience for the ill-prepared entrepreneur, but for those who plan ahead, it can be far less painful. Businesses should revise their business plan on an annual basis and update marketing strategies accordingly so that you are equipped to secure financing under the most advantageous terms possible.

XII) Personnel Issues

Growing companies will almost always have to hire new personnel to meet the demands associated with new production, new marketing campaigns, new recordkeeping and administrative requirements, etc. Careful hiring practices are always essential, but they are even more so when a business is engaged in a sensitive period of expansion.

Business expansion also brings with it increased opportunities for staff members who were a part of the business in its early days. The entrepreneur who recognizes these opportunities and delegates responsibilities appropriately can go far toward satisfying the desires of employees who want to grow in both personal and professional capacities. But, small business owners also need to recognize that business growth often triggers the departure of workers who are either unable or unwilling to adjust to the changing business environment. Indeed, some employees prefer the more relaxed, family-type atmosphere that is prevalent at many small business establishments to the more business-like environment that often accompanies periods of growth. Entrepreneurs who pursue a course of ambitious expansion may find that some of their most valuable and well-liked employees decide to instead take a different path with their lives.

XIII) Customer Service

Good customer service is often a significant factor in small business success, but ironically it is also one of the first things that tends to fall by the roadside when business growth takes on a hectic flavor. When the workload increases tremendously, there's a feeling of being overwhelmed. And sometimes you have a hard time getting back to clients in a timely fashion. So the very customer service that caused your growth in the first place becomes difficult to sustain. Under such scenarios, businesses not only have greater difficulty retaining existing clients, but also become less effective at securing new business. A key to minimizing such developments is to maintain adequate staffing levels to ensure that customers receive the attention and service they demand (and deserve).

XIV) Disagreements among Ownership

On many occasions, ownership arrangements that functioned fairly effectively during the early stages of a company's life can become increasingly problematic as business issues become more complex and divergent philosophies emerge. For example, one or more of the cofounders are unable to keep pace with the level of sophistication or business wisdom that the company now requires. Such a cofounder is no longer making a significant contribution to the business and in essence has become 'obsolete.' It's even harder when the obsolete partner is a close friend or family member. In this case, you need to ask: Will the obsolete cofounder's ego allow for a position of diminished responsibility? Can our overhead continue to keep him or her on staff?" Another common scenario that unfolds during times of business growth is that the owners realize that they have profoundly different visions of the company's future direction. One founder may want to devote resources to exploring new marketing niches, while the other may be convinced that consolidation of the company's presence in existing markets is the way to go. In such instances, the departure of one or more partners may be necessary to establish a unified direction for the growing company.

XV) Family Issues

Embarking on a strategy of aggressive business expansion typically entails an extensive sacrifice of time and often of money on the part of the owner (or owners). But as many growing companies especially those founded by younger entrepreneurs, are established at a time when all of the cofounders are either unmarried or in the early stages of a marriage. As the size of the company grows, so does the size of the cofounder's family. Cofounders with young children may feel pressure to spend more time at home, but their absence will significantly cut their ability to make a continuous, valuable contribution to the company's growth. Entrepreneurs thinking a strategy of business growth, then, need to decide whether they are willing to make the sacrifices that such initiatives often require.

XVI) Transformation of Company Culture

As companies grow, entrepreneurs often find it increasingly difficult for them to keep the business grounded on the bedrock values that were instituted in its early days. Owners are ultimately the people that are most responsible for communicating those values to employees. But as staff size increases, markets grow, and deadlines proliferate, that responsibility gradually falls by the edge and the company culture becomes one that is far different from the one that was

in place and enjoyed just a few short years ago. Entrepreneurs need to make sure that they stay attentive to their obligations and role in shaping company culture.

XVII) Changing Role of Owner At The Initial State

You have few employees; you're doing lots of things yourself. But when a company experiences its first real surge of growth, it's time for you to change what you do. You need to become a CEO—that is, the leader, the strategic thinker, and the planner—and to delegate day-to-day operations to others. Moreover, as businesses grow in size they often encounter problems that increasingly require the experience and knowledge of outside people. Entrepreneurs guiding growing businesses have to be willing to solicit the expertise of accounting and legal experts where necessary, and they have to recognize their shortcomings in other areas that assume increased importance with business expansion.

7.3.5 Choosing not to Grow

Small business owners choose not to expand their operations even though they have ample opportunity to do so. For many small business people, the greatest satisfactions in owning a business, which often include working closely with customers and employees, inevitably diminish as the business grows and the owner's role changes. Many entrepreneurs would rather limit growth than give up those satisfactions. Other successful small business owners, meanwhile, simply prefer to avoid the headaches that inevitably occur with increases in staff size, etc. And many small business owners choose to maintain their operations at a certain level because it enables them to devote time to family and other interests that would otherwise be allocated to expansion efforts.

7.4 Business Ethics and Social Responsibility

Learning Objectives

- Define and discuss the three main theories of corporate social responsibility (CSR).
- Explain why CSR ultimately benefits both companies and their stakeholders.

7.4.1 Introduction

Business organizations, as established by their entrepreneurs, are expected to do their businesses in a sustainable and ethical manner. For this there are certain theories that we should understand.

These theories have been evolving through time as business practices mature and grow as well as societal and government influence increase.

7.4.2 Three Approaches to Corporate Responsibility

According to the traditional view of the corporation, it exists primarily to make profits supported by stockholder theory. From this money-centered perspective, insofar as business ethics are important, they apply to moral dilemmas arising as the struggle for profit proceeds. These dilemmas include: “What obligations do organizations have to ensure that individuals seeking employment or promotion are treated fairly?” “How should conflicts of interest be handled?” and “What kind of advertising strategy should be pursued?” “What pricing strategy should be pursued?”

While these dilemmas continue to be important throughout the economic world, when businesses are conceived as holding a wide range of economic and civic responsibilities as part of their daily operation, the field of business ethics expands correspondingly. Now there are large sets of issues that need to be confronted and managed outside of and independent of the struggle for money. Broadly, there are three theoretical approaches to these new responsibilities:

1. Corporate social responsibility (CSR)
2. The triple bottom line
3. Stakeholder theory

Corporate Social Responsibility (CSR)

The title corporate social responsibility has two meanings. First, it’s a general name for any theory of the corporation that emphasizes both the responsibility to make money and the responsibility to interact ethically with the surrounding community. Second, corporate social responsibility is also a specific conception of that responsibility to profit while playing a role in broader questions of community welfare. For its definition, CRS is a philosophy in which the company’s expected actions include not only producing a reliable product, charging a fair price with fair profit margins, and paying a fair wage to employees, but also caring for the environment and acting on other social concerns.

As a specific theory of the way corporations interact with the surrounding community and larger world, corporate social responsibility (CSR) is composed of four obligations:

-
1. **The economic responsibility to make money.** Required by simple economics, this obligation is the business version of the human survival instinct (to live we have to eat). Companies that don't make profits are in a modern market economy doomed to perish. Of course there are special cases. Nonprofit organizations make money (from their own activities as well as through donations and grants), but pour it back into their work. Also, public/private hybrids can operate without turning a profit. In some cities, trash collection is handled by this kind of organization, one that keeps the streets clean without (at least theoretically) making anyone rich. For the vast majority of operations, however, there have to be profits. Without them, there's no business and no business ethics.
 2. **The legal responsibility** to adhere to rules and regulations. Like the previous, this responsibility is not controversial. What proponents of CSR argue, however, is that this obligation must be understood as a proactive duty. That is, laws aren't boundaries that enterprises skirt and cross over if the penalty is low; instead, responsible organizations accept the rules as a social good and make good faith efforts to obey not just the letter but also the spirit of the limits. In concrete terms, this is the difference between the driver who stays under the speed limit because he can't afford a traffic ticket, and one who obeys because society as a whole is served when we all agree to respect the signs and stoplights and limits.
 3. **The ethical responsibility** to do what's right even when not required by the letter or spirit of the law. This is the theory's keystone obligation, and it depends on a coherent corporate culture that views the business itself as a citizen in society, with the kind of obligations that citizenship normally entails. When someone is racing their Porsche along a country road on a freezing winter's night and encounters another driver stopped on the roadside with a flat, there's a social obligation to do something, though not a legal one. The same logic can work in the corporate world. Many industrial plants produce, as an unavoidable part of their fabricating process, poisonous waste. Think of a plant producing toxin in the manufacturing process. The law governing toxic waste disposal may be ambiguous, but even if the companies are not legally required to enclose their poisons in double-encased, leak-proof barrels, isn't that the right thing to do so as to ensure that the contamination will be safely contained? True, it might not be the right thing to do in terms of pure profits, but from a perspective that values everyone's welfare as being valuable, the measure could be recommendable.

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4. **The philanthropic responsibility** to contribute to society's projects even when they're independent of the particular business. A lawyer driving home from work may spot the local children gathered around an impoverished area stand and sense an obligation to buy food to contribute to the neighborhood project. Similarly, a law firm may volunteer access to their offices for an afternoon every year so some local schoolchildren may take a field trip to discover what lawyers do all day. An industrial chemical company may take the lead in rehabilitating an empty lot into a park. None of these acts arise as obligations extending from the day-to-day operations of the business involved. They're not like the responsibility a chemical firm has for safe disposal of its waste. Instead, these public acts of generosity represent a view that businesses, like everyone in the world, have some obligation to support the general welfare in ways determined by the needs of the surrounding community.

The Triple Bottom Line

The triple bottom line is a form of corporate social responsibility dictating that corporate leaders formulate bottom-line results not only in economic terms (costs versus revenue) but also in terms of company effects in the social realm, and with respect to the environment. There are two keys to this idea. First, the three columns of responsibility must be kept separate, with results reported independently for each. Second, in all three of these areas, the company should obtain sustainable results.

The notion of sustainability is very specific. At the intersection of ethics and economics, sustainability means the long-term maintenance of balance. As elaborated by here below how the balance is defined and achieved economically, socially, and environmentally:

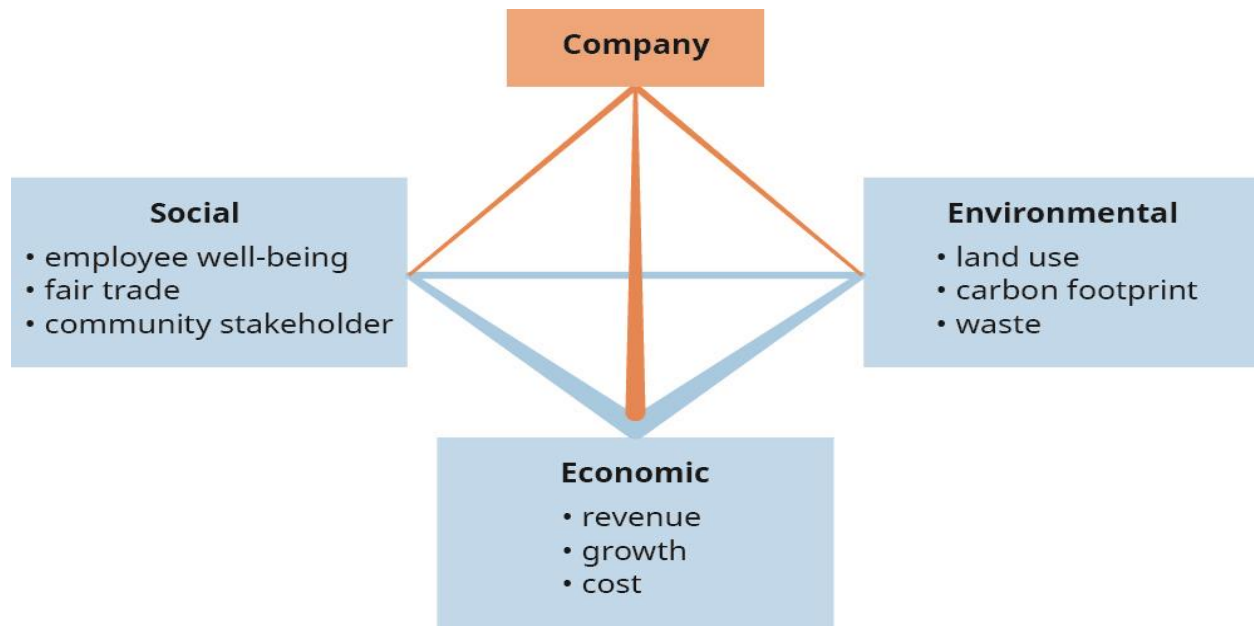


Figure 7.3 Triple bottom lines

- **Economic sustainability** values long-term financial solidity over more volatile, short-term profits, no matter how high. According to the triple-bottom-line model, corporations have a responsibility to create business plans allowing stable and prolonged action. That bias in favor of duration should make companies hesitant about investing in things like dot-coms. While it's true that speculative ventures may lead to windfalls, they may also lead to collapse. Silicon Valley, California, for example, is full of small, start-up companies. A few will convert into the next Google, Apple, and Microsoft. What gets left out, however, of the newspaper reports hailing the accomplishments of a Steve Jobs or a Bill Gates are all those other people who never made it—all those who invested family savings in a project that ended up bankrupt. Sustainability as a virtue means valuing business plans that may not lead to quick riches but that also avoid disastrous losses.
- **Social sustainability** values balance in people's lives and the way we live. A world in which a few Fortune 500 executives are moving down millions a year, while millions of people elsewhere in the world are living on pennies a day can't go on forever. As the imbalances grow, as the rich get richer and the poor get both poorer and more numerous, the chances that society itself will collapse in anger and revolution increase. The threat of governmental overthrow from below sounds remote almost absurd for powerful nations such as to Americans who are accustomed to a solid middle class and minimal resentment of the wealthy. In world history, however, such revolutions are quite common. That doesn't mean

revolution is coming to our time's developed nations. It may indicate, however, that for a business to be stable over the long term, opportunities and subsequently wealth need to be spread out to cover as many people as possible.

The **fair trade movement** fits this ethical imperative to shared opportunity and wealth. Developed and refined as an idea in Europe in the 1960s, organizations promoting fair trade ask businesses—especially large producers in the richest countries to guarantee that suppliers in impoverished nations receive reasonable payment for their goods and services even when the raw economic laws of supply and demand don't require it. An array of ethical arguments may be arranged to support fair trade, but on the front of sustainability, the lead argument is that peace and order in the world depend on the world's resources being divided up in ways that limit greed, resentment, and anger. For instance, there is a fair trade practice for specialty coffee from Ethiopian farmers to markets of developed nations. Ethiopian coffee farmers, through specialty coffee as certified, get more than 30% than the prices of normal coffee.

Social sustainability doesn't end with dollars; it also requires human respect. All work, the logic of stability dictates, contains dignity, and no workers deserve to be treated like machines or as expendable tools on a production line. In today's capitalism, many see—and the perception is especially strong in Europe a world in which dignity has been stripped away from a large number of trades and professions.

Finally, social sustainability requires that corporations as citizens in a specific community of people maintain a healthy relationship with those people. Corporations should not affect the health of community negatively.

- **Environmental sustainability** begins from the affirmation that natural resources—especially the oil fueling engines, the clean air we breathe, and the water we drink—are limited. If those things deteriorate significantly, our children won't be able to enjoy the same quality of life most of us experience. Conservation of resources, therefore, becomes tremendously important, as does the development of new sources of energy that may substitute those we're currently using.

Further, the case of an industrial chemical company pouring toxins into the ground that erupt years later with horrific consequences evidences this: not only are resources finite, but our earth is limited in its ability to naturally regenerate clean air and water from the pipes and runoff of our industries. There are, clearly, good faith debates that thoughtful people can have about where

those limits are. For example, have we released greenhouse gases into the air so heavily that the earth's temperature is rising? No one knows for sure, but it's certain that somewhere there's a limit; at some point carbon-burning pollution will do to the planet: make the place unlivable. Sustainability, finally, on this environmental front means actions must be taken to facilitate our natural world's renewal. Recycling or cleaning up contamination that already exists is important here, as is limiting the pollution emitted from factories, cars, and consumer products in the first place. All these are actions that corporations must support, not because they're legally required to do so, but because the preservation of a livable planet is a direct obligation within the triple-bottom-line model of business responsibility.

Together, these three notions of sustainability economic, social, and environmental guide businesses toward actions fitted to the conception of the corporation as a participating citizen in the community and not just as a money machine.

One deep difference between corporate social responsibility and the triple bottom line is cultural. The first is more American, the second European. Americans, accustomed to economic progress, tend to be more comfortable with, and optimistic about, change. Collectively, Americans want business to transform the world, and ethical thinking is there (hopefully) to help the transformations maximize improvement across society. Europeans, accustomed to general economic decline with respect to the United States, view change much less favorably. Their inclination is to slow development down, and to keep things the same as far as possible. This outlook is naturally suited to sustainability as a guiding value.

Stakeholder Theory

Stakeholder theory, which has been described by Edward Freeman and others, is the mirror image of corporate social responsibility. Instead of starting with a business and looking out into the world to see what ethical obligations are there, stakeholder theory starts in the world. It lists and describes those individuals and groups who will be affected by (or affect) the company's actions and asks, "What are their legitimate claims on the business?" "What rights do they have with respect to the company's actions?" and "What kind of responsibilities and obligations can they justifiably impose on a particular business?" In a single sentence, stakeholder theory affirms that those whose lives are touched by a corporation hold a right and obligation to participate in directing it.

As a simple example, when a factory produces industrial waste, a CSR perspective attaches a responsibility directly to factory owners to dispose of the waste safely. By contrast, a stakeholder theorist begins with those living in the surrounding community who may find their environment poisoned, and begins to talk about business ethics by insisting that they have a right to clean air and water. Therefore, they're stakeholders in the company and their voices must contribute to corporate decisions. It's true that they may own no stock, but they have a moral claim to participate in the decision-making process. This is a very important point. At least in theoretical form, those affected by a company's actions actually become something like shareholders and owners. Because they're touched by a company's actions, they have a right to participate in managing it.

Who are the stakeholders surrounding companies? The answer depends on the particular business, but the list can be quite extensive. If the enterprise produces chemicals for industrial use and is located in a small town, the stakeholders and their interests in parentheses include:

- Company owners, whether a private individual or shareholders, (reasonable profit)
- Company workers (reasonable salaries that enable them to live decent lives),
- Customers and potential customers of the company (quality products at fair prices),
- Suppliers and potential suppliers to the company (fair prices for their inputs),
- Everyone living in the town who may be affected by contamination from workplace operations,
- Creditors whose money or loaned goods are mixed into the company's actions,
- Government entities involved in regulation and taxation (fair tax),
- Local businesses that cater to company employees (restaurants where workers have lunch, grocery stores where employee families shop, and similar),
- Other companies in the same line of work competing for market share (fair competition for competitiveness of the industry),

The outer limits of stake-holding are blurry. In an abstract sense, it's probably true that everyone in the world counts as a stakeholder of any serious factory insofar as we all breathe the same air and because the global economy is so tightly linked that decisions taken in a boardroom in a small town on the East Coast can end up costing someone in India her job and the effects keep rippling out from there.

In practical terms, however, a strict stakeholder theory—one insistently bestowing the power to make ethical claims on anyone affected by a company's action—would be inoperable. There'd be no end to simply figuring out whose rights needed to be accounted for. Realistically, the stakeholders surrounding a business should be defined as those tangibly affected by the company's action. There ought to be an unbroken line that you can follow from a corporate decision to an individual's life.

Once a discrete set of stakeholders surrounding an enterprise has been located, **stakeholder ethics may begin**. The purpose of the firm, underneath this theory, is to maximize profit on a collective bottom line, with profit defined not as money but as human welfare. The collective bottom line is the summed effect of a company's actions on all stakeholders. Company managers, that means, are primarily charged not with representing the interests of shareholders (the owners of the company) but with the more social task of coordinating the interests of all stakeholders, balancing them in the case of conflict and maximizing the sum of benefits over the medium and long term. Corporate directors, in other words, spend part of the day just as directors always have: explaining to board members and shareholders how it is that the current plans will boost profits. They spend other parts of the day, however, talking with other stakeholders about their interests: they ask for input from local environmentalists about how pollution could be limited, they seek advice from consumers about how product safety could be improved and so on. At every turn, stakeholders are treated (to some extent) like shareholders, as people whose interests need to be served and whose voices carry real force.

In many cases transparency is an important value for those promoting stakeholder ethics. The reasoning is simple: if you're going to let every stakeholder actively participate in a corporation's decision making, then those stakeholders need to have a good idea about what's going on. The theory demands that all those who may be affected know what's being dumped, what the risks are to people and the environment, and what the costs are of taking the steps necessary to dispose of the chemical runoff more permanently and safely.

7.4.3 Business Ethics Principles

There are certain universal ethical principles that managers of enterprises must adhere to. Ethical values, translated into active language establishing standards or rules describing the kind of behavior an ethical person should and should not engage in, are ethical principles. The following

list of principles incorporates the characteristics and values that most people associate with ethical behavior.

1. **Honesty.** Ethical executives are honest and truthful in all their dealings and they do not deliberately mislead or deceive others by misrepresentations, overstatements, partial truths, selective omissions, or any other means.
2. **Integrity.** Ethical executives demonstrate personal integrity and the courage of their convictions by doing what they think is right even when there is great pressure to do otherwise; they are principled, honorable and upright; they will fight for their beliefs. They will not sacrifice principle for suitability, be hypocritical, or unscrupulous.
3. **Promise-Keeping & Trustworthiness.** Ethical executives are worthy of trust. They are candid and forthcoming in supplying relevant information and correcting misapprehensions of fact, and they make every reasonable effort to fulfill the letter and spirit of their promises and commitments. They do not interpret agreements in an unreasonably technical or legalistic manner in order to rationalize non-compliance or create justifications for escaping their commitments.
4. **Loyalty.** Ethical executives are worthy of trust, demonstrate fidelity and loyalty to persons and institutions by friendship in adversity, support and devotion to duty; they do not use or disclose information learned in confidence for personal advantage. They safeguard the ability to make independent professional judgments by scrupulously avoiding undue influences and conflicts of interest. They are loyal to their companies and colleagues and if they decide to accept other employment, they provide reasonable notice, respect the proprietary information of their former employer, and refuse to engage in any activities that take undue advantage of their previous positions.
5. **Fairness.** Ethical executives are fair and just in all dealings; they do not exercise power arbitrarily, and do not use overreaching nor offensive means to gain or maintain any advantage nor take undue advantage of another's mistakes or difficulties. Fair persons manifest a commitment to justice, the equal treatment of individuals, tolerance for and acceptance of diversity, they are open-minded; they are willing to admit they are wrong and, where appropriate, change their positions and beliefs.

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6. **Concern for Others.** Ethical executives are caring, compassionate, benevolent and kind; they like the **Golden Rule**, help those in needs, and seek to accomplish their business objectives in a manner that causes the least harm and the greatest positive good.
 7. **Respect for Others.** Ethical executives demonstrate respect for the human dignity, autonomy, privacy, rights, and interests of all those who have a stake in their decisions; they are courteous and treat all people with equal respect and dignity regardless of sex, race or national origin.
 8. **Law Abiding.** Ethical executives abide by laws, rules and regulations relating to their business activities.
 9. **Commitment to Excellence.** Ethical executives pursue excellence in performing their duties, are well informed and prepared, and constantly endeavor to increase their proficiency in all areas of responsibility.
 10. **Leadership.** Ethical executives are conscious of the responsibilities and opportunities of their position of leadership and seek to be positive ethical role models by their own conduct and by helping to create an environment in which principled reasoning and ethical decision making are highly prized.
 11. **Reputation and Morale.** Ethical executives seek to protect and build the company's good reputation and the morale of its employees by engaging in no conduct that might undermine respect and by taking whatever actions are necessary to correct or prevent inappropriate conduct of others.
 12. **Accountability.** Ethical executives acknowledge and accept personal accountability for the ethical quality of their decisions and omissions to themselves, their colleagues, their companies, and their communities.

7.5 Summary

1. Entrepreneurs must be able to manage controllable factors and understand the external and uncontrollable variables. The external environment is the source of opportunities. Problems in societies are opportunities for business.
2. There are many methods of growth, the internal growth strategy may be simple to implement in Ethiopia. But, there are limited government regulations for other methods such as acquisition and merger.

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3. The Ansoff matrix gives managers a framework for surveying all the initiatives the business has under way – how many are being pursued in each realm and how much investment is going to each type, and also allows managers to understand the risks and thus probability of success of each initiative.
 4. Entrepreneurs must be able to understand the obstacles for growth.
 5. Corporations may have obligations that go beyond generating profits and include the larger society.
 6. Corporate social responsibility as a specific theory affirms that corporations are entities with economic, legal, ethical, and philanthropic obligations.
 7. Corporations responsible for a triple bottom line seek sustainability in the economic, social, and environmental realms.
 8. Corporate ethics built on stakeholder theory seek to involve all those affected by the organization in its decision-making process. Ethical principles are guides for decision making in business.

7.6 Review Questions

1. Conduct interview with business owner such as Café or Restaurant around your locality. What are the challenges for growth of his/her business?
2. For corporate advocates of the specific CSR theory, what are the responsibilities the corporation holds, and how are conflicts between those responsibilities managed?
3. Create a hypothetical situation in which philanthropy would not be required of a corporation by CSR theory.
4. What does sustainability mean within each of the three columns of the theory of the triple bottom line?
5. How does the fair trade movement fit together with the triple-bottom-line theory of corporate responsibility?
6. Who are the stakeholders in stakeholder ethics?
7. What does it mean for a corporate director to “balance stakeholder interests”?
8. What basic elements do CSR, the triple bottom line, and stakeholder theory have in common?
9. What do you want to say about the ethical practices of business around your community? Why?

CHAPTER ONE

INTRODUCTION TO MIS

1.1. Definition and Importance of MIS

In the world we live in today, information has become one of the most important factors that could make difference in business endeavors, being a determinant factor for business success and failure and the 21st c is also known as the information age.

❖ Definitions of the terms that makeup MIS

Management: - is the art of getting things done through and with the people in formally organized groups. The basic functions performed by a manger in an organization are; planning, staffing, organizing and directing,

Information: - is a data that is processed and is presented in a form which assists decision makers.

System: - a system is defined as a set of elements which are joined together to achieve a common objective. The elements are interrelated and interdependent.

Hence, MIS's are an integrated set of components (comprised of) hardware, software, procedures, users and communication networks) for collecting, storing, processing and communicating information that allows mangers to make decisions for the successful operation of businesses. MIS have the goal of delivering information and providing flexible and speedy access of information to mangers at different levels.

Information systems

An information system (IS) can be defined as any organized combination of people, hardware, software, communications networks, data resources, and policies and procedures that stores, retrieves, transforms, and disseminates information in an organization. People rely on modern information systems to communicate with one another using a variety of physical devices (*hardware*), information processing instructions and procedures (*software*), communications channels (*networks*), and stored data (*data resources*).

An information system can be defined technically as a set of interrelated components that collect (or retrieve), process, store, and distribute information to support decision making and control in an organization.

In addition to supporting decision making, coordination, and control, information systems may also help managers and workers analyze problems, visualize complex subjects, and create new products.

Components of Information Systems

An information system depends on the resources of people (end users and IS specialists), hardware (machines and media), software (programs and procedures), data (data and knowledge bases), and networks (communications media and network support) to perform input, processing, output, storage, and control activities that transform data resources into information products.

Information System Resources

FIGURE 1.20

Examples of information system resources and products.

Information System Resources and Products
People Resources Specialists—systems analysts, software developers, systems operators. End Users—anyone else who uses information systems.
Hardware Resources Machines—computers, video monitors, magnetic disk drives, printers, optical scanners. Media—floppy disks, magnetic tape, optical disks, plastic cards, paper forms.
Software Resources Programs—operating system programs, spreadsheet programs, word processing programs, payroll programs. Procedures—data entry procedures, error correction procedures, paycheck distribution procedures.
Data Resources Product descriptions, customer records, employee files, inventory databases.
Network Resources Communications media, communications processors, network access, control software.
Information Products Management reports and business documents using text and graphics displays, audio responses, and paper forms.

Information Technology: Information technology (IT): is a set of Hardware, software, databases and networks and are used to build information systems (e.g. marketing systems, inventory control systems, payroll processing systems)

Why Information Systems?

We are in the midst of a swiftly moving river of technology and business innovations that is transforming the global business landscape. An entirely new Internet business culture is emerging with profound implications for the conduct of business.

Information technologies and information systems are revolutionizing the operation of firms, industries, and markets. The main objective of this course is to describe the nature of this transformation and to help you as a future manager take advantage of the emerging opportunities.

Let's start by examining why information systems and information technology (IT) are so important. There are four reasons why IT will make a difference to you as a manager throughout your career.

a. IT requires a capital management

b. IT is a foundation of doing business: Managers and workers rely on IT to carry out their daily tasks in almost all industries globally. Moreover, all of e-commerce would be impossible without substantial IT investments, and firms such as Amazon, eBay, Google would not survive without IT. Today's service industries—finance, insurance, real estate could not operate without IT. Increasing market share, becoming the high-quality or low-cost producer, developing new products, and increasing employee productivity depend more and more on the kinds and quality of information systems in the organization.

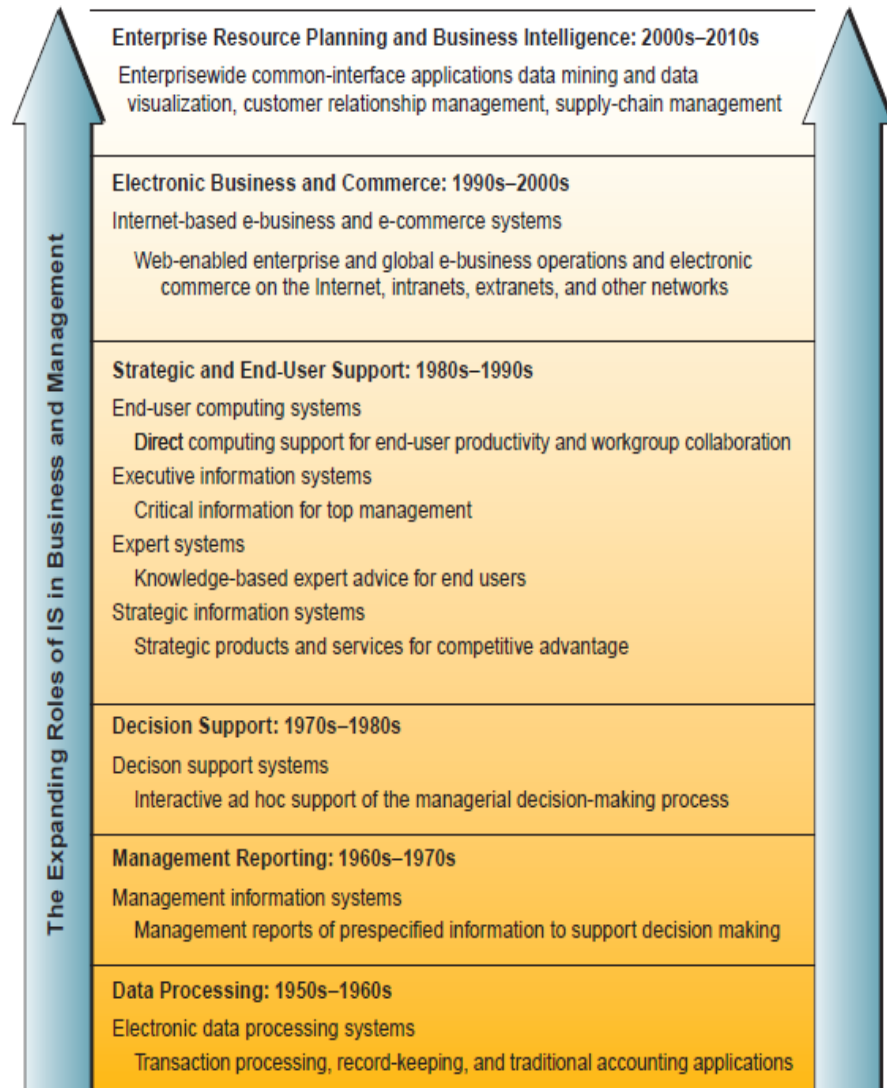
c. IT brings strategic opportunity and advantage to firms: If you want to take advantage of new opportunities in markets, develop new products, and create new services, chances are quite high you will need to make substantial investments in IT to realize these new business opportunities.

Trends in Information Systems

The business applications of information systems have expanded significantly over the years. The below figure summarizes these changes.

FIGURE 1.4

The expanding roles of the business applications of information systems. Note how the roles of computer-based information systems have expanded over time. Also, note the impact of these changes on the end users and managers of an organization.



✚ **Transaction processing systems (TPS)** - are the basic business systems that serve the operational level of the organization. A transaction processing system is a computerized system that performs and records the daily routine transactions necessary to conduct business. Examples are sales order entry, hotel reservation systems, payroll, employee record keeping, and shipping.

✚ **Management information systems (MIS)** - Management information systems (MIS) serve the management level of the organization, providing managers with reports and often online access to the organization's current performance and historical records. Typically, MIS primarily serve the functions of planning, controlling, and decision making at the management level. Generally, they depend on underlying transaction processing systems for their data.

✚ **Decision support systems (DSS)** - Decision-support systems (DSS) also serve the management level of the organization. DSS help managers make decisions that are unique, rapidly changing, and not easily specified in advance. They address problems where the procedure for arriving at a solution may not be fully predefined in advance.

Although DSS use internal information from TPS and MIS, they often bring in information from external sources, such as current stock prices or product prices of competitors. Clearly, by design, DSS have more analytical power than other systems. They use a variety of models to analyze data, or they condense large amounts of data into a form in which they can be analyzed by decision makers.

DSS are designed so that users can work with them directly; these systems explicitly include user-friendly software. DSS are interactive; the user can change assumptions, ask new questions, and include new data.

✚ **Executive information systems** – Senior managers use executive support systems (ESS) to help them make decisions. ESS's serve the strategic level of the organization. They address non-routine decisions requiring judgment, evaluation, and insight because there is no agreed-on procedure for arriving at a solution. ESS's are designed to incorporate data about external events, such as new tax laws or competitors, but they also draw summarized information from internal MIS and DSS. They filter, compress, and track critical data, displaying the data of greatest importance to senior managers.

✚ **Expert systems (ES)** – Knowledge-based systems that provide expert advice and act as expert consultants to users. Examples: credit application advisor, process monitor,

and diagnostic maintenance systems. They were facilitated through the breakthroughs that occurred in the development and application of artificial intelligence (AI) techniques to business information systems.

Today's systems include intelligent software agents that can be programmed and deployed inside a system to act on behalf of their owner, system functions that can adapt themselves on the basis of the immediate needs of the user, virtual reality applications, advanced robotics, natural language processing, and a variety of applications for which artificial intelligence can replace the need for human intervention, thus freeing up knowledge workers for more complex tasks.

 **Enterprise Resource Planning Systems-** The mid- to late 1990s saw the revolutionary emergence of *enterprise resource planning* (ERP) systems.

This organization-specific form of a strategic information system integrates all facets of a firm, including its planning, manufacturing, sales, resource management, customer relations, inventory control, order tracking, financial management, human resources, and marketing—virtually every business function. The primary advantage of these ERP systems lies in their common interface for all computer-based organizational functions and their tight integration and data sharing, necessary for flexible strategic decision making.

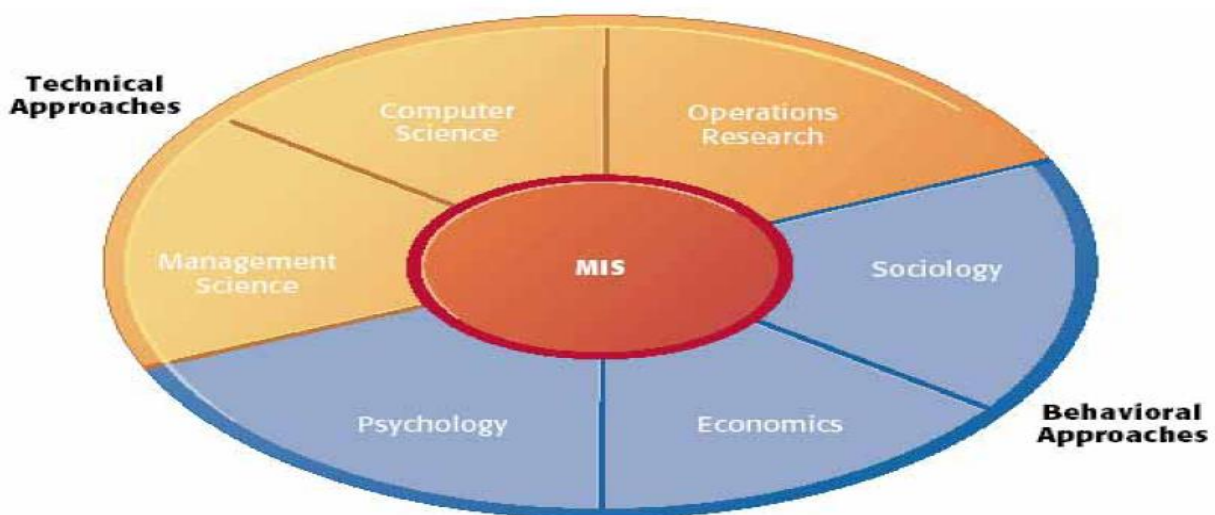
Finally, the rapid growth of the Internet, intranets, extranets, and other interconnected global networks in the 1990s dramatically changed the capabilities of information systems in business at the beginning of the 21st century. Further, a fundamental shift in the role of information systems occurred. Internet-based and Web-enabled enterprises and global e-business and e-commerce systems are becoming commonplace in the operations and management of today's business enterprises.

1.3. Contemporary Approaches to MIS

These are the views of scholars in different areas of study. The views are the reflections of scholars on how they understand the functions and applications of information systems

Multiple perspectives on information systems show that the study of information systems is a multidisciplinary field. No single theory or perspective dominates. The below figure illustrates the major disciplines that contribute problems, issues, and solutions in the study of information systems.

In general, the field can be divided into technical and behavioral approaches. Information systems are socio-technical systems. Though they are composed of machines, devices, and “hard” physical technology, they require substantial social, organizational, and intellectual investments to make them work properly.



Contemporary approaches to information systems

The study of information systems deals with issues and insights contributed from technical and behavioral disciplines.

1. Technical Approach

The technical approach to information systems emphasizes mathematically based models to these systems. The disciplines that contribute to the technical approach are computer science, management science, and operations research.

Computer science is concerned with establishing theories of computability, methods of computation, and methods of efficient data storage and access. Management science emphasizes the development of models for decision-making and management practices. Operations research focuses on mathematical techniques for optimizing selected

parameters of organizations, such as transportation, inventory control, and transaction costs.

2. Behavioral Approach

An important part of the information systems field is concerned with behavioral issues that arise in the development and long-term maintenance of information systems. Issues such as strategic business integration, design, implementation, utilization, and management cannot be explored usefully with the models used in the technical approach. Other behavioral disciplines contribute important concepts and methods. For instance, sociologists study information systems with an eye toward how groups and organizations shape the development of systems and also how systems affect individuals, groups, and organizations. Psychologists study information systems with an interest in how human decision makers perceive and use formal information. Economists study information systems with an interest in what impact systems have on control and cost structures within the firm and within markets.

The behavioral approach does not ignore technology. Indeed, information systems technology is often the stimulus for a behavioral problem or issue. But the focus of this approach is generally not on technical solutions. Instead, it concentrates on changes in attitudes, management and organizational policy, and behavior.

3. Socio Technical Systems

The study of management information systems (MIS) arose in the 1970s to focus on the use of computer-based information systems in business firms and government agencies.

MIS combines the work of computer science, management science, and operations research with a practical orientation toward developing system solutions to real-world problems and managing information technology resources. It is also concerned with behavioral issues surrounding the development, use, and impact of information systems, which are typically discussed in the fields of sociology, economics, and psychology.

Adopting a socio technical systems perspective helps to avoid a purely technological or purely behavioral approach to information systems. The socio technical approach states

that technology must be changed and designed in such a way as to fit organizational and individual needs.

The evolution of the information age			
	Agriculture age	Industrial age	Information age
Time period	Pre 1800s	1800s to 1957	1957 to present
Majority of workers	Farmers	Factory workers	Knowledge workers
Partnership	People and land	People and machines	People and people
Principal tool	Hand tools	Machines	Information technology

The Evolution and Characteristics of the Information age

- **Agricultural age:** the period up to the 1800s, when the majority of workers were farmers whose lives revolved around agriculture
- **Industrial age:** the period from the 1800s to 1957, when work processes were simplified through mechanization and automation
- **Information age:** the period that began in 1957, in which the majority of workers are involved in the creation, distribution, and application of information
- **Knowledge workers:** workers involved in the creation, distribution, and application of information.

The information age is characterized by having an information society: a society in which more people work at handling information than at agriculture and manufacturing combined. Businesses also depend on information technology to get their work done. In the information age, success in business is largely determined by the effectiveness with which information technology is used. The information age was promoted as a result of the rapid growth in information and communication technology in the 20th c.

- The core drivers of the information age are: data, information, business intelligence and knowledge

Data: raw facts that describe the characteristics of an event or object

Information: data converted into a meaningful and useful context

Business Intelligence: information collected from multiple sources such as suppliers, customers, competitors, partners, and industries that analyze patterns, trends and relationships for strategic decision making.

Knowledge: skills, experience, and expertise coupled with information and intelligence that creates a person's intellectual resources.

CHAPTER TWO

FOUNDATIONAL CONCEPTS IN MIS

2.1. Introduction

It deals with fundamental concepts in the general systems theory and information processing.

General systems theory:- is an interdisciplinary theory about the nature of complex systems in nature, society, and science, and is a framework by which one can investigate and/or describe any group of objects that work together to produce some result. This could be a single organism, any organization or society, or any electro-mechanical or informational artifact.

Basic System Concepts

Inputs- Data inputs are the facts that are gathered and captured in the system.

Processing- Processing is considered to be the way data is manipulated, developed or built upon in some way that transforms it to create meaningful information. Transformation describes how participants in a system negotiate meaning.

Output- When raw facts are transformed by system processing, output is produced that signals or communicates to the stakeholders of the system. It is the output signaling to users that leads to action. That is, participants react to processed facts and take action

Feed back and control-feedback is data about the systems performance. It can be positive or negative. Control is monitoring and evaluating feedback to determine whether or not the system is moving to its goal.

Cohesion- describes how well each sub-system within a system is designed around an individual task or function of the system. High (or "good") cohesion therefore means that the sub-system deals with a single function of the overall system and ONLY that function.

Coupling- refers to how independent each sub-system is in relation to other sub-systems. Low (or "good") coupling means that a certain sub-system has limited interaction with other sub-systems and therefore is unaffected by changes that are carried out within other sub-systems.

Entropy-is the tendency of systems to deteriorate over time, losing its homeostasis (state of equilibrium). Entropy represents the "potential for disorder" in a system. When a system has more degrees of freedom and more constituents, there are more possible states for it to occupy. While some of these states may exhibit patterns that are very ordered, most of these states would be considered disordered. System monitoring is important to maintain the balance between parts of the system and its environment and hence adjust system input and processing.

Boundary- A system should be defined by its boundaries i.e. the limits that identify the components, process and interrelationship.

Interface-is a common boundary shared by two or more systems.

1.2. Business and Management Functions

1. Marketing Function

Marketing function is concerned with identifying the customers for the firm's products or services, determining what customers need or want, planning and developing products and services to meet their needs, and advertising and promoting these products and services. Sales is concerned with contacting customers, selling the products and services, taking orders, and following up on sales. Marketing information systems support these activities.

2. Manufacturing and Production Function

The manufacturing and production function is responsible for actually producing the firm's goods and services. Manufacturing and production systems deal with the planning, development, and maintenance of production facilities; the establishment of production goals; the acquisition, storage, and availability of production materials; and the scheduling of equipment, facilities, materials, and

labor required to finish products. Manufacturing and production information systems support these activities.

3. Finance and Accounting Functions

The finance function is responsible for managing the firm's financial assets, such as cash, stocks, bonds, and other investments, to maximize the return on these financial assets. The finance function is also in charge of managing the capitalization of the firm (finding new financial assets in stocks, bonds, or other forms of debt). To determine whether the firm is getting the best return on its investments, the finance function must obtain a considerable amount of information from sources external to the firm. The accounting function is responsible for maintaining and managing the firm's financial records such as receipts, disbursements, depreciation, and payroll to account for the flow of funds in a firm. Finance and accounting share related problems, how to keep track of a firm's financial assets and fund flows. They are concerned with the current inventory of financial assets, records exist for disbursements, receipts, payroll, and other fund flows.

4. Human Resources Functions

Human resources function is responsible for attracting, developing, and maintaining the firm's workforce. Human resources information systems support activities, such as identifying potential employees, maintaining complete records on existing employees, and creating programs to develop employees' talents and skills.

2.3. Data, Information, Knowledge and Wisdom

1. Data

- ❖ Data is **raw facts** and **figures**.
- ❖ Data is the product of **symbols** or **representations** of an event or facts about the world, like number, letter, pictures, lines graphs, etc.

-
- ❖ Data processing by computers refers to the transfer of facts from one medium to another. E.g., printing list of students for registration.
 - ❖ Data represents facts or figures obtained from **experiments** or surveys, used as basis for **making calculations** or **drawing conclusions**
 - ❖ In and of itself, **data has no meaning**. If I count the number of cars that stop at the stop sign on my block per hour for a week, that's data. It may be useful or not, depending on the context. It has no meaning until it is placed in a context. It is like an event **out of context**, without a meaningful relation to other things. It **doesn't have a meaning** of itself and simply it exists and has no significance beyond its existence.
 - ❖ If we are given a certain data, we can associate it to different things and give it different meanings.

e.g.1: If we take number "5", it can be associated with

- **Cardinal number** and has one meaning, and
- A number **greater than 4 and less than 6** with another meaning

e.g.2: If we take the word "**time**" it will have different meaning when it is associated with different things:

- "**being on time**" -refers to punctuality
- "**time never stops**" - refers to the indefiniteness of time

❖ Therefore: ***Data without a context has no meaning***

❖ But this doesn't mean that data are useless. They are the elements that are **inputted, stored** and **manipulated** by the computer.

❖ The **validity** of a data (how far they reflect the reality or represent the real world) is very important. They are valid as far as they **accurately represent** the real world.

❖ Invalid data is due to a correctable error (e.g., spelling error) or due to a conceptual mistake (e.g., "Earth is the center of the Universe")

2. Information

When does data become information?

➤ When you put a **whole lot of data together** that is related to one subject it yields information. e.g. Take a telephone book, it is developed by bringing different data together (Name, Address and Telephone number)

➤ In other words: **(Sets of data) + (Relational connection among data sets) = Information**

➤ Information processing by computers refers to the storage, retrieval, creation or rearrangement of relationships among data.

➤ What we perceive or understand is the **relationship** between pieces of data, or between pieces of data and other information.

➤ Therefore,

Data + Understanding of Relationship = Information

➤ Information is data that has been given a meaning by way of relational connection. This relational connection **converts** data into information. In computer system for instance, a **relational database** makes for information from the data stored within it.

➤ Information is data with context. Therefore, information is context dependent.

3. Knowledge

➤ Knowledge is the understanding that you have for a given information. With that understanding you'll be able to use the information for your benefit.

When information does become knowledge?

➤ Once you spend some time **interpreting** and **understanding** a body of information, then you have knowledge

➤ For example:

a. **Information is available in encyclopedia; this information becomes knowledge when we understand what it means or how to apply it.**

b. **There is information in a telephone book. The knowledge is understanding:**

- Name - referring to a person (telephone subscriber)
- Number - referring to code enabling to operate the machine/make contact with the person

-
- How to use a telephone
 - How telephone circuit operates, etc.

c. If a bank customer requests his/her balance, the bank clerk possess knowledge on:

- How to operate the workstation (computer)
- How to interpret customer request
- How to interpret an account
- How to explain it to the customer

What the clerk gets from the system (database) is an INFORMATION such as Name, Type of Account,

Account Number, Account Balance, etc.

➤ Information becomes knowledge when one is able to understand the **patterns** that exist within information and their **implication**.

➤ Example:

a. If the humidity is very high and the temperature drops substantially, the atmosphere is unlikely to be able to hold moisture so it rains.

- Understanding such a **pattern** that provides a high level of **predictability** as to what will happen next represents knowledge.

b. If I put Birr 100 in my saving account and the bank pays 5% per annum, at the end of one-year Interest = Birr 5 and principal = 105

- Understanding this pattern represents knowledge and it enables to understand the results it will produce.

➤ Therefore, **knowledge**= **Information** + **understanding of the pattern**. This pattern:

➤ Has the technology contributed in the process of creation of knowledge?

❖ The process of creating knowledge is time taking. The technology has not done anything to make the **process of creating knowledge** any quicker or cheaper. The technology has greatly reduced the cost involved in **assembling** and **storing data**, and in **transferring** and **storing**, information. **Creating knowledge** still takes human **brain**,

human **thoughts** and **time** - especially today when there is too much information available.

4. Wisdom

- Wisdom is the ability to apply knowledge in order to solve a problem. After gaining knowledge, wisdom is used to meet new situations and hence is the ability to imagine the consequences of our actions for ourselves and for others.
- It is an asset for good judgment that we acquire through experience.
- It is accumulated knowledge gained through a combination of:
 - Academic study
 - Personal experience
- It comes from the **ability to synthesize (combine) various streams of knowledge:**
 - That enables us to make **informed judgments** about **various ideas and propositions** that may lie **outside of our own direct areas of expertise**.
 - Allow you to understand how to **apply concepts** from one domain to **new situations or problems**.
 - To make such wise judgment we have to add values, ethics and reasons to knowledge. Then we arrive at a conclusion that benefits others and ourselves.
- Wisdom is also defined as **the state of being wise:**
 - ⇒ Acting based on **broad** (not narrow minded) **perspective**
 - ⇒ Avoiding **narrow self-interest** and moving towards greater **social contribution**
 - ⇒ Grounded on the past (experience) and be able to create the future
 - ⇒ Be informed by **multiple forms of intelligence** including:
 - . Reason. Intuition. Spirit. Values
- Wisdom is the ability to understand the **fundamental principles** that govern the **patterns** representing knowledge. This understanding enables us to know what the knowledge itself is.
- Wisdom deals with the **future** and it incorporates vision. Based on wisdom it is possible to create the future rather than grasping the present and the past.

➤ An individual with wisdom normally has enough **experience** and **perspective** to identify **patterns** and trends so that various bodies of knowledge can be put in **context**, **combined** and **applied** appropriately.

➤ The one who has knowledge may **not** necessarily have the capacity to process wisdom. You can find people with advanced degrees who lack wisdom or wise judgment? Our grandparents may lack knowledge since they are not educated. But they are **long on wisdom**. Through long experience they can apply the **values**, **ethics** and **reasons** to make wise judgment.

➤ Inevitably, wisdom requires a deep understanding of **human** nature- of **ambition**, **styles of intelligence**, **human motivations**. This deep understanding enables the possessor of wisdom to make **judgments about** representations of knowledge that lie **outside** of his or her own expertise. e.g. The most effective executives and leaders are extremely proficient at **understanding other people**.

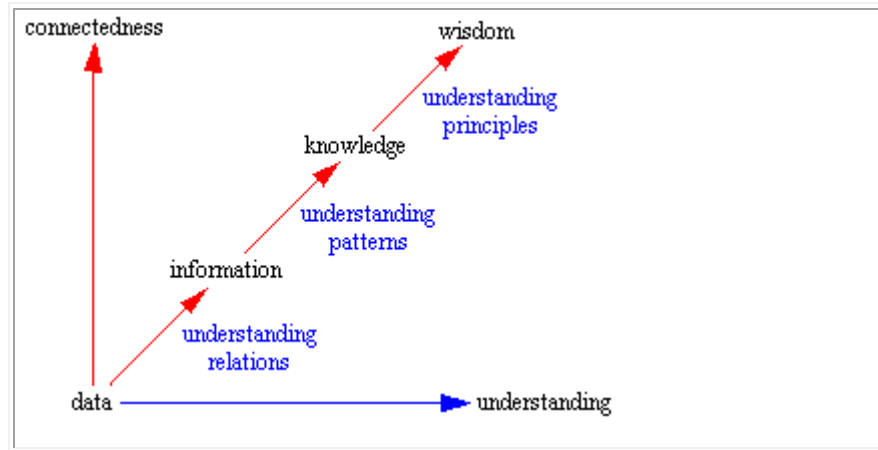
➤ Therefore, wisdom combines

- ♣ Experience of **connecting** and **reviewing** bodies of knowledge, and

- ♣ A genuine grasp of **human nature** and the **different ways that exist in the real world**, **this** allows the proper use of data, information and knowledge to judge between **right and wrong**, **good and bad**.

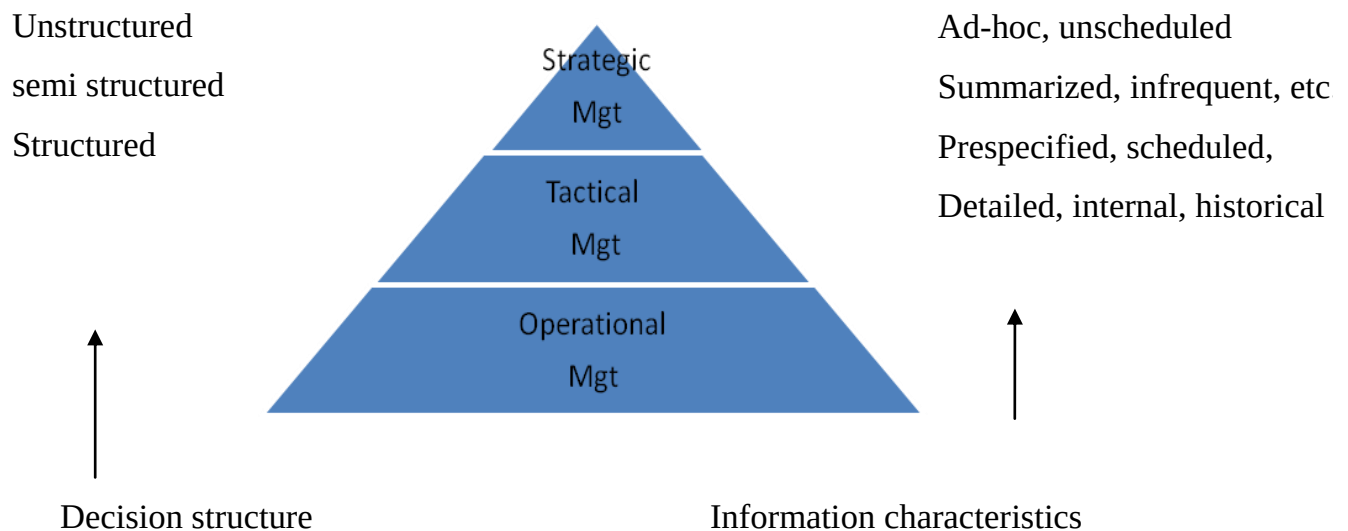
➤ In an "information age," technology cannot confer wisdom: wisdom takes more time to develop and cultivate than even knowledge does.

The following diagram can summarize the above discussion.



4.2. The Information Needs and Sources of Managers

The information requirements of management depend heavily on the management level involved. The activities of management can be subdivided in to three major levels: Strategic, tactical and operational management.



The above figure indicates that the activities of management can be subdivided into three major levels; Strategic management level, Tactical management level, Operational management level. The type of information required by managers is directly related to the level of management and the amount of structure in the decision situation they face.

Strategic levels-management at top executive levels develop overall organizational goals, strategies, policies and objectives through long –range strategic planning. They also monitor the strategic performance of the organization and its overall direction.

Tactical levels- middle managers develop short- range and medium – range plans and budgets and specify the policies, procedures, and objectives for subunits of the organization. They also acquire and allocate resources and monitor the performance of organizational subunits, such as departments, divisions, and other work groups.

Operational levels- supervisory managers develop short–range planning devices such as production schedules. They direct the use of resources and the performance of tasks according to established procedures and within budgets and schedules established for the work groups of the organization.

Levels of management and the associated Particular nature of information

A. Operational or lower level management information nature.

It is true that operational systems of an organization are engaged with simple but many transactional activities having repetitive nature. At the operational level the primary concern of information system is to collect, validate record and describe transactional data describing the acquisition of disbursement of corporate resource.

Thus, in line with activities of managers at operational level, Operational- level information systems often have the following characteristics:

Repetitiveness: the information operational-level information systems produce is usually generated repetitively at periodic intervals, such as daily, weekly or monthly.

Predictability: the information produced usually does not contain any surprises or unexpected results for the manager or other users of the system. That is, people are paid what they were expected to be paid and customers are billed for what they purchased during the month. Or workers will always do what they did in the previous working days.

Emphasis on the Past: the information produced usually describes past activities of the organization. For example, the stock reports describe past changes in inventory.

Detailed Nature: the information produced is very detailed. For instance, pay check provides detailed information on the work week of each employee and the specifics of each employees gross and net pay.

Internal Origin: the data or information at operational systems is usually generated entirely from internal source.

Structured Form: the form of the data used as input and the form of the information produced by operational-level systems are usually very structured. For instance, the clerk in the office uses the same bill receipt format to prepare invoice for the customers.

B. Tactical or middle level management information nature.

Tactical systems provide middle-level managers with the information they need to monitor and control organizational subunits and to allocate resources more effectively. Tactical information systems are characterized with the following nature of data or information.

Summary Reports: summary reports provide management with important totals, averages, key data and abstracts on the activities of the organization. An example of a summary report might be a list of the total regular and overtime hours earned at each plant for the week by job classification.

Exception Reports: exception reports are report types that alert managers when results from a particular operation have exceeded or not met the expected standard for the organization.

Comparative Nature: the information produced is usually comparative in nature rather than merely descriptive. Tactical information systems should provide managers with information that alerts them to variances from accepted standards or results that are not within the normal range so that remedial action can be taken swiftly.

Both internal and external sources: the data used for input to the system may not be confined to sources internal to the organization.

C. Strategic or top-level management information nature.

Ad hoc Basis: since top level managers are engaged with many activities to be performed, they are burdened of or overloaded. Therefore, the information need at this level should be necessarily ad hoc. That is to mean it should be summarized, relevant, and indicative towards

to the point under consideration. Ad hoc reports are reports that managers need, usually quickly, that may never be needed again. Ad hoc reports present information that the manager needs to solve a unique problem.

Unexpected Information: information at this level focuses on prediction or forecasting which in turn may result in an unexpected type of information for the managers. Generally speaking the information produced by the system at this particular level may not be the information that was common to the given company.

Summary Form: the information produced is usually not detailed but in summary form. Long-range planners are not usually interested in detailed information; they are usually concerned with more global data. For instance, long-range planners are not ordinarily concerned about the details of customer invoices.

External Data: a large part of the data used as an input to the system may be acquired from sources external to the organization contrary to the operational level where data input is entirely obtained from internal sources.

Unstructured Format: the data input has unstructured format. This is because that the source of data for information processing is mainly external. As a result, there is no prescribed format or structure of the data.

Subjectivity: strategic level management decisions are more considerate of externalities which are governed by outsiders, and this sometimes forces managers to use personal judgments and experience than objective information. Therefore, the nature of data used for input to the system may be highly subjective and its accuracy may be put in to question.

2.5. A Framework for Information Systems

Figure 1.2 illustrates a useful conceptual framework of information systems. The framework concentrates on five areas of IS knowledge

- **Foundation Concepts.** Fundamental behavioral, technical, business and managerial concepts about the components and roles of information systems. Examples include basic information system concepts derived from general systems theory or

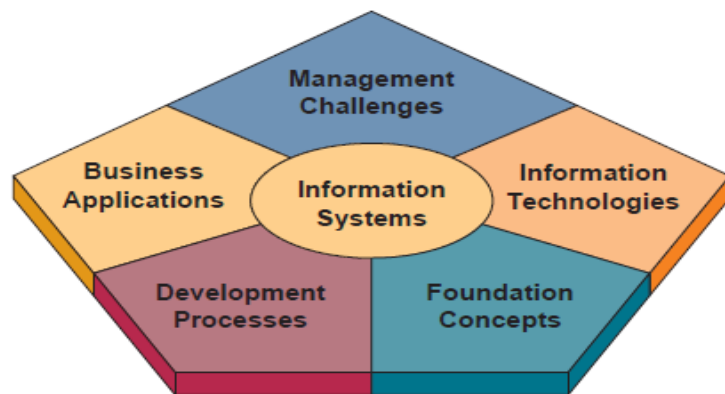
competitive strategy concepts used to develop business applications of information technology for competitive advantage.

- **Information Technologies:** Major concepts, developments, and management issues in information technology; that is, hardware, software, networks, data management, and many Internet-based technologies. It requires knowledge about the information and communication technologies (ICT). Technology is so dynamic that the factual and theoretical knowledge would soon be out dated. So, focus should be placed on generic capabilities, major developmental trends and management challenges in the use of information systems i.e. the practical aspect.
- **Business Applications.** The major uses of information systems for the operations, management, and competitive advantage of a business. Applications of information technology in functional areas of business such as marketing, manufacturing, and accounting. Focuses on e-business applications that most companies use to buy and sell products on the Internet, and the use of information systems and technologies to support decision making in business. This ensures that the organization will make use of or develop the appropriate information systems which suit the organizational context.
- **Development Processes.** How business professionals and information specialists plan, develop, and implement information systems to meet business opportunities. It deals with how managerial end users and specialists should develop information systems for business solutions. It requires know how of systems approach to problem solving, system life cycle and the systems development process.
- **Management Challenges.** The challenges of effectively and ethically managing information technology at the end-user, enterprise, and global levels of a business. Requires knowledge of concepts including information resource management (IRM), information systems planning, implementation and control. A well-designed information system rests on a coherent foundation that supports modifications as new business or administrative initiatives arise.

Organization of information services: - An information services unit is typically in charge of an organizations information systems. Where information services are centralized, this unit is responsible for planning, acquiring, operating, and maintaining information systems for the entire organization.

In decentralized structures the central unit is responsible only for planning and maintaining the infrastructure, while business and administrative units are responsible for providing systems and services for their own units.

FIGURE 1.2
A framework that outlines
the major areas of
information systems
knowledge needed by
business professionals.



2.6. Business Applications

2.6.1. e-Business

The Internet and related technologies and applications have changed the ways businesses operate and people work, as well as how information systems support business processes, decision making, and competitive advantage. Thus, many businesses today are using Internet technologies to Web-enable their business processes and create innovative e-business applications. We define e-business as the use of Internet technologies to work and empower business processes, e-commerce, and enterprise collaboration within a company and with its customers, suppliers, and other business stakeholders.

In essence, e-business can be more generally considered an *online exchange of value*. Any online exchange of information, money, resources, services, or any combination thereof falls under the e-business umbrella. The Internet and Internet-like networks—those inside the enterprise (intranet) and between an enterprise and its trading partners

(extranet) — have become the primary information technology infrastructure that supports the e-business applications of many companies. These companies rely on e-business applications to (1) reengineer internal business processes, (2) implement e-commerce systems with their customers and suppliers, and (3) promote enterprise collaboration among business teams and workgroups.

E-commerce is the buying, selling, marketing, and servicing of products, services, and information over a variety of computer networks. Many businesses now use the Internet, intranets, extranets, and other networks to support every step of the commercial process, including everything from advertising, sales, and customer support on the World Wide Web to Internet security and payment mechanisms that ensure completion of delivery and payment processes.

For example, e-commerce systems include Internet Web sites for online sales, extranet access to inventory databases by large customers, and the use of corporate intranets by sales reps to access customer records for customer relationship management.

2.6.1. e-commerce

E-commerce is changing how companies do business both internally and externally with their customers, suppliers, and other business partners. As managers confront a variety of e-commerce alternatives, the way companies apply e-commerce to their businesses is also subject to change. The applications of e-commerce by many companies have gone through several major stages as e-commerce matures in the world of business. For example, e-commerce between businesses and consumers (B2C) moved from merely offering multimedia company information at corporate Web sites (*brochure*) to offering products and services at Web storefront sites via electronic catalogs and online sales transactions. B2B e-commerce, in contrast, started with Web site support to help business customers serve themselves, and then moved toward automating intranet and extranet procurement systems. One of the most important things to understand about e-commerce is that by converting a business model from bricks and mortar to an e-commerce approach, the transaction costs (i.e., the costs of

doing business with a customer or supplier) drop dramatically. Thus, anything that can be digital will be digital.

Types of e-commerce

There are many ways in which electronic commerce transactions can be classified. One is by looking at the nature of the participants in the electronic commerce transaction. The three major electronic commerce categories are business-to-consumer (B2C) e-commerce, business-to-business (B2B) e-commerce, and consumer-to-consumer (C2C) e-commerce.

1. ***Business-to-consumer (B2C)*** electronic commerce involves retailing products and services to individual shoppers. Barnes&Noble.com, which sells books, software, and music to individual consumers, is an example of B2C e-commerce.
2. ***Business-to-business (B2B)*** electronic commerce involves sales of goods and services among businesses. Milpro.com, Milacron Inc.'s Web site for selling cutting tools, grinding wheels, and metal working fluids to more than 100,000 small machining businesses, is an example of B2B e-commerce.
3. ***Consumer-to-consumer (C2C)*** electronic commerce involves consumers selling directly to consumers. For example, eBay, the giant Web auction site, allows people to sell their goods to other consumers by auctioning the merchandise off to the highest bidder.

Another way of classifying electronic commerce transactions is in terms of the participants' physical connection to the Web. Until recently, almost all e-commerce transactions took place over wired networks. Now cell phones and other wireless handheld digital appliances are Internet enabled so that they can be used to send e-mail or access Web sites. Companies are rushing to offer new sets of Web-based products and services that can be accessed by these wireless devices. The use of handheld wireless devices for purchasing goods and services has been termed mobile commerce or m-commerce. Both business-to-business and business-to-consumer e-commerce transactions can take place using m-commerce technology.

Customer-Centered Retailing

Despite the many failures of dot.com retail companies since mid-2000, on-line retailing continues to grow at a rapid pace. The Internet provides companies with new channels of communication and interaction that can create closer yet more cost-effective relationships with customers in sales, marketing, and customer support. Companies can use the Web to provide ongoing information, service, and support, creating positive interactions with customers that can serve as the foundations for long-term relationships and repeat purchases.

Direct Sales over the Web

Manufacturers can sell their products and services directly to retail customers, bypassing intermediaries such as distributors or retail outlets. Eliminating intermediaries in the distribution channel can significantly lower purchase transaction costs. Operators of virtual storefronts, such as Amazon.com or EPM.com, do not have large expenditures for rent, sales staff, and the other operations associated with a traditional retail store. Airlines can sell tickets directly to passengers through their own Web sites or through travel sites such as Travelocity without paying commissions to travel agents.

CHAPTER THREE

INFORMATION TECHNOLOGY

4.1. Introduction

Information technology is one of many tools managers use to cope with change. *Computer hardware* is the physical equipment used for input, processing, and output activities in an information system. It consists of the following: the computer processing unit; various input, output, and storage devices; and physical media to link these devices together.

Computer software consists of the detailed, preprogrammed instructions that control and coordinate the computer hardware components in an information system. *Storage technology* includes both the physical media for storing data, such as magnetic disk, optical disc, or tape, and the software governing the organization of data on these physical media.

Communications technology, consisting of both physical devices and software, links the various pieces of hardware and transfers data from one physical location to another. Computers and communications equipment can be connected in networks for sharing voice, data, images, sound, or even video. Network links two or more computers to share data or resources such as a printer. The world's largest and most widely used network is the Internet. The Internet is an international network of networks that are both commercial and publicly owned.

The Internet connects hundreds of thousands of different networks from more than 200 countries around the world. More than 900 million people working in science, education, government, and business use the Internet to exchange information or business transactions with other organizations around the globe.

The Internet is extremely elastic. If networks are added or removed, or if failures occur in parts of the system, the rest of the Internet continues to operate. Through special communication and technology standards, any computer can communicate with virtually any other computer linked to the Internet using ordinary telephone lines. The Internet has created a new “universal” technology platform on which to build all sorts of new products, services, strategies, and business models. This same technology platform has internal uses, providing the connectivity to link different systems and networks within the firm.

3.2. Hardware

Computer- is a system (interrelated combination of electronic components) that performs basic system functions and thus providing end users with a powerful information processing tool. We need to think of computers as systems to use and manage them effectively. This means that the entity we call a computer must have all the components required to perform the basic system functions of input, processing, output, storage and control. Some computers are physically smaller and all the components are found confined in one location. Other types are much larger where the components making up the computer system are found in remote locations (dispersed over a large geographic area) interconnected to each other by telecommunication networks.

Input Devices- convert data into electronic machine read able format for direct entry or through telecommunication networks. The input devices can be divided into two major categories: -

i. Keyboard Devices

A key board converts letters, numbers and other characters into electrical signals that are machine readable by the computer's processor. There are two types of keyboard:

- Special purpose keyboard
- General purpose keyboard

Special purpose keyboard contains limited number of keys and they are used for specific applications. For example, Billing Machines, ATM's in Banks etc.

General purpose keyboard is connected to the personal computer and looks like a typewriter keyboard to which some additional keys are added. There are different categories of key available in the keyboard.

ii. Non-Keyboard Devices-Keyboards are most widely used for entering data and text into computer systems. However, **pointing devices** are a better alternative for issuing commands, making choices, and responding to prompts displayed on your video screen.

Non-keyboard devices include: -

- Pointing Devices

Pointing devices are non-keyboard devices used to control the positions of the cursor on the screen.

Mouse: is a small, handy pointing device containing two buttons. Mouse contains a rolling ball beneath it and on moving the mouse, the cursor moves on the screen, as the ball rotates.

Track Ball: is another pointing device and a variant of the mouse. It contains a rotating ball on top of the stationery device. On rotating the ball the cursor moves on the screen. The track ball also contains two buttons and the operations are as similar for the mouse. It requires less desk space when compared to the mouse.

Joystick: is a pointing device that consists of a vertical handle mounted on a base containing one or two buttons. The vertical handle of the joystick can be rotated around 360 degrees. As the handle is rotated the cursor also moves on the screen. Joystick is often used for playing games.

Touch pad: the cursor is controlled with the fingers. About the same size as a mouse, touch pad is a flat, rectangular device. Tapping the fingers on the surface of the pad performs the click operation.

Light Pen: is a light sensitive stylus or pen like device, connected by a wire to the computer. There is a button in the light pen. When the user brings the pen to the desired location in the screen and presses the button, the computer identifies the command and executes accordingly. It is mainly used for CAD (Computer Aided Design) applications.

Other Input Devices

Optical scanners can scan typed documents, picture graphics, or even handwriting into a computer. Because of the slow speed of input devices computer depends on the skills of the user. Data origination technique that reduces or eliminate slow input devices and will increase the speed of data entry and make it more accurate. Documents in machine-readable form reduce the possibility of human errors in entering the data from source documents. Thus, the data can be

Processing-CPU (Central processing unit) is the ‘brain’ of the computer processing from the smallest instruction to complex functions. It is found enclosed in the system unit. In

the standard desk top PC, the processor is known as micro processor. It is the most important component of the computer system.

- ✧ **Control unit**-obtains instructions stored in the primary storage unit, interprets them and send messages to other computer system components ordering them to carry out the desired operations.
- ✧ **Arithmetic and logical unit**-performs the required arithmetic and comparison operations
- ✧ **Registers**-high speed temporary storage areas in the CPU.

Output device- used to communicate the processing result to users. They convert information which has electronic format produced by computers to human intelligible format. These output devices after receiving the processing results from the CPU, translate the information processing processed by the computer into a form that humans can understand.

- **Monitor or Display Devices** -The monitor is also called display or soft copy output devices. Any information displayed in the screen is called the softcopy output. Monitors are also used as input devices by using Light pen, Touch Screen, etc.
- **Printers**-are also called a hardcopy Output device. Using printers any information consisting of text, symbols, pictures (graphics), etc. can be printed in paper for future reference. Any printed information is called the hardcopy. Printers can be either impact or non-impact.
- **Other Output Devices**-Plotter is also a printer that produces hard copy output. Plotters produce high quality color graphics output by using pens for creating images. Plotters help to draw maps from stored data

Storage-computer data storage is classified broadly as primary and secondary storage units.

- **Primary storage unit** is the main memory. The data and instructions that are entered into the computer system through input units have to be stored inside the computer before the actual processing starts. Similarly, the results produced by the

computer after processing must also be kept somewhere inside the computer system before being passed on to the output units. Moreover, the intermediate results produced by the computer must also be preserved for ongoing processing. The primary storage unit of a computer system is designed to cater to all these needs. All data and program instructions must first be placed in the primary storage unit before they can be used in processing. *ROM* is one component of the main memory with permanent contents. These are instructions for starting up the computer. The contents of *RAM* on the other hand, change frequently making it a volatile storage area utilized by the CPU. It contains a large number of *cells* (or *locations*) in which the data and instructions are stored. Each location is specified by an *address*.

- **Secondary storage devices.** The secondary storage, also known as *auxiliary storage*, is used to take care of the limitations of the primary storage. That is, it is used to supplement the *limited storage capacity* and the *volatile characteristic* of primary storage. It is much cheaper than primary storage and it can retain information even when the computer system is switched off or reset. The physical material that actually holds data is called *storage medium*. The surface of floppy disk (or the diskette) is storage medium. The hardware that writes data to or reads data from a storage medium is called a *storage device*. A floppy disk drive is a storage device. There exist two technologies for secondary storage: magnetic and optical. Floppy disk, hard disk and magnetic tape are examples of magnetic storage. CD-ROM, DVD-ROM, CD-R, CD-RW are examples of optical storage. Any sort of data storage and processing in computers is carried out by the absence or presence of electromagnetic signals in the computer's circuitry or the digital media it uses. Therefore, computer data storage is best represented using the binary number system (as a sequence of one and zeros). All type of information is stored internally in the same format. Computers use numeric codes to represent information. Text data is represented by assigning a unique numeric value for each symbol used in the text.

3.3. Programs

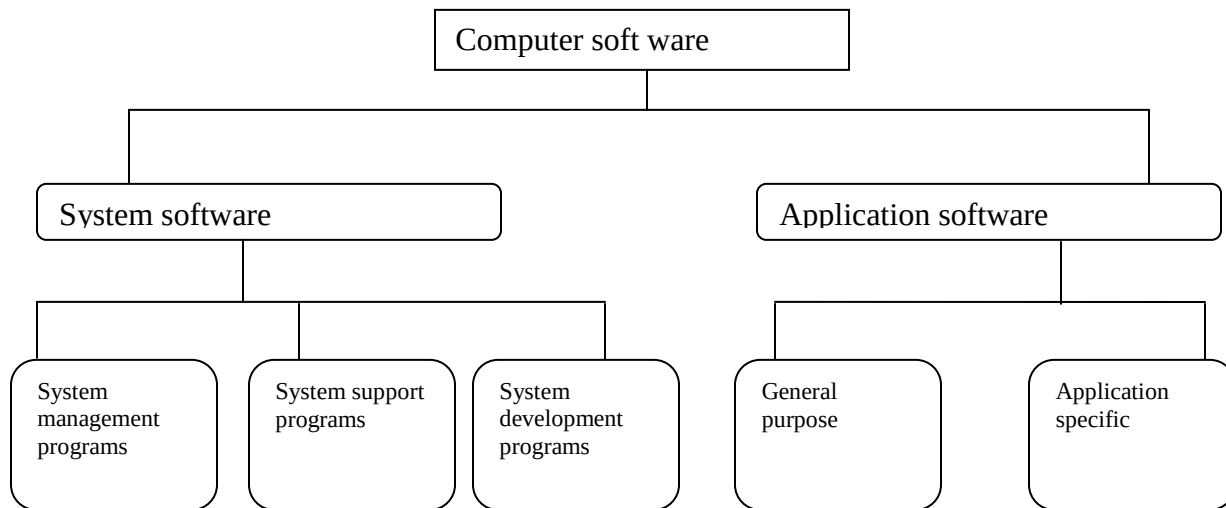
Information systems depend on software resources to help end users use computer hardware to transform data resources to transfer form data resources into variety of information products. Software is the detailed instructions that control the operation of a computer system. At the lowest level software consists of a machine language specific to and individual processor this machine languages is group of binary values signifying processor instructions that change the state of the computer from its preceding state. The software tells the processor what to do and how to do it. Software is developed in order to make the binary concept (which tells us that hardware being a part of the computer system can only understand two basic concepts- the on and the off states on either of which any computer hardware component exists at any given time) a useful way of telling the computer hardware what to do. Computer software is commonly created by computer programmers using programming languages.

Computer software is generally classified in to **System** and **Application Software**.

1. **System Software:** -is the program that allows the hardware to run properly, which manage and supports the resources of the computer system as it performs various information processing tasks.
2. **Application Software**-directs the performance of particular use or application of the computer to meet the information processing needs of end users, allowing users to actually do something besides simply run the computer.

There are two major software trends important to managerial end users. The first one is moving away from custom-designed programs (having a very specific purpose or application) developed by professional programmers towards the use of off-the-shelf software packages acquired by end users from software vendors. The second is moving away from technical machine specific programming languages towards those using a very user friendly natural languages and English like statements to specify the sequence of instructions a computer must perform to accomplish a specific information processing task. A long-term view of software shows that the major trend is to increase the ease with

which users can interact with the hardware and software. Software is creating more natural, seamless relationships between people and information systems. People will increasingly interact with the computer in more intuitive and effortless ways- through writing, speech, touch, eye movement, and other gestures.



System Software

These are programs that manage and support the resources and operations of a computer system as it performs various information processing task. These programs serve as vital software interface between computer system hardware and the application programs of end users. It allows parts of the computer hardware to work together. System software consists of programs that manage and support a computer system and its information processing activities.

⇒ *System management program*: programs that manage the hardware, software and data resources of the computer system during its execution of the various information processing jobs of users. The most important system management programs are:

- Operating systems
- Operating environments
- Telecommunication monitors and
- Database management systems

⇒ *System support programs*: programs that support the operation and management of a computer system by providing a variety of support services. E.g. System utilities, performance monitors and security monitors

⇒ *System development programs*: programs that help users develop information system programs and procedures and prepare user program for computer processing. Major development programs include: Language translators, Programming tools, Computer Aided Software Engineering (CASE)

⇒ **Operating Systems**

The most important system software package for any computer is its operating system. An operating system is an integrated system of programs that manages the operations of the CPU, controls the input/output and storage, manages files on computer hard drives and controls computer peripherals. The primary purpose of an operating system is to maximize the productivity of a computer system by operating in the most efficient manner.

An operating system minimizes the amount of human intervention required during processing. It helps your application programs perform common operations such as entering data, saving and retrieving files and printing or displaying output. Operating system acts as a host for computing applications run on the machine.

Operating System Functions

1. *Providing user interface* -part of the operating system that allows you to communicate with it so you can load programs, access file and accomplish other tasks. The three main types of user interfaces are the command-driven, menu-driven, and graphical user interfaces.

2. *Resource management-*

An operating system uses a variety of programs to manage the hardware resource of a computer system, including CPU, memory, secondary storage devices and input/output peripherals. e.g. Memory management programs keep track of where data and programs are stored. virtual memory capability of an operating system

enables it to divide the memory in to a number of sections and swap parts of programs and data between the main memory and the secondary storage devices.

3. File Management-

An operating system contains programs that control the creation, deletion, and access of files of data and programs. It involves keeping track of the physical location of files on magnetic disks and other secondary storage devices.

4.Task management-

Manage the accomplishment of the computing tasks of end users by giving each task a slice of the computers processing time and interrupting the CPU's operation to substitute other tasks. Task management may involve a multitasking capability where several computing tasks can occur at the same time, sharing the common processing resource. The basic mechanism in multi tasking is scheduling which task will be running at any given time and which tasks wait to get a turn. Scheduling strategies are mainly multi programming systems, time sharing systems and real time systems.

4. Utilities and other functions-

Utility programs are special programs that either enhance existing functions or provide services not provided by other system software programs. e.g. Backup, data recovery, disk repair, virus protection etc.

Programming Languages- allow a programmer /end user to develop the instructions that constitute a computer program. There are 4. Basic categories of programming languages

Machine language	Assembler language
-most basic level programming language	-developed to reduce the difficulty in writing machine language programs
-written in binary codes unique to each computer	-also known as symbolic languages
-programs for processing even very	b/c symbols are used to represent

simple tasks require long series of detailed instructions -very difficult and error prone	operation codes and storage locations. -requires a language translator program-the assembler to convert the symbolic codes in to machine language
High level languages -are called statements and closely resemble human language or the standard notation of mathematics -each individual statement in the prog. code is translated in to machine lang. by a high-level language translator program called a compiler or interpreter.	Fourth generation languages -more conversational and non-procedural than the previous three -they allow users and programmers to specify the results they want while the computer determines the sequence of instructions that will accomplish those result.

Application Software

It consists of programs that direct computers to *perform specific information processing activities* for end users. These programs are called application packages because they direct the processing required for particular uses. The use of personal computers has multiplied the growth of such programs.

Application software includes a variety of programs that can be subdivided into general-purpose and application- specific categories.

General – purpose programs: are programs that perform common information processing jobs for end users. Because they significantly increase the productivity of end users, they are also known as productivity packages.

e.g. Word processing, DBMS, spreadsheets, graphic programs and integrated packages which are popular with microcomputer users for home, education, business and many other purposes.

Application- specific programs: - There are so many other application areas of computers. Business application programs accomplish information processing tasks of important business functions or industry requirements. Scientific application programs perform information processing tasks for natural, physical and social sciences involved in scientific research and experimentation. Other application programs constitute those application programs used in education entertainment, music art law enforcement, medicine and so on.

3.4. People: - includes managers, system users and other system developers (analysts, programmers, database designers/administrators, and network specialists).

3.6. Information

Information is data that has been refined and organized by processing and purposeful intelligence. The latter, purposeful intelligence is crucial to the definition- People provide the purpose and the intelligence that produces true information. Information is a resource created from the data to serve the management and decision-making needs of the business. Information has meaning within a specific **context** and is **useful** for making a decision, solving a problem, performing a task etc. Information systems transform data into information.

3.7. Communication Technologies

Telecommunications channels make use of a variety of telecommunications media. These include twisted-pair wire, coaxial cables, and fiber-optic cables, all of which physically link the devices in a network. Also included is terrestrial microwave, communications satellites, cellular phone systems, and packet and LAN radio, all of which use microwave and other radio waves. In addition, there are infrared systems, which use infrared light to transmit and receive data.

Twisted-Pair Wire: -ordinary telephone wire, consisting of copper wire twisted into pairs (twisted-pair wire), is the most widely used medium for telecommunications. These lines are used in established communications networks throughout the world for both voice and data transmission. Twisted-pair wiring is wrapped or shielded in a variety of forms and used extensively in home and office telephone systems and many local area

networks and wide area networks. Transmission speeds can range from 2 million bits per second (unshielded) to 100 million bits per second (shielded).

Coaxial Cable: - consists of a powerful copper or aluminum wire wrapped with spacers to insulate and protect it. The cable's cover and insulation minimize interference and distortion of the signals the cable carries. Groups of coaxial cables may be bundled together in a big cable for ease of installation. These high-quality lines can be placed underground and laid on the floors of lakes and oceans. They allow high-speed data transmission (from 200 million to more than 500 million bits per second—200–500 Mbps) and are used instead of twisted-pair wire lines in high-service metropolitan areas, for cable television systems, and for short-distance connections of computers and peripheral devices. Coaxial cables are also used in many office buildings and other worksites for local area networks.

Fiber Optics: - uses cables consisting of one or more hair-thin filaments of glass fiber wrapped in a protective jacket. They can conduct pulses of visible light elements (photons) generated by lasers at transmission rates as high as trillions of bits per second (terabits per second, or Tbps). This speed is hundreds of times faster than coaxial cable and thousands of times better than twisted-pair wire lines. Fiber-optic cables provide substantial size and weight reductions as well as increased speed and greater carrying capacity. A half-inch-diameter fiber-optic cable can carry more than 500,000 channels, compared with about 5,500 channels for a standard coaxial cable.

Fiber-optic cables are not affected by and do not generate electromagnetic radiation; therefore, multiple fibers can be placed in the same cable. Fiber-optic cables have less need for repeaters for signal retransmissions than copper wire media. Fiber optics also has a much lower data error rate than other media and is harder to tap than electrical wire and cable. Fiber-optic cables have already been installed in many parts of the world, and they are expected to replace other communications media in many applications.

Wireless Telecommunications Technologies: - rely on radio wave, microwave, infrared, and visible light pulses to transport digital communications without wires between communications devices. Wireless technologies include terrestrial microwave,

communications satellites, cellular and PCS telephone and pager systems, mobile data radio, wireless LANs, and various wireless Internet technologies. Each technology utilizes specific ranges within the electromagnetic spectrum (in megahertz) of electromagnetic frequencies that are specified by national regulatory agencies to minimize interference and encourage efficient telecommunications.

Terrestrial Microwave: - involves earthbound microwave systems that transmit high speed radio signals in a line-of-sight path between relay stations spaced approximately 30 miles apart. Microwave antennas are usually placed on top of buildings, towers, hills, and mountain peaks, and they are a familiar sight in many sections of the country. They are still a popular medium for both long-distance and metropolitan area networks.

Communications Satellites: - also use microwave radio as their telecommunications medium. Typically, high-earth orbit (HEO) communications satellites are placed in stationary geosynchronous orbits approximately 22,000 miles above the equator. Satellites are powered by solar panels and can transmit microwave signals at a rate of several hundred million bits per second. They serve as relay stations for communications signals transmitted from earth stations. Earth stations use dish antennas to beam microwave signals to the satellites that amplify and retransmit the signals to other earth stations thousands of miles away.

3.8. Data Base Management System

Data is a vital organizational resource, which needs to be managed like other important business assets. Most organizations could not survive or succeed without quality data about their internal operations and external environment. That is why organizations and their managers need to practice **data resource management** – a managerial activity that applies information systems technology and management tools to the task of managing an organization's data resources. Managing data as an organizational asset is an important focus for today's managers.

The volume and quality of data that organizations demand has increased due to a number of factors. More competitive environment, availability of more powerful work stations

and increasingly computer literate personnel has led to the need for better information acquisition and distribution.

File Processing

-Is an early attempt to manage data with information system technology? Data is organized, stored and processed in independent file records. Each file is organized to be accessed by a specific application program.

For many years, information systems had a file processing orientation. Data needed for each user application was stored in independent data files. Processing consisted of using separate computer programs that updated these independent data files and used them to processing approach is still being used, but it has several major problems that limit its efficiency and effectiveness for end user application.

Data duplication: - Independent data files include a lot of duplicated data; the same data (such as a customer's name and address) is recorded and stored in several files. This data *redundancy* causes problems when data has to be updated, since separate *file maintenance* programs have to be developed and coordinated to ensure that each file is properly updated. Of course, this proves difficult in practice, so a lot of inconsistency occurs among data stored in separate files. File maintenance is a time-consuming and costly process, and it increases the secondary storage space requirements of computer systems.

Lack of data integration: - Having data in independent files makes it difficult to provide end users with information for ad hoc requests that require accessing data stored in several different files. Special computer programs have to be written to retrieve data from each independent file. This is so difficult, time-consuming, and costly for some organization. If necessary, end users can manually extract the required information from the various reports produced by each separate application and prepare customized reports for management.

Data dependence: -In file processing systems, major components of a system – the organization of files, their physical locations on storage hardware, and application software used to access those files – depend on one another in significant ways. For

example, application programs typically contain references to the specific *format* of the data stored in the files they use. Thus, changes in the format and structure of data and records in a file require that changes to be made to all of the programs that use that file. This *program maintenance* effort is a major burden of file processing systems. It proves difficult to do properly, and it results in a lot of inconsistency in the data files.

Other problems: -In file processing systems, it is easy for data elements such as stock numbers and customer addresses to be defined differently by different end users and applications. This causes serious inconsistency problems in the development of programs to access such data. In addition, the *integrity* (that is, the accuracy and completeness) of the data is suspect because there is no control over their use and maintenance by authorized end users. Such inconsistency and lack of integrity are extremely difficult to control, as there is no central *dictionary* to keep track of data definitions and their authorized use in the organization. Thus, lack of standards causes major problems in application program development and maintenance, and in the security and integrity of the data files needed by the organization.

DBM (DATABASE MANAGEMENT) SOLUTION

The concepts of *database* and *database management* were developed to solve the problems of file processing systems. A **database** is an integrated collection of logically related records and files. It consolidates records previously stored in independent files so that it serves as a common pool of data to be accessed by many different application programs. The data stored in a database is independent of the computer programs using it and of the type of secondary storage devices on which it is stored. **Database management** involves the control of how databases are created, interrogated, and maintained to provide information needed by end users.

The database approach: - Common databases are developed in the database management approach. A *data dictionary*, which describes the data contents and relationships of the databases, is established to ensure integrity, consistency, and reliability. The data needed by many different applications in an organization are

consolidated and integrated into several common databases, instead of being stored in many independent data files. For example, customer records and other common types of data are needed for several different applications in banking, such as check processing, automated teller systems, bank credit cards, saving accounts, installment loan accounting. This data can be consolidated into a common *customer database* rather than being kept in separate files for each of those applications.

Database processing: -File processing involves updating and using independent data files to produce information needed for each user's application. However, database processing consists of three basic activities:

- Updating and maintaining common databases to reflect new business transactions and other events requiring changes to an organization's records.
- Providing information needed for each user's application by using computer programs that share the data in common databases. This is accomplished through a common *software interface* provided by a database management system package. Thus, end users and programmers do not have to know where or how data are physically stored.
- Providing an inquiry/response and reporting capability through a DBMS package so that end users can easily interrogate databases, generate reports, and receive quick responses to their ad hoc requests for information.

Database management system: -the set of computer programs that control the creation, maintenance and use of the databases of an organization and its end users. Database management packages are available for micro, mini as well as mainframe computer systems.

Types of Databases

The growth of distributed processing, end user computing, decision support information systems, and executive information systems have caused the development of several major types of databases. In general, there are six major types of databases that may be found in computer-using organizations.

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- **Operational databases.** These databases store detailed data needed to support the operations of the entire organization. They are also called *subject area databases* (SADB), *transaction databases*, and *production databases*. Examples are a customer database, personal database, inventory database, and other databases containing data generated by business operations.
 - **Management databases:** -These databases store data and information extracted from selected operational and external databases. They consist of summarized data and information most needed by the organization's managers and other end users. Management databases are also called *information databases*. These are the databases accessed by executive end users as part of decision support systems and executive information systems to support managerial decision making. Some call them *analytical data bases*
 - **Information warehouse databases:** -An *information warehouse* stores data from current and previous years that has been extracted from the various operational and management databases of an organization. It is a central source of data that has been standardized and integrated so it can be used by managers and other end user professionals from throughout an organization. For example, a major use of information warehouse database is *pattern processing*, where operational data is processed to identify key factors and trends in historical patterns of business activity.
 - **Distributed databases:** -These are databases of local work groups and departments at regional offices, branch offices, manufacturing plants, and other work sites. These databases can include segments of both common operational and common user databases, as well as data generated used only at a user's own site. Ensuring that all of the data in an organization's distributed databases are consistently and concurrently updated is a major consideration of data resource management.
 - **End user databases:** -These databases consist of a variety of data files developed by end users at their workstations. For example, users may have their own

electronic copies of documents they generated with word processing packages or received by electronic mail. Or they may have their own data files generated from using spreadsheet and DBMS packages.

- **External databases:** -Access to external, privately owned *online databases* or *data banks* is available for a fee to end users and organizations from commercial services. Data is available in the form of statistics on economic and demographic activity from *statistical* data banks. Or you can receive abstracts from hundreds of newspapers, magazines, and other periodicals from *bibliographic* data banks.

Benefits and Limitations of Database Management

The database management approach provides managerial end users with several important benefits such as *reduced data redundancy*, *improved data integrity*, and *data independency*. Database management reduces the duplication of data and integrates data so that they can be accessed by multiple programs and users. Programs are not dependent on the format of the data and the type of secondary storage hardware being used. Users are provided with an inquiry/response and reporting capability that allows them to easily obtain information they need without having to write computer programs. Computer programming is simplified, because programmers are not dependent on either the logical format of the data or their physical storage location. Finally, the integrity and security of the data stored in databases can be increased since access to data and modification of the database are controlled by database management system software, a data dictionary, and a database administrator function.

The limitations of database management arise from its increased technological complexity. Thus, a database management approach can pose problems in data resource management. Developing a large database and installing a DBMS can be difficult and expensive. More hardware capability is required, since storage requirements for the organization's data, overhead control data, and the DBMS programs are greater. Longer processing times may result from high-volume transaction processing applications since an extra layer of software (the DBMS)

exists between application programs and the operating system. Finally, if an organization relies on centralized databases, their vulnerability to errors, fraud, and failures is increased. Yet problems of inconsistency of data can arise if a distributed database approach is used. Therefore, the security and integrity of an organization's databases are major concerns of an organization's data resource management effort.

CHAPTER FOUR

COMMON BUSINESS APPLICATIONS OF INFORMATION TECHNOLOGY

There are many ways to use information systems in business as there are business activities to be performed, business problems to be solved and business opportunities to be pursued. As a perspective managerial end user, you are expected to have a general understanding of the major ways information systems are used to support each of the functions of business. We will use the term business information systems to describe a variety of types of information systems (transaction processing, information reporting, decision support, etc.) that support a business function such as accounting, finance, marketing or human resource management. Thus, applications of information systems in the functional areas of business are called

accounting information systems, marketing information systems, human resource information systems, and so on.

As a managerial end user, you should also have a specific understanding of how information systems affect a particular business function such as marketing, production, finance, accounting and human resource management or a particular industry the organization is operating in.

Information systems in the real world are typically integrated combinations of functional information systems. There is a strong emphasis in many organizations to develop such composite (cross functional) information systems. These organizational information systems are viewed as a strategic way to share information resource and improve the efficiency as well as effectiveness of a business which in turn helps to attain organization's strategic objectives.

4.1. Financial Information Systems

Computer-based financial information systems support financial managers in decisions concerning the financing of a business and the allocation and control of financial resources within a business. Major financial information system categories include

Cash and Securities Management -Record data and produce forecasts of cash receipts and disbursements and manage investment in short-term securities.

Information systems collect information on all cash receipts and disbursements within a company on a real-time or periodic basis. Such information allows business to deposit or invest excess funds more quickly, and thus increase the income generated by deposited or invested funds. These systems also produce daily, weekly, or monthly forecasts of cash receipts or disbursements (cash flow forecasts), which are used to spot future cash deficits or surpluses. Mathematical models are frequently used to determine optimal cash collection programs and to determine alternative financing or investment strategies for dealing with forecasted cash deficits or surpluses.

Capital Budgeting: -Evaluate the profitability and financial impact of proposed capital expenditures.

The capital budgeting process involves evaluating the profitability and financial impact of proposed capital expenditures. Long-term expenditure proposals for plants and equipment

can be analyzed using a variety of techniques incorporating present value analysis of expected cash flows and probability analysis of risk. This application makes heavy use of spreadsheet models that are designed for corporate financial planning.

Financial Forecasting: *-Forecast business and economic trends and financial developments.*

A business must make financial and other forecasts of economic trends a variety of statistical forecasting packages precede analytical techniques that result in economic or financial forecasts of national and local economic conditions. Wage levels, price levels, and interest rates. This forecasting may involve the use of data about the external business environment obtained from proprietary financial and demographic data banks provided by the information service providers

Financial Planning: *-Evaluate the present and projected financial performance and financing needs of the business.*

Financial planning systems use planning models to evaluate the present and projected financial performance of a business or one of its divisions or subsidiaries. They also help determine the financing needs of a business and analyze alternative methods of financing the business. Information concerning the economic situation, business operations, types of financing available, interest rates, and stock and bond prices are used to develop an optimal financing plan for the business.

4.2. Marketing Information Systems

The business function of marketing is concerned with the planning, promotion, and sale of existing products in existing markets, and the development of new products and new markets to serve better present and potential customers. Marketing performs a vital function in the operation of a business enterprise. Business firms have increasingly turned to computers to help them perform vital marketing functions in the face of the rapid changes of today's environment. Strategic, tactical, and operational information systems assist marketing managers in products planning, pricing decision, advertising and sales promotion strategies and expenditures, forecasting market potential for new and present products, and determining channels of distribution. Control reporting systems support the efforts of marketing managers

to control the efficiency and effectiveness of the selling and distribution of products and services. Analytical reports provide information on a firm's actual performance versus planned marketing objectives. Examples of important computer-based information systems in marketing include: -

Sales Management: - *Plan, monitor, and support the performance of salespeople and sales of products and services.*

Sales Force Automation: - *Automate the recording and reporting of sales activity by salespeople and the communications and sales support from sales management.*

Product Management: - *Plan, monitors, and supports the performance of products, product lines, and brands.*

Advertising and Promotion: - *Help select media and promotional methods and control and evaluate advertising and promotion results.*

Sales Forecasting: - *Produce short-and long-range sales forecasts*

Market Research: - *Collect and analyze internal and external data on market variable, developments, and trends.*

Marketing Management: - *Develop marketing strategies and plans based on corporate goals and market research and sales activity data and monitor and support marketing activities.*

4.3. Manufacturing and Production Information Systems

Manufacturing information systems support the production or operations function, which includes all activities concerned with the planning and control of the processes that produce goods or services. Thus, the production or operations function is concerned with the management of the *operational systems* of all business firms. However, such systems are needed by all firms that must manufacture and plan, monitor, and control inventories, purchases, and the flow of goods and services. Therefore, you should know the firms such as transportation companies, wholesalers, retailers, financial institutions, and service companies must use production/operations information systems to plan and control their operations.

Examples of computer-based systems in manufacturing include

Computer-Aided Design: - *Creates designs for products and manufacturing processes.*

Computer-Aided Manufacturing: -Fabricates metals, plastics, and other materials by molding, machining, welding, etc

Assembly and Packaging: -Uses robots to put together parts fabricated on-site or purchased from outside

Logistics and Storage: -Purchases and distributes materials, inventory control, removal of materials, and management of supplies.

Maintenance: -Monitors equipment and processes, makes adjustments when needed, fault diagnosis preventive and corrective maintenance.

Quality Control: -Tests incoming materials and outgoing products, tests of process in progress, quality assurance

Factory Management: -Coordinates incoming orders, requests components and material, planning and scheduling, overseeing cost control, arranges deliveries.

Computer Integrated Manufacturing

Computer-based manufacturing information systems use several major techniques to support computer integrated manufacturing (CIM). CIM is an overall concept that stresses the goals of computer use in factory automation must be to:

- Simplify production processes, product designs, and factory organization as a vital foundation to automation and integration.
- Automate production processes and the business functions that support them with computers and robots.
- Integrate all production and support processes using computers and telecommunications network.

Some of the benefits of computer integrated manufacturing systems are:

- Increases efficiency through work simplification and automation, better load to production capacity.
- Improves utilization of production facilities, higher productivity, and better-quality control resulting from continuous monitoring, feedback, and control of factory operations, equipment, and robots.

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- Reduced investment in production inventories and facilities through work simplification, just-in-time inventory policies, and better planning and control of production and finished goods requirements.
 - Improved customer service by drastically reducing out-of-stock situations and producing high-quality products that better meet customer requirements.

4.4. Human Resource Information Systems

The human resource management (or personnel) function involves the recruitment, placement, evaluation, compensation, and development of the employees of an organization. Originally, businesses used computer-based information systems to produce paychecks and payroll reports, maintain personnel records, and analyze the use of personnel in business operations. Many firms have gone beyond these traditional functions and have developed human resource information systems (HRIS), which also support Recruitment, selection, and hiring, Job placement, Performance appraisals, Employee benefits analysis, Training and development, and Health, safety, and security. The goal of human resource management is the effective and efficient use of the human resources of a company. Some of the major applications of information systems that support human resource management are summarized as follows;

Staffing: -Record and track human resources through personnel record-keeping, skills inventories, and personnel requirements forecasting

Training and Development: -Plan and monitor employee recruitment, training, performance appraisals, and career development

Compensation: -Analyze, plan, and monitor policies for employee wages, salaries, Incentive payments, and fringe benefits

Governmental Reporting: -Reporting to government agencies concerning equal opportunity policies and statistics, employee health, workplace accidents and hazards, safety procedures, and so on.

4.5. Managerial Decision Support Systems

When information system applications focus on providing information and support for effective decision making by managers, they are called **management support systems**. Providing information and support for decision making by all types of managers and business professionals is a complex task. Conceptually, several major types of information systems support a variety of decision-making responsibilities:

(1) Management Information Systems, (2) Decision Support Systems, and (3) Executive Information Systems.

1. Management information systems: -Provide information in the form of pre-specified reports and displays to support business decision making. Examples: sales analysis, production performance, and cost trend reporting systems.

2. Decision support systems: - Provide interactive ad hoc support for the decision-making processes of managers and other business professionals. Examples: product pricing, profitability forecasting, and risk analysis systems.

3. Executive information systems: -Provide critical information from MIS, DSS, and other sources tailored to the information needs of executives. Examples: systems for easy access to analyses of business performance, actions of competitors, and economic developments to support strategic planning.

4.6. Transaction processing systems (TPS)

Transaction processing systems: - are important examples of operations support systems that record and process the data resulting from business transactions. They process transactions in two basic ways. In batch processing, transactions data are accumulated over a period of time and processed periodically. In real-time (or online) processing, data are processed immediately after a transaction occurs. For example, point-of-sale (POS) systems at many retail stores use electronic cash register terminals to capture and transmit sales data electronically over telecommunications links to regional computer centers for immediate (real-time) or nightly (batch) processing.

i. **Process control systems** monitor and control physical processes. For example, a petroleum refinery uses electronic sensors linked to computers to monitor chemical

processes continually and make instant (real-time) adjustments that control the refinery process.

- ii. ***Enterprise collaboration systems*** enhance team and workgroup communications and productivity and include applications that are sometimes called office automation systems. For example, knowledge workers in a project team may use e-mail to send and receive e-messages or use videoconferencing to hold electronic meetings to coordinate their activities.

CHAPTER FIVE

KNOWLEDGE MANAGEMENT

5.1. Introduction to Knowledge Management

Knowledge is facts about the real-world entities and the relationship between them. It is an Understanding gained through experience and answer the ‘how’ question. An understanding of a specific subject can be through experience (or education). Typically, knowledge is used in terms of a person’s skills or expertise in a given area. Knowledge typically reflects an empirical, rather than intuitive, understanding. ***“Knowing ignorance is strength, ignoring knowledge is sickness”***.

Knowledge is increasingly being recognized as the new strategic imperative of organizations. The most established paradigm is that knowledge is power. Therefore, one has to hoard it, keep it to oneself to maintain an advantage. The common attitude of most people is to hold on to one’s knowledge since it is what makes him or her asset to the organization. Today, knowledge is still considered power – an enormous power in fact – but the understanding has changed considerably, particularly from the perspective of organizations. The new paradigm is that within the organization knowledge must be shared in order for it to grow. It has been shown that the organization that shares knowledge among its management and staff grows stronger and becomes more competitive. This is the core of knowledge management – the sharing of knowledge.

Understanding Knowledge

In order to comprehend knowledge management, it is necessary to first understand the concept of knowledge. What is knowledge? How is it different from information? And how is information different from mere data?

We begin with data. What is data? Data is a number or word or letter without any context. For example, numbers like 5 or 100, without any context, are mere data. Without

reference to either space or time, these numbers or data are meaningless points in space and time. The key phrase here is “out of context”. And since it is out of context then it has no meaningful relation to anything else.

A mere collection of data is not information. This means that if there is no relation between the pieces of data, then it is not information. What makes a collection of data information is the understanding of the relationships between the pieces of data or between the collection of data and other information. In other words, what is essential in making data or a collection of data information is the context, that is, the relation between the pieces of data.

Let us take an example. If we are given numbers like 1 and 7, they do not mean much. We may relate to the number 1 as being less than 2 and greater than 0, while 7 is a number greater than 6 but less than 8. At this level of understanding, these numbers are mere data. However, if we associate 7 with the number of days in a week, then we create context. With context, these data become information. And the information given by that context is that there are 7 days in 1 week. We have established a relationship between the two pieces of data 1 and 7. We have associated the number 1 with week and the number 7 with days. We have placed the data within a context thus producing information.

Categories of Knowledge

I. Explicit and Tacit Knowledge

i. Explicit knowledge (already represented/documented) has been codified (documented) in a form that can be distributed to others or transformed into a process or strategy without requiring interpersonal interaction. Explicit knowledge is knowledge codified and digitized in books, documents, reports, memos, etc. Explicit knowledge (or leaky knowledge) deals with objective, rational, and technical knowledge in Data, Policies, Procedures, Software, Documents, Products, Strategies, Goals, Mission and Core Competencies The more that knowledge is made explicit, the more economically it can be transferred.

ii. Tacit knowledge (Embedded in the mind): is usually in the domain of subjective, cognitive, and experiential learning; it is highly personal and difficult to formalize.

Tacit knowledge is knowledge embedded in the human mind through experience and jobs. It is also referred to as embedded knowledge since it is usually either localized within the brain of an individual or embedded in the group interactions within a department or business unit. Up to 95% of information is preserved as tacit knowledge.

- Tacit knowledge is the cumulative store of the corporate experiences, Mental maps, Insights, Expertise, Know-how, Trade secrets, Skill sets, Learning of an organization, The organizational culture
- Tacit knowledge is generally slow and costly to transfer and can be plagued by ambiguity.

II. **Shallow** (readily recalled) and **Deep** (acquired through years of experience)

Necessary to make decision/solve problem in complex situations

III. **Procedural** (repetitive, stepwise) versus **Episodically** (grouped by episodes or cases)

Knowledge as Key Resource

Knowledge has become the key resource, for organizational success. It is fundamentally different from the traditional key resources of the economist – land, labor, and capital. We need systematic work on the quality of knowledge and the productivity of knowledge. The performance capacity, if not the survival, of any organization in the knowledge society will come increasingly to depend on those two factors.

What is Knowledge Management?

Knowledge management (KM) may be defined simply as doing what is needed to get the most out of *knowledge resources*. KM is the methodology; tools & techniques to gather integrate & disseminate knowledge, wherever & whenever it is needed. These can be further classified into organization & technology components.

The **Organization Component** consists of strategies, standards and guidelines, policies, and socio-cultural environment.

The **Technology Component** consists of tools and techniques to implement effective KM practice (knowledge creation, knowledge integration, and knowledge sharing and

knowledge utilization) which provides values to its business, employees, customers & partners.

Knowledge Management System

Knowledge Lifecycle Management

Knowledge Management: is the process of creating, acquiring, organizing, sharing and making available important knowledge for end users.

Knowledge Creation: Knowledge is created as people determine new ways of doing things or develop know-how. Sometimes external knowledge is brought in. Knowledge is created either as explicit or tacit knowledge. Knowledge is created by doing research activities, creative processes in advertising, writing books or articles, making movies, etc.

- **Knowledge acquisition:** finding existing/new knowledge, understanding requirements, searching among multiple sources and representing in a reasonable way.

- **Knowledge Storage:** Knowledge is stored & organized in a repository so that others in the organization can access it.

- **Knowledge Sharing:** is the exchange of ideas, solutions, experiences to individuals via knowledge transfer automated or manual systems; using which people can either search or navigate to the knowledge items.

- **Knowledge must be made available** in a useful format to anyone in the organization who needs it, anywhere and anytime.

- **Knowledge Utilization:** This is end goal of knowledge practice. The KM does not have any value if knowledge created is not applied, used & reused to its potential.

- As knowledge is disseminated & used, individuals develop, create & identify new knowledge or update old knowledge, which they replenish into the system.

- **Update Knowledge:** The more knowledge is created as knowledge is applied & reused for a new purpose. Knowledge is a resource that is not consumed when used, though it can age. For example, driving a car in 1900 was different from driving one now, but many of the basic principles still apply.

Forces Driving Knowledge Management

1. Market Forces

➤ **Increasing Complexity of the Domain**

- Many actors are involved, including suppliers, consumers, sellers, etc.

➤ **Accelerating Market Volatility**

- The business landscape is changing rapidly
 - **Intensified Speed of Responsiveness**
 - Fast response to business opportunities

2. Human Resource

– **Diminishing Individual Experience**

- High turnover of professionals
- KM helps to build better sensitivity to brain drain.
- Now consumer reaches to the level of prosumer.

Prosumer are more educated consumer, who provide feedback to manufacturers regarding the design of products and services from a consumer perspective.

- KM is important for organizations that continually face ***downsizing*** or ***a high turnover percentage*** due to the nature of the industry.
- Facilitate today's **younger manager to make the tough decisions daily needed.**

Effective Knowledge Management

- KM involves people, technology and processes that are overlapping.
 - Studies revealed that effective KM depends on:
 - 80% - Organizational processes and human factors
 - 20% - Technology
- Knowledge is first created in the people's mind.
- KM practices must first identify ways to encourage and stimulate the ability of employees to document their knowledge and also develop new knowledge.

Knowledge Management Methodologies and Technologies must enable effective ways to:

- ✓ Create knowledge
- ✓ Acquire knowledge
- ✓ Represent knowledge

-
- ✓ Organize knowledge
 - ✓ Share/Disseminate knowledge
 - ✓ Use and reuse knowledge
 - ✓ Update this knowledge.

As knowledge is disseminated, individuals develop, create, and identify new knowledge or update old knowledge, which they reload into the system.

- *KM* should not distance itself from the knowledge owners,
 - But instead celebrate and recognize their importance/ position as experts in the organization.
 - This will make them recognize knowledge is power, not just by bill boarding it but also by sharing it.

Benefits of KM

- KM has had a positive impact on business process. The goal is:
 - To capture the tacit knowledge required by the business process
 - To encourage knowledge workers to share and communicate knowledge with peers
- KM has the intangible return on knowledge sharing rather than knowledge hoarding
 - Too often employees in one part of a business start from ‘**scratch**’ on a project because the knowledge needed is somewhere else but not known to them
 - As a result of KM, systems have been developed to gather, organize, refine and distribute knowledge throughout the business.

Knowledge Engineering (KE)

- KE is the process of building a knowledge base through extracting the knowledge from the human expert.
- Knowledge engineering is the process of
 - Extracting the knowledge from the human expert.
 - Choose knowledge representation formalism
 - Choose reasoning and problem-solving strategy.

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- A knowledge engineer is someone who investigates a particular domain, determines what concepts are important in that domain, and creates a formal representation of the objects and relations in the domain.

A KE has to decide what objects and relations are worth representing, and which relations hold among which objects.

The two main tasks of KE

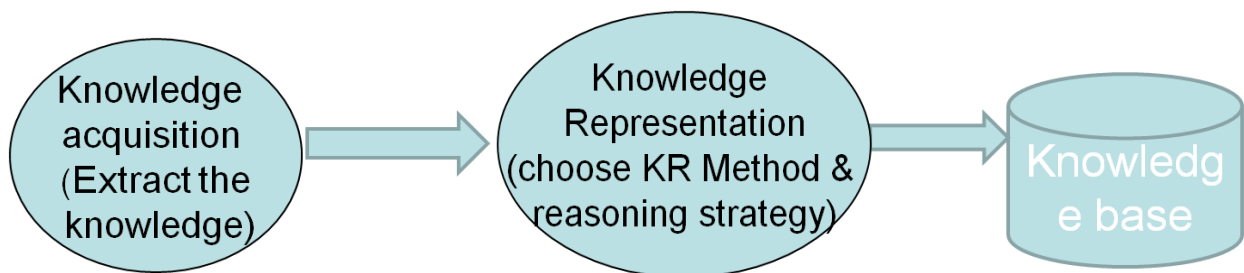
✓ **Knowledge acquisition**

- The knowledge engineer interviews the real human experts to be educated about the domain and to elicit the required knowledge, in a process called knowledge acquisition

✓ **Knowledge Representation**

- Techniques such as logic are a powerful tool for KR and reasoning. However, such techniques consist of only the syntax, semantics and proof theory.
- KR techniques do not offer any guidance as to what facts should be expressed, nor what vocabulary should be used to express them

Knowledge base is used to store facts and rules.



Knowledge Based Systems (KBSs)

- Development of Expert systems (ESs): the key to power
- Performance of general-purpose problem-solving methods is weak for many complex domains.
- Use knowledge more suited to make better reasoning in narrow areas of expertise (like human experts do).
 - Early knowledge intensive systems include:

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- The **Dendral program** (1969): solved the problem of inferring molecular structure ($C_6H_{13}NO_2$) (Aminocaproic acid)
 - **MYCIN** (1976): used for medical diagnosis; etc.
- These days a number of ESs are available in the various fields:
- Law (legal advisor); Agriculture/forestry; Computer maintenance; Accounting, auditing and taxation; medical; etc.

Arba Minch University
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Strategic Management

CHAPTER ONE

OVERVIEW OF STRATEGIC MANAGEMENT

1. History of Military Strategic Thought

Strategic management is evolved from military Science; therefore before we go to historical development of Strategic management let see first ancient theories of strategy. In the 6th century BC, the Chinese military strategist Sun Tsu wrote one of the first, and probably the most influencing, book in strategy ever. "Art of War" is a Chinese military treatise written by Sun Tzu, military strategist in the state of Wu in the late 6th century BC or at the beginning of the 5th century BC. The work examines the strategies that need to be followed for the implementation of basic management goals. Today this treatise underlies the strategic SWOT analysis which shows the relationship between the strengths and the weaknesses of the organization on one hand, and the opportunities and threats arising from the external environment on the other. The book was translated for the first time in French in 1772 and in English in 1905. Leaders as different as Mao Zedong, Antoine-Henri Jomini, Napoleon and even Nazi's commanders drew inspiration from the work. "Art of War" has an impact not only on military thinking, but also on economics, business and management. Sun Tzu believed that the strategy should not be a plan in the form of

pre-established list, but rather required prompt and appropriate actions in response to changing conditions.

The Art of War is a military treatise – composed of 13 chapters or 13 basic aspects of warfare that became the basic text for military strategy in Asia, and an influential reference to the Eastern military thinking. In many East Asian countries, “Art of War” has been part of the curriculum of potential candidates for military service. During the Vietnam War, some Vietnamese officers studied “Art of War”, so that they could recite whole passages by heart. After the successful implementation of the tactics described in the book during the Battle of Dien Bien Phu in Indochina (implemented by the Vietnamese General Vo in his victory over the US military), America looked at the ideas of Sun Tzu more than ever and pushed these ideas in US military theory. Today the US Army supports libraries for lifelong learning through the “Art of War”. The book is in the list of professional training programme for the Marine Corps, recommended reading for the US intelligence and required reading for all CIA officials. Today the work of Sun Tzu has captured the world of business. It gives advice on how to outwit the enemy, so that battle is not necessary.

Over time, the work of Tsu has extended its influence away from the military world and motivated generations of successful managers and strategist in business and beyond. The treatise remarks the importance of positioning in strategy, and that position is affected by both the objective conditions in the physical environment and the subjective opinions of competitive actors within that environment. Tsu thought of strategy not as detailed plan of action but as a response – a fast and appropriated response to changing conditions. From his perspective, Tsu suggests that planning is only effective in stable environments since sticking to a plan in changing conditions will rather raise unexpected conflicts.

Miyamoto Musashi (1584–1645) was a Japanese swordsman turned into a legend. Musashi came from an old Samurai family. At the age of seven, he remained an orphan and was sheltered by his uncle a priest in a Buddhist monastery. He mastered the basics of the strategy to combat with a sword. Watching the movements of the drummer in a Buddhist monastery, Musashi developed the technique to fight with two swords, making his defense impenetrable. Only thirteen, armed with a stick, he defeated a well-skilled swordsman in his first fight. In Japan he is known as “sensei” the warrior-saint. (S9.com 2013) Miyamoto Musashi wrote “The Book of Five Rings” in 1643. The five books are “Earth”, “Water” Fire, Wind and Emptiness respectively. The five

“books” in the book are related to the idea that there are different elements of the battle, just as there are different physical elements in life. According to the author, strategy becomes free and undistorted and is the result of natural and spontaneous reaction.

2. Historical development of strategic management

Strategic management is a relatively new field of science in the field of management science, but many concepts and theories of science is derived from military strategy since the days of Julius Caesar and even to the posts made by Sun Tzu. The term strategy is derived from the Greek word ‘strategos’. According to, Heracleous (2003) the word ‘strategos’ comprised two Greek words, ‘stratos’ and ‘agein’. The term ‘stratos’ refers to the army and ‘agein’ means to lead. Thus strategy in this sense means the art of leading the army. The word strategy, therefore, means the art of the general. When the term strategy is used in military sense, it refers to action that can be taken in the light of action taken by opposite party. Strategy is, thus, a systematic plan of action to defend one or to defeat rivals. Although management in its development strategy adapted from military strategy theory, but there is a clear distinction between the nature of competition faced by military and company. The main objective of military strategy in war is to defeat enemy. While the purpose of the company's strategy to achieve competitive advantage. Therefore, an understanding of strategic management development is very important in changing the paradigm of strategic management, in which patterns of mind-set in advance about competitive advantage is a win-lose solution while mind-set is now about sustainable competitive advantage in competition arena is a win-win solution, in which the three essential components in competitive environment; competitor , customer, company can be incorporated into the cooperation through a strategic alliance.

3. Development Of Strategic Management

Although strategic management science is a relatively new in management science field, but the concepts and theories in field is evolving according to changes in environment faced by the company. Then the development of strategic management from the point of thinking and approach to corporate strategy is based on decades of experts, can be divided into four decades, namely; Called the decade of 1950s and 1960s, corporate planning, called the decade of 1960s and 1970s, corporate strategy, called the decade of 1970s -1980s, competitive strategy and 1980s until now called, resources base view strategy

1. 1950s - 1960s. "Corporate Planning"

In this decade business environment remains relatively stable, but necessary business strategy as the best way to manage large and complex organizations. The main problem in large organizations in this decade is to coordinate the decisions are taken individually, and maintain a thorough scrutiny of top management. Planning in this decade is the annual financial budget that can be used as a mechanism of coordination and supervision. In 1954, Peter Drucker popularizing an approach to planning in terms of management by objectives that explains how to manage the company by reference to a set of formal procedures that emphasizes goal setting and performance assessment.

The essence of the system management by objectives lies in setting targets shared by managers and subordinates. The targets used by subordinates and superiors to monitor progress. Assessment of the performance carried along on a sustainable basis with provisions to be assessed regularly and periodically leadership to apply a clear goal in operating the company by directing the company's internal strength against external environmental expectations. Thus, through the strategic planning process of mid-term planning and forecasting market became popular.

2. 1960s - 1970s, "Corporate Strategy"

In this decade the emphasis of business planning is a strategic planning or long-term planning is formal with priority given to portfolio planning, namely; business and product diversification, as well as the allocation of resources. In the early 1970s, Igor Ansoff began to introduce "strategic concept" in his popular "Corporate Strategy" which explains the basic understanding of the strategy in the management when the concept of management is not able to explain questions about the changes the competitive environment faced by the company, in which the development of the company lead to the management of multi-business, multi-market and multi-product, then this decade began to emerge management lecture material such as corporate strategy, corporate planning, and business policy, until now called strategic management.

3. 1970s - 1980s, "Competitive Strategy"

In this decade change in increasingly complex environments where increased competition internationally that threatens the stability and viability of the company, as a result the company was forced to leave the medium-term planning process that is used to do and more emphasis on strategic management approach that is more flexible. Therefore, strategic issues in this decade are the increasing awareness of the importance of external environment analysis with emphasis on analysis of industry and competition. Michael Porter from Harvard Business School

pioneered the application of the industrial organization in analyzing the determinants of firm performance. Industrial organization view on competitive advantage states that external factors are more important than a variety of internal factors in the company's efforts to achieve competitive advantage. The adherents view of industrial organization believes that organizational performance will be largely determined by the competitive forces in the industry. Porter (1980) in his book "Competitive Strategy" states that companies need to understand or assess patterns of existing competition and the strength of competition in the industry, because it determines the strength of the company's profit potential in the industry. Framework strategy identifies five forces competitive industries, namely the threat of new entrants company, the threat of substitute products, bargaining power of suppliers, bargaining power of buyers, and the intensity of competition in the industry. Furthermore, Porter (1985) defines competitive strategy is positioning the business to maximize value for the company compared with its competitors. The typical value that can be achieved by the company to pursue a strategy of generic as follows; cost leadership, differentiation, and focus.

4. In the 1980s until now. "Resources base view strategy"

At the end of the 1980s was marked by the external environment is increasingly complex and competitive business environment with very high, the company began developing the concept of strategy and focus of the emphasis changed from the analysis of the competitive advantage in the aspect of the strength of competition in the industry based resource into the internal aspects of the company. Resource-based view emphasizes that the company's competitive advantage obtained through the exploitation of resources and capabilities unique company than the company's choice to position itself in the market. Resource-based view preceded by Penrose (1959) states that the company's growth is based on a manager's ability to coordinate resources and decision-election strategy appropriate resources for managers will determine the final performance of the company. Later developed by Prahalad and Hamel (1990), Barney (1991), Rumelt (1991), Grant (1991), and Peteraf (1993) which states that every organization is a set of resources and capabilities, both tangible and intangible that can controlled by the company in formulating and implementing strategies to improve the efficiency and effectiveness of the company. Sustainable competitive advantage is achieved where resources valuable, rare, unique, and can not be imitated. Then the resource-based view sees each company has a core competence arising from the resources and capabilities that can be used as a source of competitive advantage.

At the beginning of this decade Thomas J. Peter & Robert H. Waterman, Jr. in his book "In Search of Excellence" approach popularized the 7-S McKinsey as a conceptual framework to explain the superior performance of companies in the United States. In its development, the approach McKinsey 7-S is used to test the effectiveness of the organization and can be applied to analyze the strengths and weaknesses of the company. The conceptual framework to identify and evaluate the organization seven variables in analyzing the company profile ,i.e; structure, strategy , staff, style, systems , skills , and shared values. In the early 1990s, developing resource-based view which leads to a more dynamic knowledge-based view is characterized by the concept of competitive advantage in the future where the company must prepare by building core competencies. Prahalad and Hamel (1990) argues that the critical task of management is to create an organization capable of creating product which customers need but have not yet even imagined. To achieve this, management must successfully operate across organizational boundaries rather than focus on discrete individual strategic business units (SBU). The concept on knowledge management combined with learning organization are becoming increasingly popular in the 21st century, in which becomes a concern, regarding skills, thinking ability, moral values, need to be managed to create creativity in order to achieve sustainable competitive advantage. Competitive advantage, namely superior efficiency, superior quality, superior innovation, and superior customer responsiveness.

In the 21st century, the concept of competitive advantage is colored by two complementary views; the industrial organizations views stated that external factors (industrial environment) is more important than a variety of internal factors in the effort to achieve a company's competitive advantage. A proponent of the view believes that the company's performance will be largely determined by the forces of the industry. On the other hand, resource-based view states that the company's internal resource is more important to the company than external factors in an effort to achieve and maintain a competitive advantage.

Until the 1940s, strategy was seen as primarily a matter for the military. Military history is filled with stories about strategy. Almost from the beginning of recorded time, leaders contemplating battle have devised offensive and counter-offensive moves for the purpose of defeating an enemy. Strategic Management as a discipline originated in the 1950s and 60s. Although there were numerous early contributors, the most influential pioneers were [Alfred D. Chandler](#), [Philip Selznick](#), [Igor Ansoff](#), and [Peter Drucker](#). Let see their major contribution one by one:

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1. **Alfred Chandler** recognized the importance of coordinating the various aspects of management under one all-encompassing strategy. Prior to this time the various functions of management were separate with little overall coordination or strategy. Interactions between functions or between departments were typically handled by a boundary position, that is, there were one or two managers that relayed information back and forth between two departments. In his [1962](#) groundbreaking work *Strategy and Structure*, Chandler showed that a long-term coordinated strategy was necessary to give a company structure, direction, and focus. He says it concisely, “[structure follows strategy](#)”.
 2. [Philip Selznick](#) in [1957](#), [Philip Selznick](#) introduced the idea of matching the organization's internal factors with external environmental circumstances. This core idea was developed into what we now call [SWOT analysis](#). Strengths and weaknesses of the firm are assessed in light of the opportunities and threats from the business environment.
 3. [Igor Ansoff](#) he developed a strategy grid that compared market penetration strategies, product development strategies, market development strategies and [horizontal](#) and [vertical integration](#) and diversification strategies. He felt that management could use these strategies to systematically prepare for future opportunities and challenges. In his [1965](#) classic *Corporate Strategy*, he developed the [gap analysis](#) still used today in which we must understand the gap between where we are currently and where we would like to be, then develop what he called “**gap reducing actions**”.
 4. [Peter Drucker](#). He was a prolific strategy theorist, author of dozens of management books, with a career spanning five decades. His contributions to strategic management were many but two are most important. Firstly, he stressed the importance of objectives. An organization without clear objectives is like a ship without a rudder. As early as [1954](#) he was developing a theory of management based on objectives. This evolved into his theory of **management by objectives** (MBO). According to Drucker, the procedure of setting objectives and monitoring your progress towards them should permeate the entire organization, top to bottom. His other seminal contribution was in predicting the importance of what today we would call intellectual capital. He predicted the rise of what he called the “knowledge worker” and explained the consequences of this for management. He said that knowledge work is non-hierarchical. Work would be carried out in [teams](#) with the person most knowledgeable in the task at hand being the temporary leader

5. Definition of Strategic Management

Strategic management is the combination of two words, strategy and Management. Let see these two words separately. In business parlance, there is no definite meaning assigned to strategy. A few definitions stated below may clarify the concept of business strategy:

Chandler: strategy is determination of the basic long term goal and objectives of an enterprise and adoption of the course of action and allocation of resources necessary for carrying out these goals.

It involves the following three aspects

- 1. Determination of basic long term goals and objectives of an enterprise*
- 2. Adoption of the course of action to achieve these objective*
- 3. Allocation of resources necessary for adopting the courses of action*

William F Glueck: Strategy is unified, compressive and integrated plan designed to assure the basic objectives of the enterprise are achieved.

- Unified means: the plan joins all parts of the enterprise together
- Comprehensive means: It cover all major aspects of the enterprise
- Integrated means: All parts of the plan are compatible with each other.

▪ Strategy also defined as follows:

- ✧ A comprehensive master plan stating how the corporation will achieve its mission and long term objective.
- ✧ Company's "game plan"
- ✧ A comprehensive plan stating how the corporation will achieve its mission and objectives. It maximizes competitive advantage and minimizes competitive disadvantage.
- ✧ An action a company takes to attain superior performance.
- ✧ Large-scale, future-oriented plan for interacting with the competitive environment to achieve objectives

What is management?

Every scholar in the field of management has presented different definitions for management according to their own knowledge and opinion, and every scholar has had different methods for determining the meaning of this concept. The evaluation of these opinions underscores the fact that there is no general and consistent definition for the term, and in fact, every scholars has considered it from his\her own viewpoint. Follett (2003) defines management as the art of getting things done through people. According to this meaning, everyone who can have the things done by the others' energy is considered as a successful manager. In other words, a successful manager is the coordinator and conductor of group activities for accomplishing the desired objectives of the organization with maximum efficiency. On the other hand, Safi (1995) believes that management is coordinating human and financial resources for achieving organizational objectives. Therefore, management is an efficient process for solving the problems related to achieving objectives through effective application of rare resources in a changing environment. It is also defined as the science and art of establishing, coordinating, leading, and controlling group activities to accomplish group members' common objectives. **By combining the above two words strategic Management can be defined in various ways.**

- ⊕ David (2009) Strategic management can be defined as the art and science of formulating, implementing, and evaluating cross-functional decisions that enable an organization to achieve its objectives. *As this definition implies, strategic management focuses on integrating management, marketing, finance/accounting, production/operations, research and development, and information systems to achieve organizational success.*
- ⊕ Pearce and Robinson (2011) Strategic management is defined as the set of decisions and actions that result in the formulation and implementation of plans designed to achieve a company's objectives
- ⊕ Arthur Sharplin, defined Strategic Management as, "A plan or course of action which is of vital, pervasive or continuing importance to the organization as a whole".
- ⊕ Strategic management has been defined by Loyd L. Byars as a process which is concerned with making decisions about an organization's future direction and implementing these decisions
- ⊕ According to Wheelen and Hungers' (2006), strategic management is a set of managerial decisions and actions that determines the long-term performance of a corporation.

It involves environmental scanning (both external and internal), strategy formulation (strategic or long range planning), strategy implementation, and evaluation and control.

⊕ From the perspectives of Dess and Miller (1993), strategic management is a process that combines three major interrelated activities: strategic analysis, strategy formulation and strategy implementation.

⊕ Lamb (1984) states that strategic management is an ongoing process that evaluates and controls the business and the industries in which the company is involved; assesses its competitors and sets goals and strategies to meet all existing and potential competitors; and then reassesses each strategy annually or quarterly to determine how it has been implemented and whether it has succeeded or needs replacement by a new strategy to meet changed circumstances, new technology, new competitors, a new economic environment, or a new social, financial, or political environment.”

The term strategic management is used synonymously with strategic planning. It is also used at many colleges and universities as the subtitle for the” capstone course” in business administration, because, it integrates material from all business disciplines .In general today there is no standard definition of strategic management. The definition of strategic management by scholars may vary depending on the perspective subscribed by each scholar. Regardless most scholars agree that the strategic management process consists of strategy formulation, strategy implementation and strategy evaluation and control.

6. Key terms in strategic management

❖ Strategists

Strategists are individuals who are most responsible for the success or failure of an organization. Strategists hold various job titles, such as chief executive officers, president, and owner, chair of the board, executive director, chancellor, dean, or entrepreneur.

❖ Vision and Mission Statements

Vision statements answer the question: “**What do we want to become?**”

Mission statements are “enduring statements of purpose that distinguish one business from other similar firms. A mission statement identifies the scope of a firm’s operations in product and

market terms.” It addresses the basic question that faces all strategists: “**What is our business?**” It should include the values and priorities of an organization.

❖ **External Opportunities and Threats**

External opportunities and external threats refer to economic, social, cultural, demographic, environmental, political, legal, governmental, technological, and competitive trends and events that could significantly benefit or harm an organization in the future.

Opportunities and threats are largely beyond the control of a single organization, thus the term *external*.

❖ **Internal Strengths and Weaknesses**

Internal strengths and internal weaknesses are an organization’s controllable activities that are performed especially well or poorly.

Identifying and evaluating organizational strengths and weaknesses in the functional areas of a business is an essential strategic-management activity.

❖ **Long-Term Objectives**

Objectives can be defined as specific results that an organization seeks to achieve in pursuing its basic mission.

Long term means more than one year.

❖ **Strategies**

Strategies are the means by which long-term objectives will be achieved. Business strategies may include geographic expansion, diversification, acquisition, product development, market penetration, retrenchment, divestiture, liquidation, and joint venture.

❖ **Annual Objectives**

Annual objectives are short-term milestones that organizations must achieve to reach long-term objectives.

Like long-term objectives, annual objectives should be measurable, quantitative, challenging, realistic, consistent, and prioritized.

❖ **Policies**

Policies are the means by which annual objectives will be achieved. Policies include guidelines, rules, and procedures established to support efforts to achieve stated objectives.

❖ **Competitive advantage**

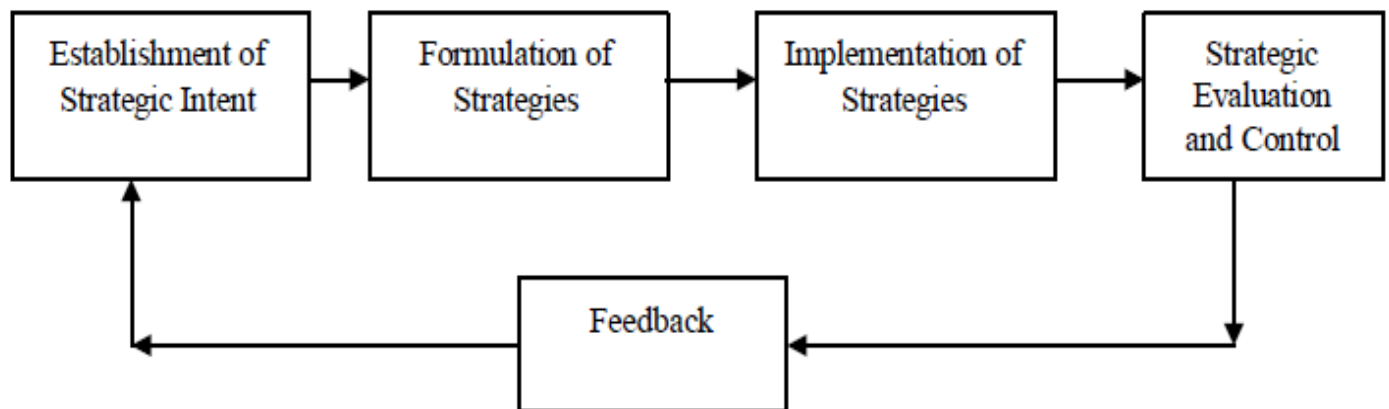
Strategic management is all about gaining and maintaining competitive advantage. This term can be defined as “anything that a firm does especially well compare to rival firms.” When a firm can do something that rival firms cannot do, or owns something that rival firm’s desire, that can represent a competitive advantage.

7. Stages of Strategic Management

Strategic management can be viewed as a process encompassing four important phases namely, establishing a hierarchy of strategic intent, formulation and choice of strategies, implementation and evaluation and control.

These phases are linked to each other in a sequence as shown in below exhibit. It may not be possible to draw a clear line of difference between each phase, and the change over from one phase to another is gradual.

Phases of Strategic Management process



1. Establishing the hierarch of strategic intent

The major elements under the hierarch of strategic intent were:

- a) Creating and communicating a vision statement
- b) Designing a mission statement
- c) Defining the business(setting the goal)
- d) Setting objectives

2. Formulation of strategies

It comprises the following sequential activities

- ✓ Performing environmental appraisal
- ✓ Doing organizational appraisal
- ✓ Considering the corporate level strategies
- ✓ Considering business level strategies
- ✓ Undertaking strategic analysis
- ✓ Exercising strategic choice
- ✓ Formulating strategies
- ✓ Preparing strategic plan

3. Implementation of strategies

It involves the following actions

-  Activating strategies
-  Designing structures and systems
-  Managing functional implementation
-  Operationalising strategies

4. Performing strategic evaluation and control- Comprises:

- Performing strategic evaluation
- Exercising strategic control
- Reformulating strategies

8. Benefits of strategic management

Many studies in organizations have proved that strategic management has led to improved financial performance as generally expected. Since strategic management decisions culminate from vigorous interactions at all levels of the management, hence behavioral patterns in organizations should also be measured and evaluated to arrive at benefits accrued in addition to the financial criteria. The managers having positive outlook and innovative approach contribute more to the growth of a company. Strategic management leads to a culture of problem prevention. It encourages managers to be proactive. The strategic managers emphasize the need for good planning and they are helped by the supervisors and workers in this regard. Thus, the culture percolates to the grass root levels. Working level also becomes involved with the strategic decisions of

growth and offers support to the management. This leads to more participation and sharing of concerns. Studies have revealed that organizations following strategic management have outperformed those that do not. Strategic planning ensures rational allocations of resources and improves coordination's between various divisions of the organization.

Strategic management contain both financial and non-final benefit

A. Financial Benefits

1. It is proved through research that those organizations that apply the concepts of strategic management are more successful & profitable than those that do not take into account strategic management. The Sales, productivity & profitability is much more in the organizations that apply strategic management concepts than the other ones. The organizations that are potential & high performers try to perform systematic planning for their future altering considerations in their internal & external environments. The long term financial performance is much more for the organizations that systematically apply the strategic management as compared to the entire industry. High-performing firms tend to do systematic planning to prepare for future fluctuations in the external and internal environments. Firms with planning systems more closely resembling strategic-management theory generally exhibit superior long-term financial performance relative to their industry.

B. Nonfinancial Benefits

1. Besides helping firms avoid financial demise, strategic management offers other tangible benefits, such as an enhanced awareness of external threats, an improved understanding of competitors' strengths, increased employee productivity, reduced resistance to change, and a clearer understanding of performance-reward relationships.
2. In addition to empowering managers and employees, strategic management often brings order and discipline to an otherwise floundering firm
 - ❖ In addition to the above benefits, strategic management also provides the following benefits described below.

❖ Framework for Operational Planning

❖ Clarity in Direction of Activities

❖ Increase Organizational Effectiveness

❖ Personnel Satisfaction

Looking into the role of strategy, Ross and Kami have suggested that "without a strategy the organization is like a ship without a rudder, going around in circles. It is like a tramp; it has no place to go." They ascribe most business failures to lack of strategy, or the wrong strategy, or lack of implementation of a reasonably good strategy. They conclude from their study that without appropriate strategy effectively implemented, failure is a matter of time.

9. The natures of strategic Management

We have heard and used the word strategy countless times. Indeed, we have developed and implemented strategies since the moment we were born. Overtime, anybody is capable to analyze and react to others's strategic moves. We do experience strategy every day. Certainly, a person can be an accomplished strategist even without to know what strategy is or means, simply because strategy is not an exact science nor a defined tool or skill for itself, but a very *abstract attribute of the intricate human cognition* that let us to position ourselves in life according to our personal goals. As such, strategy is driven by our individual and characteristic way to do(or being) or in other words, it is driven by our personality and what determines it. However, strategy is not an exclusive attribute of the human condition. In nature, strategy regards the traits (characteristics) of individuals and populations to deal with the primordial objective of surviving. From this perspective, strategies to survive do emerge and evolve endlessly. The following points will tell us more about the nature of strategic management:

- ➡ Strategic Management is related mostly to external environment.
- ➡ Strategic Management is being formulated mostly at the higher level of management.
- ➡ Strategic Management integrates three distinct and closely related activities in strategy making. The activities are strategic planning, strategic implementation and strategic evaluation and control.
- ➡ Strategic Management is related to long term.
- ➡ It requires systems and norms for its efficient adoption in any organization.
- ➡ It provides overall frame work for guiding enterprise thinking and action.
- ➡ It is concerned with a unified direction and efficient allocation of organization resources.
- ➡ Strategic Management provides an integrated approach for the organization and aids in meeting the challenges posed by environment.

10. Function of Strategic Management

Strategic Management performs the following functions:

- It provides a dual approach to problem solving. Firstly, it exploits the most effective means to overcome difficulties and face competition. Secondly, it assists in the deployment of scarce resources among critical activities.
- It focuses attention upon changes in the organizational set up, administration of organizational process affecting behavior and the development of effective leadership
- It offers a technique to manage changes. The management is totally prepared to anticipate, respond and influence to look at changes. It also offers a different way of thinking.
- It furnishes the management with a perspective whereby, the latter gives equal importance to present and future opportunities
- It provides the management with a mechanism to cope with highly complex environment characterized by diversity of cultural, social, political and competitive forces

11. Necessity and Advantages of Strategic Management

At organizational level, strategy provides the establishment of a coherent plan to bridge the gap between the realities of today and the desired future, to represent disciplined construction of common objectives and to create more favorable future results than could exist in the organizational development. In general terms, the main purpose of strategic management may be defined as the decisions that will lead to an increase in the value of the company, taking into account the interests of all stakeholders, which is achieved by using different mechanisms for creating competitive advantage that will ensure the realization of economic benefits not available to other companies in the industry. Nowadays, the environment is characterized by instability, uncertainty, complexity and ambiguity. It is always in a state of dynamic instability and the role of strategy is to exert influence on volatility, to manage uncertainty, simplify complexity and to resolve ambiguity, so that the system is able to survive and develop itself in the face of chaos. Therefore, the strategy suggests, predicts, examines and assesses the strategic environment in varying degrees, to manipulate it according to certain goals. Thompson, Strickland and Gamble (2007) identify two primary reasons why strategy is important in business organization. The first important aspect about strategy is that management needs to proactively craft how the organization's business will be conducted. They further assert that a clear and well thought out strategy is management's prescription for doing business, its road map to competitive advantage, its game plan for pleasing customers and improving financial performance. Secondly, they say

that a strategy-focused enterprise is more likely to be a strong bottom line performer than a company whose management views strategy as secondary and puts its priorities elsewhere. Effective strategy formulation and execution have a significantly positive impact on revenue growth, earnings, and return on investment.

Strategic management is both necessary and highly beneficial to the organizations. Considering the rapid social and environmental changes and the necessity of aligning organizations to these changes, organizations need to develop plans which enable them to tolerate and even overcome these political and socioeconomic fluctuations. Therefore, the ability to anticipate the future, get information about the environment, and have efficient plans for success in the future requires strategic management and planning. Strategic management is also considered as a great advantage for organizations.

The principal advantages of strategic management consist of:

- ➡ Warning against problems before their occurrence
- ➡ Producing favorable reactions to the changes
- ➡ Providing realistic attitudes toward the problems
- ➡ Facilitating the recognition and usage of opportunities
- ➡ Minimizing the adverse effects of bad conditions and unfavorable changes
- ➡ Helping the managers to relate crucial decisions to determined objectives
- ➡ Making managers more alert to the minds of change, new opportunities and threatening developments
- ➡ Providing managers with a rationale to evaluate competing budget requests for
- ➡ Helping to unify the numerous strategy-related decisions by managers across the organization;
- ➡ Creating a more proactive management posture and counter-acting tendencies for decisions to be reactive and defensive;
- ➡ Being proactive rather than merely reactive as trail-blazing strategies can be the key to better long-term performance.

12. Limitation of Strategic Management

Strategic management possibilities are not endless. There are a number of limitations in the use of strategic management that shows that this method of management and, like others, is not

universal for any situations and problems. **Firstly**, *strategic management cannot provide a precise and detailed picture of the future*. Method of describing in detail the future of an organization is not a detailed description of its internal state and the situation in the external environment, but rather a mixture of qualitative wishes towards the state in which the organization wants to be in the future. **Secondly**, *strategic management cannot be limited to a set of routine rules, procedures and schedules*. And every manager understands it and largely makes it in their own way. **Thirdly**, *it takes hard work and spends of time and resources for an organization to implement strategic management process*. **Fourthly**, *sharply increase the negative consequences of mistakes in strategic planning*. Given that in the short term created new products, investment directions radically change, when suddenly there are new business opportunities and visibly disappear possibilities that existed during several years. **Fifthly**, *the achievement of the strategic management often focuses on strategic planning*. But this is not enough because the existence of a plan does not ensure its success. In fact the most important component of strategic planning is to meet the plan. **Sixthly**, *adverse effects may occur if people who formulate the strategy are not involved in its implementation*, being difficult to assign individual tasks to other persons not involved in the process. **Other limitations of strategic management**

- ❌ Organization sometimes fail to make strategic management as integral part of strategy making process
- ❌ Organizations tend to be over ambitious and drew unrealistic strategies
- ❌ The process do not ensure unconditional success
- ❌ Analysis if made without proper due diligence may lead to wrong strategy
- ❌ If all options are not evaluated before finalization of strategy there could be significant risk
- ❌ Inadequate management commitment and lack of willingness to allocate resource may lead to failure of strategy

13. Social responsibilities and Ethics in Strategic decision making

Should strategic decision makers be responsible only to shareholders or should they have broader responsibilities? The concept of **social responsibility** proposes that a private corporation has responsibilities to society that extend beyond making a profit. Strategic decisions often affect more than just the corporation. A decision to retrench by closing some plants and discontinuing product lines, for example, affects not only the firm's workforce but also communities where the

plants are located and those customers who have no other source of the discontinued product. This brings into consideration the question of the appropriateness of certain missions, objectives, and strategies of business corporations. Some businesspeople believe profit maximization is the primary goal of their firm, whereas concerned interest groups argue that other goals should have a priority, such as the hiring of minorities and women or community development. Strategic managers must be able to deal with these conflicting interests to formulate a viable strategic plan in an ethical manner.

What are the Responsibilities of a Business Firm?

What are the responsibilities of a business firm and how many of these responsibilities must strategic managers fulfill? Milton Friedman and Archie Carroll offer two contrasting views of the responsibilities of business firms to society.

1. Friedman's traditional view of business responsibility

Milton Friedman, in urging a return to a laissez-faire worldwide economy, that is, one with a minimum of government regulation, argues against the concept of social responsibility. If a businessperson acts “responsibly” by cutting the price of the firm’s product to prevent inflation, or by making expenditures to reduce pollution, or by hiring the hard-core unemployed, that person, according to Friedman, is spending the stockholders’ money for a general social interest. Even if the businessperson has shareholder permission or encouragement to do so, he or she is still acting from motives other than economic and may, in the long run, cause harm to the very society the firm is trying to help. By taking on the burden of these social costs, the business becomes less efficient—either price goes up to pay for the increased costs or investment in new activities and research is postponed. These results negatively, perhaps fatally, affect the long-term efficiency of a business. Friedman thus referred to the social responsibility of business as a “fundamentally subversive doctrine” and stated that “there is one and only one social responsibility of business—to use its resources and engage in activities designed to increase its profits so long as it stays within the rules of the game, which is to say, engages in open and free competition without deception or fraud.”

2. Carroll's four responsibilities of business

Archie Carroll proposes that the managers of business organizations have four responsibilities: economic, legal, ethical, and discretionary.

1. Economic responsibilities are to produce goods and services of value to society so that the firm may repay its creditors and shareholders.

- Value creation from the products and services they make, which societies benefits from them by increasing their lives welfare
- To operate in a way that doesn't destroy the things that enable a society wealthy enough in all the ways needed for them to be able to continue being customers for an extended period.
- to contribute to the progress of the economic development of the country
- To pay all taxes levied by the government.
- proper and economic management of the organization operations
- By doing all that, to earn the right to make a sufficient profit to reward those that put capital into the business.

2. Legal responsibilities are defined by governments in laws that management is expected to obey. Like individual members of the citizenry, a business also has an obligation to follow all written and codified laws that concern its existence. Some of the laws affecting a business include basic business permits and requirements, tax laws, labor rights, intellectual property rights, consumer protection, contracts and obligations, and anti-trust and competition laws, among others.

3. Ethical responsibilities are to follow the generally held beliefs about how one should act in a society. For example, society generally expects firms to work with the employees and the community in planning for layoffs, even though there may be no law requiring this. The affected people can get very upset if an organization's management fails to act according to generally prevailing ethical values.

- Obligation to follow ethical standards, norms, and values of the communities wherein it operates.
- To distinguish right from wrong and make decisions and actions that serves the interests of concerned communities.

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- An ethically responsible business is able to recognize, interpret, and act upon multiple principles and values according to standards prescribed by a particular context or within a given field.

4. Discretionary responsibilities are the purely voluntary obligations a corporation assumes, for example, philanthropic contributions, training the hard-core unemployed, and providing day-care centers. The difference between ethical and discretionary responsibilities is that few people expect an organization to fulfill discretionary responsibilities, whereas many expect an organization to fulfill ethical ones. Carroll lists these four responsibilities in order of priority. A business firm must first make a profit to satisfy its economic responsibilities. To continue in existence, it must follow the laws, thus fulfilling its legal responsibilities. To this point Carroll and Friedman are in agreement. Carroll, however, goes further by arguing that business managers have responsibilities beyond economic and legal. Once the two basic responsibilities are satisfied, according to Carroll, the firm should look to fulfilling its social responsibilities. Social responsibility, therefore, includes both ethical and discretionary, but not economic and legal responsibilities. A firm can fulfill its ethical responsibilities by doing those things that society tends to value but has not yet put into law. Once ethical responsibilities are satisfied, a firm can focus on discretionary responsibilities—purely voluntary actions that society has not yet decided are necessary.

CHAPTER TWO

THE BUSINESS VISION AND MISSION STATEMENT

2. Introduction

Organizations strive to achieve the end results which are ‘vision’, ‘mission’, ‘purpose’, ‘objective’, ‘goals’, ‘targets’ and so on. The hierarchy of strategic intent lays the foundation for the strategic management of any organization. The strategic intent makes clear what an organization stands for. It is reflected through vision, mission, business definition and objectives. Vision serves the purpose of stating what an organization wishes to achieve in long run.

The mission and vision statements are critical to the strategic planning process since they provide clear, guiding principles that further define who the health center is as an organization and why the center exists.

The process of assigning a part of a mission to a particular department and then further subdividing the assignment among sections and individuals creates a hierarchy of objectives.

The objectives of the sub unit contribute to the objectives of the larger unit of which it is a part. From strategy formulation point of view, an organization must define ‘why’ it exists, ‘how’ it justifies that existence, and ‘when’ it justifies the reasons for that existence. The answers to these questions lie in the organization’s mission, business definition, objectives and goals. These terms become the base for strategic decisions and actions.

2.1 visions

The vision of the organization refers to the broad category of long-term intentions that the organization wishes to pursue. It is broad, all inclusive, and futuristic. As the word ‘vision’ suggests, it is an image of how the organization sees itself. It is in most cases, a dream; the aspirations the organization holds for its future; a mental image of the future state. It might therefore be difficult for the organization to actually achieve its vision even in long-term, but it provides the direction and energy to work towards it.

Generally, vision is often expressed in a unique way to combine competitive influences in a way that directs a firm to pursue a revolutionary strategy. A vision statement presents the firm’s strategic intent that focuses the energies and resources of the company on achieving a desirable future.

2.1.1 Definitions of vision

The starting point for articulating strategic management process is defining the vision. Vision has been defined as in several ways by different authors and scholars.

 **Kotter (1990)** defines it as “description of something (an organization, corporate culture, a business, a technology, an activity) in the future”.

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- 🌿 **El-Namaki (1992)** considers it as a “mental perception of the kind of environment an individual, or an organization, aspires to create within a broad time horizon and the underlying conditions for the actualization of this perception”.
 - 🌿 **Miller and Dess (1996)** view it simply as the “category of intentions that are broad, all inclusive and forward thinking”.
 - 🌿 **Vision Statement** – A mental picture of what you want to accomplish or achieve or abig picture of what you want to achieve.

Some examples of a vision statement are given below

- ★ To become a world-class commercial bank by the year 2025-Commercial Bank of Ethiopia
- ★ Addis Ababa University aspires to be ranked among the top ten pre-eminent African graduate and research universities in 2023.
- ★ “Our vision is to be the world's best quick service restaurant.” (McDonalds)

2.1.2 Benefits of vision

The benefits of vision to the organization are:

- Good visions are inspiring and exhilarating.
- Good visions help in the creation of a common identity, and a shared sense of purpose. They are competitive, original and unique. They make sense in the market place as they are practical.
- Good visions foster risk-taking and experimentation. They represent integrity; they are truly genuine and can be used for the benefit of people.

2.1.3 Component of vision statement

The process of envisioning is a difficult one. A well-conceived vision consists of two major components which are given below.

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1. **Core ideology:** It defines the enduring character of an organization that remains unchangeable as it passes through the vicissitudes of vector, such as, technology, competition, or management fads.
 2. **Envisioned future:** It also consists of two components: a 10-30 years audacious goal, and a vivid description of what it will be like to achieve that goal. The process of envisioning is indeed fascinating.

2.1.4. Characteristics of a ‘Good’ Vision Statement

1. **Brevity:** A good vision statement is succinct, which makes it easy for managers and leaders to communicate and employees to remember. Vision statements are less effective when they are too short (such as a one-sentence vision statement) or too long (such as a two or three page vision statement). The average vision statement is about 35 words, or two to three sentences. This length seems to be about right for effectively communicating the vision statement to employees.
2. **Clarity:** A vision should unite the organization and provide a stable, transcendent goal. The vision should avoid using jargon and buzz words and should use understandable terminology.
3. **Abstract and Challenging:** An effective vision statement sets an abstract yet challenging goal. The goal should not be stated too concretely (e.g., “to build a new building”) but rather at a higher level of abstraction (e.g., “to create beautiful living spaces”).
4. **Future Focused:** Good vision statements are long-term, describing the organization’s desired end-state well into the future. Effective vision statements often describe on-going actions in which the organization will engage.
5. **Be inspirational:** The vision statement is supposed to challenge, enthuse and inspire. Use powerful words and vivid phrases to articulate the kind of institution you are trying to become.
6. **Be realistic:** The purpose of the vision is to inspire and enthuse, it is equally important that this ambition is tempered by an underlying sense of realism. People need to believe that what is envisaged is actually achievable; otherwise there is no reason for them to believe or buy in to it. It is perfectly possible to be both ambitious and realistic and it is through successfully marrying these two forces that the best vision statements will be formed.

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7. **Be consistent:** Though bearing in mind their different purposes, there should still be an element of continuity between your mission and vision statements, or at least some careful thought and discussion given as to why this is not the case.

2.2 Missions

An organization's mission is the purpose for the organization's existence. A well-conceived mission statement defines the fundamental and unique purpose that sets a company apart from other firms of its type and identifies the scope of the company's operations in terms of products offered and markets served. A mission statement promotes a sense of shared expectations in employees and communicates a public image to important stakeholder groups in the company's task environment.

Some of the definitions of a mission statement are extracted from different sources given below.

- ★ **Thompson (1997)** defines mission as the “essential purpose of the organization, concerning particularly why it is in existence, the nature of the business/es it is in, and the customers it seeks to serve and satisfy”.
- ★ **Hunger and Wheelen (1999)** say that mission is the “purpose or reason for the organization's existence”.
- ★ Mission is a statement that defines the role an organization plays in a society. Hence, it sets out why the organization exists and what it should be doing.
- ★ **Mission Statement** – A general statement of how the vision will be achieved. The mission statement is an action statement that usually begins with the word “to”.

Some examples of a mission statement are given below

- ♣ To organize the world's information and make it universally accessible and useful' - Google
- ♣ We are committed to best realize stakeholders' needs through enhanced financial intermediation globally and supporting national development priorities, by deploying highly motivated, skilled and disciplined employees as

well as state-of-the-art technology. We strongly believe that winning the public confidence is the basis of our success-Commercial Bank of Ethiopia.

- ♣ Arba Minch University has a mission of offering relevant and quality education and training; conducting demand driven research and rendering accessible community services
- ♣ To contribute to society through the pursuit of education, learning, and research at the highest international levels of excellence.' - University of Cambridge

2.2.1 Need for Mission Statement

Following are the reasons for evolving a mission statement.

- The mission statement gives a unified direction to the company's growth.
- The utilization of the company's resources is also unified, and people get motivated to exploit these resources in a specific direction for the company's growth.
- Allocation of resources is based on the mission statement. Company executives get an idea for allocation of resources as directed by the mission statement.
- The mission statement while giving a direction for growth also tends to build up a professional climate for maintenance and improvement of the company's status in any desired area.
- The mission statement vividly brings forth the purpose of the organization and growth direction in the prevalent cultural climate of an organization, thus bringing into focus the style of management and functioning of the organization.
- The mission statement outlines a framework for organizational planning assigning definite tasks and responsibilities to each business unit.
- The mission statement helps set-up and develop a control mechanism for achievement of objectives.
- Defining the mission of an organization brings forth the hidden talent amongst the work force who take up challenges to meet the company's strategic objectives.

2.2.2. Characteristics of a Mission Statement

1. It should be feasible: A mission should always aim high but it should not be an impossible statement. It should be realistic and achievable- its followers must find it to be credible. But feasibility depends on the resources available to work towards a mission. In the sixties, the US National Aeronautics and Space Administration (NASA) had a mission- to land on the moon. It was feasible mission that was ultimately realized.

2. It should be Precise: Using too many or too few words in a mission statement may lead to ambiguity. If too many words embody a mission statement, it may not be clearly understood by people at the functional and operating level. On the contrary, if less than the necessary numbers of words are used in a mission statement, the employees at operating level may derive different meanings out of it. Similarly the mission statement should not have a narrow focus or a very broad view.

3. It should be clear: The mission statement should culminate into an action program and hence brevity is the essential requirement of a mission statement. It should not contain high-sounding words which eventually do not clearly convey any action. The mission statement should be clear to employees of the company because all of them would be guided by this statement. It should be made clear to those who do not understand it through training workshops, or other forms of communication.

4. It should be motivating: The mission statement should be a source of inspiration for members of an organization. Members of the organizations should take pride in associating themselves with their organization through mission statement and they should get motivated to accept the challenge and accomplish the mission. Customers and societies associated with an organization should also feel good about the mission of the organization.

5. It should be distinctive: The mission statement of an organization should be distinct. There may be many organization manufacturing washing machines, refrigerators, scooters, cars etc., but each one of them define their mission differently because they are basically pursuing a specific mission that exclusively belongs to them. It is very rare that the mission statements of any two companies are similar. Each company depending on its resources environment, purpose and various other conditions evolve its own mission statement.

6. **It should indicate major components of strategy:** An organization may have different strategies but the mission statement should speak of the major strategy being followed by the company. The company should highlight potential strengths or requirements, that is, stability, growth, leadership, business volume and so on, such that the requirement is well driven home in the minds of the employees for giving them a unified direction of growth.

The major strategy along with the purpose of an organization gives an insight to a reader about the organization. The major strategy should also be reflected with a view to bind the organization in unidirectional effort to meet objectives. Stating the major strategy in mission statement gives an insight to the employees regarding the course of action that they have to jointly take.

8. **It should indicate how objectives are accomplished:** The mission statement should indicate the manner in which the organizations objectives would be achieved. Since the mission statement is related to a specific time-period, the reflection of methods of accomplishing the objectives gives a better understanding of the mission of a company and the way defined objectives are to be pursued.

2.2.3. Mission statement components

Mission statements can and do vary in length, content, format, and specificity. Most practitioners and academicians of strategic management feel that an effective statement should include nine components. Because a mission statement is often the most visible and public part of the strategic-management process, it is important that it includes the following nine components

1. **Customers:** Who are the firm's customers?
2. **Products or services:** What are the firm's major products or services?
3. **Markets:** Geographically, where does the firm compete?
4. **Technology:** Is the firm technologically current?
5. **Concern for survival, growth, and profitability:** Is the firm committed to growth and financial soundness?
6. **Philosophy:** What are the basic beliefs, values, aspirations, and ethical priorities of the firm?

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7. **Concern for public image:** Is the firm responsive to social, community, and environmental concerns?
 8. **Concern for employees:** Are employees a valuable asset of the firm?
 9. **Self-concept:** What is the firm's distinctive competence or major competitive advantage?

2.2.4. The difference between vision and mission statement

Vision statement	Mission statement
Category of intentions that are broad, all inclusive and forward thinking,	Mission is the fundamental, unique purpose that sets a business apart from other firms of its type and identifies the scope of its operations in product and market terms.
States aspirations for the firm without stating the means to achieve them	It states how it would achieve the vision of the firm.
Dream, little hazy or intangible	Clear, tangibles vision.
Guides in formulation of mission	Guides in formulation of business definition, goals and objectives.
Futuristic in nature	Current in nature.
Outlines WHERE you want to be.	Talks about HOW you will get to where you want to be.

2.3 Core Values

Core Values indicates how you will behave during the process. Core values define the organization in terms of the principles and values the leaders will follow in carrying out the activities of the organization.

Core Values - Values are the principles and ideals that bind the organization together including the customers, employees, vendors, and all stakeholders. They are developed to frame an ethical context for the organization, and to many they are the “ethical standards” of the organization – the foundation for decision making within the organization.

Core values are the principles and standards at the very center of our character, and from which we will not budge or stray. Values and beliefs form our attitudes and guide our behavior. Values are critically important to organizations because those who have the same value systems, or core values, tend to succeed within the organization, while those who do not share that set of values

generally do not succeed. As employees are faced with daily decision-making, the core values will serve as the guidelines. When managers' and employees' values do not match those of the organization – stated or implied – the results could be turnover, decreased productivity, dissatisfaction.

Let see the main core values of a certain Community Health Center's as an example

-  Accessibility
-  Availability
-  Accountability
-  Collaboration
-  Equality
-  \Professionalism/Leadership/Personal
and Professional Growth
-  Quality
-  Respect
-  Teamwork

2.4. Goal and Objectives

Goals – A goal is a general statement of what you want to achieve. More specifically, a goal is a milestone(s) in the process of implementing a strategy. Goals denote what an organization hopes to accomplish in a future period of time. They represent a future state or an outcome of the effort put in now. Examples of business goals are:

- Increase profit margin
- Increase efficiency
- Capture a bigger market share
- Provide better customer service
- Improve employee training
- Reduce carbon emissions

Objectives are the ends that state specifically how the goals shall be achieved. They are concrete and specific in contrast to goals which are generalized. In this manner, . While goal may be qualitative, objectives tend to be mainly quantitative in specification. In this way they are measurable and comparable.

Objectives – An objective turns a goal's general statement of what is to be accomplished into a specific, quantifiable, time-sensitive statement of what is going to be achieved and when it will be achieved.

Examples of business objectives are:

- Earn at least a 20 percent after-tax rate of return on our investment during the next fiscal year
- Increase market share by 10 percent over the next three years.
- Lower operating costs by 15 percent over the next two years through improvement in the efficiency of the manufacturing process.
- Reduce the call-back time of customer inquiries and questions to no more than four hours

2.5. Characteristics of Objectives

Generally, objectives should be **SMART**, that is, specific, measurable, achievable, realistic, and time bound.

1. **Objectives should be concrete and specific:** what needs to be achieved should be unambiguous. Do not state your objective as “improving efficiency” rather say our company plans to achieve a 12% increase in sales. In short, objectives must be clearly specified.
2. **Objectives should be measurable and controllable:** it is possible to determine if the desired conditions has been achieved. For instance, an objective which states “reduce delays by 20% by the end of 2010” would be easily checked as to whether it is achieved or not. Such measurable objectives give managers a yardstick against which they can judge their performance.

3. **Objectives should be achievable but challenging:** while setting objectives, it is important to take into account the company's capacity like availability of qualified, motivated and committed workforce, reliable supply of various inputs, enough amount of finance and other resources. Setting an objective that is beyond the company's capacity would result in desperate employees as well as managers despite their effort. Hence, objectives should be within the reach of the company, but this does not mean that it should be easily attained without exerting much effort; rather it should be the one that is achieved after overcoming a reasonable amount of challenge/difficulty.
4. **Objectives should be realistic:** objectives should be realistic instead of being ideal. For instance, a farming firm may state its objective as achieving 35% increase in productivity by making rain to fall during non rainy season. Since making rain to fall cannot be realized by such a firm, the objective would be simply wish.
5. **Objectives should be time bound:** this is to mean the time period within which the set objective to be achieved need to be clearly stated. Otherwise, it is difficult as to when to check whether the objective is attained or not. If the stated objective is not reached within the given time horizon, like one year, three years, necessary measures should be taken.

To sum up their difference,

-  Goals are long term and objectives are usually accomplished in the short or medium term
-  Goals are nebulous/vague and you can't definitively say you have accomplished one whereas the success of an objective can easily be measured.
-  Goals are hard to quantify or put in a timeline, but objectives should be given a timeline to be more effective.

- **Action Plans** – Action plans are statements of specific actions or activities that will be used to achieve a goal within the constraints of the objective. Examples of action plans within the context of goals and objectives are:

Goal	Objective	Action plan
Increase Profit Margin	Reduce operating costs by 10 percent in 18 months	Finance department will conduct an in-depth analysis of identifying low cost suppliers
Improve Employee Skills	Conduct a training program in the next 12 months to improve employee skills.	A special committee will be formed to select and hire a professional trainer to conduct the training.
Increase Profit Margin	Increase sales volume by 20 percent in 12 months.	Marketing department will create and implement a plan to increase sales in regions 3 and 5.

CHAPTER THREE
ENVIRONMENTAL ANALYSIS

↳ INTRODUCTION

Environment literally means the surroundings, external objects, influences or circumstances under which someone or something exists. The environment of any organization is “the aggregate of all conditions, events and influences that surround and affect it”. Since the environment influences an organization in multitudinous ways, it is of crucial importance to understand it. If an organization understands the environment in which it operates, half the problem is solved. This requires an analysis of what is happening outside the organization and an evaluation of current resources (strength and weaknesses) and an assessment of opportunities and threats present in the environment.

↳ Environmental Analysis/scanning

Environmental analysis is one of the most critical elements of strategic planning and management. Firms that properly analyze the environment are much more likely to succeed than those that do not. Conversely a major mistake, such as assuming that environmental conditions will not change, is very likely to seriously harm the firm. Environmental scanning is the monitoring, evaluating and disseminating of information from the external and internal environments to key people within corporation.

↳ Why Environmental Analysis?

The strategies that a company may adopt are influenced by the environment. An organization cannot keep itself insulated from the environment. It cannot take decisions on policies and performance independent of the happenings in the environment around it, as it affects the strategic decisions required to be taken by a company. An analysis of environment and its behavior gives ample scope for companies to anticipate various opportunities and threats and being proactive towards them implies that the organizations can turn them to their maximum advantage. If companies lack direction, focus and perception of changing business scenario, they may not be able to withstand predatory competition. Many companies went out of business due to their myopic approach towards the changing environment. They considered themselves invincible and that nothing in the environment could deter their progress.

↳ The nature of external environment

Business environment has several characteristics and each of these characteristics is to be clearly understood by strategic managers. Some of the characteristics of environment are as follows:

- ↳ **Environment is complex:** environment has many dimensions for a particular business. The events, conditions, and influences arise from various sources present in the environment. All these factors interact with each other to produce changes in environment. It is quite difficult to understand interactions of all the factors present

in the environment. However, strategy managers try to comprehend the various factors and their influences.

- 👉 **Environment has multi-dimensions:** when a change is triggered off in a business environment, it may influence some factors and may not influence some others. Change in environment is perceived by different people in different ways. For some companies, amendment of a law may be useful while for others it may prove to be fatal. Opportunities present in an environment may be threat to some company. The dimensions available to define an environment and study its effect of change are multitude and often strategy managers find it difficult to identify all the factors.
- 👉 **Environment is not static:** around a business world changes (either fast or slow) occur continuously. In the present business scenario, there are more frequent and rapid changes. Changes may occur in any scope of the environment and consequently affect other factors. The dynamism of the environment brings in many threats as well as opportunities for an organization. Hence, organizations should be more alert to changes and be more adaptable for this is necessary for its survival.
- 👉 **Environment affects business strategies:** Since the environment has a direct effect on the companies, organizations have to formulate their objectives keeping environment in focus. Hence, the formulation of policies should essentially be in tune with these objectives. A strategy that is adopted by a company may fail miserably if environmental factors are not correctly perceived and addressed while formulating the strategies.
- 👉 **Environment is partially controllable:** The environment within a company can be controlled to some extent whereas the environment outside an organization is not under control and hence has to be assessed. The environment can only be partially influenced by one company since there are other companies in the environment. These companies have varying interests which may clash with the interest of the company attempting to influence the environment.

👉 Approaches to environmental scanning

- ✓ **Systematic approach**-taking data from all units internal/external systematically
- ✓ **Ad hoc approach**-conducting a special survey for special projects
- ✓ **Processed form approach**-use of processes data from gov't, institutions (2ndary data utilization)

	Ad Hoc	Periodic/Processed	Continuous/systematic
General Characteristics	- Usually performed in response to crisis - Not as in-depth - Forecasts are more short-term	- Tied to planning cycle (e.g., every 3 years) - In-depth - Forecasts 5 to 10 years	- Also called <i>Continuous Learning</i> - Structured, in-depth data collection and analyses by dedicated staff - Data gathered is more comprehensive
Pros	- Allows for quicker turn-around of scan results - Lower commitment of resources over time	- Predictable frequency allows for appropriate budget planning - Frequency provides timely information gathering for planning - Planning is proactive...	- Dedication of time by researchers allows incorporation of data from more sources - Provides planners with more comprehensive information - Informs planners of critical changes sooner - Plans can be adjusted or adopted more proactively
Cons	- Data can be more artificial - Results may address immediate issues, but are less generalizable - If only conducted in response to crises, indicates lack of organized institutional planning efforts - Planning response is reactive	- Reaction to unforeseen changes in environment (e.g., onset of recession) may require Ad Hoc scan to supplement information. - Planning response is then more reactive	Requires ongoing institutional commitment of resources (funding, personnel, and time)

🔗 Sources of external Information

A company can obtain information from different sources, but it should be ensured that the information is correct. The correct source should be tapped for specific information for more accuracy. Information received from secondary sources may sometimes even misguide strategy managers. Hence it is important that information should be verified for correctness before it is processed and decisions are taken based on it. The various sources from where information can be gathered include:

- Trade directories, journals, magazines, newspapers, books, newsletters, Government publications, annual reports of companies, case studies etc.
- Radio news, television, internet etc.
- Internal documents viz, files, records, management information system, employees, standards, drawings, charts etc.
- External agencies like customers, suppliers, inspection agencies, marketing intermediaries, dealers, advertisers, associations, unions, Government agencies, Shareholders, competitors etc.
- Market research reports, consultants, educational institutions, testing laboratories etc.

- Spying, considered as a powerful way of extracting information from other companies.

It is found that the chronological order of information is also quite important for strategy managers. Usually information received from government agencies is quite stale since processing takes more time. The information received from competitors is quite expensive but it is usually fresh and is quite useful.

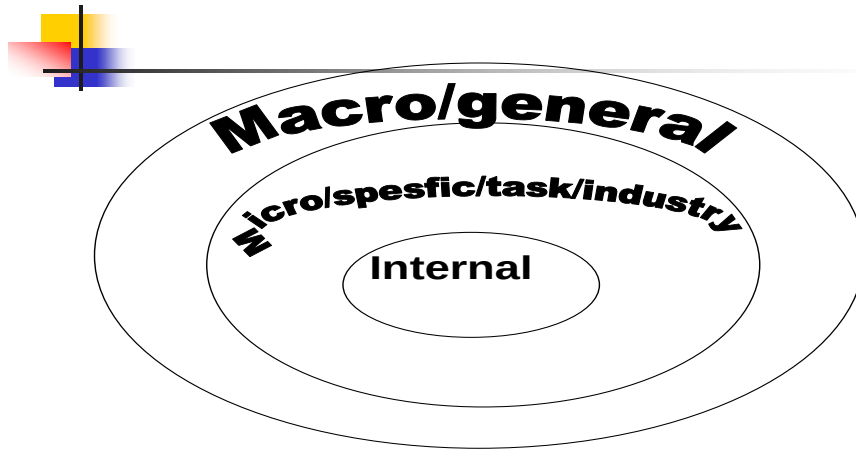
🔗 **Influence of Environment**

The environment in which an organization exists can be described in terms of the opportunities and threats operating in the external environment apart from the strengths and weaknesses existing in the internal environment. These various influences of the environment may be summarized as **SWOT**-strength, weakness, opportunities and threats. Below description of each of **SWOT** components is given.

- ❖ **Opportunity:** an opportunity is a favorable condition in the organization's external environment which enables it to consolidate and strengthen its position.
An example of an opportunity is a growing demand for the products or services that a company provides.
- ❖ **Threat:** a threat is an unfavorable condition in the organization's environment which creates a risk for, or causes damage to the organization. An example of a threat is the emergence of strong new competitors with better products or services who are likely to offer stiff competition to the existing companies in an industry.
- ❖ **Strength:** strength is an inherent capacity which an organization can use to gain strategic advantage. An example of strength is superior research and development skills which can be used for new product development so that the company can gain a strategic advantage.
- ❖ **Weakness:** A weakness is an inherent limitation or constraint which creates strategic disadvantages. An example of a weakness is overdependence on a single product line, which is potentially risky for a company in times of crises.

Types of environment

Environment could be classified as external and internal. The external environment again can be seen as macro/remote/General and micro/industry/task.



↳ **Macro/General/ Environmental Scanning/PEST**

The macro environment is the broad environment outside of an organization's industry and markets. It is generally beyond the influence of individual business but can have a significant impact on the micro as well as internal environments. It is sometimes referred to as the far or remote environment because it tends to exert forces from outside the organization's sphere of influence and the forces are usually beyond control.

Changes in the macro environment can be of immense importance to an organization; they tend to impact all organizations within an industry and sometimes also within the markets served by the industry. Changes in the macro environment can:

- ✓ Bring about the birth or death of an entire industry
- ✓ Make markets expand or contract
- ✓ Determine the level of competitiveness within an industry and many other things.

It is therefore essential that managers are alert to actual and potential changes in the macro environment and that they anticipate the potential impacts on their industry and markets. Being able to predict changes and acting to take advantage of, or defending against, macro environmental changes can itself be a source of competitive advantage.

↳ **Identifying External Environmental Variables:**

Understanding the environment necessitates identifying the variables within an organization's societal and task environment. A PEST analysis such as Political, Economic, Social and Technological environment analysis is normally used for scanning the environment.

1. Political/Legal Environment

Political ideology and political stability or instability strongly influence the pace and direction of the economic growth. To varying degrees, all businesses will be affected by political influences. Accordingly, it is important for managers to monitor government policy to detect changes early so as to respond effectively.

These include government regulations such as employment laws, environmental regulations and tax policy. Other political factors are trade restrictions and political stability.

- ✓ What changes in regulation are possible?
- ✓ What will their impact be on our industry?
- ✓ What tax or other incentives are being developed that might affect strategy development?
- ✓ Are there political or government stability in risks?

For example, some political parties allow Foreign Direct Investment (FDI) and some political parties oppose the FDI depending upon their notions towards foreign companies and their impact on national economy.

2. Economic Environment

The economic environment consists of macro level factors related to the means of production and distribution of wealth which have an impact on the business of an organization. Some of the important factors and influences operating in the economic environment are:

- 👉 The economic stage at which a country exists at given point of time.
- 👉 The economic structure adopted such as a capitalistic, socialistic, or mixed economy.
- 👉 The economic policies, such as industrial, monetary and fiscal policies.
- 👉 Economic planning, such as five year plans, annual budgets and so on.
- 👉 Economic factors like national income, distribution of income, per capita income etc
- 👉 Interest rates, inflation and currency exchange rates.
- 👉 Infrastructural factors, such as financial institutions, banks, modes of transportation, communication facilities and so on. These affect the cost of capital and purchasing power of an organization.
- 👉

3. Socio-Cultural Environment

Analysis of the social environment is concerned with understanding the potential impacts of society and social changes on a business, its industry and markets. Socio cultural environment are the forces that regulate the values, morals and customs of society. Important factors to be considered are:

- Demographic characteristics
- Social concerns
- What are the current or emerging trends in lifestyle, fashions, and other components of culture?
- Family structure and changes in it
- Role of women in society, position of children and adolescents in family and society
- Educational level, awareness and consciousness of rights and work ethics of members of the society.
- Socio cultural concerns such as environmental pollution, consumerism, corruption, use of mass media, the role of business in society.

These impacts on the consumer's need and the potential market size for an organization's goods and services. The socio-cultural environment primarily affects the strategic management process within the organization in the areas of mission and objective setting and decisions related to products and markets.

4. *Technological Environment*

The technological environment consists of the factors related to technology used in the production of goods and services that have an impact on the business of an organization. Technological factors to be considered are:

- ✓ Source of technology like company, external and foreign sources, cost of technology acquisition, collaboration and transfer of technology.
- ✓ Technological development, rate of change of technology and research and development.
- ✓ Impact of technology on human beings, the man-machine system and the environmental effects of technology.
- ✓ Communication, infrastructure and managerial technology.

According to Boris Petrov, there are three strategic implications of technological change:

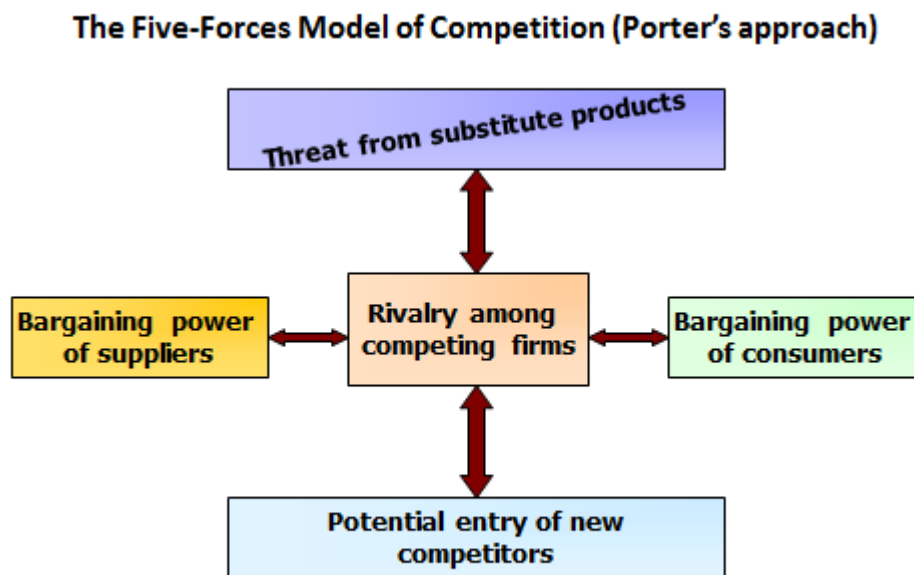
- ✚ It can change relative competitive position within a business
- ✚ It can create new markets and new business segments and
- ✚ It can collapse or merge previously independent businesses by reducing or eliminating their segment cost barriers.

For a business firm technology affects its final products by changing processes in raw material sourcing, production and distribution. Technology, when rightly used can bring about huge changes in the

productivity of firms. Computer Industry is one example where the technology in the industry keeps pushing competition to the brink.

↳ **Task Environmental scanning , /Industry Competition and Competitive Analysis/**

An industry can be viewed as a group of firms that attempt to serve essentially similar customer needs in the same markets with similar products and services. Organizations within an industry with similar strategic characteristics, following similar strategies, competing on similar basis, adopting similar promotional, pricing, and distribution strategies constitute strategic groups Michael Porter (1980), from Harvard School of Business Administration, developed a framework for analyzing the nature and extent of competition within an industry. He argued that there are five competitive forces which determine the nature of competition within an industry.



By determining the relative “power” of each of these forces, an organization can identify how to position itself to take advantage of opportunities and overcome threats. When using the Porters framework, it is important to identify which of the five forces are the key forces at work in an industry at any given point in time

↳ **How the Five-Forces shape Competition within an Industry?**

The stronger that each of these five forces is, the more limited is the ability of established companies to raise prices and earn greater profits within their industry. In other words we can say firms will face difficulty in stronger competitive forces

A. The Threats of New Entrants to the Industry.

New entrants to an industry typically brings to it new capacity and desire to gain market size and substantial sources. They are therefore threats to established corporations. Threat of entry depends on the entry barriers and the reaction that can be expected from the existing companies. Their presence may force prices down and put pressure on profits of incumbents. Analyzing the threat of new entrants involves examining the barriers to entry and the expected reactions of existing firms to a new competitor. An entry barrier is an obstruction that makes it difficult for a company to enter into an industry.

❖ **Major entry barriers include:**

- 👉 **Economies of scale:** These exist whenever large volume firms enjoy significantly lower production cost per unit than smaller volumes operator do. This discourages new firms, which have less volume and high production cost from entering into themarket.
- 👉 **Cost disadvantage independent of scale:** Established competitors may have cost advantage even when the new entrant has comparable economies of scale. This advantage may include proprietary product knowledge such as patents, favorable access to raw materials, favorable locations, government subsidies etc.
- 👉 **Product differentiation:** Differences in physical or perceived characteristics must makeincumbent's product unique in the eyes of customer and force customers to overcome existing brand loyalty.
- 👉 **Capital Requirements:**if the amount of investment required to enter an industry (plant and equipment costs, working capital, etc) is high, the entrants who can afford to start up will be limited.
- 👉 **Switching cost:**Sometimes the cost that would be incurred by the customers to switch from one supplier to another supplier makes it difficult for the new entrants to gain market share.
- 👉 **Access to distribution channel:**Existing relationship and agreements between manufacturers and key distributors in a market may also create barriers to entry. Companies aspiring to enter a market may look for unique distribution channel to provide access as well as to differentiate their products.
- 👉 **Government policy:**government can limit or even foreclose entry to industry with such controls as license requirements and limits on access to raw materials. The government also can play a major indirect role by affecting entry barriers through controls like air and water pollution standards and safety regulations.

❖ **The threat of new entrants is greatest when:**

- ✓ Processes are not protected by regulations or patents.
- ✓ Customers have little brand loyalty.
- ✓ Start-up costs are low for new businesses entering the industry
- ✓ The products provided are not unique
- ✓ Switching costs are low
- ✓ The production process is easily learned
- ✓ Access to inputs is easy.
- ✓ Access to customers is easy
- ✓ Economies of scale are minimal.

The Threat of Substitute Products

Substitute products are those products that appear to be different but can satisfy the same need as another product. The availability of substitutes places a ceiling on price limit of an industry product. When the price of the product rises above that of the substitute product customers tend to switch over to the substitutes. A threat exists if there are alternative products with lower prices or better performance or both.

❖ Substitutes are greater threat when:

- Your product doesn't offer any real benefit compared to other products. What will hold your customers if they can get an identical product from your competitor?
- It is easy for customers to switch. A grocer can easily switch from paper to plastic bags for its customers, but a bottler may have to reconfigure its equipment and retrain its workers if it switches from aluminum cans to plastic bottles.
- Customers have little loyalty. When price is the customer's primary motivator, the threat of substitutes is greater.
- The extent to which the price and performance of the substitute can match the industry's product.

You can reduce the threat of substitutes by using tactics such as staying closely in tune with customer preferences and differentiating your product by branding. In some cases, the advertising required to differentiate is more than one firm can bear. In that case, collective advertising for an industry may be more effective.

B. Bargaining Power of Buyers/customers

Buyers can exert bargaining power over a supplier industry by forcing its prices down, by reducing the amount of goods they purchase from the industry or by demanding better quality for the same price.

❖ Factors that makes the buyer more powerful:

- ✓ ***Undifferentiated or standard supplies:*** If the product being supplied is a commodity good or service then customers can shop around for the most favorable terms.

- ✓ **When the supply industry is composed of many small companies** and the buyers are few in number and large. These circumstances allow the buyers to dominate suppliers.
- ✓ **Credible threat of backward integration:** Backward integration involves a buyer moving to an earlier stage of manufacturing or distribution, thus becoming a competitor for the supplier's business.
- ✓ **Accurate information about the cost structure of the supplier:** This allows the customers to exercise more precision in negotiating the price of the supplier.
- ✓ **Price sensitivity:** Buyers are likely to be more price-sensitive if
 - ✚ Suppliers represent the significant fraction of the total cost incurred by the buyers
 - ✚ The supplier product is unimportant to the overall quality or cost of the buyer's final product and
 - ✚ The buyers already earn a low profit. A growing trend among small businesses is to augment their bargaining power as customers through joining or forming buying groups.

The bargaining power of customers can be reduced by increasing their loyalty to your business through partnerships or loyalty programs, selling directly to consumers, or increasing the inherent or perceived value of a product by adding features or branding. In addition, if you can select the customers who have little knowledge of the market and have less power, you can enhance your profitability.

C. Bargaining Power of Suppliers

Any business requires inputs like labor, component parts, raw materials, and services. The cost of the inputs can have a significant effect on a company's profitability. Suppliers can be viewed as a threat when they are able to force up price that a firm must pay for its inputs or reduce the quality of the inputs they supply, thereby reducing the firm's profitability.

❖ Suppliers become powerful when:

- ☞ The product they sell has few substitutes and is important to the company. This limits customers' options.

- ☞ The company's industry is not an important customer. In this case the supplier's health does not depend on the buyers and they will have little incentive to reduce prices or improve quality.
- ☞ The products offered are differentiated to such an extent that it is costly for a firm to switch from one supplier to another. High differentiation by the supplier and high switching cost for the buyer discourages customers from shopping around and playing one supplier against another.
- ☞ They use the threat of forward integration and directly compete with the buyers. Credible threat of forward integration by suppliers involves suppliers moving into a later stage of the manufacturing process or distribution.
- ☞ Buying companies do not use the threat of vertically integrating backward and supplying their own needs as a means to reduce input prices.
- ☞ The buyers do not have a full understanding of their supplier's market. You are less able to negotiate if you have little information about market demand, prices, and supplier's costs.

To reduce the bargaining power of supplier, as most businesses do not have the resources to produce their own inputs then they might consider forming a partnership with their suppliers. This can result in a more even distribution of power.

D. Intensity of Rivalry among Competitors

In most industries individual firms are mutually dependent. Competitive moves by one firm can be expected to have noticeable effects on its competitors and cause retaliation or counter efforts. Competition can be in the form of pricing, product differentiation, product innovation etc.

❖ Factors that increase competitive rivalry are:

- ✓ ***Equally balanced competitors:*** The most intense competition results from well-matched rivals in a situation that doesn't allow any particular firm to dominate.
- ✓ ***Slow industry growth:*** In slow growth markets, growth has to come by taking market share from rivals.
- ✓ ***High fixed cost:*** Additional sales volume can help to offset high fixed cost. Hence competitors might be willing to fight for any possible sales.

- ✓ **Lack of differentiation or lack of switching cost:** These two factors ensure that customers can easily switch over to a rival product and to retain them is a constant struggle.
- ✓ **Large increase in manufacturing capacity:** If a manufacturer can increase capacity by a large increment, by building a new plant, it will run it at full capacity to keep the unit cost less - thus producing so much that the selling price falls throughout the industry.
- ✓ **High strategic stakes:** The market is well worth fighting for because of its profit potential or the opportunities it creates elsewhere.
- ✓ **High exit barriers:** For economic, strategic or emotional reasons, individual players might consider it difficult to leave the industry. Common exit barriers include the following:
 - ✚ Investments in plant and equipment that have no alternative uses and cannot be sold off. If the company wishes to leave the industry, it has to write off the values of these assets.
 - ✚ High fixed cost of exit such as severance pay to workers who are being made redundant
 - ✚ Emotional attachments to an industry as when a firm is unwilling to exit from its original industry for sentimental reasons.
 - ✚ Economic dependence on the industry as when a company is not diversified and so relies on the industry for its income.

Threats of rivals can be reduced by employing a variety of tactics. To minimize price competition, distinguish your product from your competitors' by innovating or improving features. Other tactics include focusing on a unique segment of the market, distributing your product in a novel channel, or trying to form stronger relationships and build customer loyalty.

❖ **According to five force model;**

- **An unattractive industry** is one in which intense rivalry already exists among competitors, there are substantial threats in terms of new competitors and substitute products, and suppliers and buyers are very powerful in bargaining over prices and quality.
- **An attractive industry** is one with less intense competition, few threats from new entrants or substitutes, and low bargaining power among suppliers and buyers.

❖ **Strategic Management Principle**

- ✚ A sound strategy incorporates efforts to be competent on all industry key success factors and to excel on at least one factor!
- ✚ The key to winning is not to assume that your industry will continue as it is now but to assume that the industry will change and to make sure that your company will be in position to take advantage of that change.

👉 **Identifying Industry Key Success Factors**

- ❖ Answers to **three** questions pinpoint **KSFs**
 - ✓ On what basis do customers choose between competing brands of sellers? Eg. Price
 - ✓ What resources and competitive capabilities does a seller need to have to be competitively successful? E.g. Capital, knowledge, technology...
 - ✓ What does it take for sellers to achieve a sustainable competitive advantage?
Eg. **Scientific research expertise**
- ❖ **KSFs** consist of the **3 - 5** really **major** determinants of financial and competitive success in an industry.

Common Types of Key Success Factors

Technology-related	Scientific research expertise; Product innovation capability; Expertise in a given technology; Capability to use Internet to conduct various business activities
Manufacturing-related	Low-cost production efficiency; Quality of manufacture; High use of fixed assets; Low-cost plant locations; High labor productivity; Low-cost product design; Flexibility to make a range of products
Distribution-related	Strong network of wholesale distributors/dealers; Gaining ample space on retailer shelves; Having company-owned retail outlets; Low distribution costs; Fast delivery
Marketing-related	Fast, accurate technical assistance; Courteous customer service; Accurate filling of orders; Breadth of product line; Merchandising skills; Attractive styling; Customer guarantees; Clever advertising
Skills-related	Superior workforce talent; Quality control know-how; Design expertise; Expertise in a particular technology; Ability to develop innovative products; Ability to get new products to market quickly
Organizational capability	Superior information systems; Ability to respond quickly to shifting market conditions; Superior ability to employ Internet to conduct business; More experience & managerial know-how
Other types	Favorable image/reputation with buyers; Overall low-cost; Convenient locations; Pleasant, courteous employees; Access to financial capital; Patent protection

↳ Internal Environment Scanning

David Campbell, et al (2002) state that internal analysis is concerned with providing management with a detailed understanding of the business, how effective its current strategies are and how effectively it has deployed its resources in support of its strategies. In recent years the importance of internal analysis has been given greater emphasis because recent research has suggested that it is predominantly the actions of the business itself that determine its ability to outperform competitors. Internal analysis aims to provide managers of a business with an understanding of its potential for competitive advantage and equally, of those areas where it must take remedial action to ensure its survival.

- ❖ Organizations may carry out internal analysis for some or all of the following reasons:
 - ✓ To identify resources, capabilities, core competencies and competitive advantages
 - ✓ To evaluate how effectively value adding activities are organized
 - ✓ To identify areas of weaknesses to be addressed in future strategy and its implementations
 - ✓ To evaluate financial performance, particularly in comparison with competitors
 - ✓ To evaluate the performance of products

- ✓ To evaluate investment potential if finance is being sought from external sources
- ✓ To assess the suitability, feasibility and acceptability of future strategies

➤ **COMPONENTS OF INTERNAL ANALYSIS**

- Resources
- Capabilities
- Core Competencies
- Competitive Advantage

❖ **Resources Analysis**

Campbell et al (2002), assert that a resource is an input employed in the activities of the business. Success rests on large part upon the efficiency by which the business converts its resources into outputs. Resources fall into four broad categories: human, financial, physical or tangible (buildings, equipment, stock etc.) and intangible (know how, patents, legal rights, brand name, registered designs etc). Intangible resources are often produced within the organization, but tangibles are obtained from outside organizations. Such resources are obtained in resources markets in competition with businesses from within and outside the industry.

❖ **Capabilities Analysis**

- ☞ Refer to the firm's ability to utilize its resources effectively.

In order to take full advantage of its resources, an organization needs to develop skills. As experience suggests, two different firms with similar amount of resources add value of different amount for themselves. This difference can be attributed to the difference in the firm's capabilities.

Organizational capability is the inherent capacity or potential of an organization to use its strengths and overcome its weaknesses in order to exploit opportunities and face threats in its external environment. It is also viewed as a skill for coordinating resources and putting them to be productive. Without capability, resources, even those valuable and unique, may be worthless. Primary base for the firm's capabilities is the skills and knowledge of its employees.

The capability of a company can be assessed based on various factors as discussed below.



financial capability: There are various factors which determine the financial capability of company. The capital structure, cost of funds, financing patterns, capital investment, fixed assets, dividend distribution, accounting and budgeting systems, working capital management etc., are some of the factors based on which internal assessment of two companies can be done.



marketing capability: Marketing capability of a company is assessed on the basis of several factors by which the company's strength can be estimated. Some of the

important factors can be product mix, positioning of brand, packaging, pricing, variety, sales promotion, advertising, distribution, company image, and marketing



production and operations capability: The ability of an organization to use its production or operation capability in line with its strategies is vital. Various factors that relate to assessment of production or operational capability are capacity, location, layout, work system, automation, planning, availability of raw materials and components, inventory, production facilities, flexibility in changing production lines, layouts, facilities etc.



capability of Personnel: The capability of employees in an organization is evaluated based on various factors. Some of the important factors are trained manpower, manpower planning, selection, compensation, retention of personnel, communication, quality of managers, union management relationships, collective bargaining etc.



management capability: Management capability lies in organizing the activities of an organization. These may include coordination amongst various groups, planning for growth, corporate planning, values, norms, capacity to do work, maintaining relationship with the Government, regulatory agencies, financial and public institutions, contribution to culture, society etc.

❖ **Core competencies**

Hamel (1990): core competencies are the collective learning of the organization, especially how to coordinate diverse production skills and integrate multiple streams of technologies. Core competencies arise from the integration of multiple technologies and the coordination of diverse production skills. **Without core competencies, a large corporation is just a collection of discrete businesses.** Core competencies are resources and capabilities that serve as a source of competitive advantage for a firm over its rivals. As the source of competitive advantage for a firm, core competencies distinguish a company competitively and reflect its personality. As the capacity to take action, core competencies are activities the company does especially well compared with competitors and through which the firm adds unique value to its goods or services over a long period of time.

The more unobservable/intangible resources are the more sustainable will be the competitive advantage that is based on it. In global economy, the success of a corporation lies more on its intellectual and systems capability than its physical assets. Some of the core competencies can be product quality, innovative designs, specialty products, and services, unique design features developed by R&D., low cost sources, trained manpower etc. The unique capability of an organization, which enables it to capitalize on specific opportunities through a distinctive competitive edge, gives the firm a distinct position in the market. Companies have to identify based on their objectives and strategies, the core competencies that they would like to develop. To be sustainable, core competencies should satisfy the following four important criteria: valuable, rare, costly to imitate and non-substitutable.

✓

valuable capabilities help a firm neutralize threats or exploit opportunities

✓

are capabilities are not possessed by many others

✓

ostly to imitate capabilities are those which are historical, ambiguous to understand by competitors and cost them a huge amount of money to adopt.

✓

on substitutable capabilities are those with no strategic equivalent

Here, it is important to bear in mind that every core competency is a capability but not every capability is a core competency. This holds true for all capabilities may not lead to the establishment of core competencies.

❖ **Competitive Advantage**

Essentially a business can be said to possess competitive advantage if it is able to return higher profits than its competitors. The goal of much of business strategy is to achieve a sustainable competitive advantage. Competitive advantage is an advantage that a firm has over its competitors that allowing it to generate greater sales or margins and/or retain more customers than its competition. Competitive advantages give a company an edge over its rivals and an ability to generate greater value for the firm and its shareholders. The more sustainable the competitive advantage, the more difficult it is for competitors to neutralize the advantage.

Competitive Advantage can be described as something, that the competing firms are not able to do, or it is something owned by the firm that the rivals firms wish to have. On the other extreme, Core competence is the distinct proficiency of the company, which cannot be imitated by its rivals.

The two terms are closely related to one another, as these two, help in occupying a greater share of the market, satisfying customer, building brand loyalty, and delivering high-quality products to the customers.

While core competence is unique to a particular business entity, competitive advantage can be easily imitated by the rivals. The basic difference between competitive advantage and core competence is that core competence helps in the creation of continuous competitive advantage, and also helps the firm to enter into new markets.

BASIS FOR COMPARISON	COMPETITIVE ADVANTAGE	CORE COMPETENCE
Meaning	Competitive Advantage	Core Competence refers

BASIS FOR COMPARISON	COMPETITIVE ADVANTAGE	CORE COMPETENCE
	implies the virtue that helps the firm to perform better than its rivals at the market place.	to the specific skills, knowledge and expertise that is hard to be followed by the competitors.
Success	It does not amount to sure success for a firm in the long run.	It amounts to a sure success for a firm in the long run.
Superiority	It provides a temporary competitive superiority to the firm.	It provides sustained superiority to the firm.
Accrues from	Functional Strength	Fundamental Strength
Helps in	It helps the firm in specific and limited way.	It helps the firm in general, far reaching and multifaceted manner.
Advantage	Provides competitive strength in a particular business or product.	Provides excellence in a variety of businesses and products.

Competitive Advantage alludes to a condition that puts a firm in a position, favorable to it, i.e. one which allows the company to produce products or services at reasonable prices,

which are in vogue, for the customers. In such a situation, the firm is able to reap more profits or generate more revenue, when compared to its competitors.

Competitive Advantage is something that keeps you a step ahead than the competitors. It can be attained due to some factors like product quality, brand, cost structure, customer loyalty and so forth. The three strategies by which a firm can gain competitive advantage, according to Michael Porter, are: Cost Leadership Strategy, Differentiation strategy, Focus strategy

Core Competence can is fundamental strength of a business which includes a unique combination of various resources, knowledge and skills, which differentiates a company in the marketplace.



Core Competency is something that provides access to a number of markets, difficult to catch up by rivals and must make a considerable amount of contribution, in providing value to the customers. It can be gained by the distinct set of skills or production techniques.

1. Competitive Advantage can be understood as the specific feature, which helps the firm to outrun its rivals at the market place. On the contrary, core competence is defined as the set of skills and strength that result in a competitive advantage.
2. Competitive advantage does not ensure success to the firm in the long term. As against this, core competence ensures the success of the firm in the long term.
3. Competitive Advantage provides a temporary competitive superiority to the firm, over other firms in the marketplace. Conversely, core competence provides a long lasting superiority to the firm, over its competitors.
4. Competitive Advantage is a result of functional strength, whereas core competence is derived from core strength, i.e. the proficiency which is fundamental to the business or product, such as a distinct capability in business process or technology.

5. When it comes to impact, the core competence has a far-reaching impact, as it helps the firm in general and multifaceted manner, while the competitive advantage has a limited and specific impact on the business.
6. Competitive advantage helps in gaining competitive strength in a particular business or product. As against this, core competence helps in gaining excellence in multiple businesses and products.

Core competencies are the major source of attaining competitive advantage and determine the areas, which a firm must focus. It helps the firms in identifying prospective opportunities for adding value to customers. On the other hand, competitive advantage helps a firm to get an edge over the competitors

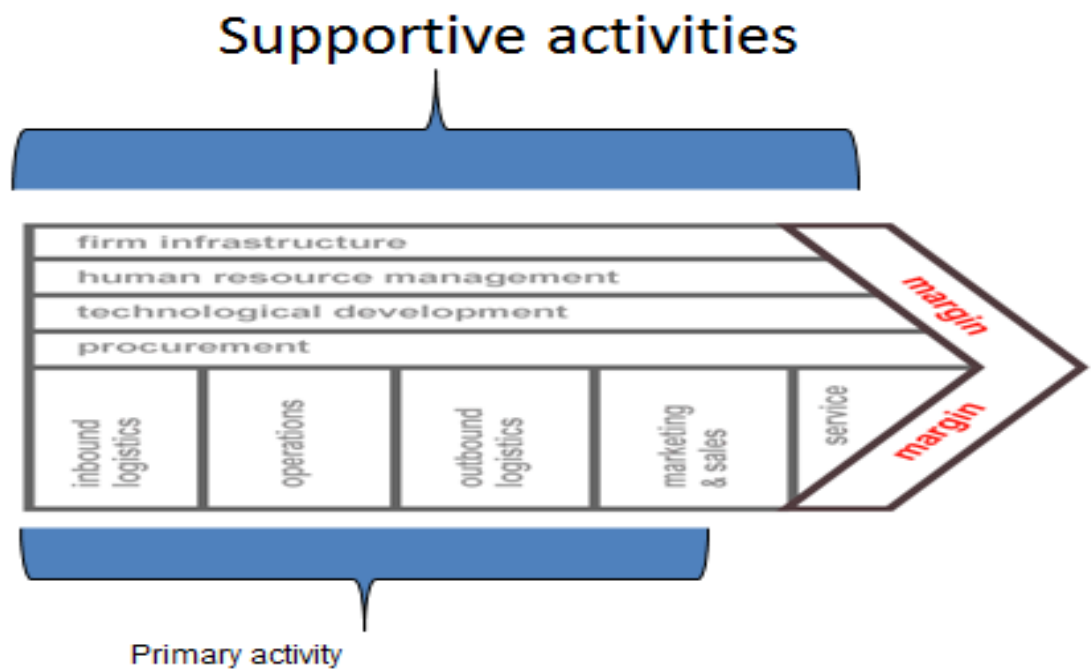
Value Chain Analysis

Campbell et al (2002) claims that value chain analysis seeks to provide an understanding of how much value an organization's activities add to its products and services compared to the costs of the resources used in their production. A given product can be produced by organizing activities in a number of different ways. Value chain analysis helps managers to understand how effectively and efficiently the activities of their organizations are configured and coordinated.

The term value chain refers to the idea that a company is a chain of activities for transforming inputs into outputs that customer's value. Value chain is a set of interlinked value creating activities performed by an organization. These activities may begin with the procurement of basic raw materials, go through its processing in various stages, and continue right up to the end products finally marketed to the ultimate consumers. There are clear linkages between value adding activities, core competencies, capabilities and resources. Resources form the inputs to the organization's value adding activities, while capabilities and core competencies provide skills and knowledge required to carry them out.

Different types of organizations have very different value chains. Similarly, not all organization's activities are of equal importance in adding value to its products. Analysis of value adding activities helps to identify where the most value is added and where there is potential to add greater value by changing the way in which activities are configured and by improving the way in which they are coordinated. Firms use this tool to select the value creating

competencies that should be maintained and that should be outsourced. An increasing trend in recent years has been for organizations to concentrate on core activities associated with core competencies and to outsource activities that are not regarded as core to other organizations for which the activities are core. The process of converting inputs into outputs is composed of a number of primary activities and support activities. That is, the activities within the chain can be classified into primary and support activities.



- i. **Primary Activities:** are those that directly add value to the final product. Primary activities are involved with the product's physical creation, its sale and distribution to the buyers and its services after the sale. They have to do with the design, creation, and delivery of the product as well as its marketing and its support after sales service. The five categories of primary activities are:
 - ✓ **Inbound logistics:** include such activities as material handling, warehousing, and inventory control, used to receive, store and disseminate them.
 - ✓ **Operations:** are activities necessary to convert the inputs provided by the inbound logistics into a final product. Machining, assembling and maintaining equipment's are examples of operation activates.

- ✓ **Outbound logistics:** are activities involved with collecting, storing, and physically distributing the final products to customers. Finished goods warehousing, their handling and order processing are examples of activities that pertain to outbound logistics.
 - ✓ **Marketing and sales:** are activities completed to provide means through which customers can purchase products and to induce them to do so. It is mainly deals with the promotion aspect of marketing; that is, designing the right message, releasing it through right media and undertaking the other elements of promotion like personal selling, sales promotion and public relations.
 - ✓ **Services:** are activities designed to enhance or maintain a product's value.
- ii. **Support activities:** The support activities are those accomplished in order to assist the primary activities. Support activities do not directly add value themselves but indirectly add value by supporting the effective execution of primary activities. This category includes:
- 👉 **Procurement:** concerned with activities completed to purchase the inputs needed to produce a firm's products.
 - 👉 **Technological development:** is associated with activities completed to improve a firm's products and processes used to manufacture it. It takes many forms such as processes, equipment's, basic research and development, product design, service procedure and the like.
 - 👉 **Human resource management:** related to activities accomplished in recruiting, hiring, training, development, compensation, promotion, transfer, etc.
 - 👉 **Firm's infrastructure:** includes activities such as general management, planning, finance, accounting, legal supports, government relations and others that are required to support the work of the entire value chain.

Chapter Four

Strategy Formulation, Analysis and Choice

The Nature of Strategy Analysis and Choice

Strategic alternatives are the possible strategies that an organization can consider for adoption. The choice of strategies is wide and much would depend on how an organization perceives its strengths and weaknesses vis-à-vis the opportunities and threats the external environment presents.

A Comprehensive Strategy-Formulation Framework

Important strategy-formulation techniques can be integrated into a three-stage decisionmaking framework.

The Input Stage

Stage 1 of the formulation framework consists of the **EFE**(external factor evaluation) Matrix, the **IFE** (internal factor evaluation) Matrix, and the Competitive Profile Matrix (CPM). Called the *Input Stage*, Stage 1 summarizes the basic input information needed to formulate strategies.

- An *External Factor Evaluation (EFE)* Matrix allows strategists to summarize and evaluate economic, social, cultural, demographic, environmental, political, governmental, legal, technological, and competitive information.
- The *Competitive Profile Matrix (CPM)* identifies a firm's major competitors and its particular strengths and weaknesses in relation to a sample firm's strategic position.
- *Internal Factor Evaluation (IFE) Matrix*. This strategy-formulation tool summarizes and evaluates the major strengths and weaknesses in the functional areas of a business, and it also provides a basis for identifying and evaluating relationships among those areas.

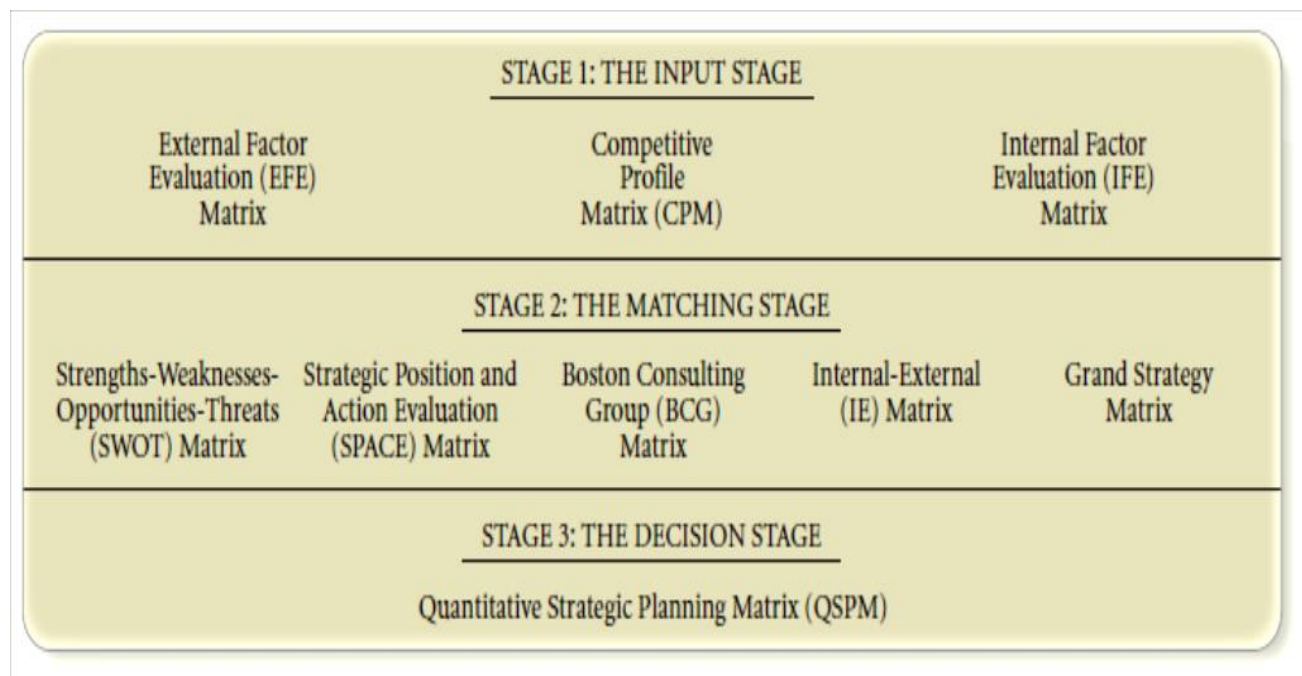
The Matching Stage

Stage 2, called the *Matching Stage*, focuses upon generating feasible alternative strategies by aligning key external and internal factors.

Stage 2 techniques include the Strengths-Weaknesses-Opportunities-Threats (SWOT) Matrix, the Boston Consulting Group (BCG) Matrix, the Internal-External (IE) Matrix, and the Grand Strategy Matrix. *Matching* external and internal critical success factors is the key to effectively generating feasible alternative strategies.

The Decision Stage

Stage 3, called the *Decision Stage*, and involves a single technique, the **Quantitative Strategic Planning Matrix (QSPM)**. A QSPM uses input information from Stage 1 to objectively evaluate feasible alternative strategies identified in Stage 2. A QSPM reveals the relative attractiveness of alternative strategies and thus provides objective basis for selecting specific strategies.



- Strategies can be formulated at different levels; **corporate**, **business [SBU]**, and **functional** level strategies.

1. Corporate Level Strategy

It answers the question *in what industries and markets should we compete?*

Corporate level strategies are basically about the choice of direction that a firm adopts in order to achieve its objectives. Corporate level strategies are basically about decisions related to allocating resources among the different businesses of a firm, transferring resources from one set of businesses to others, and managing and nurturing a portfolio of businesses in such a way that the overall corporate objectives are achieved.

According to Glueck (1988), there are three grand strategies alternatives:

Growth/Expansion, Stability, and Retrenchment.

Growth/ Expansion strategy

The expansion grand strategy is followed when an organization aims at high growth by substantially broadening the scope of one or more of its businesses in terms of their respective customer groups, customer functions and alternative technologies singly or jointly in order to improve its overall performance. .

■ **There are four basic types of growth strategies.**

1) Expansion through Concentration

This is by far the most *frequently* selected grand strategy. The firm directs its resources to the **profitable growth of a single product, in single market, or with a single technology**. It involves converging resources in one or more of a firm's businesses in terms of their respective customer need, customer functions, or alternative technologies, either singly or jointly, in such a manner that it results in expansion. In business policy terminology, concentration strategies are known variously as intensification, focus or specialization strategies. Excellent firms tend to rely on doing what they are best at doing.

2) Expansion through Integration

Integration is an expansion strategy as its **adoption results in a widening of the scope of the business definition of a firm**. Integration is also a subset of diversification strategies as it involves doing something different from what the firm has been doing previously.

Among the integration strategies we shall see two types: vertical and horizontal integration. Any new activity undertaken with the purpose of either supplying inputs (such as raw materials) or serving a customer for outputs (such as marketing of firm's product) is

vertical integration.

- I. Vertical Integration:** Vertical integration could be of two types: backward and forward integration.

♣ **Backward Integration:** means retreating to the source of raw materials. Here, the firm seeks growth by acquiring ownership or increased control of supply sources. In internal backward integration, the firm creates its own source of supply, perhaps by establishing a subsidiary company. The external backward integration approach entails the purchase or acquisition of an existing supplier.

♣ **Forward Integration:** here the organization moves nearer to the ultimate customer. In this regard, the firm seeks growth by acquiring ownership or increased control of channel functions closer to the ultimate market, such as sales and distribution systems. A firm can accomplish forward integration internally by establishing its own distribution/sales facilities or externally by acquiring firms that already perform the desired function.

- II. Horizontal Integration:** When an organization takes up the same type of products at the same level of production or marketing process, it is said to follow a strategy of horizontal integration. When a car company takeovers its rival car company, it is horizontal integration. This will expand the business geographically and there is a benefit of economics of scale. Almost all horizontal integration is accomplished by buying another company in the same business.

3) Expansion through Diversification

This strategy may be appropriate for firms that cannot achieve their growth objectives in their current industry with their current products and markets. Diversification occurs when an organization moves into areas that are clearly differentiated from its current business. It is adopted for the following reasons among others:

- To minimize risk by spreading it over several businesses
- To capitalize on an organization's strengths and minimize weaknesses
- Can be the only way out if growth in existing businesses is blocked due to environmental and regulatory factors

Generally, diversification strategy can be divided into two: one is concentric diversification and another one is conglomerate diversification.

♦ **Concentric Diversification:** When an organization takes up an activity in such a manner that it is related to the existing business definition of one or more of a firm's business, either in terms of customer groups, customer functions or alternative technologies, it is called concentric diversification. Here, it is worth differentiating between concentric diversification and concentration strategy. Concentric diversification strategy involves expansion into related but distinct area adding products that lie within the organization's know how and experience in terms of technology employed, product line, distribution system or customer base.

♦ **Conglomerate Diversification:** When an organization adopts a strategy which requires taking up those activities which are unrelated to the existing business definition of one or more of its businesses, either in terms of their respective customer groups, customer functions or alternative technologies, it is called conglomerate diversification.

4) Expansion through Cooperation

Corporate strategies could take into account the possibility of mutual cooperation with competitors while competing with them at the same time so that the market potential could expand. The term "Co-opetition" expresses the idea of simultaneous competition and co-operation among rival firms for mutual benefit.

Cooperative strategies could be of the following types:

1.Merger:(may be horizontal, vertical, concentric, conglomerate): occurs when two or more firms combine to form a single or a new company. Mergers are often the results of the firms mutually agreeing to combine and create a new name and a new organizational structure and make other changes.

2.Takeovers or Acquisitions:(may be friendly or hostile): is a 'marriage' of two unequal partners with one organization buying and subsuming the other party. In such a transaction the shareholders of the smaller organization ceases to be owners of the enlarged organization unless payments to the shareholders is paid partly in shares in

the acquiring company. The shares in the smaller company are bought by the larger. It is concerned with the purchase of another company and absorbs its existing operations often as operating subsidiary or division. A takeover is technically the same as an acquisition, but the term is often taken to mean that the approach of the larger acquiring company is unwelcome from the view point of the smaller target company.

3. **Strategic Alliances:** the term strategic alliance is used to describe a range of collaborative arrangements between two or more organizations. These agreements can vary from a much formalized agreement which could see the creation of a new jointly owned limited company to informal arrangements for a short term project. It refers to arrangements in which two or more corporations combine forces to form cooperative/partnership to accomplish something for which single organization is not suited.

II. Stability Grand strategy

There are a number of circumstances in which the most appropriate growth stance for a company is stability, rather than growth. Often, this may be used for a relatively short period, after which further growth is planned. Such circumstances usually involve a reasonable successful company, combined with circumstances that either permit a period of comfortable coasting or suggest a pause or caution.

1. Pause and Then Proceed

- This stability strategy alternative (essentially a timeout) may be appropriate in either of two situations: (a) the need for an opportunity to rest, digest, and consolidate after growth or some turbulent events - before continuing a growth strategy, or (b) an uncertain or hostile environment in which it is prudent to stay in a "holding pattern" until there is change in or more clarity about the future in the environment.

2. No Change

- This alternative could be a cop-out, representing indecision or timidity in making a choice for change. Alternatively, it may be a comfortable, even long-term strategy in a mature, rather stable environment, e.g., a small business in a small town with few competitors.

3. Grab Profits While You Can

- This is a non-recommended strategy to try to mask a deteriorating situation by artificially supporting profits or their appearance, or otherwise trying to act as though the problems will go away. It is an unstable, temporary strategy in a worsening situation, usually chosen either to try to delay letting stakeholders know how bad things are or to extract personal gain before things collapse.

III. Defensive/ Decline /Retrenchment Strategies

Many organizations decline due to falling sales, declining profits and more importantly declining demand. Demand in an industry declines for a variety of reasons such as emergence of new substitutes often with higher quality and lower price, changing customer needs, life styles, and tastes. The following are some the retrenchment strategies:

a. Turnaround

- This strategy, deals with a company in serious trouble, attempts to resuscitate or revive the company through a combination of contraction (general, major cutbacks in size and costs) and consolidation (creating and stabilizing a smaller, leaner company). Although difficult, when done very effectively it can succeed in both retaining enough key employees and revitalizing the company.

b. Captive Company Strategy

- This strategy involves giving up independence in exchange for some security by becoming another company's sole supplier, distributor, or a dependent subsidiary.

C. Sell Out

- If a company in a weak position is unable or unlikely to succeed with a turnaround or captive company strategy, it has few choices other than to try to find a buyer and sell itself (or divest, if part of a diversified corporation).

D. Liquidation

- When a company has been unsuccessful in or has none of the previous three strategic

alternatives available, the only remaining alternative is liquidation, often involving a bankruptcy. There is a modest advantage of a voluntary liquidation over bankruptcy in that the board and top management make the decisions rather than turning them over to a court, which often ignores stockholders' interests.

2. BUSINESS LEVEL STRATEGIES

❖ *Concerned with the issues how are we going to compete for customers in this industry and market*

Business level strategies are the courses of action adopted by a firm for each of its businesses separately to serve identified customer groups and provide value to the customers by satisfying their needs.

According to porter (1958), competitive advantage arises from selection of the generic strategy that best fits the organization's competitive environment and then organizing value adding activities to support the chosen strategy. Porter uses the following matrix to suggest that there could be basically three types of business level strategies.

Porter's Generic Business Level Strategies

Relying on the typology suggested by porter, we could classify business level strategies into the following three types:

1. Cost leadership (Lower cost / broad target)
2. Differentiation (Differentiation / broad target).
3. Focus (Lower cost or differentiation / narrow target).

3. Functional Level Strategies

❖ *Concerned with the issue of how can we best utilize resources to implement our business strategy*

A functional strategy is essentially a strategy confined to a particular functional group of company like marketing, production, sales etc. and detail out blue print of grand strategies. These translate the grand strategies decided at corporate level into specific action plans for each function within a company. The functional strategies must be coordinated at company level and must support the grand strategies.

Functional strategy in key Areas

The key decision variables in each functional area are different. Further, in each functional area, different variables assume different importance during varying business situations.

Marketing Plans and policies related to marketing have to be formulated and implemented on the basis of **4 P's** of the marketing mix, that is, product, pricing, place, and promotion.

The major issues and decisions relate to these marketing mix factors. Questions such as: what types of products to offer? At what prices? Through which distribution channel? and by the use of which promotional tool? have to be answered.

Finance: Finance is the blood stream of any company since the ultimate objectives is also to generate profits and create surplus to permit continuation of company. Financial functional strategies can be viewed in time frame reference as immediate and long term. For immediate future, the financial strategies are based on immediate financial resources. The long term strategies account for investments for longer periods of time, debt financing, allocation of surplus and using finance, as leverage for company's performance in competitive environment.

Research and Development: Some companies keep on doing research and developments and spend a fixed percentage of their earnings in research and development to further enhance their core competencies. We observe that today rate of change is quite fast and R&D has assumed a key role in functional area, and also become one of the core areas of thrust, requiring strategic decisions, clear strategies on basic research and commercial product development should be spelt out to enable managers to work as per the guidelines. A company may adopt offensive strategies wherein it would strive hard to develop new technologies and would innovate because it would be the basis for future success of the company.

Production: Production is the key function where value is added to the raw materials to create a product. This value addition process in any company should be cost effective, fast and without quality problems like rejections, reworks etc.

The technology followed would reflect on profits and total operations of a company. The business strategies to reduce cost and enhance quality are the prime concern of the functional head.

Personnel: Human capital has gained considerable importance in recent years. The personnel function effectively helps in integrating the strategies in various functional areas for accomplishing the objectives. This is done through identification and development of required managerial skills and design of proper remuneration system to motivate employees and also retain them. The strategies in personnel function concentrate on effective utilization of manpower for achieving the set targets. The personnel function consists of recruiting, selecting, orienting, developing, counseling, evaluating, compensating and maintaining good industrial relations, discipline and control, and these should be performed keeping the organizational objectives and selected

grand strategies in focus.

Porter's Generic Business Level Strategies

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3. Focus (Lower cost or differentiation / narrow target).

A. Cost Leadership Business Strategy

Value chain analysis is central to identifying where cost savings can be made at various stages in the value chain and its internal and external linkages. A successful cost leadership strategy is likely to rest upon a number of organizational features. Attainment of a position of cost leadership depends on the arrangement of value chain activities so as to:

- ☞ Reduce unit costs by copying rather than originating designs, using cheaper materials and other cheaper resources, producing products with no frills, reducing labor costs and increasing labor productivity.
- ☞ Achieving economies of scale by high-volume sales perhaps based on advertising and promotion, allowing high fixed costs of investment in modern technology to be spread over a high volume of output
- ☞ Using high volume purchasing to obtain discounts for bulk buying of materials
- ☞ Locating activities in areas where costs are low or government help is available

When the competitive advantage of a firm lies in a lower cost of products or services relative to what the competitors have to offer, it is termed as cost leadership. The firm outperforms its competitors by offering products/services at lower cost than they can. Customers prefer a lower cost product particularly if it offers the same utility to them as the comparable products available in the market offer.

B. Differentiation Business Strategy

A differentiation strategy is based on persuading customers that a product is superior to that offered by competitors. Differentiation can be based on premium product features or simply upon creating consumer perceptions that a product is superior. A differentiation strategy is likely to necessitate emphasis on innovation, design, research and development, awareness of particular customer needs and marketing.

A strategy of this type is employed in order to reduce price elasticity of demand for the product so that its price can be raised above that of competitors without reducing sales volume. This, in turn, will generate above average profits when measured against sales. Stated the other way, when the competitive advantage of a firm lies in special features incorporated into the product/service, which are demanded by the customers who are willing to pay for those, and then the strategy adopted is the differentiation business strategy.

Mitizberg has provided a series of categories within which firms can differentiate as described below:

- **Design Differentiation:** where the product is designed so fundamentally differently that it is almost a unique product category. Sony, for example, has been particularly good at producing products of this kind. Of course, they are easy to copy and the firm must be ready to follow each success with others.
- **Quality Differentiation:** when buyers believe that a product is reliable, durable, or has superior performance. This type of differentiation is difficult to achieve, but is commonly associated with high profits in an industry.
- **Price Differentiation:** where a lower price makes the products offered to the market difficult to other competitors in the industry. To be successful, this strategy

requires that the market is price sensitive and the firm has or is capable of getting a cost advantage.

- By creating a ***strong brand*** name through design, innovation, advertising, etc.
- By offering ***after sales*** service
- By distinctive or superior product ***packaging, distribution channels***, etc

C. Focus Business Strategy

Conditions under which a focus strategies are used

- Employing a focus strategy requires the following circumstances:
 - Identification of a suitable target customer group which forms a distinct market segment
 - Identification of the specific needs of that group
 - Establishing that the segment is sufficiently large to sustain the business
 - Establishing the extent of competition within the segment
 - Production of products to meet the specific needs of that group
 - Deciding whether to operate a differentiation or cost leadership strategy within the market segment
 - The focusing firm has the necessary skills and expertise to serve the niche segment
 - The focusing firm can guard its territory from other predator/killer firms on the basis of customer relations and the loyalty it has developed and its acknowledged superiority in serving the niche segments.

Strategic Analysis and Choice

Lawrence R. Jauch and William F. Glueck (1988), strategic choice is the decision to select from among the alternatives strategy which will best meet the enterprise's objectives. The decision involves focusing on a few alternatives, considering the selection factors, evaluating the alternatives against these criteria and making the actual choice.

An evaluation of strategic choice should lead to a clear assessment of which alternative is the most suitable under the existing conditions. The final step, therefore, is to make the strategic choice. One or more strategies have to be chosen for implementation.

Corporate Portfolio Analysis

Corporate portfolio analysis could be defined as a set of techniques that help strategists' decisions with regard to individual product or business in a firm's portfolio. It is primarily used for competitive analysis and corporate strategic planning in multi-product and multi business firms.

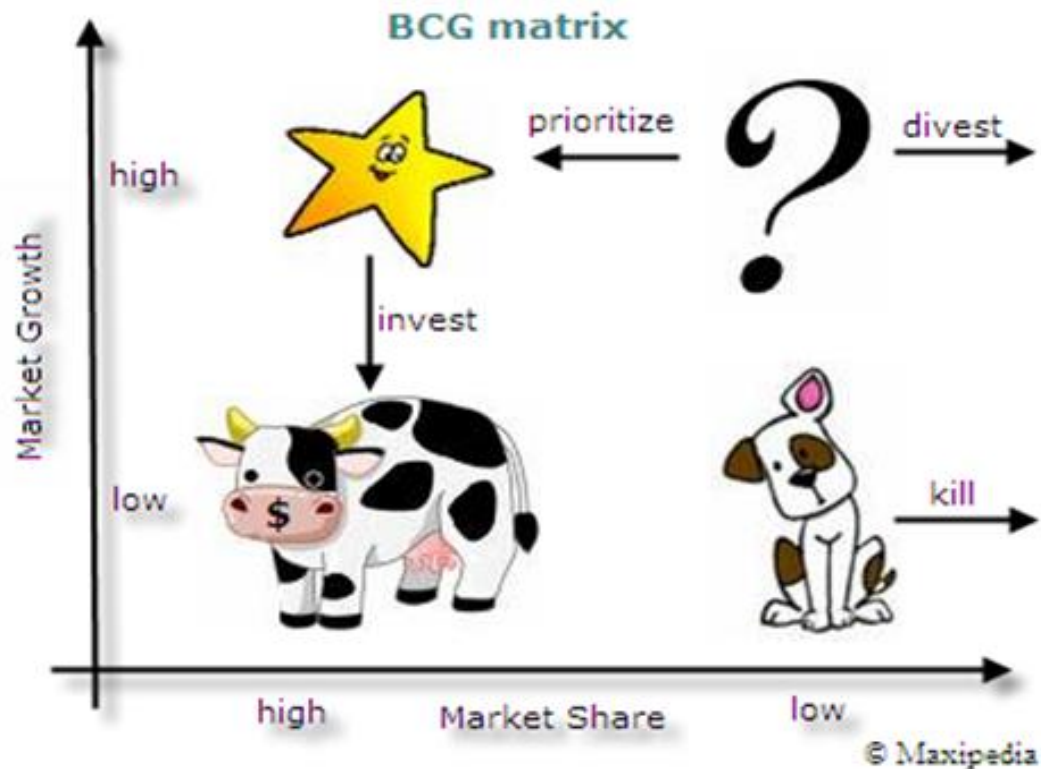
There are a number of techniques that could be considered as corporate portfolio analysis techniques.

Among these techniques, the most popular is the Boston Consulting Group (BCG) matrix. The general electric nine cell matrix is another popular tool that can be used to this end. Below, each of these methods is discussed in greater detail.

BCG Matrix

The Boston Consulting Group (BCG) matrix is the one which provides graphic presentation for an organization to examine the different businesses in its portfolio on the basis of their relative market shares and industry growth rates. It is a way of viewing the entire product range to see a company's products as a collection of items in a similar way that a holder of shares in several companies might consider the decision on what to do with the shares.

The four cells of the BCG matrix have been termed as Stars, Cash cows, Questions marks (Problem children), and Dogs. Each of these cells represents a particular type of businesses. These different types of businesses are described below.



1. **Stars:** stars are *high growth- high market share* businesses which may or may not be self-sufficient in terms of cash flow. This cell corresponds closely to the growth phase of the product life cycle (PLC). A company generally pursues an expansion strategy to establish a strong competitive position with regard to a “Star” business.
 - High relative market share and high growth rate
 - Best long-run opportunities for growth & profitability
 - Substantial investment to maintain or strengthen dominant position
 - Integration strategies, intensive strategies, joint ventures
2. **Cash cows:** As the term indicates, cash cows are businesses which generate *large amounts of cash but their rate of growth is slow*. In terms of PLC, these are generally mature businesses which are reaping the benefits of the experience curve. The cash generation exceeds the reinvestments that could profitably be made in to “Cash cows”. These businesses can adopt mainly stability strategies. Where long-term prospects are exceptionally bright, limited expansion could be adopted, and when it tends towards, decline, a phased retrenchment strategy may be feasible.

- High relative market share, competes in low-growth industry
 - Generate cash in excess of their needs
 - Milked for other purposes
- Maintain strong position as long as possible
 - Product development, concentric diversification
 - If weakens—retrenchment or divestiture

3. **Question Marks:** Businesses with *high industry growth but low market share* for a company are “Question marks” or “Problem children”. They require large amounts of cash to maintain or gain market share. “Question marks” are usually new products or services which have a good commercial potential. No single strategy can be recommended here. If the company feels that it can obtain a dominant market share, it may select expansion strategies, otherwise retrenchment may be a more realistic alternative. Question marks, therefore, may become ‘stars’ if enough investment is made or they may become dogs, if ignored. Holiday resorts, Light commercial vehicles, Home improvement products are few of the examples.

- Low relative market share – compete in high-growth industry
 - Cash needs are high
 - Case generation is low
- Decision to strengthen (intensive strategies) or divest

4. **Dogs:** Those businesses which are related to *slow growth in industries and where a company has a low relative market share* are termed as “dogs”. They neither generate nor require large amounts of cash.

In terms of PLC, the “dogs” are usually products in late maturity or a declining stage. The experience curve for the company shows that it faces cost disadvantages owing to a low market share. The only possibility for the company

could be to gain market share at the expense of rival firms, which involves high costs. So, retrenchments strategies are normally suggested.

- Low relative market share & compete in slow or no market growth
- Weak internal & external position
- Liquidation, divestiture, retrenchment

The McKinsey 7'S model

A model of organizational effectiveness that postulates that there are seven internal factors of an organization that needs to be aligned and reinforced in order for it to be successful. The 7S Model was developed at McKinsey & Co. consulting firm in the early 1980s by consultants Tom Peters and Robert Waterman, authors of the management.

The 7S model can be used in a wide variety of situations where an alignment perspective is useful, for example, to help:

- ✚ Improve the performance of a company.
- ✚ Examine the likely effects of future changes within a company.
- ✚ Align departments and processes during a merger or acquisition.
- ✚ Determine how best to implement a proposed strategy.

The Seven Elements

The McKinsey 7S model involves seven interdependent factors which are categorized as either "hard" or "soft" elements:

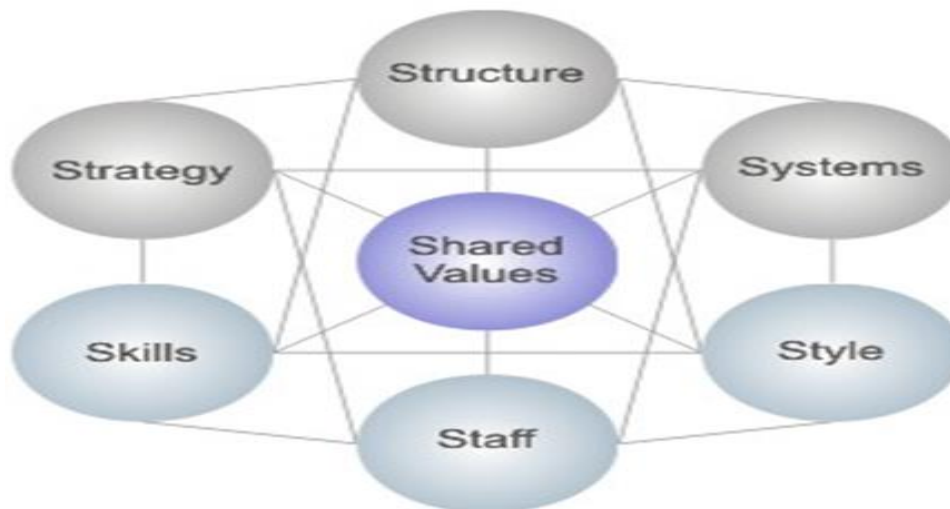
Hard Elements	Soft Elements
Strategy	Shared values
Structure	Skills
Systems	Style
	Staffs

"Hard" elements are easier to define or identify and management can directly influence them: These are strategy statements; organization charts and reporting lines; and formal processes and IT systems.

"Soft" elements, on the other hand, can be more difficult to describe, and are less tangible and more influenced by culture. However, these soft elements are as important as the hard elements if the organization is going to be successful.

The way the model is presented in Figure 1 below depicts the interdependency of the elements and indicates how a change in one affects all the others.

Figure 1: The McKinsey 7S Model



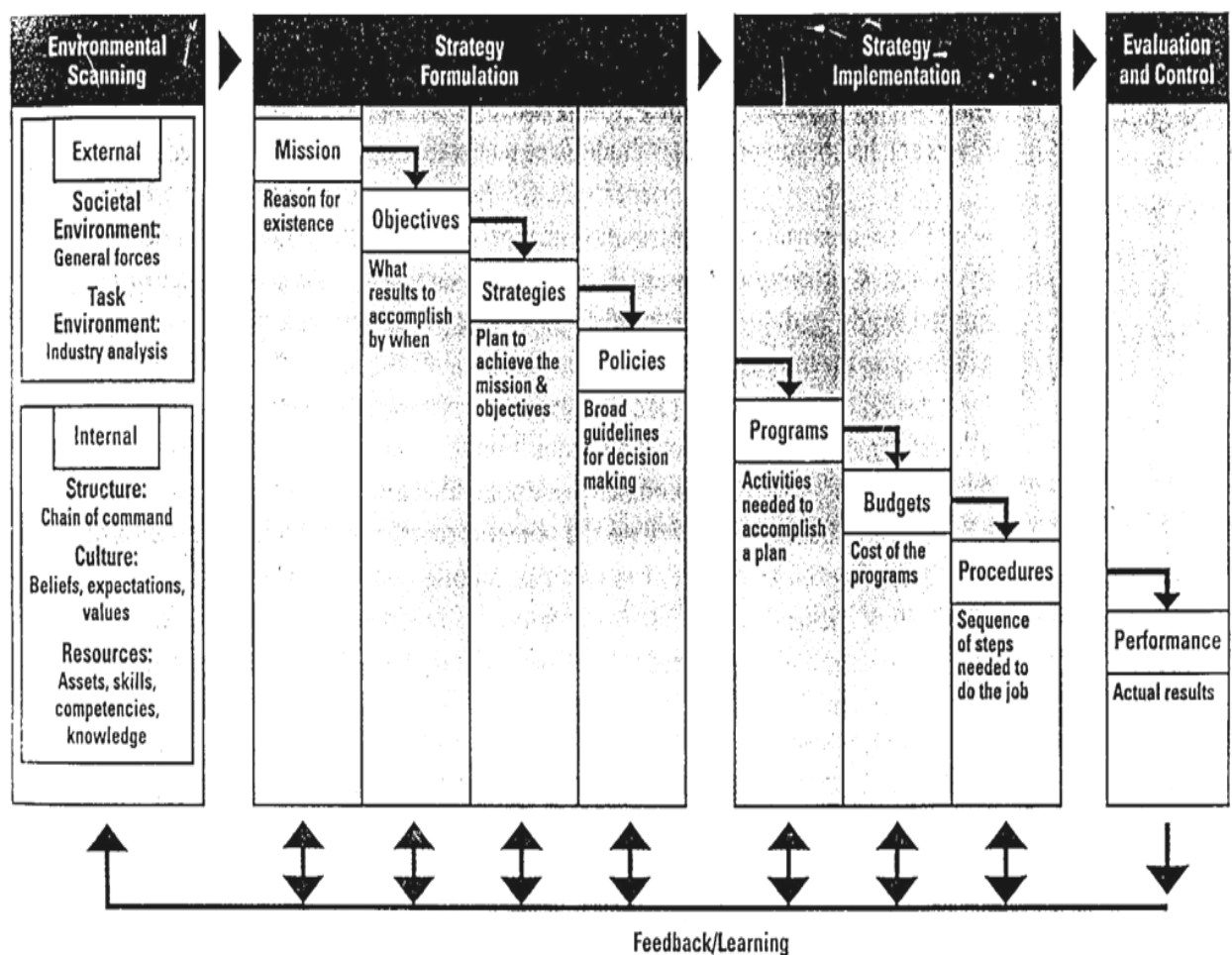
THE BALANCED SCORECARD

The balanced scorecard is a [strategic planning and management system](#) that is used extensively in business and industry, government, and nonprofit organizations worldwide to align business activities to the vision and strategy of the organization, improve internal and external communications, and monitor organization performance against strategic goals. It was originated by Drs. Robert Kaplan (Harvard Business School) and David Norton as a performance measurement framework that added strategic non-financial performance

measures to traditional financial metrics to give managers and executives a more 'balanced' view of organizational performance.

Developed in 1993 by Harvard Business School professors Robert Kaplan and David Norton, and refined continually through today, the Balanced Scorecard is a strategy evaluation and control technique. *Balanced Scorecard* derives its name from the perceived need of firms to “balance” financial measures that are often used exclusively in strategy evaluation and control with nonfinancial measures such as product quality and customer service. An effective Balanced Scorecard contains a carefully chosen combination of strategic and financial objectives tailored to the company’s business.

Figure 2.1: A Comprehensive Strategic-Management Model



CHAPTER FIVE

STRATEGY IMPLEMENTATION

❖ The nature of strategy implementation

Strategy implementation is the sum total of the activities and choices required for the execution of a strategic plan. It is the process by which objectives, strategies, and policies are put into action through the development of programs, budgets, and procedures. Although implementation is usually considered after strategy has been formulated, implementation is a key part of strategic management. Strategy formulation and strategy implementation should thus be considered as two sides of the same coin. This might involve changes within the overall culture, structure and/or management system of the entire organization. Successful strategy formulation does not guarantee successful strategy implementation. It is always more difficult to do something (strategy implementation) than to say you are going to do it (strategy formulation). Although inextricably linked, strategy implementation is fundamentally different from strategy formulation. Strategy formulation and implementation can be contrasted in the following ways:

- ✓ Strategy formulation is positioning forces before the action.
- ✓ Strategy implementation is managing forces during the action.
- ✓ Strategy formulation focuses on effectiveness.
- ✓ Strategy implementation focuses on efficiency.
- ✓ Strategy formulation is primarily an intellectual process.
- ✓ Strategy implementation is primarily an operational process.
- ✓ Strategy formulation requires good intuitive and analytical skills.
- ✓ Strategy implementation requires special motivation and leadership skills.
- ✓ Strategy formulation requires coordination among a few individuals.
- ✓ Strategy implementation requires coordination among many individuals.

❖ Who Implements Strategy?

Depending on how a corporation is organized, those who implement strategy will probably be a much more diverse set of people than those who formulate it. In most large, multi-industry corporations, the implementers are everyone in the organization. Vice presidents of functional areas and directors of divisions or strategic business units (SBUs) work with their subordinates to put together large-scale implementation plans. Plant managers, project managers, and unit heads put together plans for their specific plants, departments, and units. Therefore, every operational manager down to the first-line supervisor and every employee are involved in some way in the implementation of corporate, business, and functional strategies. Many of the people in the organization who are crucial to successful strategy implementation probably had little to do with the development of the corporate and even business strategy. Therefore, they might be entirely ignorant of the vast amount of data and work that went into the formulation process. Unless changes in mission, objectives, strategies, and policies and their importance to the company are communicated clearly to all operational managers, there can be a lot of resistance and foot-dragging. Managers might hope to influence top management into abandoning its new plans and returning to its old ways. This is one reason why involving people from all organizational levels in the formulation and implementation of strategy tend to result in better organizational performance.

❖ What Must Be Done?

The managers of divisions and functional areas work with their fellow managers to develop programs, budgets, and procedures for the implementation of strategy. They also work to achieve synergy among the divisions and functional areas in order to establish and maintain a company's distinctive competence.

○ Achieving Synergy

One of the goals to be achieved in strategy implementation is synergy between and among functions and business units. This is the reason corporations commonly reorganize after an acquisition. Synergy is said to exist for a divisional corporation if the return on investment (ROI) of each division is greater than what the return would be if each division were an independent business. According to Goold and Campbell, synergy can take place in one of six forms:

- **Shared know-how:** Combined units often benefit from sharing knowledge or skills. This is a leveraging of core competencies. One reason that Procter & Gamble purchased Gillette was to combine P&G's knowledge of the female consumer with Gillette's knowledge of the male consumer.
- **Coordinated strategies:** Aligning the business strategies of two or more business units may provide a corporation significant advantage by reducing inter-unit competition and developing a coordinated response to common

competitors (horizontal strategy). The merger between Arcelor and Mittal Steel, for example, gave the combined company enhanced R&D capabilities and wider global coverage while presenting a common face to the market.

- **Shared tangible resources:** Combined units can sometimes save money by sharing resources, such as a common manufacturing facility or R&D lab. The alliance between Renault and Nissan allowed it to build new factories that would build both Nissan and Renault vehicles.
- **Economies of scale or scope:** Coordinating the flow of products or services of one unit with that of another unit can reduce inventory, increase capacity utilization, and improve market access. This was a reason Delta Airlines bought Northwest Airlines.
- **Pooled negotiating power:** Combined units can combine their purchasing to gain bargaining power over common suppliers to reduce costs and improve quality. The same can be done with common distributors. The acquisitions of Macy's and the May Company enabled Federated Department Stores (which changed its name to Macy's in 2007) to gain purchasing economies for all of its stores.
- **New business creation:** Exchanging knowledge and skills can facilitate new products or services by extracting discrete activities from various units and combining them in a new unit or by establishing joint ventures among internal business units. Oracle, for example, purchased a number of software companies in order to create a suite of software codenamed "Project Fusion" to help corporations run everything from accounting and sales to customer relations and supply-chain management.

❖ **Management issue central to Strategy Implementation**

1. Establishing Annual Objectives

Establishing annual objectives is a decentralized activity that directly involves all managers in an organization. Active participation in establishing annual objectives can lead to acceptance and commitment. *Annual objectives* are essential for strategy implementation because they:

- ✓ Represent the basis for allocating resources;
- ✓ Are a primary mechanism for evaluating managers;
- ✓ Are the major instrument for monitoring progress toward achieving long-term objectives; and
- ✓ Establish organizational, divisional, and departmental priorities.

Considerable time and effort should be devoted to ensuring that annual objectives are well conceived, consistent with long-term objectives, and supportive of

strategies to be implemented. Approving, revising, or rejecting annual objectives is much more than a rubber-stamp activity.

Clear annual objectives do not guarantee successful strategy implementation, but they do increase the likelihood that personal and organizational aims can be accomplished. Overemphasis on achieving objectives can result in undesirable conduct, such as faking the numbers, distorting the records, and letting objectives become ends in themselves. Managers must be alert to these potential problems.

2. Developing Policies

Changes in a firm's strategic direction do not occur automatically. On a day-to-day basis, policies are needed to make a strategy work. Policies facilitate solving recurring problems and guide the implementation of strategy. Broadly defined, policy refers to specific guidelines, methods, procedures, rules, forms, and administrative practices established to support and encourage work toward stated goals. Policies are instruments for strategy implementation. Policies set boundaries, constraints, and limits on the kinds of administrative actions that can be taken to reward and sanction behavior; they clarify what can and cannot be done in pursuit of an organization's objectives. Policies let both employees and managers know what is expected of them, thereby increasing the likelihood that strategies will be implemented successfully. They provide a basis for management control, allow coordination across organizational units, and reduce the amount of time managers spend making decisions. Policies also clarify what work is to be done and by whom. They promote delegation of decision making to appropriate managerial levels where various problems usually arise. Many organizations have a policy manual that serves to guide and direct behavior.

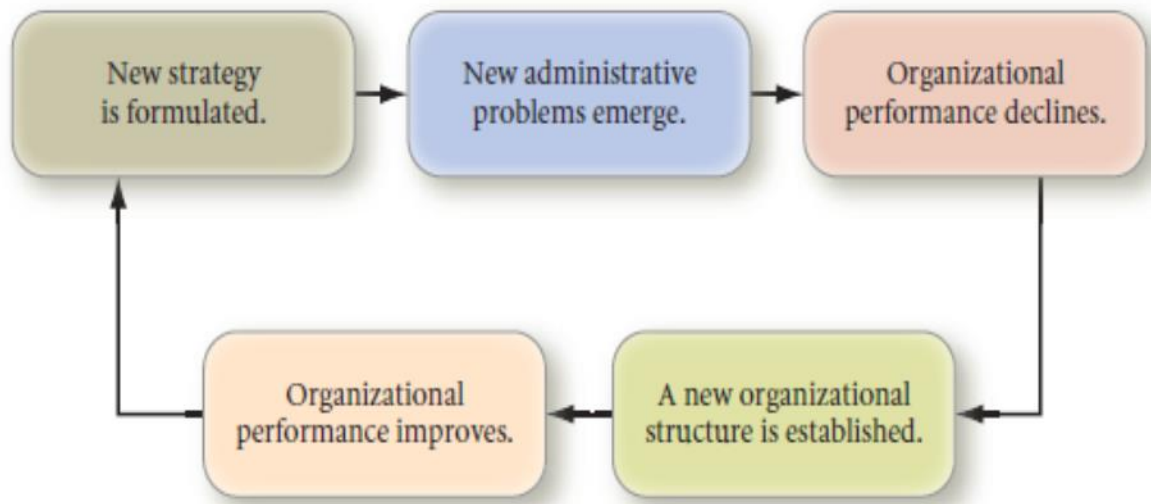
3. Resource Allocation

In organizations that do not use a strategic-management approach to decision making, resource allocation is often based on political or personal factors. Strategic management enables resources to be allocated according to priorities established by annual objectives. Nothing could be more detrimental to strategic management and to organizational success than for resources to be allocated in ways not consistent with priorities indicated by approved annual objectives. A number of factors commonly prohibit effective resource allocation, including an overprotection of resources, too great an emphasis on short-run financial criteria, organizational politics, vague strategy targets, a reluctance to take risks, and a lack of sufficient knowledge. The real value of any resource allocation program lies in the resulting accomplishment of an organization's objectives. Effective resource allocation does not guarantee successful strategy implementation because programs, personnel, controls, and commitment must breathe life into the resources provided. Strategic management itself is sometimes referred to as a "resource allocation process."

4. Matching Structure with Strategy

Changes in strategy lead to changes in organizational structure. Structure should be designed to facilitate the strategic pursuit of a firm and, therefore, follow strategy. Without a strategy or reasons for being (mission), companies find it difficult to design an effective structure. Chandler found a particular structure sequence to be repeated often as organizations grow and change strategy over time; this sequence is depicted in Figure below;

Chandler's Strategy-Structure Relationship



❖ Basic types of organizational structure

There is no one optimal organizational design or structure for a given strategy or type of organization. What is appropriate for one organization may not be appropriate for a similar firm, although successful firms in a given industry do tend to organize themselves in a similar way.

a. The Functional Structure

The most widely used structure is the functional or centralized type because this structure is the simplest and least expensive of the given alternatives. A functional structure groups tasks and activities by business function, such as production/operations, marketing, finance/accounting, research and development, and management information systems. A university may structure its activities by major functions that include academic affairs, student services, alumni relations, athletics, maintenance, and accounting. Besides being simple and inexpensive, a functional structure also promotes specialization of labor, encourages efficient use of managerial and technical talent, minimizes the need for an elaborate control system, and allows rapid decision making. Some disadvantages of a functional structure are that it forces accountability to the top, minimizes career development opportunities, and is sometimes characterized by low employee morale, line/staff conflicts, poor delegation of authority, and inadequate planning for products and markets.

TABLE 7-7 Advantages and Disadvantages of a Functional Organizational Structure

Advantages	Disadvantages
1. Simple and inexpensive	1. Accountability forced to the top
2. Capitalizes on specialization of business activities such as marketing and finance	2. Delegation of authority and responsibility not encouraged
3. Minimizes need for elaborate control system	3. Minimizes career development
4. Allows for rapid decision making	4. Low employee/manager morale
	5. Inadequate planning for products and markets
	6. Leads to short-term, narrow thinking
	7. Leads to communication problems

b. The Divisional Structure

As a small organization grows, it has more difficulty managing different products and services in different markets. Some form of divisional structure generally becomes necessary to motivate employees, control operations, and compete successfully in diverse locations. A divisional structure has some clear advantages. First and perhaps foremost, accountability is clear. That is, divisional managers can be held responsible for sales and profit levels. Because a divisional structure is based on extensive delegation of authority, managers and employees can easily see the results of their good or bad performances. As a result, employee morale is generally higher in a divisional structure than it is in a centralized structure. Other advantages of the divisional design are that it creates career development opportunities for managers, allows local control of situations, leads to a competitive climate within an organization, and allows new businesses and products to be added easily.

The divisional design is not without some limitations, however. Perhaps the most important limitation is that a divisional structure is costly, for a number of reasons. First, each division requires functional specialists who must be paid. Second, there exists some duplication of staff services, facilities, and personnel; for instance, functional specialists are also needed centrally (at headquarters) to coordinate divisional activities. Third, managers must be well qualified because the divisional design forces delegation of authority; better-qualified individuals require higher salaries. A divisional structure can also be costly because it requires an elaborate, headquarters-driven control system. Fourth, competition between divisions may become so intense that it is dysfunctional and leads to limited sharing of ideas and resources for the common good of the firm.

TABLE 7-8 Advantages and Disadvantages of a Divisional Organizational Structure

Advantages	Disadvantages
1. Accountability is clear	1. Can be costly
2. Allows local control of local situations	2. Duplication of functional activities
3. Creates career development chances	3. Requires a skilled management force
4. Promotes delegation of authority	4. Requires an elaborate control system
5. Leads to competitive climate internally	5. Competition among divisions can become so intense as to be dysfunctional
6. Allows easy adding of new products or regions	6. Can lead to limited sharing of ideas and resources
7. Allows strict control and attention to products, customers, and/or regions	7. Some regions/products/customers may receive special treatment

The divisional structure can be organized in one of four ways: by *geographic area*, *by product or service*, *by customer*, or *by process*. With a divisional structure, functional activities are performed both centrally and in each separate division.

- A *divisional structure by geographic area* is appropriate for organizations whose strategies need to be tailored to fit the particular needs and characteristics of customers in different geographic areas. This type of structure can be most appropriate for organizations that have similar branch facilities located in widely dispersed areas. A divisional structure by geographic area allows local participation in decision making and improved coordination within a region.
- The *divisional structure by product (or services)* is most effective for implementing strategies when specific products or services need special emphasis. Also, this type of structure is widely used when an organization offers only a few products or services or when an organization's products or services differ substantially. The divisional structure allows strict control over and attention to product lines, but it may also require a more skilled management force and reduced top management control.
- When a few major customers are of paramount importance and many different services are provided to these customers, then a *divisional structure by customer* can be the most effective way to implement strategies. This structure allows an organization to cater effectively to the requirements of clearly defined customer groups.

c. The Matrix Structure

A matrix structure is the most complex of all designs because it depends upon both vertical and horizontal flows of authority and communication (hence the term matrix). In contrast, functional and divisional structures depend primarily on vertical flows of authority and communication. A matrix structure can result in higher overhead because it creates more management positions. Other disadvantages of a matrix structure that contribute to overall complexity include dual lines of budget authority (a violation of the unity-of-command principle), dual sources of reward and punishment, shared authority, dual reporting channels, and a need for an extensive and effective communication system.

Most organizations find that organizing around either functions (in the functional structure) or products and geography (in the divisional structure) provides an appropriate organizational structure. The matrix structure, in contrast, may be very appropriate when organizations conclude that neither functional nor divisional forms, even when combined with horizontal linking mechanisms such as SBUs, are right for their situations. In matrix structures, functional and product forms are combined simultaneously at the same level of the organization. Employees have two superiors, a product or project manager, and a functional manager. The “home” department that is, engineering, manufacturing, or sales is usually functional and is reasonably permanent. People from these functional units are often assigned temporarily to one or more product units or projects. The product units or projects are usually temporary and act like divisions in that they are differentiated on a product-market basis.

TABLE 7-9 Advantages and Disadvantages of a Matrix Structure

Advantages	Disadvantages
1. Project objectives are clear	1. Requires excellent vertical and horizontal flows of communication
2. Employees can clearly see results of their work	2. Costly because creates more manager positions
3. Shutting down a project is easily accomplished	3. Violates unity of command principle
4. Facilitates uses of special equipment/ personnel/facilities	4. Creates dual lines of budget authority
5. Functional resources are shared instead of duplicated as in a divisional structure	5. Creates dual sources of reward/punishment
	6. Creates shared authority and reporting
	7. Requires mutual trust and understanding

❖ Arranging of Program for Implementing Strategy

Strategy is implemented by modifying structure (organizing), selecting the appropriate people to carry out the strategy (staffing), and communicating clearly how the strategy can be put into action (leading). A number of programs, such as

organizational and job design, reengineering, Six Sigma, MBO, TQM, and action planning, can be used to implement a new strategy.

i. Reengineering and Strategy Implementation

Reengineering is the radical redesign of business processes to achieve major gains in cost, service, or time. It is not in itself a type of structure, but it is an effective program to implement a turnaround strategy. Business process reengineering strives to break away from the old rules and procedures that develop and become ingrained in every organization over the years. They may be a combination of policies, rules, and procedures that have never been seriously questioned because they were established years earlier. These may range from "Credit decisions are made by the credit department" to "Local inventory is needed for good customer service." These rules of organization and work design may have been based on assumptions about technology, people, and organizational goals that may no longer be relevant. Rather than attempting to fix existing problems through minor adjustments and fine-tuning of existing processes, the key to reengineering is asking "If this were a new company, how would we run this place?" Michael Hammer, who popularized the concept of reengineering, suggests the following principles for reengineering:

- **Organize around outcomes, not tasks:** Design a person's or a department's job around an objective or outcome instead of a single task or series of tasks.
- **Have those who use the output of the process perform the process:** With computer based information systems, processes can now be reengineered so that the people who need the result of the process can do it themselves.
- **Subsume information-processing work into the real work that produces the information:** People or departments that produce information can also process it for use instead of just sending raw data to others in the organization to interpret.
- **Treat geographically dispersed resources as though they were centralized:** With modern information systems, companies can provide flexible service locally while keeping the actual resources in a centralized location for coordination purposes.
- **Link parallel activities instead of integrating their results:** Instead of having separate units perform different activities that must eventually come together, have them communicate while they work so that they can do the integrating.
- **Put the decision point where the work is performed and build control into the process:** The people who do the work should make the decisions and be self-controlling.

- **Capture information once and at the source:** Instead of having each unit develop its own database and information processing activities, the information can be put on a network so that all can access it.

Reengineering is concerned more with employee and customer well-being than shareholder well-being. Reengineering also called process management, process innovation, or process redesign involves reconfiguring or redesigning work, jobs, and processes for the purpose of improving cost, quality, service, and speed. Reengineering does not usually affect the organizational structure or chart, nor does it imply job loss or employee layoffs. Whereas restructuring is concerned with eliminating or establishing, shrinking or enlarging, and moving organizational departments and divisions, the focus of reengineering is changing the way work is actually carried out.

ii. Restructuring (designing Jobs) to Implement Strategy

Organizing a company's activities and people to implement strategy involves more than simply redesigning a corporation's overall structure; it also involves redesigning the way jobs are done. With the increasing emphasis on reengineering, many companies are beginning to rethink their work processes with an eye toward phasing unnecessary people and activities out of the process. Process steps that have traditionally been performed sequentially can be improved by performing them concurrently using cross-functional work teams. **Restructuring** also called **downsizing, rightsizing, or delayering** involves reducing the size of the firm in terms of number of employees, number of divisions or units, and number of hierarchical levels in the firm's organizational structure. This reduction in size is intended to improve both efficiency and effectiveness. Restructuring is concerned primarily with shareholder well-being rather than employee well-being.

Restructuring through needing fewer people requires broadening the scope of jobs and encouraging teamwork. The design of jobs and subsequent job performance are, therefore, increasingly being considered as sources of competitive advantage. **Job design** refers to the study of individual tasks in an attempt to make them more relevant to the company and to the employee(s). To minimize some of the adverse consequences of task specialization, corporations have turned to new job design techniques: job enlargement (combining tasks to give a worker more of the same type of duties to perform), job rotation (moving workers through several jobs to increase variety), and job enrichment (altering the jobs by giving the worker more autonomy and control over activities). The job characteristics model is a good example of job enrichment.

iii. Human Resource to Implementing Strategies

The implementation of new strategies and policies often calls for new human resource management priorities and a different use of personnel. Such staffing issues can involve hiring new people with new skills, firing people with

inappropriate or substandard skills, and/or training existing employees to learn new skills. If growth strategies are to be implemented, new people may need to be hired and trained. Experienced people with the necessary skills need to be found for promotion to newly created managerial positions. If a corporation adopts a retrenchment strategy, however, a large number of people may need to be laid off or fired (in many instances, being laid off is the same as being fired); and top management, as well as the divisional managers, needs to specify the criteria to be used in making these personnel decisions. Should employees be fired on the basis of low seniority or on the basis of poor performance? Sometimes corporations find it easier to close or sell off an entire division than to choose which individuals to fire.

iv. Managing Resistance to Change

No organization or individual can escape change. But the thought of change raises anxieties because people fear economic loss, inconvenience, uncertainty, and a break in normal social patterns. Almost any change in structure, technology, people, or strategies has the potential to disrupt comfortable interaction patterns. For this reason, people resist change. The strategic-management process itself can impose major changes on individuals and processes. Reorienting an organization to get people to think and act strategically is not an easy task.

Resistance to change can be considered the single greatest threat to successful strategy implementation. Resistance regularly occurs in organizations in the form of sabotaging production machines, absenteeism, filing unfounded grievances, and an unwillingness to cooperate. People often resist strategy implementation because they do not understand what is happening or why changes are taking place. In that case, employees may simply need accurate information. Successful strategy implementation hinges upon managers' ability to develop an organizational climate conducive to change. Change must be viewed as an opportunity rather than as a threat by managers and employees. Resistance to change can emerge at any stage or level of the strategy-implementation process. Although there are various approaches for implementing changes, three commonly used strategies are a force change strategy, an educative change strategy, and a rational or self-interest change strategy. A **force change strategy** involves giving orders and enforcing those orders; this strategy has the advantage of being fast, but it is plagued by low commitment and high resistance. The **educative change strategy** is one that presents information to convince people of the need for change; the disadvantage of an educative change strategy is that implementation becomes slow and difficult. However, this type of strategy evokes greater commitment and less resistance than does the force change strategy. Finally, a **rational or self-interest change strategy** is one that attempts to convince individuals that the change is to their personal advantage. When this appeal is successful, strategy implementation can be relatively easy. However, implementation changes are seldom to everyone's advantage.

v. Leading

Implementation also involves leading through coaching people to use their abilities and skills most effectively and efficiently to achieve organizational objectives. Without direction, people tend to do their work according to their personal view of what tasks should be done, how, and in what order. They may approach their work as they have in the past or emphasize those tasks that they most enjoy regardless of the corporation's priorities. This can create real problems, particularly if the company is operating internationally and must adjust to customs and traditions in other countries. This direction may take the form of management leadership, communicated norms of behavior from the corporate culture, or agreements among workers in autonomous work groups. It may be accomplished more formally through action planning or through programs, such as Management by Objectives and Total Quality Management. Procedures can be changed to provide incentives to motivate employees to align their behavior with corporate objectives.

vi. Management by Objectives

Management by Objectives (MBO) is a technique that encourages participative decision making through shared goal setting at all organizational levels and performance assessment based on the achievement of stated objectives. MBO links organizational objectives and the behavior of individuals. Because it is a system that links plans with performance, it is a powerful implementation technique. The MBO process involves:

- i. Establishing and communicating organizational objectives.
- ii. Setting individual objectives (through superior-subordinate interaction) that help implement organizational ones.
- iii. Developing an action plan of activities needed to achieve the objectives.
- iv. Periodically (at least quarterly) reviewing performance as it relates to the objectives and including the results in the annual performance appraisal.

MBO provides an opportunity for the corporation to connect the objectives of people at each level to those at the next higher level. MBO, therefore, acts to tie together corporate, business, and functional objectives, as well as the strategies developed to achieve them. One of the real benefits of MBO is that it can reduce the amount of internal politics operating within a large corporation. Political action within a firm can cause conflict and create divisions between the very people and groups who should be working together to implement strategy. People are less likely to jockey for position if the company's mission and objectives are clear and they know that the reward system is based not on game playing, but on achieving clearly communicated, measurable objectives.

vii. Total Quality Management

Total Quality Management (TQM) is an operational philosophy committed to customer satisfaction and continuous improvement. TQM is committed to

quality/excellence and to being the best in all functions. Because TQM aims to reduce costs and improve quality, it can be used as a program to implement an overall low-cost or a differentiation business strategy. TQM has four objectives:

- ✓ Better, less variable quality of the product and service
- ✓ Quicker, less variable response in processes to customer needs
- ✓ Greater flexibility in adjusting to customers' shifting requirements
- ✓ Lower cost through quality improvement and elimination of non-value-adding work

According to TQM, faulty processes, not poorly motivated employees, are the cause of defects in quality. The program involves a significant change in corporate culture, requiring strong leadership from top management, employee training, empowerment of lower-level employees (giving people more control over their work), and teamwork in order to succeed in a company. TQM emphasizes prevention, not correction. Inspection for quality still takes place, but the emphasis is on improving the process to prevent errors and deficiencies. Thus, quality circles or quality improvement teams are formed to identify problems and to suggest how to improve the processes that may be causing the problems. TQM's essential ingredients are:

- **An intense focus on customer satisfaction:** Everyone (not just people in the sales and marketing departments) understands that their jobs exist only because of customer needs. Thus all jobs must be approached in terms of how they will affect customer satisfaction.
- **Internal as well as external customers:** An employee in the shipping department may be the internal customer of another employee who completes the assembly of a product, just as a person who buys the product is a customer of the entire company. An employee must be just as concerned with pleasing the internal customer as in satisfying the external customer.
- **Accurate measurement of every critical variable in a company's operations:** This means that employees have to be trained in what to measure, how to measure, and how to interpret the data. A rule of TQM is that you only improve what you measure.
- **Continuous improvement of products and services:** Everyone realizes that operations need to be continuously monitored to find ways to improve products and services.
- **New work relationships based on trust and teamwork:** Important is the idea of empowerment giving employees wide latitude in how they go about achieving the company's goals. Research indicates that the keys to TQM

success lie in executive commitment, an open organizational culture, and employee empowerment.

viii. Action Planning

Activities can be directed toward accomplishing strategic goals through action planning. At a minimum, an **action plan** states what actions are going to be taken, by whom, during what time frame, and with what expected results. After a program has been selected to implement a particular strategy, an action plan should be developed to put the program in place. Take the **example** of a company choosing forward vertical integration through the acquisition of a retailing chain as its growth strategy. Once it owns its own retail outlets, it must integrate the stores into the company. One of the many programs it would have to develop is a new advertising program for the stores. The resulting action plan to develop a new advertising program should include much of the following information:

- ✓ Specific actions to be taken to make the program operational.
- ✓ Dates to begin and end each action.
- ✓ Person (identified by name and title) responsible for carrying out each action.
- ✓ Person responsible for monitoring the timeliness and effectiveness of each action.
- ✓ Expected financial and physical consequences of each action.
- ✓ Contingency plans

❖ Action plans are important for several reasons:

- First, action plans serve as a link between strategy formulation and evaluation and control.
- Second, the action plan specifies what needs to be done differently from the way operations are currently carried out.
- Third, during the evaluation and control process that comes later, an action plan helps in both the appraisal of performance and in the identification of any remedial actions, as needed.
- In addition, the explicit assignment of responsibilities for implementing and monitoring the programs may contribute to better motivation.

ix. Six Sigma

Originally conceived by Motorola as a quality improvement program in the mid-1980s, Six Sigma has become a cost-saving program for all types of manufacturers. Briefly, **Six Sigma** is an analytical method for achieving near-perfect results on a production line. Although the emphasis is on reducing product variance in order to boost quality and efficiency, it is increasingly being applied to accounts receivable,

sales, and R&D. In statistics, the Greek letter sigma denotes variation in the standard bell-shaped curve. One sigma equals 690,000 defects per 1 million. Most companies are able to achieve only three sigma, or 66,000 errors per million. Six Sigma reduces the defects to only 3.4 per million thus saving money by preventing waste. The process of Six Sigma encompasses five steps.

- ✓ Define a process where results are poorer than average.
- ✓ Measure the process to determine exact current performance.
- ✓ Analyze the information to pinpoint where things are going wrong.
- ✓ Improve the process and eliminate the error.
- ✓ Establish controls to prevent future defects from occurring.

x. Managing Corporate Culture

Because an organization's culture can exert a powerful influence on the behavior of all employees, it can strongly affect a company's ability to shift its strategic direction. A problem for a strong culture is that a change in mission, objectives, strategies, or policies is not likely to be successful if it is in opposition to the accepted culture of the company. Corporate culture has a strong tendency to resist change because its very reason for existence often rests on preserving stable relationships and patterns of behavior. There is no one best corporate culture. An optimal culture is one that best supports the mission and strategy of the company of which it is a part. This means that corporate culture should support the strategy. Unless strategy is in complete agreement with the culture, any significant change in strategy should be followed by a modification of the organization's culture. Although corporate culture can be changed, it may often take a long time, and it requires much effort. A key job of management involves managing corporate culture. In doing so, management must evaluate what a particular change in strategy means to the corporate culture, assess whether a change in culture is needed, and decide whether an attempt to change the culture is worth the likely costs.

❖ Assessing Strategy-Culture Compatibility

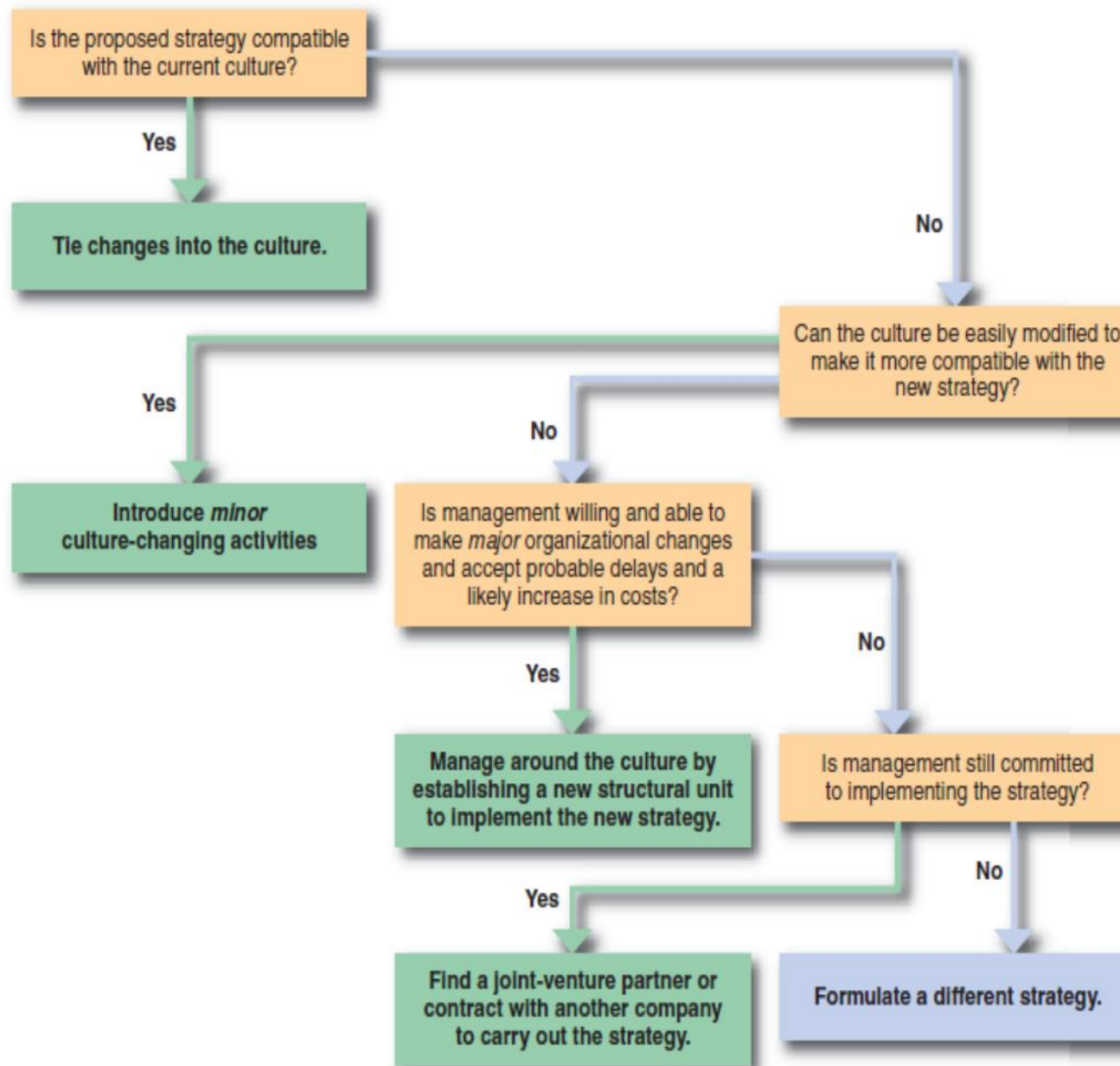
When implementing a new strategy, a company should take the time to assess strategy-culture compatibility. Consider the following questions regarding a corporation's culture:

1. **Is the proposed strategy compatible with the company's current culture?** *If yes,* full steam ahead. Tie organizational changes into the company's culture by identifying how the new strategy will achieve the mission better than the current strategy does. *If not . . .*
2. **Can the culture be easily modified to make it more compatible with the new strategy?** *If yes,* move forward carefully by introducing a set of culture-changing activities such as minor structural modifications, training and

development activities, and/or hiring new managers who are more compatible with the new strategy. *If not . . .*

3. **Is management willing and able to make major organizational changes and accept probable delays and a likely increase in costs?** *If yes*, manage around the culture by establishing a new structural unit to implement the new strategy. *If not . .*
4. **Is management still committed to implementing the strategy?** *If yes*, find a joint venture partner or contract with another company to carry out the strategy. *If not*, formulate a different strategy.

FIGURE 10-1 Assessing Strategy–Culture Compatibility



❖ International Issues in Strategy Implementation

An international company is one that engages in any combination of activities, from exporting/ importing to full-scale manufacturing, in foreign countries. A **multinational corporation (MNC)**, in contrast, is a highly developed international company with a deep involvement throughout the world, plus a worldwide perspective in its management and decision making. For an MNC to be considered global, it must manage its worldwide operations as if they were totally interconnected. This approach works best when the industry has moved from being multi domestic (each country's industry is essentially separate from the same

industry in other countries) to *global* (each country is a part of one worldwide industry). The global MNC faces the dual challenge of achieving scale economies through standardization while at the same time responding to local customer differences. According to Spulber in his book, *Global Competitive Strategy*, the forces pushing for standardization are:

- ✓ Convergence in customer preferences and income across target countries.
 - ✓ Competition from successful global products.
 - ✓ Growing customer awareness of international brands.
 - ✓ Economies of scale.
 - ✓ Falling trading costs across countries.
 - ✓ Cultural exchange and business interactions among countries.
- ❖ The forces pushing for *customization* to local markets are:
- Persistent differences in customer preferences.
 - Persistent differences in customer incomes.
 - The need to build local brand reputation.
 - Competition from successful, innovative domestic companies.
 - Variations in trading costs across countries.
 - Local regulatory requirements

❖ **Factors Causing Unsuccessful Implementation of Strategy**

Before going into the details of how a chosen strategy is implemented, it is desirable to identify the factors which cause unsuccessful implementation of strategy so that managers can take adequate safeguard against these factors. These factors are of the following types:

✓ **Unsatisfactory coupling of strategy and operational actions**

Unsatisfactory coupling of the strategy to the actions necessary to implement it, both within the organization and in the external decision situations with which it is concerned may cause unsuccessful implementation of the strategy. This type of difficulty can result from a number of causes and conditions. For example, unsatisfactory coupling of the new strategy may be due to the lack of explicit decoupling from previous strategy and commitment within the organization itself. This decoupling may be caused, in turn, by the existence of a sizable group of people within the organization who are convinced that the new strategy is not practical and that the previous ways and activities are best. Another factor responsible for this unsatisfactory coupling may be misperceptions by the strategist of the impact of the newly proposed initiatives on the organization and its people. It is sometimes assumed that the new initiatives will be accepted by the organization with a minimum of time and effort from all those who are involved. In actual practice, however, much more work is necessary to ensure that the strategy is accepted and implemented than to prepare it in the first instance. Still another reason for unsuccessful coupling may be because of different perspective of strategists and

implementers. In most cases, majority of people are concerned with the current operations. Their primary task is to ensure that these operations are conducted smoothly and efficiently. Their perspective is involved with the avoidance of change and of other factors that could interfere with the operations in their area of responsibility. Strategists, on the other hand, seek out changes and determine whether it can be used to the advantage of the organization. These different perspectives can result in the two groups becoming alienated from each other. For successful implementation of the strategy, a link between these two groups is necessary.

✓ **Insufficient Attention**

Another major factor causing unsuccessful implementation of the strategy is insufficient attention to the negotiation of outcomes in the external decision situations. It is a tendency to assume, once the strategy is formulated, that all necessary for the success of the organization is the aggressive pursuit of the strategy. However, this assumption holds well only as long as there is no change in the decision situations. If these situations change, there should be corresponding change in the strategy also. For this, it is essential that the structure of the strategic decision situations in which the organization is involved should be kept clearly in view throughout the implementation. If this is done, changes in the conditions surrounding those decision situations can be taken in stride.

✓ **Defective Strategy**

Sometimes, there may be strategy, which cannot be implemented within the context of present and future organizational resources. Perhaps, every one of us may be aware about 'who will bell the cat'. The story goes like this. Perturbed with the sudden attack of the cat, a community of rats called a meeting to overcome this problem. In the meeting, an elder rat suggested, "Bell the cat so that whenever she comes, we shall escape on hearing the sound of the bell." On this, a younger rat asked, "Who will bell the cat? Cat, came the reply from the elder rat, "strategic decision making is my role; implementation is yours".

CHAPTER SIX

STRATEGY REVIEW, EVALUATION AND CONTROL

❖ INTRODUCTION

Having strategic management without evaluation and control is like playing football without any goalposts. Unless strategic management improves performance, it is only an exercise. In business, the bottom-line measure of performance is making a profit. If people aren't willing to pay more than what it costs to make a product or provide a service, that business will not continue to exist. Glueck and Jauch (1988) have defined strategic evaluation as follows: "Evaluation of strategy is that phase of

the strategic management process in which the top managers determine whether their strategic choice as implemented is meeting the objectives of the enterprise". The evaluation system is also required as a way to recycle feedback as an input for new strategic planning and as a means for durable checking that the strategic choice is consistent, appropriate, and workable given internal and external analysis and the plan to implement it. As such, strategic evaluation and control is related to that aspect of strategic management through which an organization ensures whether it is achieving its objectives contemplated in the strategic action. If not, corrective actions that are required for strategic effectiveness need to be uncovered.

There are two aspects in this phase of strategic management: evaluation which emphasizes measurement of results of a strategic action and control which emphasizes on taking necessary actions in the light of gap that exists between intended results and actual results in the strategic action. However, because of on-going nature of strategic evaluation and control process both these are intertwined. In practice, the term control is used in a broad sense which includes evaluative aspect too because unless the results of an action are known, control actions cannot be taken. To sum up, the nature of strategic evaluation and control process is to test the effectiveness of a given strategy. Hence, this phase of strategic management performs the crucial task of keeping the organization on the right track. In the absence of such a mechanism, there would be no means for strategists to find out whether or not the strategy is producing the desired effects.

❖ **Importance of Strategic Evaluation**

- ✓ Its ability to coordinate the tasks performed by individual managers and also groups, divisions or SBUs, through the control of performance. In the absence of coordinating and controlling mechanisms, individual managers may pursue goals which are inconsistent with the overall objectives of the organization.
- ✓ Provision of feedback on current performance which facilitates appraisal and thereby enables to reward good performance. Thereby, it enables to link performance and rewards.
- ✓ It helps to keep a check on the validity of a strategic choice, that is, it provides feedback on continued relevance of the strategic choice made during the formulation phase.
- ✓ It allows assessing whether the decisions made by managers in light of strategy implementation match the intended requirements or not.
- ✓ Strategic evaluation, through its process of control, feedback, rewards and review, helps in a successful culmination of the strategic management process.

- ✓ Lastly, the process of strategic evaluation provides a considerable amount of information and experience to strategists that can be useful in new strategic planning.

❖ **Participants in Strategic Evaluation and Control**

Since strategic evaluation and control is part of strategic management process, all those

persons who participate in strategy formulation and implementation should also participate in strategic evaluation except those who act in advisory capacity. Board of

directors, chief executives, other managers, corporate planning staff and consultants participate in strategic management process. Out of these corporate planning staff and

consultants act either advisors or facilitators. Thus, three groups of personnel are actively involved in strategic evaluation and control though their areas of evaluation and control differ. In some cases, outside agencies like financial institutions or government, mostly to the case of public sector enterprises also participate in strategic evaluation and control either through their participation in board of directors or having power to interfere with management practices. However, the role of financial institutions in strategic evaluation and control is quite limited except through their nominee's on board of directors. In the case of public sector enterprises, the role of government in strategic evaluation is performed through nomination of board members and through controlling ministries of particular enterprises.

- a. **Role of Board of Directors:** Board of directors of a company, being the trustee of shareholders' property, is directly answerable to them. Thus, board should be directly involved in strategic evaluation and control. However, since board does not participate in day-to-day management process, it evaluates the performance of the company concerned after certain intervals in its meetings. Therefore, the role of board of directors is limited to evaluating and controlling those aspects of the organizational functioning, which have long-term implications. Such aspects are overall financial performance, overall social concern and performance, and certain key management practices having significant impact on organization's long-term survival. Generally, the evaluation and control information used by the board is concise but comprehensive as compared to control reports used at lower levels.

- b. **Role of Chief Executive:** The chief executive of an organization is responsible for overall performance. Therefore, his/her role is quite crucial in strategic

evaluation and control. Though he/she is not involved in evaluation of routine performance, which is left to other managers, he concentrates his attention on critical variations between planned and actual. Generally, he applies the principle of management by exception, which is a system of identification and communication of that signal which is critical and needs the attention of a high-level manager. Depending on the size of the organization, the chief executive's role varies in the context of evaluation and control on day-to-day basis. In a smaller organization, the chief executive may, perhaps, be interested in daily production and cost figures, but in a large organization, these become unimportant for him from his control point of view. Thus, in a large organization, the chief executive is more involved on controlling through return on investment, value added, and other indicators, which measure performance of overall organization.

- c. **Role of Other Managers:** Besides board of directors and chief executive, other managers are also involved in strategic evaluation and control. These are finance managers, Strategic business unit (SBU) managers, and middle-level managers. Their role in strategic evaluation and control is as follows:
- ✓ Finance managers are primarily concerned with finding out deviations between planned and actual performance expressed in monetary terms. These are done through financial analysis, budgeting, etc.
 - ✓ SBU managers are responsible for overall evaluation and control of their respective strategic business units. In fact, they are the chief executives of their own SBUs except that they report to the chief executive of the organization from whom they seek directions.
 - ✓ Middle-level managers, mostly functional managers and subunit managers are responsible for evaluation and control of their respective functions and sub-units. These managers are more concerned with day-to-day operational control and prepare reports to be used by higher-level managers. For example a production manager is more interested in controlling production volume, production cost, product quality, etc.

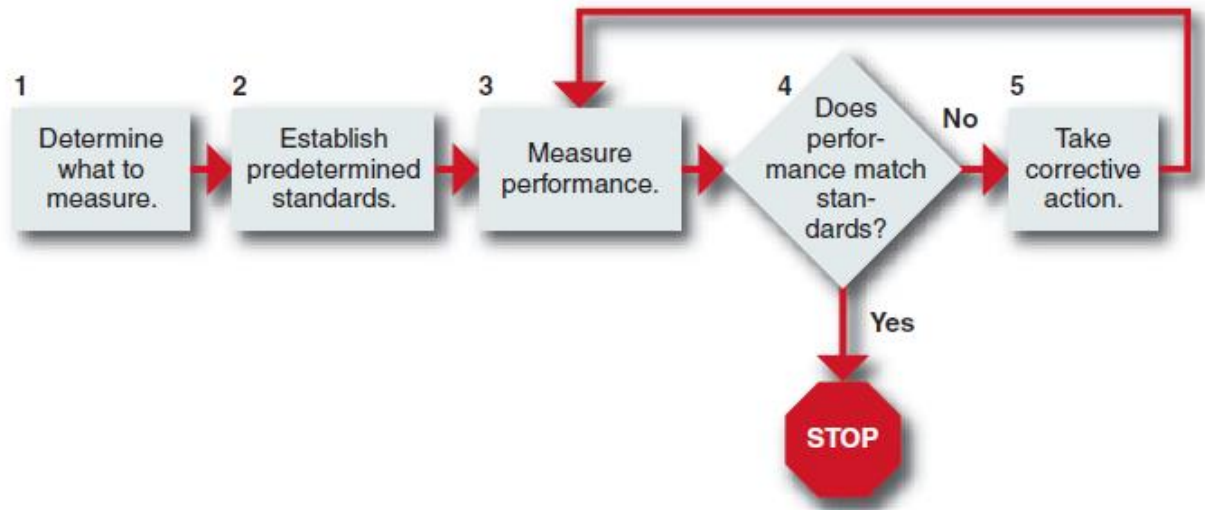


Strategic Control and Evaluation Process

The **evaluation and control process** ensures that a company is achieving what it set out to accomplish. It compares performance with desired results and provides the

feedback necessary for management to evaluate results and take corrective action, as needed. This process can be viewed as a five-step feedback model as follows:

- i. **Determine what to measure:** Top managers and operational managers need to specify what implementation processes and results will be monitored and evaluated. The processes and results must be capable of being measured in a reasonably objective and consistent manner. The focus should be on the most significant elements in a process the ones that account for the highest proportion of expense or the greatest number of problems. Measurements must be found for all important areas, regardless of difficulty.
- ii. **Establish standards of performance:** Standards used to measure performance are detailed expressions of strategic objectives. They are measures of acceptable performance results. Each standard usually includes a tolerance range, which defines acceptable deviations. Standards can be set not only for final output but also for intermediate stages of production output.
- iii. **Measure actual performance:** Measurements must be made at predetermined times.
- iv. **Compare actual performance with the standard:** If actual performance results are within the desired tolerance range, the measurement process stops here.
- v. **Take corrective action:** If actual results fall outside the desired tolerance range, action must be taken to correct the deviation. The following questions must be answered:
 - ✓ Is the deviation only a chance fluctuation?
 - ✓ Are the processes being carried out incorrectly?
 - ✓ Are the processes appropriate to the achievement of the desired standard? Action must be taken that will not only correct the deviation but also prevent its happening again.
 - ✓ Who is the best person to take corrective action?

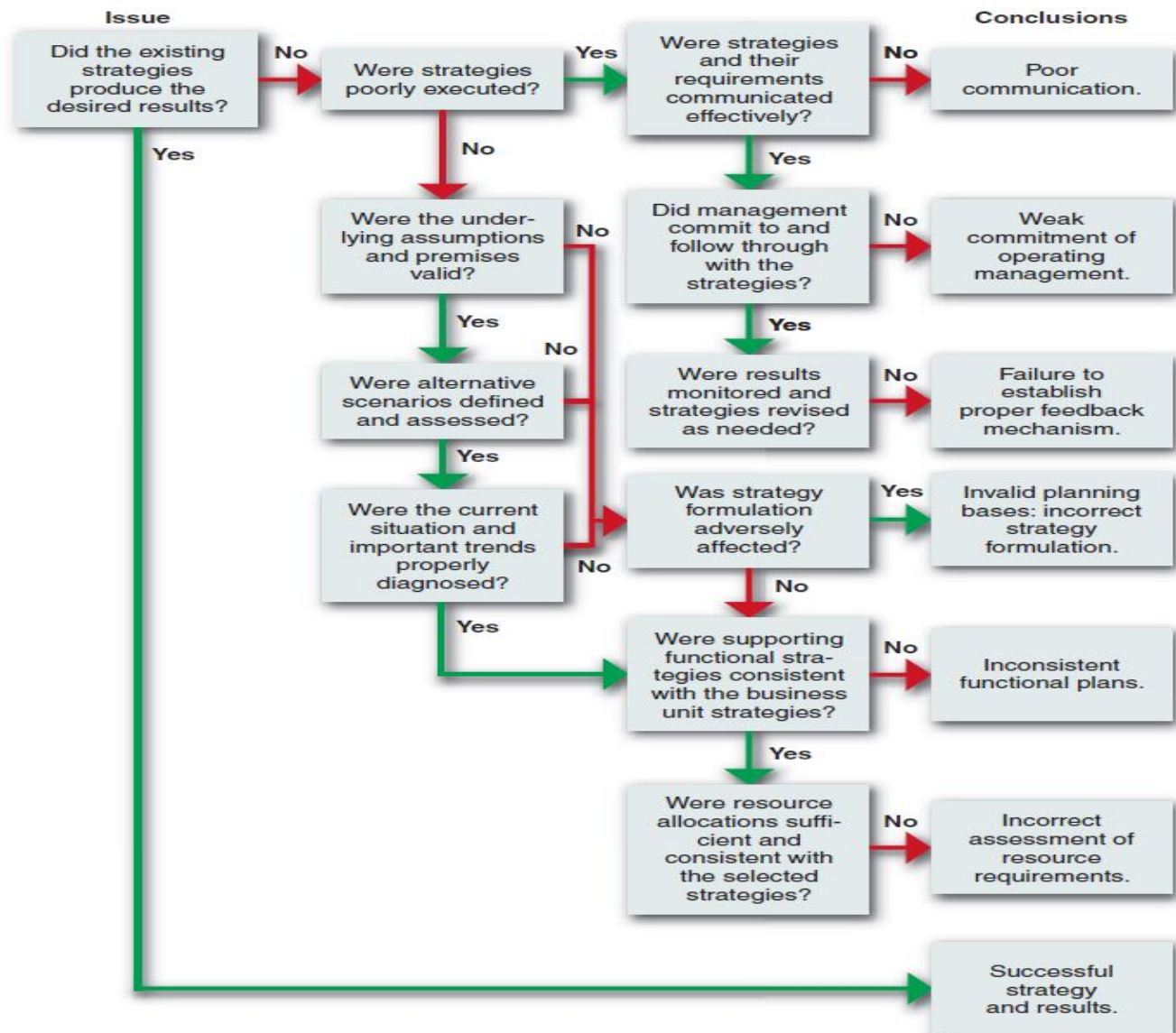


Top management is often better at the first two steps of the control model than it is at the last two follow-through steps. It tends to establish a control system and then delegate the implementation to others. This can have unfortunate results.

❖ Evaluation and Control in Strategic Management

Evaluation and control information consists of performance data and activity reports. If undesired performance results because the strategic management processes were inappropriately used, operational managers must know about it so that they can correct the employee activity. Top management need not be involved. If, however, undesired performance results from the processes themselves, top managers, as well as operational managers, must know about it so that they can develop new implementation programs or procedures. Evaluation and control information must be relevant to what is being monitored. One of the obstacles to effective control is the difficulty in developing appropriate measures of important activities and outputs.

An application of the control process to strategic management is depicted in the following **figure**. It provides strategic managers with a series of questions to use in evaluating an implemented strategy. Such a strategy review is usually initiated when a gap appears between a company's financial objectives and the expected results of current activities. After answering the proposed set of questions, a manager should have a good idea of where the problem originated and what must be done to correct the situation.



❖ Measuring Performance

Performance is the end result of activity. Select measures to assess performance based on the organizational unit to be appraised and the objectives to be achieved. The objectives that were established earlier in the strategy formulation part of the strategic management process (dealing with profitability, market share, and cost reduction, among others) should certainly be used to measure corporate performance once the strategies have been implemented.

➤ Appropriate Measures

Some measures, such as return on investment (ROI) and earnings per share (EPS), are appropriate for evaluating a corporation's or a division's ability to achieve a

profitability objective. This type of measure, however, is inadequate for evaluating additional corporate objectives such as social responsibility or employee development. Even though profitability is a corporation's major objective, ROI and EPS can be computed only after profits are totaled for a period. It tells what happened after the fact not what is happening or what will happen. A firm, therefore, needs to develop measures that predict likely profitability. These are referred to as **steering controls** because they measure variables that influence future profitability. Every industry has its own set of key metrics which tend to predict profits.

❖ **Strategic Control**

Azhar Kazmi (2002) coined that the process of strategic management makes it clear that a strategy is formulated on the basis of several assumptions. These relate to the environmental and organizational factors which are dynamic and eventful. There is a considerable gap between the time when a strategy is formulated and the time when it is implemented. The process of implementation itself is time consuming. During this period, there is a possibility that the assumptions made while formulating a strategy will not remain valid or, at least, are no longer so relevant. Strategic control takes into account the changing assumptions that determine a strategy, continually evaluate the strategy as it is being implemented, and take the necessary steps to adjust the strategy to the new requirements. In this manner, strategic controls are early warning systems and differ from post action controls which evaluate only after the implementation has been completed. Controls can be established to focus on actual performance results (output), the activities that generate the performance (behavior), or on resources that are used in performance (input).

➤ **Stages of Control**

Depending on the stages at which control is exercised, it may be of three types:

1. **Feed Forward Control:** Feed forward control involves evaluation of inputs and

taking corrective action before a particular sequence of operation is completed.

Thus, it attempts to remove the limitations of time lag in taking corrective action.

Feed forward control monitors inputs into a process to determine whether the inputs are as planned. If inputs are not as planned, corrective action is taken to adjust the inputs according to the plan so that the desired results are achieved within the planned inputs. To be effective, feed forward control should meet the following requirements:

- ✓ Thorough and careful analysis of the planning and control system must be made, and the more important input variables identified.
 - ✓ A model of the system should be developed.
 - ✓ The model should be reviewed regularly to see whether the input variables identified and their relationship still represent realities.
 - ✓ Data on input variables must be regularly collected and put into the system.
 - ✓ The variations of actual input data from planned inputs must be regularly assessed, and their impact on expected results is evaluated. Action must be taken to show people problems and the measure required to solve them.
- 2. Concurrent Control:** Concurrent control is exercised during the operation of program. It provides measures for taking corrective action or making adjustments while the program is still in operation and before any damage is done. In the organizational context, many control activities are based on this type of control, for example, quality control during the operation, or safety check in a factory. Here, the focus is on the process itself. Data provided by this control system is used to adjust the process. Many strategic controls fall in this category.
- 3. Feedback Control:** Feedback control is based on the measurement of the results of an action. Based on this measurement, if any deviation is found between performance standards and actual performance, the corrective action is undertaken. The control aims at future action of the similar nature so that there is conformity between standards and actual. This is required because, sometimes, feed forward or concurrent control is not possible to apply, for example, many personal characteristics of an individual which go into behavioral processes are not measurable. Hence, feed forward control is difficult to apply. In the business organizations, top management control is mostly based on feedback. To make feedback control effective, it is essential that corrective action is taken as soon as possible.

❖ **Barriers in Strategic Evaluation and Control**

Barriers and problems center around two factors: motivational and operational.

a. Motivational Problems

The first problem in strategic evaluation is the motivation of managers (strategists) to evaluate whether they have chosen correct strategy after its results are available. Often two problems are involved in motivation to evaluate the strategy: psychological problem and lack of direct relationship between performance and rewards.

- **Psychological Barriers:** Managers are seldom motivated to evaluate their strategies because of the psychological barriers of accepting their mistakes. Top management formulates the strategy, which is very conscious about its sense of achievement. It hardly appreciates any mistake it may commit at the level of strategy formulation. Even if something goes wrong at the level of strategy formulation, it may put the blame on the operating management and tries to find out the faults at the level of strategy implementation. This over-conscious approach of top management may prevent the objective review of whether correct strategy has been chosen and implemented. This may result into delay in taking correct alternative action and bringing the organization back at satisfactory level. This happens more in the case of retrenchment strategy, particularly divestment strategy where a particular business has failed because of strategic mistake and in order to save the organization from further damage, the business has to be sold.
- **Lack of Direct Relationship between Performance and Rewards:** Another problem in motivation to review strategy is lack of direct relationship between performance achievement and incentives. It is true that performance achievement itself is a source of motivation but this cannot always happen. Such a situation hardly motivates the managers to review their strategy correctly. This happens more in the case of family-managed businesses where professional managers are treated as outsiders and top positions, particularly at the board level, are reserved for insiders. This linking is required not only for the top level but for the lower level in the organization too.

b. Operational Problems

Even if managers agree to evaluate the strategy, the problem of strategic evaluation is not over, though a beginning has been made. This is so because strategic evaluation is a vague process; many factors are not as clear as the managers would like these to be. These factors are in the areas of determination of evaluative criteria, performance measurement, and taking suitable corrective actions. All these are involved in strategic evaluation and control. However, vague

nature is not unique to strategic evaluation and control only but it is unique to the entire strategic management process.

**PROJECT MANAGEMENT
COURSE CODE: MGMT-3192
CREDIT HOUR: 3 (ECTS = 5)**



Introduction

This course material is about project management, this subjects which have great impact in organizations. Projects are an increasingly important aspect of modern business. Therefore, the course module underlines the importance of understanding the relation between projects and the strategic goals of the organization. The module also discusses the technical and interpersonal skills necessary to successfully manage projects from start to finish. It emphasizes that project management is a professional discipline with its own tools, body of knowledge, and skills. This course module also introduces learners with project management overall concepts, principles and knowledge's which are very necessities for the duty of an effective project manager. It also presents the concept of project management, and makes the students know to the overall concepts in planning, organizing, executing, monitoring and reviewing projects in efficient and effective manners. Therefore, the main aim of this course is to learn concepts and techniques that will prepare individuals and the enterprise to use program and project management as a strategic framework to achieve the mission of the organization.

To properly understand the issues discussed in each chapters and to best achieve the objective of the course, you will be required to devote ample time to study. The course also requires active participation in all project management tutorial classes and/or activities as well as short deliverables throughout the course.

In short, in this project management course module students will learn project management theory, terms, skill, tools, techniques and the whole concepts as well as learn how to build a successful development of the project's procedures of initiation, planning, execution, regulation and closure as well as the guidance of the project team's operations towards achieving all the agreed upon goals within the set scope, time, quality and budget standards. This module where divided into seven major chapters and the all chapters has their own main topics and sub-topics.

To support you in your learning efforts, each module parts includes numerous learning activities, in-text questions, self-check exercises glossaries and chapter review questions. If the student is to get the maximum benefit out of the material s/he is strongly advised to make use of these learning aids. For the reader to cross check the answers for self- check questions given in the module, possible answers are provided at the end of module.

It is our belief that the material will be interactive, lucid self- contained and self- explanatory. It will help you easily understand both broad and narrow issues in the field of project management that is needed to be a good candidate to assume positions project manager and other related posts.

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CHAPTER ONE

1. INTRODUCTION TO PROJECT MANAGEMENT

LEARNING OBJECTIVES:

After you have completed this chapter of the course, you will be able to:

-  Define project and project management
-  List and explain the reasons for establishing projects
-  Identify the characteristics of a project and attributes of good project manager
-  Present the parameters of projects
-  Present the classification of project
-  Differentiate program and project with their interrelationship
-  Understand the overall concepts of project cycle management
-  Realize the project planning system in Ethiopia context

Chapter Introduction

Dear learners, how do you do? Today you are about to start exploring all fascinating issues of project management and to understand the value of project management, it is necessary to understand the fundamental nature of a project; the core characteristics of project management processes; how success is evaluated, the roles, responsibilities, and activities of a project manager and the expertise required; and the context in which projects are performed? Many people and organizations today have a new or renewed interest in project management. In the past, project management primarily focused on providing schedule and resource data to top management in just a few industries, such as the military and construction industries. Today's project management involves much more, and people in every industry and every country manage projects.

This chapter introduces the learner to the meanings of projects and project management, pinpoints the characteristics of a project and reasons for establishing project, discourse the classification of projects and defines format and parameters of projects and the differences between project, program, and plan with their interrelationship and the chapter also host the

learner to know the overall project cycle management and methods of project planning in our country setting.

1.1 Concept of Project and Project Management

1.1.1 What Is A Project

? Self-Check Exercise 1:

Dear learner, using few words and tries to write down your own definition for project and project management?

_____.

You may have some knowhow from the previous management courses. The term “Project” has a wider meaning. A project is accomplished by performing a set of activities. For example, construction of a house is a project. The construction of a house consists of many activities like digging of foundation pits, construction of foundations, construction of walls, construction of roof, fixing of doors and windows, fixing of sanitary fittings, wiring etc. The construction of a house is accomplished by performing the set of activities. Another aspect of “project” is the non-routine nature of activities. Each project is unique in the sense that the activities of a project are unique and non-routine. There are almost as many definitions of project.

- The dictionary meaning of project is that is a scheme, design a proposal of something intended or devised to be achieved.
- According to Encyclopedia of management, “a project is an organized unit dedicated to the attainment of goal—the successful completion of a development project on time, within budget, in conformance with predetermined programme specifications.”
- Newman and his associates define that “a project has typically has a distinct mission that it is designed to achieve and clear termination point, the achievement of the mission.
- Gillinger defines project “as a whole complex of activities involved in using resources to gain benefits”.

- According to Harison, a project can be defined as a non-routine, non-repetitive, one-off undertaking, normally with discrete time, financial and technical performance goals.
- According to Little & Mirrless, a project is any scheme or part of a scheme for investing resources which can be reasonably analyzed and evaluated as an independent unit.
- Project Management Institute, USA defines project as ‘a system involving the co-ordination of a number of separate department entities throughout the organization and which must be completed within prescribed schedules and time constraints.
- Project Management Vocabulary, which states that a project is:
‘A unique process, consisting of a set of co-ordinated and controlled activities with start and finish dates, undertaken to achieve an objectives conforming to specific requirements, including constraints of time, cost and resources.’
- Now, a project can be defined as a scientifically evolved work plan devised to achieve a specific objective within a specified period of time.

Project can differ in their size, nature of objectives, scope cost, time duration and complexity.

However all projects partake of the following basic attributes:

- ◆ A start and a finish
- ◆ A life cycle involving a series of phases in between the beginning and end
- ◆ A budget
- ◆ A set of activities which are sequential, unique and non-repetitive
- ◆ Use of resources which may require coordinating
- ◆ Centralized responsibilities for management and implementation
- ◆ Defined roles and relationships for participants in the project

1.1.2 What Is Project Management?

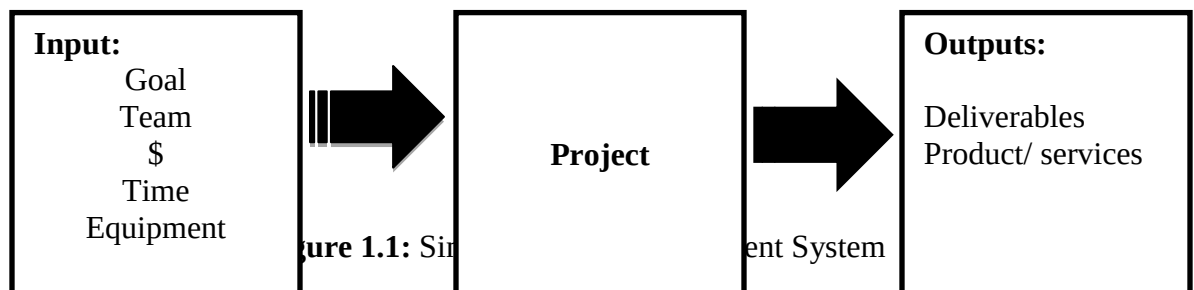
Project Management in recent years has proliferated, reaching new heights of sophistication. It has emerged as a distinct area of management practices to meet the challenges of new economic environment, globalization process, rapid technological advancement, and quality

concerns of the stakeholders. Project management is the application of knowledge, skills, tools and techniques to project activities to meet project requirements.

Project management is an organized venture for managing projects, involves scientific application of modern tools and techniques in planning, financing, implementing, monitoring, controlling and coordinating unique activities or task produce desirable outputs in accordance with the determined objectives within the constraints of time and cost.

The *PMBOK® Guide* definition of project management is the “application of knowledge, skills, tools, and techniques to project activities to achieve project requirements. Project management is accomplished through the application and integration of the project management processes of initiating, planning, executing, monitoring and controlling, and closing.”

Project management is the art of matching a project's goals, tasks, and resources to accomplish a goal as needed. We say "as needed" because one has limited time, money, and resources (human and machinery) with which to accomplish a goal. One can think of a project as a process. Figure 1 shows this process as a simplified block diagram.



The process involves inputs and outputs. Successful projects "do the right things, with the right tools, and in the right way".

Project management is a methodical approach to planning and guiding project processes from start to finish. It is the method of planning the plan. It starts from project definitions and ends with goal achievement.

1.2 Project Characteristics

? Self-Check Exercise 2:

Dear student, can you list some main characteristics of a project based on above definitions?

_____.

Despite above diversities, projects share the following common characteristics. Major project characteristics are as below:

a. Objectives:

A project has a set of objectives or a mission. Once the objectives are achieved, the project is treated as completed. For example the objective of a project may be construction of a highway connecting two cities 'A' & 'B', covering a distance of 20 kilometers. Once the construction of the highway is completed the project comes to an end.

b. Life cycle

A project has a life cycle. The life cycle consists of the following stages:

Conception stage : Where project ideas are conceived.

Design stage : Where detailed design of different project areas are worked out.

Implementation stage : Where the project is implemented as per the design.

Commissioning stage : Where the project is commissioned after implementation.
Commissioning of a project indicates the end of its life cycle.

c. Definite Time Limit

A project has a definite time limit. It cannot continue forever. Construction of a highway connecting two cities is a project which is to be completed within a given time limit. Maintenance of the highway is an ongoing process and it will continue forever. Hence highway maintenance will not come under the purview of project.

d. Uniqueness

Every project is unique and no two projects are similar. Setting up a Cement plant and construction of a highway are no doubt two different projects having unique characteristics. Constructing a highway between cities A&B and constructing another highway between cities C&D are also unique in themselves, in view of the differences existing in the organization, infrastructure, location, technical specifications and the people behind the projects.

e. Team work

A project normally consists of diverse areas. There will be personnel specialized in their respective areas. Any project calls for the services of experts from a host of disciplines. Coordination among the diverse areas calls for teamwork. Hence a project can be implemented only with teamwork.

f. Complexity

A project is a complex set of activities relating to diverse areas. Technology survey, choosing the appropriate technology, procuring the appropriate machinery and equipment, hiring the right kind of people, arranging for financial resources, execution of the project in time by proper scheduling of the different activities etc. contribute to the complexity of the project.

g. Sub-contracting

This characteristic stems forth in view of the complexity of functions and activities of a project. Some of the activities are entrusted to sub-contractors to reduce the complexity of the project. Subcontracting will be advantageous if it reduces the complexity of the project so that the project manager can coordinate the remaining activities of the project more effectively. In general, the greater the complexity of the project, the larger will be the extent to which sub-contracting will be resorted to. Sub-contracting is also helpful if the sub-contractors are specialized in their field of activity since this will improve the quality of the project.

h. Risk and Uncertainty

Risk and uncertainty go hand in hand with project. A risk free project cannot be thought of. Even if a project appears to be risk free, it only means that the risk element is not apparently visible on the surface and it will be hidden underneath. The risk factor will come to surface when conditions become conducive to it. Some of the risk elements can be foreseen and the project can be strengthened to encounter the risk as and when it emerges. Some other risk elements cannot be foreseen. For example, assume that putting up a cotton yarn-spinning mill is the project on hand. If during the project feasibility study it is learnt that there has been a gradual shift among consumers from the usage of cotton yarn to the usage of synthetic yarn, and if it is apprehended that at one stage synthetic yarn will rule over, the

machinery can be so chosen that they can be used for both types of yarns. If this is not entirely possible, the choice of machinery can be so done as to avoid major conversion cost while switching over from the manufacture of cotton yarn to the manufacture of synthetic yarn in case the need arises. Such eventualities can be foreseen and planned for. On the other hand the sudden entry of a strong competitor who can upset all our forecasts and projections cannot be anticipated. Sudden fall of Government in a country, which is not anticipated may turn the calculations wrong and make the forecasts/projections meaningless.

i. Customer Specific Nature

A project is always customer specific. This is because the products produced or services offered by the project are necessarily to be customer oriented. It is the customer who decides upon the product to be produced or services to be offered and hence it is the responsibility of any organization to go for projects/services that are suited to customer needs.

j. Change

A project is not rigid in its life span. Changes occur throughout the life span of a project as a natural outcome of many environmental factors. The changes may vary from minor changes which may have very little impact on the project to major changes which may have a big impact or even may change the very nature of the project.

During the course of implementation, the technology would have improved further and equipment's with the latest technology would have already started arriving. In such a case, if the equipment originally planned had not yet been procured, it would be wise to switch over to the equipment with the latest technology. There could also be latest technological innovations in the manufacturing process which may deserve a switch over. All such changes are necessitated in order to keep the project update.

k. Responses to Environments

Projects take shape in response to environments. Indian Government soon after independence set up major projects in the public sector, in the sectors of iron and steel, coal, power generation, heavy equipment's manufacture etc. This was in tune with the then need for the development of infrastructure and heavy industries.

l. Forecasting

Forecasting the demand for any product/service that the project is going to produce is an important aspect. Only if the forecast gives positive indications, the project is taken up for

further study. Thus, all projects involve forecasts and in view of the importance attached to forecasts, they must be accurate and based on sound fundamentals.

m. Rational Choice

Since a project is a scheme for investing resources, the choice of a project is done after making a study of all the available avenues for investing resources and a rational choice among the available avenues is made.

n. Optimality

A project is always aimed at optimum utilization of resources for the overall development of the organization/economy. Resources are scarce and resources have a cost. Hence, optimum utilization of resources is a must for any project. Many project management concepts have evolved with the aim of achieving optimum utilization of available resources.

o. Control Mechanism

All projects will have pre-designed control mechanisms in order to ensure completion of projects within the time schedule, within the estimated cost and at the same time achieving the desired level of quality and reliability.

1.3 Attributes of a Good Project Manager

Traditionally, the project manager has been trained in skills such as developing and managing the project scope, estimating, scheduling, decision making, and team building. Although the level of skills needed by the project manager depends largely on the project profile, increasingly the people skills of the project manager are becoming more important. The skills to build a high-performing team, manage client expectations, and develop a clear vision of project success are the type of skills needed by project managers on more complex projects. “To say Joe is a good project manager except he lacks good people skills is like saying he’s a good electrical engineer but doesn’t really understand electricity.

Because project managers generally operate in a project environment that is more time sensitive and goal driven, the successful project manager requires additional knowledge, skills, and abilities. An effective project manager is one who should have the following skills/capacities.

- | | |
|--|---|
| ✓ Planning and organizational skills | ✓ Effective time management |
| ✓ Personnel management skills | ✓ Capacity to relate current events to the project/project management |
| ✓ Communication skills | ✓ Ability to handle project management software tools/packages |
| ✓ Change orientation | ✓ Flair for sense of humor |
| ✓ Ability to solve problems in their totality | ✓ Solving issues/problems immediately without postponing them |
| ✓ High energy levels | ✓ Initiative and risk taking ability |
| ✓ Ambition for achievement | ✓ Familiarity with the organization |
| ✓ Ability to take suggestion | ✓ Tolerance for difference of opinion, delay, ambiguity |
| ✓ Understanding the views of project team members and having a sympathetic attitude towards them | ✓ Knowledge of technology |
| ✓ Ability to develop alternative actions quickly | ✓ Conflict resolving capacity |
| ✓ Knowledge of project management methods and tools | ✓ Team building skills |
| ✓ Ability to make self-evaluation | ✓ Resource allocation skills |
| | ✓ Entrepreneurial skills |

1.4 Reasons for Establishing Projects

? Self-Check Exercise 3:

Dear student; why do we make projects?

_____.

Projects are generally established for one of two reasons. In one case, there is an **opportunity** for the company. It could be an opportunity to get into a new market, to offer a better service to customers, to introduce a new capability, etc. This could be an enhancement, or something brand-new. But an opportunity exists to do something better or to do something different. We can establish a project to take advantage of this opportunity.

Or, a project might be established to **solve a problem**. Possibly some equipment is not meeting service requirements, or some process is not as efficient as desired, or does not

produce the customer satisfaction it should. Maybe someone just cut a major backbone fibre, which now has to be repaired. Or the data collected by the billing system is not consistent with the billing in the network-provisioning database. Or the process used to assess the results of trouble reports is not providing information quickly enough to allow proactive solutions. Something is wrong and a project is established to find and implement a solution to the problem.

1.5 Project Parameters

Three major dimensions that define the project performance are scope, time, and resource or costs. These parameters are interrelated and interactive. The relationship generally represented as an equilateral triangle. The relationship is shown in figure 1.2.

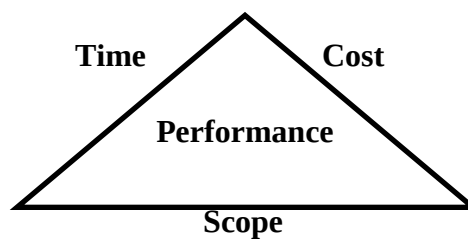


Figure 1.2: Project Parameters Dimensions

It is evident that any change in any one of dimensions would affect the other. For example, if the scope is enlarged, project would require more time for completion and the cost would also go up. If time is reduced the scope and cost would also be required to be reduced. Similarly any change in cost would be reflected in scope and time. Successful completion of the project would require accomplishment of specified goals within scheduled time and budget. In recent years a fourth dimension, stakeholder satisfaction, is added to the project. However, the other school of management argues that this dimension is an inherent part of the scope of the project that defines the specifications to which the project is required to be implemented. Thus the performance of a project is measured by the degree to which these three parameters (scope, time and cost) are achieved.

Mathematically

$$\text{Performance} = f(\text{Scope, Cost, Time})$$

$$P = f(S, C, T)$$

In management literature, this equilateral triangle is also referred as the “Quality triangle” of the project.

1.6 Project Classifications

? Self-Check Exercise 4:

Dear scholar; what are the different types of projects?

The term ‘taxonomy’ refers to the science of classifying things by naming and identifying them. Projects can be classified under different heads; this project classification helps in expressing and highlighting the essential features of project. Different authorities have classified projects differently. The following are some of the important classification of projects.

(1) Quantifiable and Non-Quantifiable Projects

Quantifiable projects are those in which possible quantitative assessment of benefits can be made. Non-quantifiable projects are those where such assessment is not possible. Projects concerned with industrial development, power generation, mineral development fall in the first category while projects involving health, education and defense fall in the second category.

(2) Based on the Type of Activity

Under this category, projects can be classified as industrial projects and non-industrial projects. Industrial projects are set up for the production of some goods. Projects like health care projects, educational projects, irrigation projects, soil conservation projects, pollution control projects; highway projects, water supply projects etc. come under the category of non-industrial projects. Investments in non-industrial projects are made by the Government and the benefits from such projects are enjoyed by the entire society of people. It is also difficult to quantify the benefits enjoyed by the society out of non-industrial projects.

(3) Based on the Location of the Project

Under the category, projects can be classified as national projects and international projects. National projects are those set up within the national boundaries of a country, while international projects are set up in other countries. International projects may be either project set up by the Government or by the private sector. The following are the major forms of international projects.

- Setting up of fully owned subsidiaries abroad
- Setting up of joint ventures abroad
- Setting up of projects abroad by way of mergers & acquisitions

Handling of international projects needs more expertise and greater efforts in view of higher risk proportion and procedural formalities involved.

(4) Based on Project Completion Time

Based on the constraints on project completion time, projects can be classified into two types, viz., normal projects and crash projects. Normal projects are those for which there is no constraint on time. Crash projects are those which are to be completed within a stipulated time, even at the cost of ending up with a higher project cost. For example, construction of canal lining with the condition that the work should be completed before the monsoon starts is a crash project.

(5) Based on Ownership

Based on ownership, projects can be classified into private sector projects, public sector projects and joint sector projects.

A private sector project is one in which the ownership is completely in the hands of the project promoters and investors. Profit maximization is the prime objective of private sector projects since the investors invest their money in such projects only with the sole idea of earning better returns.

Public sector projects are those that are owned by the state. The evolution and growth of public sector enterprises is the natural consequences of the efforts of Governments for undertaking development in a country. The growth of public sector enterprises varies from country to country. In a country that follows only the system of private enterprises (USA, for example) there is hardly any public sector enterprise except for essential sectors like defense sectors, public utility services etc. In socialist countries (China, for example) public

enterprises dominate the economy and they have become public property. In countries that follow a system of mixed economy (India, for example) both private and public sector enterprises exist.

Joint sector projects are those in which the ownership is shared by the Government and by private entrepreneurs. The main consideration for the Government's investment in joint sector projects is to make use of the managerial talents, entrepreneurial capabilities and marketing skills of the private entrepreneurs. Joint sector offers hope to the private entrepreneurs since the Government shares the investment required for the project.

(6) Sectional Projects

Here the classification is based on various sectors like:

- ◆ Agriculture and allied sector
- ◆ Irrigation and power sector
- ◆ Industry and mining sector
- ◆ Transport and communication sector
- ◆ Information technology sector
- ◆ Miscellaneous

This system of classification has been found useful in resource allocation at macro level.

(7) Techno-Economic Projects

Classification of projects based on techno-economic characteristic fall in this category. This type of classification includes factors intensity-oriented classification, causation oriented classification as discussed below.

- (a) **Factor intensity-oriented classification:** Based on this projects may be classified as capital intensive or labor intensive if large investment is made in plant and machinery the project will be termed as capital intensive. On the other hand project involving large number of human resources will be termed as “labor intensive”.
- (b) **Causation-oriented classification:** On the basis of causation, projects can be classified as demand based and raw material based projects. The availability of certain raw materials, skills or other inputs makes the project raw-material based

and the very existence of demand for certain goods or services make the project demand-based.

- (c) **Magnitude-oriented classification:** This is based on the size of investment involved in the projects, accordingly project are classified into large scale, medium-scale or small-scale projects. The size is normally expressed in terms of the amount of investment required. The investment limit for the different categories of projects are announced by the Government and this undergoes periodical changes keeping in view the inflation, the decision to offer certain incentives to projects categorized as ‘small’ scale projects etc. Projects with investment limit between these two categories are ‘medium scale projects’.

(8) Based on Need

Projects can be classified under the following groups, based on the need for project.

- a) New project.
- b) Balancing project.
- c) Expansion project.
- d) Modernization project.
- e) Replacement project.
- f) Diversification project.
- g) Backward integration project.
- h) Forward integration project.

1.7 Projects versus Program

? Self-Check Exercise 5:

Dear scholar; can you describe difference and similarities of project and program?

In practice the terms project and program cause confusion. They are often used synonymously. The term “project” could be taken to mean a group of activities undertaken to produce a project purpose in a fixed time frame. In development terms a “program” is taken to mean a series of projects whose objectives together contribute to a common overall objective, at sector, country or even multi-country level.

A program is a group of related projects designed to accomplish a common goal over an extended period of time. Each project within a program has a project manager. The major differences lie in scale and time span. Program management is the process of *managing* a group of ongoing, interdependent, related *projects* in a coordinated way to achieve strategic objectives.

For example, a construction firm has programs for building single-family homes, apartment buildings, and office buildings. Each home, apartment building, and office building is a separate project for a specific sponsor, but each type of building is part of a program. There would be several benefits to managing these projects under one program. For example, for the single-family homes, the program manager could try to get planning approvals for all the homes at once, advertise them together, and purchase common materials in bulk to earn discounts.

Similarities between Projects and Programs

- They both have objectives.
- Require financial, human, and material inputs (resources).
- Generate outputs of value (i.e. goods/services).
- Serve as instruments for the execution of development plans and attain national goals.
- Both involve future.

In practice the terms project and program cause confusion. They are often used synonymously. A development plan or a program is therefore a wider concept than a project.

Table 1.1: Summary of Project and Program Difference

Bases of difference	Project	Program
Scope/Objective	Narrower/Limited	Wide/Diverse
Location	Specific project area	Wide/Diffused area
Life - time	Specific lifetime	Non-time bound
Beneficiaries	Specific beneficiaries group	No –specific beneficiaries groups
Resources	Limited budget	Large budget

1.7.1 Project Family Tree

A project normally originates from a plan, national plan or corporate plan. In normal scheme of things, the family tree for a project would be as given below.

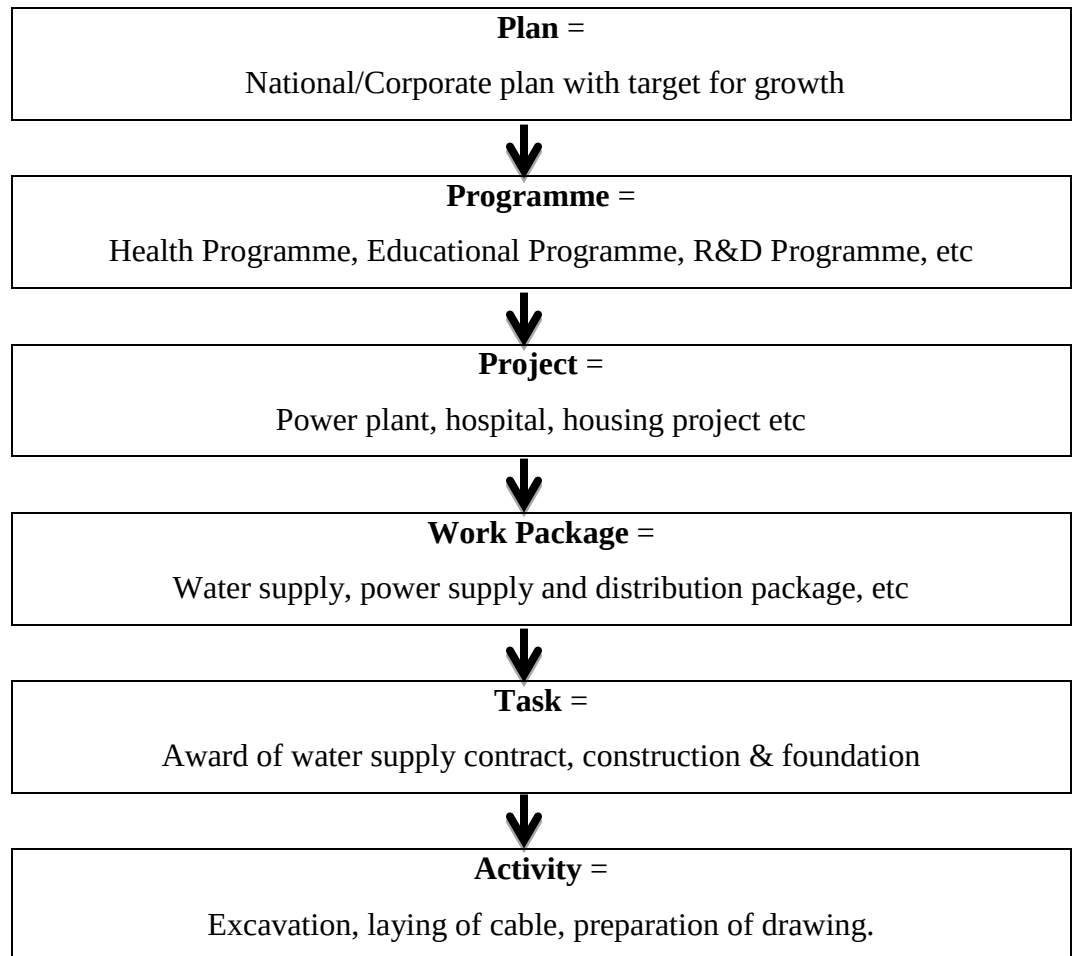


Figure 1.3: Project Family Tree

1.8 Factors for Project Success or Failure

Projects, of course, are not operated in a vacuum. Most project managers are expected to complete their projects so that they satisfy the three primary objectives of time, performance and cost. These are usually the most important factors that drive the project contractor and they should align with the foremost expectations of the project owner. The manager of a typical project would consider the task well done if the project finished on time, according to its specified performance and within its budgeted cost. These three objectives (time, performance and cost) are traditionally the basic parameters for measuring project success or failure. However, although important, they relate principally to the execution or fulfillment

stage of a project, which is the period of most direct interest to the project manager and the principal contractor. Other people (not least the customer) might have quite different views about the ultimate success or failure of a project.

A project that is delivered on time, within budget and in line with its specification might provide the contractor with a good profit, beneficial publicity and a warm glow of satisfaction. However, a customer who subsequently discovers that the project fails to live up to its initial promise and does not deliver its expected return on investment will perceive the result as a failure. Other stakeholders might have their own, quite different, parameters for measuring success. Project success factors are elements of the project or its management that can be influenced to increase the chance of achieving a successful outcome. The reverse, pitfalls, are management mistakes which increase the chance of failure.

? Self-Check Exercise 6:

Dear learner; can you describe [critical factors that lead to projects' success/failure?](#)

Reasons for Project Failures	
Classical	Behavioral
Ill-defined work breakdown structure	Inappropriate leadership style
High-level schedule	No common vision
No reporting infrastructure	Unrealistic expectations
Too pessimistic or optimistic estimates	Poor informal communications and interpersonal relationships
No change management discipline	No "buy-in" or commitment from customer or people doing work
Inadequate formal communications	Low morale
Inefficient allocation of resources	Lack of training
No accountability and responsibility for results	Poor teaming
Poor role definition	Culture not conducive to project management
Inadequacy of tools	Lack of trust among participants
Ill-defined scope	False or unrealistic expectations
Unclear requirements	No or weak executive sponsorship
Too high, too long, or too short time frame	Mediocre knowledge transfer
Reasons for Project Successes	
Classical	Behavioral

Well-defined goals and objectives	Agreement over goals and objectives
Detailed work breakdown structure	Commitment to achieving goals and objectives
Clear reporting relationships	High morale
Formal change management disciplines in place	Good teaming
Channels of communication exist	Cooperation among all participants
Adherence to scope	Receptivity to positive and negative feedback
Reliable estimating	Receptive culture to project management
Reliable monitoring and tracking techniques	Realistic expectations
Clear requirements	Good conflict resolution
Reasonable time frame	Executive sponsorship
Broad distribution of work	Good customer-supplier relationship

1.9 Projects Cycle Management (PCM)

A project is not a one shot activity. Even a shooting star has a time and life span. Project lifecycle is spread over a period of time. There is an unavoidable gestation period for the complex of activities involved to attain the objectives in view. This gestation period, however, varies from project to project but it is possible to describe, in general term, the time phasing of project planning activities common to most projects.

Another way of illustrating the unique nature of project work is in terms of the project life cycle. Some project managers find it useful to use the project life cycle as the cornerstone for managing projects. The life cycle recognizes that projects have a limited life span and that there are predictable changes in level of effort and focus over the life of the project. There are a number of different life-cycle models in project management literature. Many are unique to a specific industry or type of project. For example, a new software development project may consist of five phases: definition, design, code, integration/test, and maintenance.

The project life cycle typically passes sequentially through four stages: defining, planning, executing, and delivering. The starting point begins the moment the project is given the go-ahead. Project effort starts slowly, builds to a peak, and then declines to delivery of the project to the customer.

Projects Cycle Management (PCM): The way in which projects are planned and carried out follows a sequence beginning with an agreed strategy which leads to an idea for a specific action oriented towards achieving a set of objectives which then is formulated, implemented, and evaluated with a view to improving the strategy and further action.

Project cycle management is an approach to managing projects. It determines particular phases of the project and outlines specific actions and approaches to be taken within these phases. The PCM approach provides for planning and review processes throughout a cycle, and allows for multiple project cycles to be supported. The project cycle also provides a structure to ensure that stakeholders are consulted and relevant information is available throughout the life of the project, so that informed decisions can be made at key stages in the life of a project. The principal stages in the life of a project are:

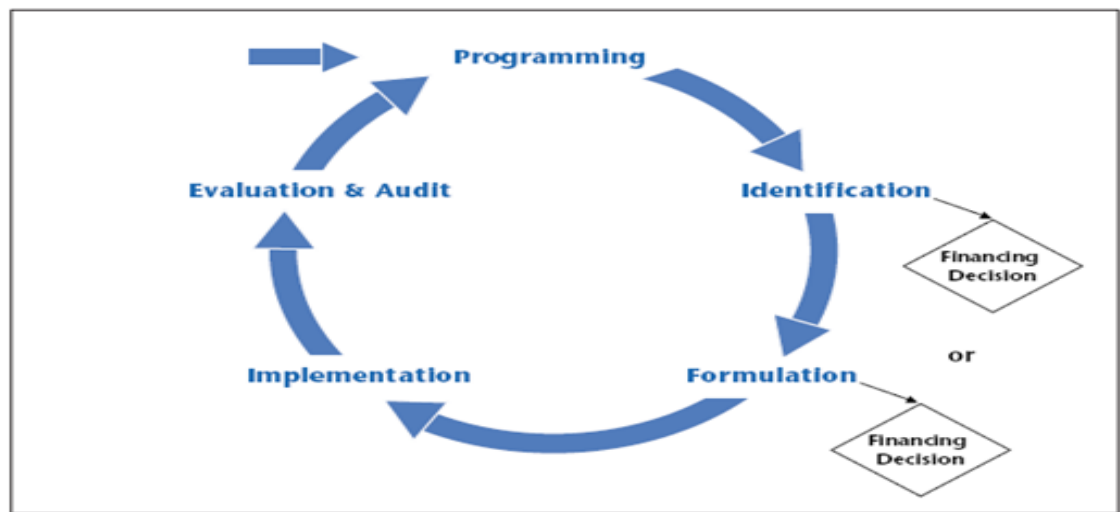


Figure 1.4: The Generic Project Cycle within EC

In practice, the duration and importance of each phase may vary for different projects. The phases in the cycle are progressive – each phase needs to be completed for the next to be tackled with success. A key decisions, information requirements and responsibilities are defined at each phase. PCM is intended to ensure that the stakeholders support the decisions made within projects, and that decisions are based on relevant and sufficient information. The basic tasks involved in PCM include:

- Creating (building) capabilities for implementation
- Planning the tasks for implementation,
- Follow-up of the progress in implementation(monitring),and
- Conduct periodic and final performance evaluation.

1.10 Overviews of Project Planning in Ethiopia

The post-1974 development plan indicated the general development objectives, and defined the various projects to be implemented during the plan period. The principle used was that

development plans served as the basic framework, and development projects had to be prepared and selected as a means of implementing the national plan. According to this principle, the project planner has the responsibility of choosing among the projects that are being considered the ones that fit well with the development plan and contribute most to the fundamental objectives of the economy.

The feasibility of development projects should be assured before the implementation of operation stages by using project planning techniques. This helps not only in ensuring investment efficiency but also in mobilizing scarce resources. However, the experience of project preparation activities in Ethiopia before 1974 showed that plans were not set on the capability to undertake sound project studies. This leads to the establishment of the organization Development Project Studies Agency (DPSA) in 1980. This agency was established, among other things, to:

- a.** Identify, study and prepare projects as required;
- b.** Provide consultancy services to agencies, mass and private organizations in project identification and preparation; and
- c.** Organize seminars, workshops and courses which enhance project identification, preparation, implementation and evaluation.

In general, DPSA acts as an instrument that strengthens the efforts of different organizations in the field of project planning. It has prepared a project planning guideline to be used in conducting training programs and to standardize the methodology and procedures followed in project planning in the country. A paper on the concept, function and estimation of national parameters used in economic evaluation of projects was also prepared in 1981.

The DPSA was later named the Development Project Studies Authority (DEPSA) and provided the institutional framework for project planning along with the Ethiopian Valleys Development Studies Authority (EVDSA), the Water Resources Development Authority (WRDA) and the Building and Transport Construction Design Authority (BTCDA).

However, in the preparation of development projects, the largest responsibility was given to DEPSA, whose major objectives were defined to be:

- i.** To undertake development project studies that help realize the national plan; and
- ii.** To develop and organize national capability in development projects studies and in providing consultancy services.

To accomplish these tasks, the authority established three project service enterprises, namely, the Agricultural Project Service (APS), the Industrial project Service (IPS) and the Infrastructure Project Services (INPS). Moreover, the authority revised and updated an earlier study of DPSA on guidelines for project planning prepared for Ethiopia and the national economic parameters.



SUMMARY

- All projects are temporary and undertaken to create a product, service, or result. Projects can contain smaller projects.
- Project management is the application of knowledge, skills, tools and techniques to project activities to meet project requirements.
- Projects differ in size, scope cost and time, but all have the following characteristics: such as a start and a finish time/ point, a life cycle, a budget, a set of activities , use of resources, and defined roles and relationships for participants in the project
- Project managers need the same skills as an operations manager, such as good communications, team building, planning, expediting, motivating, and political sensitivity. Project managers need additional skills in managing and running project well.
- Projects are generally established for one of two reasons. One is for exploit opportunities and the other is for solving a problems.
- Three major dimensions that define the project performance are scope, time, and resource or costs. These parameters are interrelated and interactive.
- Projects can be classified under different heads; this project classification helps in expressing and highlighting the essential features of project. Different authorities have classified projects differently.
- In practice the terms project and program cause confusion. They are often used synonymously. In practice the terms project and program cause confusion. They are often used synonymously.
- Project success factors are elements of the project or its management that can be influenced to increase the chance of achieving a successful outcome. The reverse, pitfalls, are management mistakes which increase the chance of failure.

 Project cycle management is an approach to managing projects. It determines particular phases of the project and outlines specific actions and approaches to be taken within these phases.

 In Ethiopia DEPSA acts as an instrument that strengthens the efforts of different organizations in the field of project planning.



CHAPTER REVIEW QUESTIONS

Part –I: True or False Questions

Say “True” If the Statement is correct and **“False”** if the statement is incorrect.

1. Project is a unique process, consist of a set of coordinated and controlled activities with start and finish dates.
2. Project management is a distinct area of management that helps in handling projects.
3. Project products tend to be largely repetitive and complex.
4. The success of most projects can be evaluated in terms of time, cost and quality.
5. Lifecycle phases vary in importance as a function of project type.

Part –II: Multiple Choice Questions

Choose the correct answer from the given alternative.

1. Which one of the following is not true about project?

A. It has fixed set of objectives	D. Involves risk and uncertainty
B. It is never a continuous activity	E. All
C. All projects are unique	F. None
2. Among the following which one are major dimensions that define the project performance?

A. Scope	D. Stakeholder satisfaction
B. Time	E. All
C. Resource	F. None
3. A _____ is an approach to managing projects?

A. Production management	C. Program management
B. Project cycle management	D. Portfolio management
4. Projects can differ in.....?

A. Size	C. Cost
B. Scope	D. Time

- E. All
- 5. **Except one**, the following are causes for failure of project?
 - A. Having reasonable expectations project outcome
 - B. Failure to define scope
 - C. Undertaking the project with insufficient resources
 - D. Lack of professional and [effective communication](#) skills
 - E. None

CHAPTER TWO

2. PROJECT CYCLE

LEARNING OBJECTIVES:

After you have completed this chapter of the course, you will be able to:

- ✍ Define project life cycle
- ✍ Present the different project cycle models
- ✍ Differentiate Baum Cycle and UNIDO Project Cycle
- ✍ Understand the DEPSA's project model of Ethiopia

Chapter Introduction

Dear learners, how do you do? Projects, by definition, have a beginning and an end. They also have defined phases between the project kickoff and project closeout. A phase represents a grouping of similar activities that has a very loosely defined beginning and end. Phases are also typically sequential, where the prior phase is essentially complete before the beginning of the next phase. Phases do not have clear-cut end dates and some activities in an early phase of the project will continue into the later phases. This is in contrast to project beginning and ending dates and milestone dates, which do have clearly defined dates with the expectation that these dates will be met.

This chapter hosts the learner to know the meaning of project cycle and tasks undertaking in each phases of project cycle and also it introduce the different models of project cycles even in our country setting.

2.1 Overviews of Project Cycle

? Self-Check Exercise 1:

Dear learners; how do you define the project cycle?

Verbalizing the life cycle is a life cycle synonym to the cycle of living beings. There is no universal consensus on the number of phases in a project cycle. An understanding of the life cycle is important to successful completion of the project as it facilitates to understand the logical sequence of

events in the continuum of progress from start to finish. Typical project consists of four phases- Conceptualization, Planning, Execution and Termination. Each phase is marked by one or more deliverables such as Concept note, Feasibility report, Implementation Plan, HRD plan, Resource allocation plan, Evaluation report etc.

2.1.1 What is Project Life Cycle

The project lifecycle can be defined and modified as per the needs and aspects of the organization. Even though every project has a definite start and end, the particular objectives, deliverables, and activities vary widely. The phases have a definite start, end, and control point and are constrained by time. The lifecycle provides the basic foundation of the actions that has to be performed in the project, irrespective of the specific work involved. The project life cycle provides a framework for managing any type of project within a business.

The followings are some common meaning given to project cycle:

- A project life cycle is a collection of project phases; these phases vary from one industry to another, but in general they include an initiation, planning, implementation, monitoring and close phase.
- The project cycle is the framework used to design, prepare, implement, and supervise projects.
- The ‘project cycle’ is a way of viewing the main elements that projects have in common, and how they relate to each other in sequence.
- The project life cycle is the standard process by which teams achieve project success.
- A project life cycle is the sequence of phases that a project goes through from its initiation to its closure.
- The path a project takes from the beginning to its end and is generally referred to as the “project life cycle.”
- The different stages/phases through which a project passes is called the project life cycle.

2.1.2 Project Life Cycle and Its Phases

Project life cycle divides the sequence of operations of project in to different phases. Regardless of scope or complexity, any project goes through a series of stages during its life.

Project activities must be grouped into phases to facilitate project manager and his team to plan and organize various inputs effectively. It also helps in identifying deviations and thus helps in decision making with regard to continuation or termination of the project.

The life cycle of a project from start to completion follows either an “S” shaped path or a “J” shaped path (Figure 2.1 and 2.2). In “S” shape path the progress is slow at the starting and terminal phase and is fast in the implementation phase. For example; implementation of a watershed project; at the beginning detailed sectorial planning and coordination among various implementing agencies etc. makes progress slow and similarly towards termination, creating institutional arrangement for transfer and maintenance of assets to the stakeholders progresses slowly.

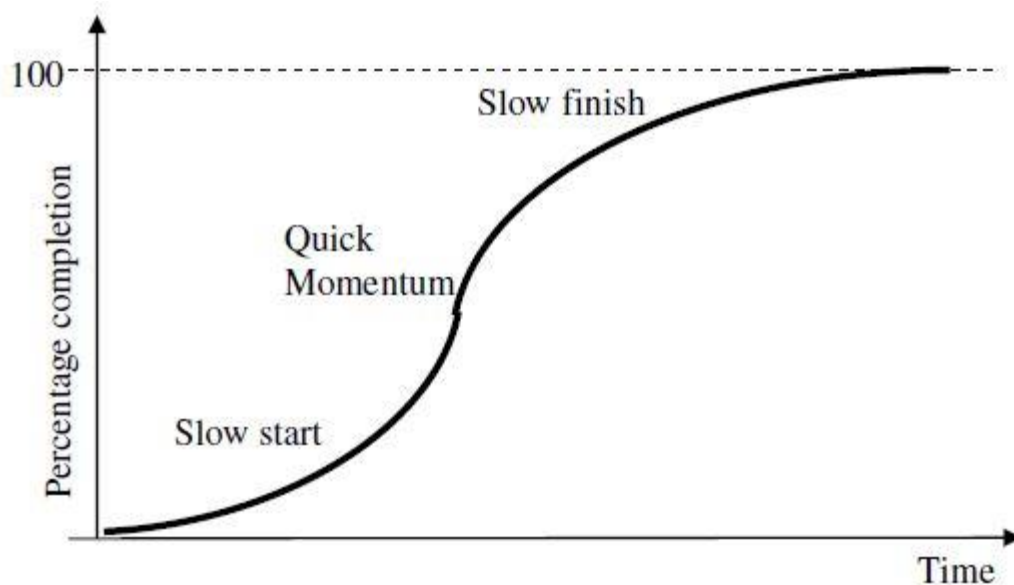


Figure 2.1: Project Life Path –“S” Shape

In “J” type cycle path the progress in beginning is slow and as the time moves on the progress of the project improves at fast rate. For example; in a developing an energy plantation; the land preparation progresses slowly and as soon as the land and seedling are transplantation is under taken. This is shown in figure 2.2.

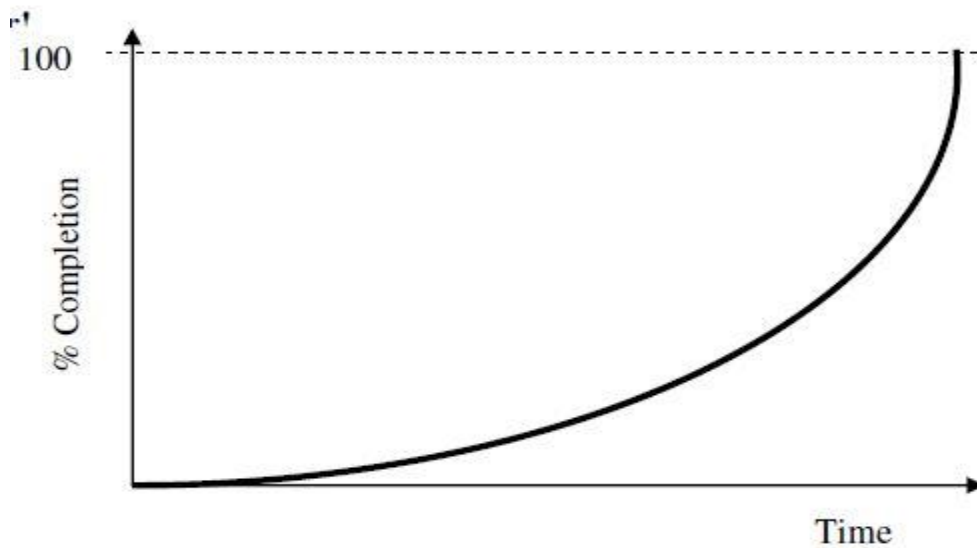


Figure 2.2: Project Life Cycle Path - “J” Shape

2.2 Type of Project Cycle Models

? Self-Check Exercise 2:

Dear learners; what are type’s project cycle models and how they differ and when to use them?

The main features and elements of this process are information gathering, analysis and decision making. The project cycle consist of various stages in which each stage, not only is grown out of the preceding ones, but also leads into the subsequent ones.

There is no single way of devising the different phases of a project there are many equally valid ways in which the project cycle may be divided. There are three basic models of project life cycles they are:

1. The Baum project life cycle
2. UNIDO project life cycle
3. DEPSA project life cycle

2.2.1 The Baum Project Life Cycle (World Bank Project Cycle)

The first basic model of a project cycle was that of Warren C Baum developed in 1970, which has been adopted by the World Bank and initially recognized four main stages, namely

1. Identification
2. Preparation
3. Appraisal and selection
4. Implementation

At a later stage in 1978 the author has added another stage called “Evaluation” thus making the stages 5 in number.

1. Identification Phase:

The first stage in the project life cycle is to find potentially promising projects which are worthwhile for investment. Some of the sources of such projects are listed below:

- Some projects are resource based and stem from the opportunity to make profitable use of available resources.
- Some may be market based arising from an identified demand in home or overseas markets.
- Others may be need based and initiated to make available certain basic material requirements and services to all people in an area at minimal amounts.
- Well informed technical specialists and local leaders are also common source of projects. Technical specialists will identify many areas where they feel new investment might be profitable, while local leaders may have suggestions about where investment might be carried out.
- Ideas for new projects also come from proposals to extend existing program.

2. Preparation Phase:

Once projects are identified, there begins a process of progressively more detailed analysis of the projects and preparation of the project plans. This phase of the project life cycle which

normally includes both the prefeasibility and feasibility study .This is the stage at which the project is being seriously considered as a definite investment action. Project preparation covers the establishment of all the technical, economic, social, financial, institutional and environmental feasibility analyses. From the inferences of such analysis, decisions have to be made on the scope of the project, location and site, soil and hydrological requirements, project size etc. At this stage the project exists as asset of tangible proposals.

3. Appraisal Phase (An Assessment of the Quality or Value of Something)

At this stage critical review of the project is to be conducted. This provides an opportunity to re-examine every aspect of the project proposal (project plan) to assess whether the proposal is appropriate and sound before large sums are invested. Generally only internal institution/government staffs are used for this work. Projects are appraised both in the field and at the desk level. Appraisals should cover at least seven aspects of the project, each of which must have been given special consideration during the project preparation stage. Those seven aspects are:

- Technical- here the appraisals concentrate on verifying whether the proposed project will work in the way suggested or not.
- Financial- In this, the appraisals try to see whether requirements for money needed by the project have been calculated properly, their sources are all identified and reasonable plans for their repayment are made where necessary.
- Commercial-the way the necessary inputs for the project are conceived to be supplied is examined here and also the arrangements for the disposal of the products are verified.
- Incentive- the appraisals here will see into it whether things are arranged in such a way that all those whose participation is required will find it in their interest to take part in the project, at least to the extent envisaged in the plan.
- Economic- the appraisal here tries to see that what is proposed is good from the view point of the national economic development interest when all project effects (positive and negative are taken into account and check whether all are correctly valued.
- Managerial- this aspect of the appraisal examines whether the capacity exists for operating the project and the people who were assigned responsibilities can operate it

satisfactorily or not. Moreover, it tries to see whether the responsible persons are given sufficient power and scope to do what is required.

- **Organizational-** this appraisal examines the project if it is organized internally and externally into units, contract policy institution, etc., to allow the proposals to be carried out properly and to allow for change as the project develops.

The above issues are the subjects of specialized appraisal report. On the basis of this report, financial decisions are made- whether to go ahead with the project or not. In practice, there can be quite a sequence of project selection decisions. Following appraisal, some projects may be discarded. If the project involves loan finance, the lender will almost certainly wish to carry out his own appraisal before completing negotiations with the borrower. Comments made at the appraisal stage frequently give rise to alterations in the project plan.

4. Implementation Phase:

The clear objective of any effort in project planning and analysis is to have a project that can be implemented to the benefit of the society. Thus implementation is perhaps the most important part of the project cycle. In this stage, funds are actually disbursed to get the project started and keep running. A major priority during this stage is to ensure that the project is carried out in the way and within the period that was planned. Problems frequently occur when the economic and financial environment at implementation differs from the situation expected during appraisal.

It is during implementation stage that many of the real problems of projects are first identified. Because of this feedback effect on the discovery and design of new projects, and the deficiencies in the capabilities of the project action can be revealed. Therefore to allow the management to become aware of the difficulties that might arise, in recording, monitoring and progress reporting are important activities during the implementation stage.

5. Evaluation Phase:

At later stage that is in 1978, BAUM has added an additional stage called Evaluation which usually closes the project life cycle. Once a project has been carried out, it is often useful, to look back over what took place, to compare actual progress with the plans, to judge whether the decisions and actions taken were corrective, to see whether the results obtained are optimal in a sense that the resources are efficiently utilized and whether the project's goals and objectives are effectively achieved. The extent to which the objectives of a project are

being realized provides the primary criterion for an evaluation. The analysts look systematically at the elements of success and failure in the project experience to obtain insights about how to plan more productive projects in future.

Evaluation is not limited only to completed projects. It is the most important managerial tool in ongoing projects and rather formalized evaluation may take place at several times in the life of project. Evaluation may be undertaken when a project is in trouble, as the first step in a re-planning effort. Careful evaluation of the project should precede any effort to plan follow-up projects. Finally, evaluation should be undertaken when a project is terminated or as well in routine operation. Different people may do evaluation like:

- Project management will be continuously evaluating its experience as implementation proceeds.
- The sponsoring agency, the operating ministry, the planning agency or an external assistance agency may undertake evaluation.
- In large and innovative projects, the project's administrative structure may provide a separate evaluation unit responsible for monitoring the projects implementation and for bringing problems to the attention of the project's management.

Evaluation can help not only in the management of the project after the initial phase but also in the planning of the future projects.

2.2.2 The UNIDO Project Life Cycle Model

The United Nations Industrial Development Organization (UNIDO) is the most devoted institution towards the development and the standardization of the concept, context and content (CCC) of industrial project management system. According to the UNIDO approach documented in the UNIDO manual, the project development cycle comprises three distinct phases, they are:

1. Pre- investment phase
2. Investment phase and
3. Operational phase

Each of these three phases is divided into several stages, some of which constitute important consultancy, engineering and industrial activities as shown below:

1. Pre- investment Phase

- Opportunity study (identification of project ideas)
- Pre-feasibility study (preliminary project formulation , selection of alternatives)
- Feasibility study (techno-economical project back ground, final project formulation stage)
- Evaluation report (decision making about project availability)

2. Investment Phase

- Project design stage
- Construction stage
- Pre-production marketing stage
- Training
- Start-up stage

3. Operational Phase

- ➡ Replacement of equipment
- ➡ Development, invasion or liquidation

Before dealing with pre –investment phase, the various stages of the investment and operational phases are considered since these impacts on the nature and scope of pre-investment studies. The project investment or implementation phase for a large industrial business project will be different as compared to that of a small non- industrial project.

Assuming that a projected industrial activity involves the construction of a factory and the installation of machinery and equipment, the project investment phase could be divided in to the following stages:

- Project engineering designs
- Negotiations and contracting
- Construction and training and
- Plant start up

An adequate importance should be given to the pre investment phase, because the success or failure of an industrial project ultimately depends upon the marketing, technical, financial and economic feasibility study findings and their interpretation. To reduce wastage of scarce resources, a clear comprehension of the sequence of events is required when developing an investment proposal from the conceptual stage by way of active promotional efforts to the operational stage.

1. Pre-investment stage

It is a usual practice, project ideas must be elaborated in a more detailed study. However, formulation of the detail techno-economic feasibility study, that enables a definite decision to be made on the project, is a costly and time consuming task. Therefore, before assigning large funds for such a study, a preliminary assessment of the project idea must be made in a pre-feasibility study. This is just seeing that whether:

- All possible project alternatives are examined
- The project concept justifies the detail study
- All aspects are critical and need in-depth investigation
- The project idea is viable and attractive or not

According to the UNIDO manual, the main stages of the pre-investment phase are as follows:

- Identification of investment opportunities (opportunity studies)
- Analysis of project alternatives and preliminary project selection
- Project preparation(pre-feasibility and feasibility studies) and
- Project appraisal and investment decision (appraisal report)

These stages assist a potential investor in the decision making process and provide the base for project decision and implementation.

a. Opportunities Studies

Identification of investment opportunities is the starting point in a series of investment related activities when potential investors (private or public) are interested in obtaining information on newly identified viable investment opportunities. The main instrument used to quantify the parameters, information and data required to develop a project idea into a proposal is the opportunity study. An opportunity study should identify investment opportunities or project ideas by analyzing the following factors in detail:

- Natural resources with high potential for processing and manufacture:
- Existing agricultural pattern that serves as a basis for agro-based industries:
- The future demand for certain consumer goods or for newly developed goods:
- Imports in order to identify areas for import substitution:
- Cost and availability of production factors:
- Possible expansion of existing industrial capacity to attain economies of scale and
- Export possibilities.

b. Pre-feasibility Studies

A Pre-feasibility study should be viewed as an intermediate stage between a project opportunity study and a detailed feasibility study. And the intensity with which project alternatives is examined. The structure of a prefeasibility study should be the same as that of the detailed feasibility study. These two studies basically compile the information on the justification of the project. In a practical sense, the main components of the project feasibility report are:

- Executive summary
- Project back ground and history
- Market and plant capacity
- Location and site
- Project engineering works
- Factory, administrative and sale overheads
- Man power
- Project implementation
- Financial analysis and
- Project risk analysis

c. Feasibility Studies

A feasibility study should provide all data necessary for making the investment decision. The commercial, technical, financial, economic and environment prerequisites for an investment project should therefore be defined and critically examined on the basis of alternative solutions already reviewed in the pre-feasibility study. The results of these efforts strengthen a project whose back ground conditions and aims have been clearly defined, in terms of its control objective and possible marketing strategies, the possible market share that can be achieved, the corresponding production capacities, the plant location existing raw materials, appropriate technology and mechanical equipment and, location, existing raw materials, appropriate technology and mechanical equipment and if required an environmental impact assessment.

The financial part of the study covers the scope of the investment, including the net working capital, the production and marketing costs, sales revenue and the return on capital invested. The final estimates on investment and production costs and its subsequent calculations of

financial and economic profitability are only meaningful if the scope of the project is defined in order not to omit any essential part and its related cost. However, there is no uniform approach or pattern to cover all industrial projects of whatever type, size or category. The emphasis on the components varies from project to project. For most industrial projects, however, there is a broad format of general application-bearing in mind the larger the project the more complex will be the information required.

d. Appraisal Report

When a feasibility study is completed, the various parties will carry out their own appraisal of the investment project in accordance with their individual objectives and evaluation of expected risks, costs and gain. Large investment and development finance institutions usually have formalized project appraisal procedures and usually prepare an appraisal report. This is the reason why project appraisal should be considered an independent stage of the pre-investment phase, marked by the final investment and financing decisions taken by the project promoters.

The appraisal report will prove whether the pre-production expenditures spent since the initiation of the project idea were well spent or not. Project appraisal, as carried out by financial institutions concentrates on the health of the company to be financed, the returns to be obtained by equity holders and the protection of its creditors. The techniques applied to appraise projects in line with these criteria center around technical, commercial, market, managerial, organizational, financial and if possible economic aspects of project.

2. Investment (Implementation) Phase

The investment or implementation phase of a project provides a wide scope for consultancy and engineering work, first and foremost, in the field of project management. The investment phase can be divided into the following stages:

- Technological acquisition and transfer
- Detailed engineering design and contract, including tendering, evaluation of bids and negotiations
- Acquisition of land, construction work and installation
- Pre-production marketing, including the securing of suppliers and setting up the administration of the firm
- Recruitment and training of personnel and

☛ Plant commissioning and start-up

Detailed engineering design comprises preparatory work for site preparation, the final selection of construction planning and time scheduling of factory construction, as well as the preparation of flow charts, scale drawing and a wide variety of layouts. During the stage of tendering and evaluation of bids, it is chiefly important to receive comprehensive tenders for goods and services for the project from a sufficiently large number of national and international supplies of proven efficiency and with good delivery capacity.

This stage covers the signing of contracts between the investor on the one hand, and the financing institutions, consultants, architects and supplies of raw materials and required inputs on the other.

The construction stage involves site preparation, construction of buildings and other civil works, together with the erection and installation of equipment in accordance with proper programming and scheduling. The personnel recruitment and training stage, which should proceed simultaneously with the construction stage, may prove very crucial for the expected growth of productivity and efficiency in plant operations. Plant commissioning and start up is usually a brief, but technically critical span in project implementation.

3. Operational Phase

The problem of the operational phase needs to be considered from both short and long term viewpoints. The short term view relates to the initial or commencement of production when a number of problems may arise concerning such matters as the application of production techniques, operation of equipment or inadequate labor productivity owing to lack of qualified staff and labor. Most of the problems have their origin in the implementation phase. The long term view relates to chosen strategies and the associated production and marketing costs as well as sales revenues. These have a direct relationship with the productions made at the pre-investment phase. If such strategies and projections prove faulty and remedial measures will not only be difficult, but may prove highly expensive.

2.2.3 The DEPSA Project Life Cycle Model

In Ethiopia, Development Project Studies Authority (DEPSA) made certain efforts and developed a model for project life cycle which is known as DEPSA's Project life cycle. This life cycle comprises three major phases. They are:

1. Pre-investment phase
2. Investment phase and
3. Operation phase

Each of these three phases may be divided into different stages.

The following is the summary of this classification of the project life cycle.

1. Pre- investment Phase

- a. Identification Stage
- b. Formulation Stage
 - ◆ Pre-feasibility study
 - ◆ Feasibility study
- c. **Appraisal**
 - Appraisal
 - Decision

2. Investment Phase

- Implementation
- Tendering negotiation and contractual
- Detailed engineering design
- Construction, erection and commissioning

3. Operation Phase

- ➡ Operation
- ➡ Ex-post evaluation

I. Pre-investment Phase

A. Project Identification

Projects identification amounts to finding projects, which could contribute toward achieving, specified development objectives. Or the first stage in project cycle is to identify an idea, which enables to launch a project. The question at this stage is where do project ideas come from?

❖ Sources of project ideas

We can distinguish two levels where projects ideas are born: the macro level and the micro level.

At the macro level project idea comes from:

- National, sectorial or regional plans and strategies supplemented by special studies often called opportunity studies, conducted with the explicit aim of translating national and sectorial programmes into specific projects.
- Constraints in the development process due to shortage of essential infrastructure facilities, problems in the balance of payments, etc.
- A government's decision to correct social and regional inequalities or to satisfy basic needs of the people through development projects.
- Unusual events such as drought, floods, earthquake, etc.
- A possible external threat that necessitate projects aiming at achieving, for example, self-sufficiency in basic materials, energy, transportation etc.
- Multi or bilateral agreement

At the micro level, project idea emanate from:

- The identification of unsatisfied demand or need
- The existence of unused or underutilized natural or human resources and the perception of opportunities for their efficient use
- The initiative of private or public enterprise in response to incentives provided by the government
- The necessity to complement or expand investment previously undertaken: and
- The desire of local groups or organization to enhance their economic independence and improve their welfare.

Once to some project ideas have been put forward, the first step is to select one or more of them as potentially viable. This calls for a quick preliminary screening by experienced professional who could also modify some of the proposal. Following the preliminary screening, promising project options should be investigated in a systematic manner. This requires the preparation of brief reports that clearly indicates in sufficient and details those project versions that are promising and suggests those projects options that should be eliminated. Reports of this type are often called pre-feasibility or pre investment studies.

B. Project Formulation

(a) Content of the pre-feasibility study

The pre-feasibility study should briefly discuss

- The objectives of the project
- The nature and size of the demands for the output or the needs that it would satisfy, together with the foreseen beneficiary groups
- The availability of the most important materials and human inputs
- Basic alternative technologies available and their merits and weakness
- Approximate investments and operation costs as well as expected revenue
- Rough estimate of financial and economic return
- Any major factors that is likely to have an important effect on the project

(b) Feasibility study

If the pre-feasibility study indicates that the project is, *prima facie*, promising and further work is justified, the project enters the stage of preparation. The project is now being seriously considered as a definite investment action and detailed planning of the idea can begin. Project preparation (sometimes called project formulation) covers the establishment of technical, economic and financial feasibility. Decisions have to be made on the scope of the project, location, and site etc. Complete technical specifications of distinct proposals accompanied by full details of financial and economic costs and benefits are the outcomes of the project preparation stage. The project now exists as set tangible proposals.

C. Project Appraisal

Project appraisal can be defined as a second look at a project report by a person or an institution that is in no way involved in its preparation. It helps in taking an entirely independent view of the project. Appraisal is the comprehensive and systematic assessment of all aspects of the proposed projects.

Appraisal highlights wide areas in the project with the ultimate objective of strengthening them adequately so as to ensure final success of the project. The main objective of the appraisal is to improve and renovate the project with the cooperation of the promoter (financing agencies). It's in this stage that the bank will judge whether the project is acceptable or unacceptable.

Appraisals should cover at least seven aspects of a project, each of which must have been given special consideration during the project preparation phase:

- 1. Technical:** does the proposed project work in the way suggested?
- 2. Financial:** have the financial requirement of the project been properly calculated, their sources identified and reasonable plans made for their repayment? Where this is necessary?
- 3. Commercial:** how will the necessary inputs for the project be supplied and are the arrangements for the disposal of the product satisfactory?
- 4. Incentives:** does things go as they are planned?
- 5. Economic:** does the proposed project consistent from the view point of national development?
- 6. Managerial:** does their capable manager to run the planned project successfully and are they given sufficient power and scope to do what is required?
- 7. Organizational:** is the project organized internally and externally into units, etc so as to allow the proposals to be carried out properly, and to allow for change as the project develops?

Frequently these questions are the subjects of a specialized appraised report. On the basis of this report, final decisions are made about whether to go ahead with the project or not. Following appraisal, some projects may be discarded.

II. Investment phase

a. Project Implementation

In this stage, funds are actually disbursed to get the project set up and running. Translating project plan into actual investment and operation is one of the most critical and difficult task. No matter how sophisticated or detail the project preparation work, it has no value unless it is transformed into action or implemented.

Implementation can be defined as a project stage which covers the actual development or construction of the project up to the point at which it becomes fully operational. It includes monitoring of all aspects of the work or activity as it proceeds. It's where the earlier preparations and designs, plans and analysis are tested in the highlight of reality. The project's objectives are realized only when it is successfully implemented.

Implementation stages begins immediately after the final decision on the project and ends when it starts rendering the benefit envisaged. While in earlier stages of project planning there was more thinking and less action, in this stage more actions and less thinking is needed.

Project implementation, even though it may involve complex decisions, is essentially a logical and systematic approach. Now a days planning the implementation stage of a project explicitly is one of the activity in project preparation. The better and more realistic a project implementation plan is, the more likely it is that the plan can be carried out effectively and the expected output or benefit realized. Project analysts generally divide the implementation phase into three different time periods. These are:

- 1.*The investment period*: when the major project investments are undertaken.
- 2.*The development period*: when the project's production builds up.
- 3.*The life of a project*: when full development is reached.

III. Project Evaluation and operational phase

Once a project has been carried out, it is often useful (but not always done) to look back over what took place, to compare actual progress with the plans, and to judge whether the decisions and actions taken were reasonable and useful. This we call evaluation. Evaluation can be defined as a systematic and periodical gathering, analyzing and interpreting of inputs, information to see the effects and impacts of a development programme/project in order it may be adjusted where necessary.

This kind of analysis can help not only in the management of the project after the initial construction phase, but will also help in the planning of future project. Experience with one project can give rise to new ideas for extension of the project. Generally evaluation of a project helps to determine whether the objectives sets were realistic, given the capacities with which and the circumstances in which they had to be fulfilled, to assess the impact of the project activities.



SUMMARY

- ✎ Every project, from conception to completion, passes through various phases of a life cycle synonym to life cycle of living beings.
- ✎ There is no universal consensus on the number of phases in a project cycle.
- ✎ An understanding of the life cycle is important to successful completion of the project as it facilitates to understand the logical sequence of events in the continuum of progress from start to finish.
- ✎ The project cycle of any projects has to considers at various stages are:
 - Each stage comes out of the preceding activities, and also leads into subsequent ones.
 - The planning process does not contain such a stringent (inflexible) sequence of events since all the aspects of the project have to be considered simultaneously and, if necessary adjusted to one another.
- ✎ The life cycle of a project from start to completion follows either an “S” shaped path or a “J” shaped path.
- ✎ There are many equally valid ways in which the project cycle may be divided. Project cycle models. These are:
 1. The Baum Cycle (recognized the World Bank Project Cycle)
 2. The UNIDO Project Cycle
 3. The DEPSA’s Model (Development Projects Studies Authority’s Model) – developed in Ethiopia in 1990.
- ✎ The Baum project cycle model: is the first basic model of a project cycle was that of W. C. Baum developed in 1970, which has been adopted by the World Bank and initially recognized four main stages, namely
 1. Identification phase
 2. Preparation phase
 3. Appraisal and selection phase
 4. Implementation phase

📁 At a later stage in 1978 the author has added another stage called “Evaluation “thus making the stages 5 in number.

📁 The UNIDO project cycle model: the project development cycle comprises three distinct phases, they are:

1. Pre- investment phase
2. Investment phase and
3. Operational phase

📁 Each of these three phases is divided into several stages, some of which constitute important consultancy, engineering and industrial activities.

📁 The DEPSA’s project cycle model: this life cycle comprises three major phases. They are:

1. Pre-investment phase
2. Investment and
3. Operation

📁 Each of these three phases may be divided into different stages.



CHAPTER REVIEW QUESTIONS

Part –I: True or False Questions

Say “True” If the Statement is correct and **“False”** if the statement is incorrect.

6. Every project from conception to completion passes through various phases.
7. There is single way of devising the different phases of a project.
8. The first basic model of a project cycle was that of UNIDO project life cycle.
9. The leading stage in the project life cycle is to find potentially promising projects which are worthwhile for investment.
10. Identification of investment opportunities is the final point in a series of investment related activities.

Part –II: Multiple Choice Questions

Choose the correct answer from the given alternative.

1. A project cycle includes....?
G. The various stages a project passes through
H. Information gathering, analysis and decision making on various issues
I. Project phases from birth to death
J. Different tasks governed by different models
K. All of the above
2. Which of the following statement is **wrong** about appraisal stage of Baum’s project cycle?
G. It’s a critical review stage of the project
H. It provides an opportunity to re-examine every aspect
I. It assess whether the proposal is appropriate and sound
J. It done after large sums are invested
K. All of the above
3. Which of the following is an activity in the operation phase of UNIDO’s project cycle?
A. Project engineering designs
B. Negotiations and contracting
C. Construction and training
D. Plant start up
E. All of the above
4. Which of the following **not** major phases of DEPSA’s Project life cycle?
A. Pre-investment phase
B. Investment phase

CHAPTER THREE

3. PROJECT IDENTIFICATION

LEARNING OBJECTIVES:

After you have completed this chapter, you will be able to:

-  Describe project identification
-  Present the different individuals those participants identifying a project
-  Differentiate macro and micro sources of project ideas
-  Understand about the project identification processes
-  Realizes various project identification studies
-  Grasps project idea generation process and approaches
-  Know how projects ideas are screened and problems faced in identification

Chapter Introduction

Dear learners, how do you do? As the project moves through its life cycle, different organizations, individuals, and resources play dominant roles. Projects are “born” when a need is identified by the customer—the people or the organization willing to provide funds to have the need satisfied. For example, for a growing family, the need may be for a larger house, whereas for a company the problem may be a high scrap rate from its manufacturing process that makes its costs higher and production times longer than those of its competitors. The customer first must identify the need or problem. Sometimes the problem is identified quickly, as in the case of a disaster such as an earthquake or explosion. In other situations, it may take months for a customer to clearly identify a need, gather data on the problem, and define certain requirements that must be met by the person, project team, or contractor who will solve the problem. This first phase of the project life cycle involves the identification of a need, problem, or opportunity and can result in the customer’s requesting proposals from individuals, a project team, or organizations (contractors) to address the identified need or solve the problem.

This chapter hosts the learner to know the phases of project identification and tasks undertaking in this phases of project cycle and also it introduce the participants identifying a project, sources of project ideas and also make the leaner to comprehend about the project identification processes, various project identification studies and its approaches to studies. Final the learner be acquainted with how projects ideas are screened and problems faced in identification.

3.1 Overviews of Project Identification

? Self-Check Exercise 1:

Dear learners; explain in your own word the meaning of project identification and identify whom responsible for it?

Ve of project preparation. The search for promising project ideas is the first step towards establishing a successful venture. The key to success lies in getting into the right business in the right time. The objective is to identify investment opportunities which are feasible and promising. Generation of an idea of producing a new product, new business, requires imagination sensitivity to environmental changes and the realistic assessment of what the firm can do? A project is not a product or commodity to be purchased. It has a promise as well as a risk.

An idea regarding a required intervention in a specific area to address identified problem is formed and developed. This idea is usually hatched through discussions by specialists and local leaders in a community need based on issues and turned into a proposal. This is an important stage such that it can affect the whole process including that of sustainability of the project after completion and transferring to operational phase. However, this stage is overlooked in some cases particularly in the process of capturing the actual needs of the beneficiaries.

3.2 Who Identifies Projects

A good project comes from a good problem definition. Projects aim to address a problem or constraint. It is vital to understand the causes of the problem or constraint, how they affect stakeholders, and how to focus on tackling them. In case of single organization projects can identified by: top management; steering committee; user departments and development group or senior staff. The responsibility of identifying investment opportunities (project ideas) rests with various individuals and institutions in the society, such as:

- ◆ Small producer's organizations/unions;
- ◆ Large scale individual /private sector producers;
- ◆ Product marketing organizations;
- ◆ Private sector companies (local/multinational);
- ◆ State owned enterprises and organizations;
- ◆ Government ministries, authorities, agencies, and commissions;
- ◆ Local and International Development Banks and Agencies;
- ◆ Aid agencies and self-aid associations;
- ◆ Local governments and state, regional, and sub-regional authorities;
- ◆ Local political and pressure groups such as opposition parties;
- ◆ Local and/or international NGOs; and Credit institutions and cooperatives, etc.

3.3 Generation and Selecting Project Ideas

? Self-Check Exercise 2:

Dear learners; clarify how potential project ideas are identify and selected?

Project ideas are generated through different sources like customers, competitors, and employees. Sometimes they are discovered through accident. Project manager should try to

enhance people's creativity, scan the entire business environment and appraise the company's strengths and weaknesses to generate a large number of ideas.

The project managers should analyze the business environment that consists of the economic sector, the governmental sector, the technological sector, the socio-demographic sector, the competition sector and the supplier sector. Once a pool of ideas has been generated, the project manager should carefully screen them. Generally project ideas are generated depending on:

- ➡ Consumer needs
- ➡ Market demand
- ➡ Resource availability
- ➡ Technology
- ➡ Natural calamity
- ➡ SWOT analysis
- ➡ Political considerations etc.,

The project idea selection is selection of project idea from available alternatives is to be best suited to the entrepreneurs' capacity, competence and willingness. The project selection includes

- Profitability
- Feasibility
- Resource-ability
- Acceptability

The basic criterion for selection of a project could be existence of a favorable cost-benefit relationship. People would like to select a project which requires a minimum investment, low degree of competence, completed in the shortest time, and which has the highest return potential.

A project idea should be SMART: S – Specific objective, M – Measurable, A – Achievable, R – Realistic and T – Time bounded. Eliminate poor ideas in the initial screening process. In the case of financial projects, the project manager should assess the NPV of project ideas.

3.4 Macro and Micro Sources of Project Ideas

? Self-Check Exercise 3:

Dear learners; discuss how project ideas are generated from micro and macro level sources?

A search for promising project ideas could contribute towards achieving specified development objectives. Project identification should be an integral part of the macro-planning exercise of the state with sectoral information and strategies as the main source of the ideas.

Generally ideas are formed from several sources based merely on some vested interests of the individuals involved. However irrespective of their origin, project ideas should be in general aim at overcoming constraints on the national development effort.

Good project ideas are the key to success. Therefore a wide variety of sources should be tapped to analyze them. To have a wide range of options, the sources of project ideas can be categorized into two they are: 1. Micro level sources

2. Macro level sources

3.4.1 Micro Level Sources Project Ideas

At micro level project ideas can be generated from various sources. Some of these are discussed below.

1. Analysis of the performance of existing industries: A study of existing industries in terms of their profitability utilization can indicate promoting investment opportunities which are profitable and relatively risk free. An examination of capacity utilization of various industries provides information about the potential for further investments. Such study is more useful if it is done region wise. Particularly for products which have high demand for consumption and wide scope for production.

2. Examination of the input-outputs of various industries: The analysis of inputs required for various industries may throw some project ideas. Opportunities exist when {1] Materials,

purchased parts, or supplies are presently procured from distance sources with considerable time lag and transportation cost and [2] Several firms produce internally some components parts which can be supplied at lower cost by a single producer who can enjoy economics of scale. Similarly a study of the output of the existing industries may reveal opportunities for adding value through further processing of the main outputs, by produce, by products as well as waste products.

3. Review of imports and exports: Analysis of import statistics for a period of five to seven years is helpful in understanding the trend of imports of various goods and the potential for import substitution. Indigenous manufacture of goods currently imported is advantageous for several reasons. [1] It improves the balance of payments situation. [2] It generates employment, and [3] It provides market for the supporting industries and services. Likewise an examination of export statistics is useful in learning about the export possibilities of various products.

4. Investigation of local materials and resources: A search for project ideas may begin an investigation into local resources and skills. Various ways of adding value to locally available materials may be examined. Similarly, the skills of local artisans may suggest products that might be profitably produced and marketed. Such assessment may consider issues such as the human and material resources, Infrastructure facilities and market for various products.

5. Analysis of economic and social changes: A study of economic and social trends is helpful in projecting demands for various goods and services. Changing economic conditions and consumer preferences provide new businesses opportunities. For example a greater awareness of the value of time is dawning on public. Hence the demand for time saving products like prepared food items, ovens and powered vehicles has been increasing. The other change that can be seen during analysis is the increasing desire for the leisure and recreational activities. This has caused a growth in the market for recreational products and services.

6. Study of new technological developments: New products are the new process and technologies for existing products developed by the research laboratories may be examined for profitable communication.

7. Exploring the possibility of reviving sick units: Industrial sickness is spread in many countries. There are innumerable business units which have been characterized as sick. These units either closed or have reached the prospect of closure. A significant proportion of sick units however can be nursed back to health by sound management, infusion of further capital and provision of complementary inputs. Hence there is a fairly good scope for investment in this area.

8. Identification of unfulfilled psychological needs: For well-established multi brand product groups like bathing soaps, detergents, cosmetics and tooth paste, the questions to be asked is not whether there is an opportunity to manufacture them for satisfying an actual physical need, but whether there are certain psychological needs of the consumers which are presently unfulfilled.

9. Attending trade fairs: National and international trade fairs provide an excellent opportunity to know about new products and developments.

10. Stimulating creativity for generation's new product lines: New product ideas may be generated by thinking along the following lines: Modifications, rearrangements, reversal, magnifications, reductions, substitutions, adoptions and combinations.

3.4.2 Macro Level Sources Project Ideas

At macro level project ideas can be obtained from various sources as mentioned below:

1. Project ideas from government policies and plan: From time to time governments produce guidelines such as the national development plans and session papers which spell out the directions the government should take to achieve certain targets in various sectors of the economy and guidelines to various organizations and individuals. The information contained in these documents is useful in generating ideas for new projects for Ex: If the government intends to start number of new schools in a given area then a number of projects which are related to the establishment such schools would be considered. Government is the major source of project ideas in developing countries. Reasons: has the necessary resources for undertaking opportunity studies (conduct survey, studies, and reviews); better access to data and information; and familiar with the development objectives, priorities, and strategies.

2. Project ideas from technical specifications: For many industrial projects, ideas will usually tend to come from technical specifications, which by virtue of their experience and

for research findings will give use full information which may lead to the manufacturing of new products or improving the existing products.

3. Project ideas from local leaders: For community and social projects, local leaders usually have important ideas, which they together with their local people, have identified as being important in improving the welfare of the people. In the case of social projects depending in which one is to identify, there may be number of other projects which are linked to the identified projects. Ex: A project of constructing a dam for the generation of hydroelectric power will be giving suggestions for the start of irrigation projects, a fishing project and other related projects.

4. Project ideas from Entrepreneurs: For commercial and industrial projects, Entrepreneurship is an important source of ideas. Entrepreneurships include the characteristics of preparation of managerial competence and motivation to achieve results. Although entrepreneurship skills have been passed on from one generation to another along Family and social-economic circles, it has been recognized that programs for entrepreneurship development will help individuals to come up with useful ideas which can be translated into viable projects.

3.5 Driving Forces for Project Identification

Business drivers are the crucial forces behind the successful development of a project. These are:

- Identification of unsatisfied demand or needs;
- Existence of unused or underutilized natural or human resources and the perception of opportunities for their efficient use;
- Need to remove shortages in essential materials, services, or facilities that constrain development efforts;
- Initiatives in response to incentives provided by the government;
- Necessity to complement or expand investments previously undertaken; and Desire of local groups (organizations) to enhance their economic status and improve their welfare.

3.6 Project Identification Studies

Identification of a new project is a complex problem. The project idea as a process of identification of a project begins with an analytical survey of the economy (also known as pre-investment surveys). Development projects are expressly designed to solve the varied problems of the economics whether in the short or long run. The surveys or in depth studies would locate the problems and the project planner will have to identify the projects that would solve the problems most effectively. The surveys and studies will give us ideas and throw up suggestions which would be worked out in detail later and then evaluated objectively before being accepted for implementation. What types of surveys and studies are to be undertaken? The current sociopolitical economic situation has to be critically assessed. The surveys and studies will give us ideas. Identification studies may involve: - area studies, industry studies, resource-based studies, and sectorial studies.

3.7 Projects Idea Generation Process and Approaches

? Self-Check Exercise 4:

Dear apprentices; describe the process and approaches used in project ideas generation?

3.

Th

- ✓ Surveying, reviewing, and analyzing existing policies, resource present and socio-economic variables.
- ✓ Natural Resources: review of the natural resource endowments of the country.
- ✓ Human Resource: review of educational standards and facilities.
- ✓ Socio-Economic Variables: review of various socioeconomic factors (includes: housing facilities & standards, utilities services, health and nutrition services, and income distribution).

Field survey and interview:

- Asking people regarding their needs/problems.
- Asking the public unit closest to the people about their problems/needs (what the community needs).

Observing and analyzing prevailing situation:

- ◆ Observation & examination of current DD & SS;
- ◆ Examination of past as well as future consumption/production trends for goods and services;
- ◆ Observing possibilities for improvement of goods and services (both in quality & quantity);
- ◆ Observing opportunities & threats in the invention & introduction of new technologies, etc.

Participating in deliberations, discussions, and trainings:

- ➡ Participating in various discussion forums and deliberations in seminars, workshops, and conferences (local and/or international) levels.

Brainstorming:

- ◆ Group of people suggesting different ideas (not formal).
- ◆ Exposures to Publications & Media
- ◆ Reading various publications (scientific or otherwise) and exposures to various print, audiovisual, and visual media.

Informal Discussions and Meetings

- ➡ Exchange of ideas such as in friendship/fraternal gatherings and get-togethers.

These and similar procedures might eventually lead to the generation of various project ideas.

Here the project identifier has to concern the following points:

- Every idea may not be feasible and/or practicable.
- Some of the project ideas might be felt feasible.
- These ideas need to be ranked and/or prioritized. And then screen the potential promising ideas.

3.7.2 Project Ideas Generation Approach

An organization can create a project using a top-down, bottom-up or a combined method. In the top-down method, upper management comes up with the ideas for a project. In the bottom-up method, employees and middle management create ideas for projects, and the combined method uses everyone in the organization to come up with ideas for a project. An organization commonly assigns different teams to different parts of the project. By implementing a needs identification system, the organization helps to ensure the proper allocation of assets to different projects within the organization.

1. **Top--Down Approach:** Projects are identified at higher planning (or macro) level and implemented at the decision of top officials. Projects are identified based on the national plan and strategies. Sometimes the problem might be clearly visible – (apparently exists) – no need to go down to identify. Due to this: Such projects may not relate to the existing reality in particular locality and it often have long-term orientations. May encounter resistance and/or implementation constraints as the people in the context might lack interest to cooperate with.
2. **Bottom--Up Approach:** Requires base line survey of resources, key development problems, and resources. Based on the realities existing in the respective locality. May focus on short or long-term problem solving, fulfillment of unsatisfied needs, etc. Such projects might be easy to implement (realize) –due to their fitness to the reality in a given context. Project's benefits might easily be visualized (seen) by the society. Might be successfully implemented – likely to get substantial community support and it Might help to create good will (positive images) towards the institution/the promoter.

3.8 Screening Potential Promising Project Ideas

Once a list of project ideas has been put forward, the first step is select one or more of them as potentially promising. This calls for quick preliminary screening by experienced professionals who could also modify some of the proposals. At this stage, the screening criteria are vague and rough, that becomes specific and refined as project planning advances, during the preliminary screening to eliminate ideas, which are not promising, and one is required to look into the following aspects:

1. Compatibility with the promoter: The idea must be compatible with the interest, personality, and resources of the entrepreneur. It means [1] it should fit to the personality of the entrepreneur; [2] it should be accessible to him and [3] it should offer him the prospect growth and high return on the invested capital.

2. Consistency with government priorities: The project idea must be feasible given the national goals and governments regularity framework. The questions to be raised in this context are:

- Is the project consistent with national goals and priorities?
- Are there any environmental effects contrary to government regulation?
- Can the foreign exchange requirements of the project be easily accommodated?
- Will there be any difficulty in obtaining the license for the project?

3. Availability of inputs: The resources and inputs required for the project must be reasonably assured. To assess this, the following questions need to be answered:

- Are capital requirements of the project within manageable limits?
- Can the technical know-how required for the project be obtained?
- Are the new materials required for the project available domestically at a reasonable cost?
- If the materials have to be imported, will there be problems?
- Is the power supply for the project reasonably obtainable from external sources and captive power sources?

4. Adequacy of the market: The size of the present market must offer the prospect of adequate sales volume. Further there should be a potential for growth and reasonable return on investment. To judge the adequacy of the market the following factors have to be examined:

- Total present domestic market
- Competitors and their market shares
- Exports markets
- Sales and distribution system
- Projected increase in consumption
- Barriers to the entry of new units
- Economic, Social and demographic trends favorable to increased consumption

- Patent protection

5. Reasonableness of cost: The cost structure of the proposed project must enable it to realize an acceptable profit with a price. The following should be examined in this regard:

- Cost of material inputs
- Labor costs
- Factory overheads
- General administration expenses
- Selling and distribution cost
- Service cost and economies of scale

6. Acceptability of risk level: The desirability of a project critically dependent on the risk characterizing in the assessment of risk the following factors should be considered:

- Business cycles
- Technological changes
- Competition from substitute
- Competition from imports
- Government control over price and distribution

Therefore, during the preliminary selection, the analyst should eliminate project proposals that:

- Technically unsound and risky
- Have no market for the output
- Have inadequate supply of inputs
- Are very costly in relation to benefits and
- Assume over ambitious sales and profitability.

3.9 Problems for Identification of Project Ideas

Identifying potential problems before the start of a project can save the organization significant amounts of time and money. Problem analysis is one of the most critical stages of project planning because this stage helps to guide all subsequent analysis and decision-making. If the project does not advance past this stage with solutions that the organization can implement, the project should not go forward in its current form. The following causes are taken as challenges for project ideas identification. These are:

- ❑ Ambiguity about the national development goals (objectives):
 - ◆ People might not clearly know the national development goals.
 - ◆ Development goals may not be well communicated, or not substantially supported by other stakeholders.
- ❖ Priority issues in the existing development goals (objectives):
 - Conflict of views regarding the development priorities and goals – might entail lack of interest and commitment towards the pursuit/realization of these goals.
 - Differences in views regarding critical aspects of national priority.
 - Differences in prioritizing sectorial goals and objectives.
- ❑ Problems associated with data/information:
 - Problems in data and information flow
 - Constraint (bottlenecks) for accessing data
 - Limited availability of data and information
 - Available data may not be dependable/reliable
- ❖ Conflict of interest between local beneficiary groups:
 - ➡ What are the costs and benefits of the project?
 - ➡ Who bear the cost? How to maintain the benefit in the society?
 - ➡ Do benefits accrue to those groups in the society who bear the cost? If yes, all right! If no, find mechanisms to compensate those who bear the cost (to avoid unfavorable consequences).

In a nut shell, promising project ideas pass to the next, very important planning stage –i.e., stage of preparation/formulation.



SUMMARY



Project identification is: a process to assess each project idea and select the project with the highest priority. It concerned with collection, compilation and analysis of economic data for the eventual purpose of locating possible opportunities for investment.

 The responsibility of identifying investment opportunities (project ideas) rests with various individuals and institutions in the society. In case of single organization projects can identified by: top management; steering committee; user departments and development group or senior staff.

 Project ideas are generated through different sources like customers, competitors, and employees. Sometimes they are discovered through accident.

 Generally project ideas are generated depending on: consumer needs; market demand; resource availability; technology; natural calamity; SWOT analysis and political considerations etc.

 The project selection includes: profitability, feasibility, resource-ability and acceptability.

 A project idea should be SMART.

 Good project ideas are the key to success. Therefore a wide variety of sources should be tapped to analyze them the sources of project ideas can be categorized into two macro and micro levels.

 Business drivers are the crucial forces behind the successful development of a project.

 Identification of a new project is a complex problem as the result various identification studies may involve such as: area studies, industry studies, resource-based studies, and sectorial studies.

 In project ideas generation we have two main approaches which adopted by the project promoters groups or organization such as; top--down and bottom--up approaches.

 Screening potential promising project ideas is required to eliminate the ideas which are not promising in nature. Following aspects are taken care for screening: comparability with the promoter; consistency with government priorities; availability of inputs; adequacy of market; reasonableness of cost and acceptance of risk factor.



Identifying potential problems before the start of a project can save the organization significant amounts of time and money.



CHAPTER REVIEW QUESTIONS

Part –I: True or False Questions

Say “True” If the Statement is correct and “False” if the statement is incorrect.

1. The first step in the project cycle is to identify an issue that a project could address.
2. A project is a product or commodity that can be purchased.
3. The selection of project idea from available alternatives is needed to be best suite with the entrepreneurs’ capacity, competence and willingness.
4. People would like to select a project which requires a maximum investment and high degree of competence.
5. Project identification should be an integral part of the macro-planning exercise of the state.

Part –II: Multiple Choice Questions

Choose the correct answer from the given alternative.

1. A project idea should be....., **except**?
A. Precise objective
B. Measurable
C. Achievable
D. Time free
E. Realistic
F. None
2. At which stage the project analysts should eliminate project proposals that technically unsound and risky?
A. Project preparation
B. Project implementation
C. Project preliminary selection
D. Project review & evaluation
E. All
F. None
3. Among the following sector which one is needed for the purposes of monitoring the business environment?
A. Government sector
B. Economic sector
C. Supplier sector
D. Competition sector
E. All
F. None
4. Which one is **different** from others?
A. Attending trade fairs
B. Government policies and plan
C. Technical specifications
D. Entrepreneurs
5. Generally project ideas are generated depending on.....**except**?

- A. SWOT study
- B. Political insensitivity
- C. Market request
- D. Resource accessibility
- E. All
- F. None

CHAPTER FOUR

4. Project Preparation

Dear Learners! Welcome to this chapter. The chapter is about giving a true figure of project preparation. Here you will be introduced with concepts of project preparation specifically: market and demand analysis, supply analysis, location and environmental impact assessment, resource selection and management, and financial and economic analysis. Project management is the practice of initiating, planning, executing, controlling, and closing the work of a team to

achieve specific goals and meet specific success criteria at the specified time. *Therefore this discipline needs to be studied in a modern way.*

Chapter Objectives:

- ☐ Introduce the concept of market and demand analysis.
- ☐ Present raw material and supply analysis
- ☐ Present the location, site and environment impact assessment
- ☐ Understand the production program and plant capacity
- ☐ Introduce the technology selection
- ☐ Discuss organization and human resource management
- ☐ Present financial and economic analysis

4.1 Market and Demand analysis

4.1.1 Market Analysis

Activity

What is market and demand analysis?

How to measure market share?

When it comes time to make an important business decision or implement a strategic plan, companies often turn to a toolbox of resources to help determine the best possible course of action. One of the most important tools in this box is the market analysis – an assessment that incorporates both quantitative and qualitative data in order to paint a clear picture of the tangible and intangible factors at play in an industry. The goal of any market study is to find the point where supply and demand intersect to supply the right quantity of a good at the right price. A market analysis is a quantitative and qualitative assessment of a market. It looks into the size of the market both in volume and in value, the various customer segments and buying patterns, the competition, and the economic environment in terms of barriers to entry and regulation.

Most people lump market and feasibility studies together, but they are two different entities and typically occur at different times in the development process. In general, a market analysis searches for the intersection of demand and supply that will create a market for a product at a given price, and a feasibility analysis tests whether a certain product will meet certain financial or social goals in the market.

Experienced research firms understand how to conduct a market analysis so that it is both comprehensive and concise, answering a range of questions, including (but not limited to):

- ✓ What is the market size?
- ✓ Who is the target customer?
- ✓ What is the competitor environment?
- ✓ Is the market growing or contracting?
- ✓ What are potential disruptors?

Taking into account these key queries, a market analysis provides a high-level perspective on the business environment, identifying both opportunities and restraining factors. Credible market research firms can combine primary and secondary research like government statistics, trade publications, and interviews with other industry experts to answer these questions and generate the most accurate possible picture of the industry.

Dimensions of Marketing Analysis

There are certain dimensions which help us to perform a marketing analysis. These things help us understand the market we operate in better. These dimensions include;

- Market Size
- Growth rate of the market
- Market trends
- Market profitability
- Key success factors
- Distribution channels
- Industry cost structure

A. Market Size – The term “market share” of a company refers to the percentage of the market’s total sales that are being made by that company over a certain period of time, usually a year. The size of the market is a key factor in a marketing analysis. The bigger the

market the more competitors you are likely to have. For a big market, you need to make sure your products and services stand out. Otherwise, the customers can easily switch to a rival product. Not only that, a bigger market makes you rethink your pricing policy. Set your price too high then you are going to lose your customer base to other competitors. Set it too low and people will think that you are just providing cheaper poor quality goods. If the market size is small then you can get away with charging a high price. All these facts are kept in the marketing analysis. The formula of market share is;

$$\text{Market share} = \frac{\text{Total sales of the company}}{\text{Total sales of the industry}} \times 100\%$$

Let us take the example of a beverage company that has recently launched a new line of non-alcoholic beers. Last year the company booked total sales of birr 30 million. Calculate the market share of the company if the total market size of the non-alcoholic beverage industry is birr 500 million.

$$\text{Market share} = \frac{30 \text{ million birr}}{500 \text{ million birr}} \times 100\% = 6\%$$

- B. Growth rate of the market** – The market growth rate is a huge factor in any sort of marketing analysis. This is because you get the idea of how long the said market will last. Before you make an investment you need to analyze the market's growth rate. If it is likely to grow over time then you can invest more in it. If it has no growth then you are likely to be discouraged from investing anything at all. How much time and importance you give to the market depends on its growth rate.
- C. Market Trends** – Market trends are a significant part of the marketing analysis. Having knowledge about the trends help you to decide what kind of product you are going to sell. When you are starting off a business you need to know what the current trend is. What is the thing that the customers like? How much they are willing to spend? What other trends may capture their attention? These are the sort of things which will go on your analysis. On the other hand, market trends can change any day. This can turn out to be an opportunity for your business. If that's the case then you can seize it and make the most of it. Changes in trend can

also be a threat for you. If you are comfortable producing one kind of good then a market trend change will affect you the most.

D. Market Profitability – Most companies' motive to get into the business is to make a profit. In other words, they are profit-motive businesses. So before getting into a business you need to analyze the profitability of the market. If the market has a good profitability then only you are going to invest heavily. Otherwise, it would be a waste of your time and capital. In order to calculate the profitability of the market, there are a few things one has to consider. These things include; buyer power, supplier power, barriers to entry and so on.

E. Key Success Factors – The key success factors are those elements which help the business to achieve great success in the market. Such elements are required to stand out among the rest of the competition. These are things which you did well that have enabled you to produce great results. Key success factors include;

- ◆ Technology progress
- ◆ Economies of scale
- ◆ Efficient utilization of resources

F. Distribution Channels – Distribution channels are very important for a business. Without those, you won't be able to get your products to your customers. So it becomes a big factor in a marketing analysis. This is because you need to assess how well the channels are. If the existing ones are good enough or you need to develop newer ones. Sometimes you come up with brand new channels like online marketing.

G. Industry Cost Structure – The industry cost structure is a significant factor while running a business. It basically sees how much cost is required to get your products for sale. Sometimes firms can come up with ways to decrease that cost and thereby make a bigger profit without increasing the market price. Doing a marketing analysis will help you to come up with newer ways to reduce cost. At the same time, it helps to create strategies for developing a competitive advantage of your rivals.

Activity

What is demand analysis?

What issues are needs to be examine in demand analysis? Discuss it

4.1.2 Demand Analysis

When clients want a product and are willing to pay for it, we say that there is a demand for the specific product. There has to be a demand for a product before a manufacturer can sell it. Demand does not only have to do with the need to have a product or a service, but also with the willingness and ability to buy it at the price charged for it. Perhaps one of the most fundamental concepts of economic theory is the Law of Demand. The Law simply describes the inverse relationship between price per unit (the dependent variable) and quantity demanded of a product (the independent variable) per unit of time. It simply states that all other variables remaining unchanged. **Demand** is the amount of goods that consumers or buyers are willing and capable to buy for a specific price in a specific time period while everything else remains the same. Demand is an **economic principle** that describes the willingness and desire of consumers to purchase specific goods or services at a specific **Ceteris Paribus** (all other things being unchanged or constant). Demand analysis is a research done to estimate or find out the customer demand for a product or service in a particular market.

The success of any business largely depends on sales, and sales depend on market demand behavior. Market demand analysis is one of the crucial requirements for the existence of any business enterprise. Analysis of market demand for the product is necessary for the management in order to take decisions regarding production, cost allocation, product pricing, advertising, inventory holdings, etc. How much the firm must endeavor to produce depends mainly upon the demand for its product. If demand falls short of production, the two must be balanced by creating a new demand through more and better advertisements. If there is no demand for the product, its production is unwarranted. If the future demand for the product is likely to be more, the more the inventories that the firm should hold. If the demand for the product is large, a higher price can be charged, with other things remaining the same. Market demand analysis helps the manager to make decisions regarding: (a) sales forecasting with a sound basis and greater accuracy; (b) guidelines for demand manipulation through advertising and sales promotion programs; (c) production planning and product improvement; (d) pricing policy; (e) determination of sales

quotas and performance appraisal of personnel in the sales department; and (f) size of market for a given product and corresponding market share. For all these purposes, demand analysis is essential for successful production planning and business expansion in managerial decision-making.

A. Market Demand Function: An individual demand function is the basis of demand theory. But it is the market demand function that is main interest to project managers. It refers to the total demand for a good or service of all the buyers taken together. The market demand function may be expressed mathematically thus

$$D_x = f(P_x, P_r, M, T, A, U)$$

Where,

D_x = Quantity demanded for commodity x

f = functional relation

P_x = Price of commodity x

P_r = Prices of related commodities i.e. substitutes and complementariness

M = the money income of the consumer

T = the taste of the consumer

A = the advertisement effect

U = Unknown variables

Activity

How can measures effective demand level? What are those parameters helps to measure effective demand?

B. Effective demand

To weigh the effective demand in the past and present, the starting point typically is apparent consumption which is defined as:

$$\text{Effective demand} = \text{Production} + \text{Imports} - \text{Exports} + (\text{stock at beginning} - \text{stock at the end})$$

Example: Production of wheat flour during the 2000 EC was 2 million metric tons, in this year 500,000 tons were imported and 200,000 tons of the product were exported. At the beginning of the year the stock level was 355,000 tons and at the end of the year it has come down to only 50,000 tons. What is the effective demand for wheat flour in Ethiopia in the year 2000 E.C?

Solution

Effective demand = Production + Imports - Exports - Changes in stock level

Effective demand = 2,000,000 + 500,000 – 200,000 + (355,000-50,000)

*Effective demand = **2, 605,000 tons***

C. Demand forecasting

Forecasting what will happen may not be easy, especially if predictions of environmental reactions are required. Fore-casting is customarily defined as either strategic, tactical, or operational. Strategic forecasting is generally for five years or more, tactical can be for one to five years, and operational is the here and now of six months to one year. Although most projects are operational, they can be considered as strategic, especially if spin-offs or follow-up work is promising. Forecasting also requires an understanding of strengths and weaknesses in:

- The competitive situation
- Marketing
- Research and development
- Production
- Financing
- Personnel
- The management structure

If project forecasting is strictly operational, then these factors may be clearly definable. However, if strategic or long-range forecasting is necessary, then the future economic outlook

can vary, say, from year to year, and forecasting must be revisited at regular intervals because the goals and objectives can change. Forecasting enables us to predict what is likely to occur in the future.

Yet another responsibility you have to your organization relates to information flow. This includes honest estimating, timely reporting of status, and accurate forecasting. Proactively keeping organizational management informed of project status and forecasts good or bad is one of your more important responsibilities as a project manager, maybe even critical to your survival.

Market potential of a product or service is the estimated maximum total sales revenue of all supplies of a product or service in a market during a certain period. Estimation of demand alone is not sufficient and other marketing aspects such as proper pricing, distribution and advertising issues are also essential to assess the market. Since the inception of project planning, estimating demand-supply gap has been the technique for estimating market potential. The process starts with estimating demand in future and then comparing the same with present supplies and prospective new suppliers. A positive demand-supply gap favors the market potential and vice versa.

Estimating in project management is a forecasting technique for determining the amount of effort time and elapsed time required to complete the work tasks of a project. We are attempting to forecast or predict how long the actual effort or work will take, how many human resources will be required, and the elapsed time or duration for completing the tasks.

Demand forecasting is a crucial aspect in gap analysis. There are various quantitative and qualitative methods used for forecasting in different situations.

Activities

What is forecasting?

List and explain techniques of demand forecasting?

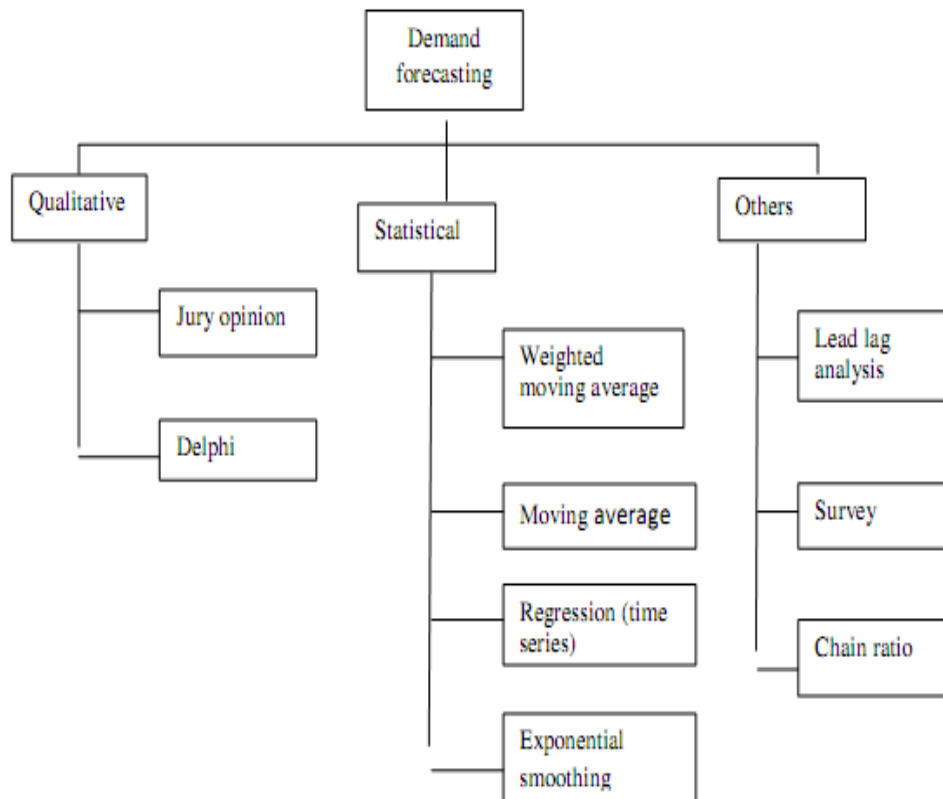


Figure 4.1 Demand forecasting techniques

I. Qualitative Method

These methods rely essentially on the judgment of experts to translate qualitative information into qualitative estimates. It is a statistical technique to make predictions about the future which uses expert judgment instead of numerical analysis. This method of forecasting depends on the opinions and knowledge of highly qualified and experienced employees to predict the future outcomes.

a) Jury Opinion

Jury opinion is a method of combining views of several executives regarding a forecast. The general practice is to bring together top executives from various fields of management, viz., finance, human resources, marketing, purchasing and production. They provide information experiences and opinions to project planning. Jury opinion is simple and commonly used as it is less time-consuming.

b) Delphi Technique

Delphi technique is drawing upon the group's expertise by getting individual submissions, without the drawback of face-to-face meeting. It is a systematic and interactive (though no direct interaction is involved) forecasting method which is based on the outcomes of responses of panels of experts. The convener of the process prepares a questionnaire and mails it to various experts. Based on the preliminary responses, a secondary questionnaire is prepared and resent to the experts. It sometimes may require more than two rounds of questionnaires. After each round, a moderator provides summary of the experts forecasts from the previous round as well as the reasons they provided for their judgment. This encourages participant experts to revise their earlier responses. Finally, the experts converge in their opinion without any direct interaction.

II. Statistical (Quantitative) Techniques

In simple terms, statistical forecasting implies the use of statistics based on historical data to project what could happen out in the future. This can be done on any quantitative data: Stock Market results, sales, GDP, Housing sales, etc. There are number of quantitative forecasting methods, these are:

1. Simple Moving Average Method

Simple moving average (SMA) method uses simple mean of last few time intervals to forecast future demand. Simple moving average is the simplest type of technique of [forecasting](#). Basically, a moving average is calculated by adding up the last 'n' period's values and then dividing that number by 'n'. So the moving average value is considering as the forecast for next period.

Let us suppose, we have a time series data, to have a better understanding on SMA, Where, we have the graphical view of our data, in that we have twelve observations of Price with equal interval of time. After plotting our data, it seems that it has upward trend with lot of peaks and valleys. The larger the interval, the more the peaks, and valleys are smoothed out. The smaller the interval, the closer the moving averages are to the actual data points. The SMA is basically deal with historical data having more and more peak and valleys.

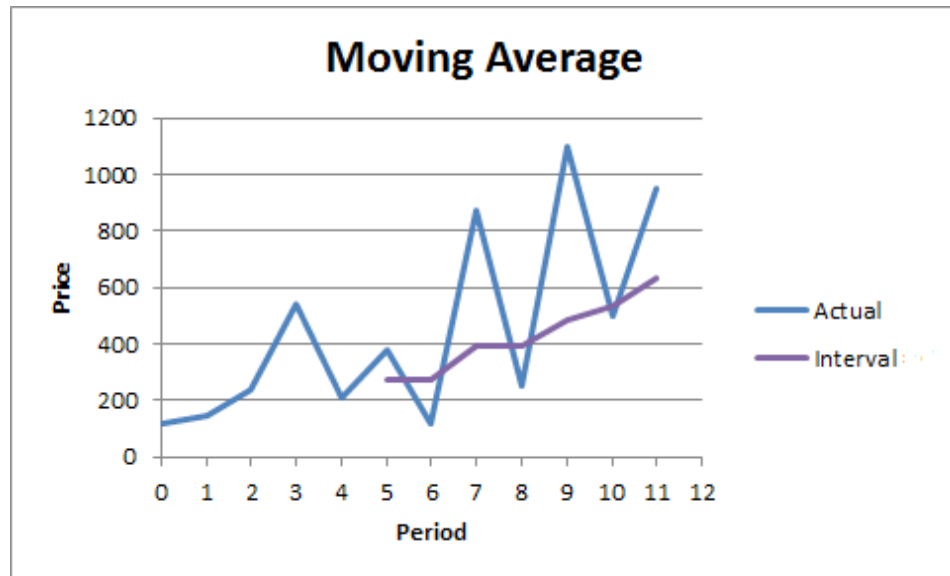


Figure 4.2

$$F_{t+1} = \frac{s_t + s_{t-1} + \dots + s_{t-n+1}}{n}$$

Where,

F_{t+1} = forecast for the next period

s_t = actual data for the current period

n = period

Example: Calculate the forecast (using simple moving average method) for 2013 if demand was 32, 36, 40, 35, 32, 35 and 45, respectively, in each corresponding year from 2006 to 2012 by using four years simple moving average.

Table 4.1

Year	Demand
2006	32
2007	36
2008	40
2009	35
2010	32
2011	35
2012	45

$$F_{2013} = \frac{45 + 35 + 32 + 35}{4} = 36.75$$

2. Weighted Moving Average Method

A weighted average is any average that has multiplying factors to give different weights to different data points. But in technical analysis, a weighted moving average (WMA) has the specific meaning of weights which decrease arithmetically. A weighted average is similar to a moving average, except that it assigns more weight to the most recent values in a time series.

$$F_t = W_t(A_t) + W_{t-1}(A_{t-1}) + \dots + W_{t-n}(A_{t-n})$$

Where,

F_t = forecasted value 't'

W_t = weights for the period 't'

A_t = actual value in period 't'

W_{t-1} = weights for period 't-1'

A_{t-1} = actual value for period 't-1'

Compute the forecast for 2013 using weights in the proportions of 1: 2: 3: 4. Four year moving average.

Year	Demand
2006	32
2007	36
2008	40
2009	35
2010	32
2011	35
2012	45

Table 4.2

In weighted moving average the highest weight must be multiply by the most recent data, the second highest weight must multiply by the second recent data and son on. Therefore;

$$F_{2013} = \frac{(45 \times 4) + (35 \times 3) + (32 \times 2) + (35 \times 1)}{4 + 3 + 2 + 1}$$

$$F_{2013} = \frac{384}{10} = \underline{38.4}$$

If the weights are given in terms of direct percentage for instance 40%, 30%, 20%, 10% .

$$F_{2013} = 45 \times 0.4 + 35 \times 0.3 + 32 \times 0.2 + 35 \times 0.1 = \underline{38.4}$$

Note that the weights must sum to 1.00, and that the heaviest weights are assigned to the most recent values

3. Exponential smoothing

Exponential smoothing refers to a particular type of moving average technique applied to time series data, either to produce smoothed data for presentation, or to make forecasts. The time series data themselves are a sequence of observations. The simplest form of exponential smoothing is given by the formula.

$$F_{t+1} = F_t + \alpha e$$

$$e =$$

$$0 < \alpha < 1$$

Where

F_{t+1} is next year forecast

F_t is current year forecast

α - is the smoothing factor

D_t is latest observation

Example: in 2018 a company forecasted to sales 1,500 units but actually in this year a company sales 1,100 units only. Forecast the sales volume of this company in 2019 by using exponential smoothing forecasting method with the smoothing constant value is 12%.

$$F_{t+1} = F_t + \alpha e$$

$$\begin{aligned} F_{2019} &= F_t + \alpha (D_t - F_t) \\ &= 1,500 + 0.12 (1,100 - 1,500) \\ &= \underline{\underline{1,452 \text{ units}}} \end{aligned}$$

4. Regression methods

Regression methods involve determining the trend of consumption based on past consumption and project future consumption by extrapolating this trend.

Linear relationship

$$y = a + bx$$

Where y = Demand, x = year, a & b = constants, n = number of period

Regression is the most commonly used technique for forecasting demand in project planning as it provides demand forecast for many years to come. The earlier methods are generally applied in operations management whereas this method is significantly useful in project management due to its longer time horizon. Determine the forecast for 2010 and 2013 using least square method for the data given below:

Year (x)	2005	2006	2007	2008	2009
Demand (y)	35	42	45	51	56

Table 4.3

Solution

Table 4.3 represents the technique of least square method.

Year	Demand (y)	Time (x)	x^2	xy
2005	35	1	1	35
2006	42	2	4	84
2007	45	3	9	135
2008	51	4	16	204
2009	56	5	25	280
Total	229		55	738

Equation of line is $y = a + bx$

$$a = \sum y/n$$

$$b = \sum xy/x^2$$

- $a = \sum y/n$ $a = 229/5$ $a = 45.8$

- $b = \sum xy/x^2$ $b = 738/55$ $b = 13.42$

The function of the linear equation $y = 45.8 + 13.42x$

Forecast for 2010,

$$y = 45.8 + 13.42(6)$$

$$\mathbf{y = 123.32}$$

Forecast for 2013,

$$y = 45.8 + 13.42(9)$$

$$\mathbf{y = 166.58}$$

Uncertainties in Demand Forecasting

Demand forecasts are subject to error and uncertainty which arise from three principal sources:

i. Data about past and present market

The analysis of past and present market, which serves as the springboard for the projection exercise, may be vitiated by the following inadequacies of data:

- ❖ Lack of standardization— Data pertaining to market features like product, price, quantity, cost, income etc. may not reflect uniform concepts and measures.
- ❖ Few observations— not enough observations may be available to conduct meaningful analysis.
- ❖ Influence of abnormal factors— some of the observations may be influenced by abnormal factors like war or natural calamity.

ii. Methods of forecasting

Methods used for demand forecasting are characterized by limitations.

- Inability to handle unquantifiable factors— Most of the forecasting methods, quantitative in nature, cannot handle unquantifiable factors which sometimes can be of immense significance.
- Unrealistic assumptions— each forecasting method is based on certain assumptions. For example, the trend projection method is based on the mutually compensation effects' premise and the end-use method is based on the constancy of technical coefficients. Uncertainty arises when the assumptions underlying the chosen method tend to be unrealistic and erroneous
- Excessive data requirement— In general, the more advanced a method, the greater the data requirement. For example, to use an econometric model one has to forecast the future values of explanatory variables in order to project the explained variable. Clearly, predicting the future value of explanatory variables is a difficult and uncertain exercise.

iii. Environmental changes

The environment in which a business functions is characterized by numerous uncertainties. The important sources of uncertainty are mentioned below:

- ✓ Technological change— this is a very important but hard-to-predict factor which business prospects. A technological advancement may create a new product which performs the same function more efficiently and economically, thereby cutting into the market for the existing product. For example, electronic watches have encroached on the market for mechanical watches.
- ✓ Shift in governmental policy— governmental regulation of business is extensive. Changes in governmental policy, which may be difficult to anticipate, may have a telling effect on business environment, e.g. granting of licenses to new companies, particularly foreign companies, may alter the market situation significantly.; banning the import of a certain product may create a sheltered market for the existing producers; liberalizing the import of some product may lead to stiff competition in the market place; relaxation of price and distribution controls may widen the market considerably.
- ✓ Developments on the international scene — Developments on the international scene may have a profound effect on industries. The most classic example of recent times is the OPEC price hike, which led to near-stagnation in the Indian automobile industry.
- ✓ Discovery of new sources of raw material— Discovery of new sources of raw materials, can have a significant impact on the market situation of several products.

4.2 Raw Materials and Supplies Study

Raw materials are materials or substances used in the primary production or manufacturing of goods. Raw materials are commodities that are bought and sold on commodities exchanges worldwide. Traders buy and sell raw materials in what is called the factor market because raw materials are factors of production as are labor and capital.

4.3 Location, Site and Environment Impact Assessment (EIA)

A. Project location

Being in the right location is a key ingredient in a project success. If a company selects a wrong location, it may have inadequate access to customers, workers, transportation, materials, and so

on. Consequently, location often plays a significant role in a company's overall success. A location strategy is a plan for obtaining the optimal location for a company by identifying the needs and objectives of the company, and searching for locations with offerings that are compatible with these needs and objectives. Generally, this means the firm will attempt to maximize opportunity while minimizing costs and risks. Tata Company had to shift their manufacturing facility from Singoor to Sanand as a result of wrong decision which proved costly in terms of cost and schedule. A company's location strategy should conform with, and be part of, its overall corporate strategy.

Factors affecting selection of project locations:

- ◆ **Size, suitability and cost of the land:** an important consideration in choosing of the project is the land which should be good enough for the present and future requirement.
- ◆ **Suppliers:** Companies must consider the kind of suppliers they will need near their locations. Raw material availability in close vicinity is especially useful for projects where raw material is required in bulk quantity, like sugar industry (sugarcane). Projects which need perishable raw material have to be placed nearby to the raw material availability region, like a canned juice industry.
- ◆ **Market proximity:** Manufacturers also benefit from being close to their customers, because proximity to customers reduces shipment time and increases company responsiveness to customers. Projects in which finished products are perishable with short shelf life have to be placed in close vicinity of the customers like in the case of a bread industry.
- ◆ **Infrastructure:** Companies must consider what their infrastructure requirements will be, including what modes of transportation they will need and what kinds of telecommunications services and equipment they will need. Infrastructure availability also includes power and water availability. Industries requiring large volumes of water should always be located in places where water is abundantly available. Projects have been planned in the location where there is less shortages of power.
- ◆ **Labor availability:** Companies must establish their labor criteria and determine what kind of labor pool they will need, including the desired education and

skilled levels. Many projects need huge numbers of labor rather than higher skills. Such type of industries are set up in densely populated areas whereas industries which need labor in small numbers but highly qualified and skilled, may move to areas with high education levels. Industries have also been testing the mentality and social culture of the area.

- ◆ **Political and social environment:** Before a site is selected for a project, understanding the political status and social culture is necessary. Location with political instability may create problems in future.
- ◆ **Government support:** Companies may also face government barriers and heavy restrictions and regulation if they intend to expand into other countries. Therefore, companies must examine governmental as well as cultural obstacles especially in other countries while developing location strategies. Government incentives offered at central as well as state level may play a significant role in a company's selection of a site.
- ◆ **Environmental regulation:** Companies should consider the various environmental regulations that might affect their operations in different locations. Environmental regulation also may have an impact on the relationship between a company and the community around a prospective location.

B. Environmental Impact Studies

All most all projects have some impact on environment. Current concern of environmental quality requires the environmental clearance for all projects. Therefore environ impact analysis needs to be undertaken before commencement of feasibility study.

Objectives of Environmental Impact Studies:

- ✓ To identify and describe the environmental resources/values or the environmental attributes (EA) which will be affected by the project (in a quantified manner as far as possible).
- ✓ To describe, measure and assess the environmental effects that the proposed project will have on the environmental resources/values
- ✓ To describe the alternatives to the proposed project which could accomplish the same results but with a different set of environmental effects

4.4 Capacity Planning and Cost Capacity Relationship

Another important decision in technical feasibility is the determination of optimum capacity of the project. Over capacity may result in lower operating efficiency and wasteful investments and, on the other hand, under capacity may be losing opportunities. Here, we will discuss various factors essential for capacity planning:

a) Primary Factors: The primary factors which are essential in capacity planning are as follows:

- **Market potential:** Capacity should not exceed the market potential of the product or service.
- **Resource available:** Resources like manpower, power and raw material also impose constraint on capacity.
- **Funds availability:** An investor may have an opportunity to sell or have other resources for higher capacity, but higher capacity means higher investment.
- **Break even efficiency:** Installed capacity should not just exceed the break even quantity. Break even quantity does not remain constant with increased installed capacity. A 500 unit capacity plant will not have same break even quantity with a plant with installed capacity of 100 units. The fixed cost certainly increases with higher installed capacity. It can always be assumed that there is a direct relationship between capacity and initial investment. Components of fixed cost include interest, depreciation and salary majorly. And all these costs are more likely to increase in the same proportion of the fixed investment. Therefore, it will be a good assumption to assume break even quantity to vary with initial investment.

b) Secondary factors

- ✓ **Legal rules:** Although majority of products and services are delicensed, still there are restrictions on the production of a few goods and services. This offers another constraint on capacity building.
- ✓ **Competitor's analysis:** Higher capacity creates an opportunity for return to scale. If competitors are having very high capacity, they may make survival of the project difficult.

- ✓ **Technical reasons:** Some equipment is available for particular capacity. We have to restrict our self as per the size of the equipment available easily.

4.5 Technology Selection

The technology that is selected should be appropriate technology. An improper selection of technology can be useless for a project. There are so many cases where the selection of a wrong technology has led a project to be sick in the early years. Such as:

4.5.1 Appropriate Technology

Appropriate technology can be defined as the technology which is best suited for the conditions of its operations (time and location). A technology which is appropriate today may become inappropriate in future. So, time is one big factor which can make a technology inappropriate. Thermal power projects were appropriate in the past, but now, with increasing danger of global warming, they have become inappropriate. Another important factor which makes a technology inappropriate is the space or location. Technology which is appropriate in America may not be appropriate in Ethiopia because of its different climatic conditions, different culture, and different level of skills or different economic environment.

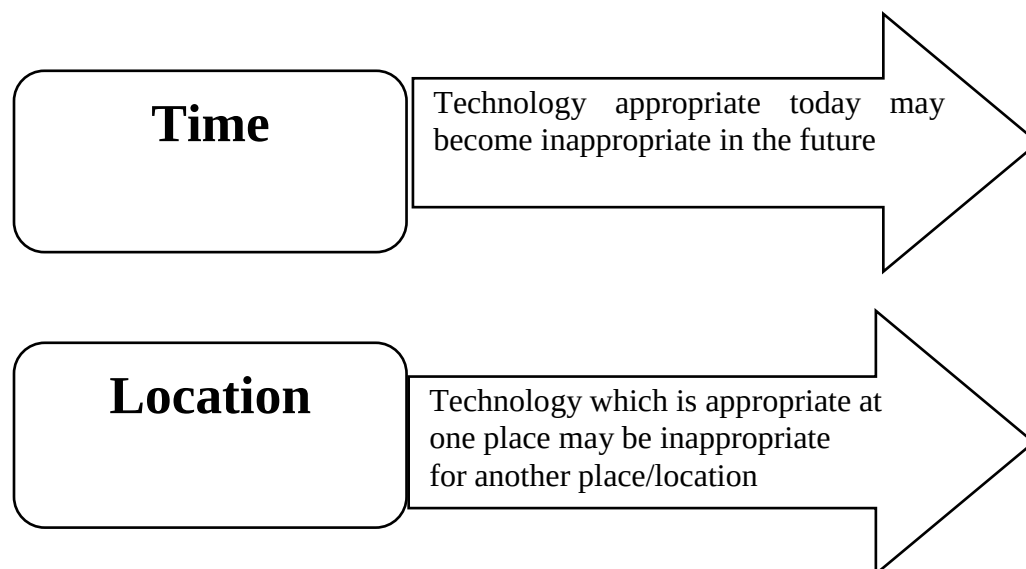


Figure 4.3 Reasons for technology being inappropriate

Factors to be considered while selecting a technology are:

1. **Environmental:** Physical environment should be considered before selecting a technology. A technology which works in cold European countries may not work in hot tropical climate of Africa.
2. **Ethical and cultural:** Selected technology should not violate ethical or cultural practices of the region. Technology using skin of cattle or fats of pigs will not be acceptable in India.
3. **Social:** Technology which needs highly qualified workers may not be successful in states with very low literacy.
4. **Economical:** This is one of the most important parameters for the selection of technology. Countries like India have lower manpower cost and high unemployment but very high cost of capital. So, the selected technology should be more labor intensive rather than power or capital intensive.

Activities

- What is the relevance of financial analysis?
- Explain about cost of project?
- Discuss about capital budgeting decision and evaluation techniques?

4.6 Financial Analysis/feasibility study

4.6.1 Importance and Steps of Financial Feasibility

Financial feasibility is the process of identifying the overall investment outlay, determining expected rate of returns and evaluating project financially.

Financial feasibility is crucial for any organization as:

- ☐ It influences the firm's growth in long term
- ☐ It affects risk of the firm into consideration
- ☐ It involves huge quantum of funds generally
- ☐ A wrong decision with regard to investment of huge sum of funds may prove fatal for an existing firm. A careful analysis of cash outflows and inflows is essential before applying any capital budgeting technique.

Capital budgeting is the process of identifying, evaluating and selecting a project that requires large sums of funds and generates long-term benefits in future.

Steps of financial analysis

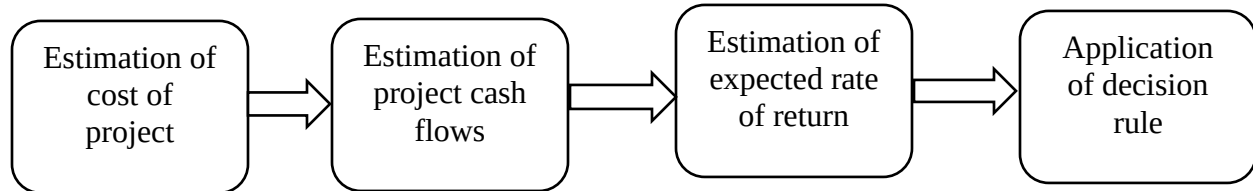


Figure 4.4: stage of financial analysis

- ❖ **Estimation of cost of project:** There are various components of the cost of project. It mainly consists of two types of costs, fixed investment and working capital. The cost of project includes all costs incurred before commissioning of commercial production (manufacturing projects) or operations (service projects).
- ❖ **Estimation of project cash flows:** This estimate involves all the project cash flows during the life cycle of the project. It includes the initial investments, cash flows generated during operations, and at the termination of a project.
- ❖ **Estimation of expected rate of return:** For financing a project, there are many sources of funds. After careful evaluation, we design optimum capital structure for the firm. The expected return from the project includes two components, risk free component (generally weighted average cost of capital) and risk component (risk premium due to the investments).
- ❖ **Application of decision rule:** The last stage of financial analysis is to apply various tools for checking the financial feasibility of a project. Capital budgeting techniques are applied to ascertain profitability and expected returns from the project.

Activities

- Discuss about components of cost of projects
- What are the implications of studding cost of project?

4.6.2 Components of cost of project and its estimation

Project includes all expenses incurred before commercialization of the project. It includes capital investments and all other recurring expenses (like salary, interest, etc) incurred before the completion of a project or before the project is handed over for operations.

The various components of cost of project as per the guidelines of various financing and appraising authorities are as follows:

1. **Land and site development:** It includes all expenses incurred on the acquisition of land and making it suitable for implementation of the project. The various subcomponents are:

- Purchase price of land
- Legal and registration charges
- Levelling of land
- Laying of internal and approach roads
- Boundary wall/fencing of land
- Gates and site office
- Tube well and electrification for project implementation
- Any other expenses of similar nature

2. **Construction cost:** This cost includes expenses incurred on the construction of factory/non-factory buildings of all nature

Different factory buildings are:

- ☞ Production shed
- ☞ Boiler house
- ☞ Transformer room/generator room
- ☞ Workshop
- ☞ Laboratory, etc.

The various non-factory buildings are:

- ✓ Warehouse
- ✓ Stores
- ✓ Security house
- ✓ Workers' rest room
- ✓ Parking

- ✓ Time office/excise room
- ✓ Administrative block
- ✓ Essential quarters for workers
- ✓ Canteen

3. **Plant and machinery:** This is generally the biggest cost in manufacturing projects. It comprises the overall cost of imported and indigenous machinery including its erection and foundation cost. The following costs are included under this head:

- ❖ Basic cost of equipment
- ❖ Excise/custom duty and sales tax
- ❖ Transshipment cost (from vendor to site) and insurance during transportation
- ❖ Erection and foundation cost
- ❖ Piping cost

4. **Technical know-how:** Whether generated or transferred, technology has its own cost. This technical know-how cost includes:

- ☐ Basic cost of technology development or purchase
- ☐ Training cost for employees
- ☐ Royalty paid (if lump sum)

5. **Utility:** Utilities are common facilities used for various plants of the same Organization. This seems similar to plant and machinery cost, but the difference lies in the fact that utilities are used for various plants whereas plant and machinery is for individual plant.

- Boiler
- Compressor
- Generator/transformer
- Underground/overhead water tank
- Effluent treatment plant

6. **Miscellaneous fixed assets:** There are various costs which are not included in the costs, mentioned before. They are termed miscellaneous fixed assets:

- Furniture/fixtures
- Computers/fax/printers and accessories
- Vehicles

- Weigh bridge
7. **Preliminary expenses:** These include market survey expenses, public issue expenses and interest during implementation.
 8. **Preoperative expenses:** These include the normal expenses such as salary and rent incurred by an enterprise prior to commercial production. This also includes travelling expense, company formation expense, commissioning expense, trial run costs, etc.
 9. **Contingency:** This is cushion fund kept for some foreseen over expenditures or some unforeseen expenses.
 10. **Margin money for working capital:** Working capital is generally financed through short term sources of finance.

4.6.3 Working Capital Estimations

Working capital is referred to as operating capital. Working capital should just be adequate: A higher working capital will mean underutilization of funds and a lower working capital may hinder smooth operations.

Various determinants of working capital are

-  Raw material inventory (less creditors)
-  Work in progress inventory
-  Finished goods inventory
-  Debtors
-  Cash (less bills payables)

4.6.4 Project cash flows

Project cash flows differ from financial cash flows during operations. Project cash flows can be classified into three types, viz. initial outlay, operating cash flow, and terminal cash flow.

Table 4.4 Types of cash flow

Initial outlay	Fixed investment + working capital	Generally outflow	Generally in 0 th year
Operating cash flow	**EBIT – tax +	Generally	From 1 st year to

	Depreciation	inflow	n th year
Terminal cash flow	Salvage value + working capital	Inflow	n th year

** EBIT is earning before interest and tax

Operating cash flow is calculated without considering interest as an expense. Initial outlay is generally before the project starts, but when there is capacity enhancement or increase in sales, there is additional outlay in next years. One should be careful in computing working capital. It should be made available one year in advance. For example, working capital of Birr 2 million is needed in the second year. There is working capital available for Birr 1.5 million in the first year, additional Birr 0.5 million should be considered in the first year's cash flow as first year's cash flow is basically at the end of first year or starting of second year.

Initial outlay is generally in the zero's year, but sometimes additional working capital requirement in succeeding years or reduction in working capital in succeeding years may incur addition or subtraction. Operating cash flow is non cash expenditure (like depreciation) added to net profit after tax.

Salvage value and redemption of working capital is considered as terminal cash flow in the last year of project life. The sum of the three cash flows in corresponding years is project cash flow.

4.5 Format of calculation of project cash flow

Year	0	1	2	3	4	5
Initial outlay	FI + WC	Add. WC	Add. WC	Add. WC	Add. WC	-
Operating cash flow	-	EBIT - Tax + Depr.	EBIT - Tax + Depr.	EBIT - Tax + Depr.	EBIT - Tax + Depr.	EBIT - Tax + Depr.
Terminal						

cash flow	-	-	-	-	-	SV + WC
Project cash flow	Sum of all 3	Sum of all 3	Sum of all 3	Sum of all 3	Sum of all 3	Sum of all 3

FI is fixed investment; **WC** is working capital; **Depr.** is depreciation; **SV** is salvage value. It should be noted that only real expenses are considered in cash flows and not the accounting expenses like preliminary expenses written off or written down over heads.

Activities

- What is capital budgeting?
- Discuss about the major capital budgeting evaluation techniques
- What are the difference between discounting and non-discounting techniques

4.6 Financial evaluation (capital budgeting decision)

The Financial Analysis, examines the viability of the project from financial or commercial considerations and indicates the return on the investments. There are various techniques used for capital budgeting. They can broadly be classified as non-discounting and discounting techniques. Non-discounting techniques are those techniques which do not consider time value of money. Discounting techniques take time value of money into account. Time value of money means a dollar earned today is worth more than a dollar earned one or more years from now. All the methods of capital budgeting (financial evaluation methods) are depicted

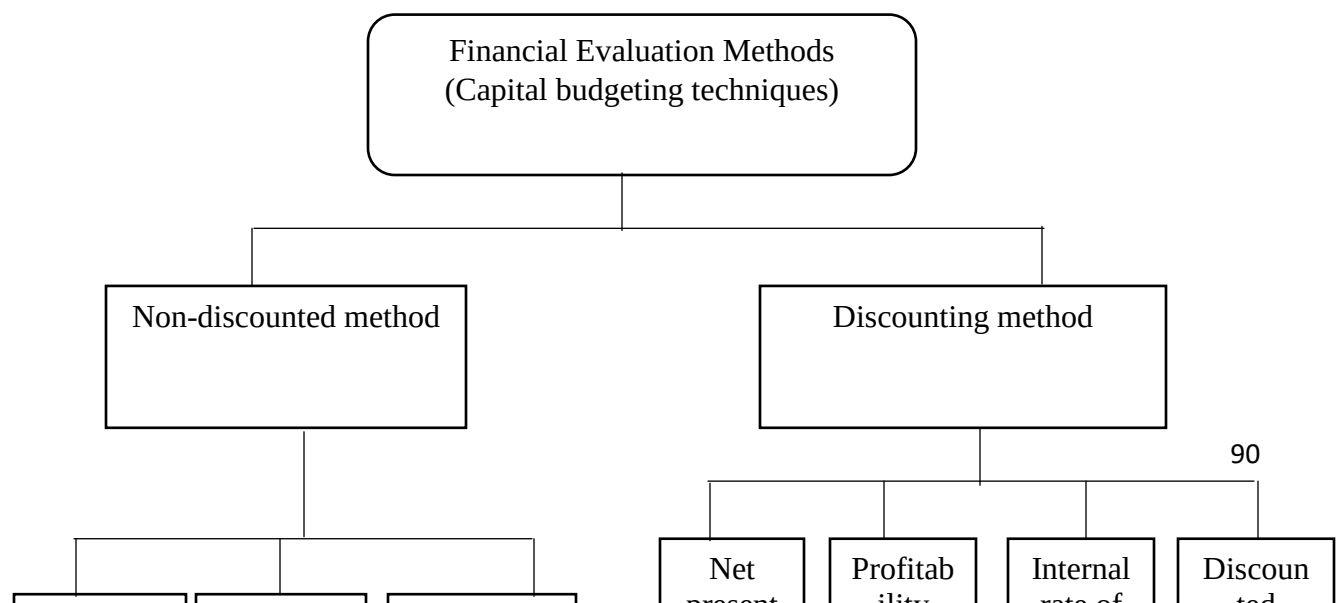


Figure 4.5 Financial evaluation methods

I. Non-discounted Method

A. Pay-back period (PBP)

This is the simplest of all methods and calculates the time required to recover the initial project investment out of the subsequent cash flow. It is computed by dividing the investment amount by the sum of the annual returns (income – expenditure) until it is equal to the capital cost.

Decision rule:

-  If $PBP < \text{Target period}^{**}$ Accept the proposal (project)
-  If $PBP > \text{Target period}$ - Reject the proposal (project)

(** Target period is the minimum period targeted by management to cover initial investment. It acts as benchmark for those involved in capital budgeting decision).

Example1 (Uniform annual return)

A farmer has invested about birr 20,000 for constructing a fishpond and gets annual net return of birr 5,000 (difference between annual income and expenditure) for the last six years. The farmer has decided the target period as five years.

$$PBP = \frac{\text{Cost of initial investment}}{\text{Cash inflow}}$$
$$PBP = \frac{20,000}{5,000} = \underline{\underline{4 \text{ years}}}$$

Interpretation: The farmer will recover its initial investment (birr 20,000) in four years, therefore the project is accepted because four years is lower than the target period (i.e. five years)

Example 2 (Varying annual return-uneven cash flow)

In a project birr 100,000 an initial investment of establishing a horticultural orchard. The annual cash inflow is depicted below. The target period of a project initial investment cost recovery is two years.

Table 4.6

Year	Annual Income	Annual Expenditure	Annual Return	Cumulative Return
1 st	60,000	30,000	30,000	30,000
2 nd	70,000	30,000	40,000	70,000
3 rd	85,000	25,000	60,000	130,000

Solution

$$\text{PBP} = \text{years before full recovery} + \frac{\text{Unrecovered cost of start of the year}}{\text{Cash flow during the year}} \times 12 \text{ month}$$

$$\text{PBP} = 2 \text{ years} + \frac{30,000}{60,000} \times 12 \text{ moth} = 2 + 0.5 \times 12 = \mathbf{2 \text{ years and } 6 \text{ months}}$$

Interpretation: the project is not accepted because the actual initial investment cost recovery period is greater than the target period (i.e. 2 years and 6 month > 2 years)

The drawback in this method is that it ignores any return received after the payback period and assumes equal value for the income and expenditure irrespective of the time. It is also possible that projects with high return on investments beyond the pay-back period may not get the deserved importance i.e., two projects having same pay-back period, one giving no return and the other providing large return after pay-back period will be treated equally, which is logically not correct.

B. Return on Investment (ROI)

The ROI is the annual return as percentage of the initial investment and is computed by dividing the annual return with cost of initial investment. Its calculation is simple when the return is uniform. For above example the ROI of the fish ponds is $(5,000/20,000) \times 100 = 25\%$.

When the return is not uniform the average of annual returns over a period is used. For horticultural orchard average return is $(130,000/3 = 43,333)$. $ROI = (43,333/100,000) \times 100 = 43.33\%$.

Computation of ROI also suffers from similar limitation as of pay-back period. It does not differentiate between two projects one yielding immediate return (lift irrigation project) and another project where return is received after some gestation period say about 2-3 years (developing new variety of crop).

Both the pay-back period and ROI are simple ones and more suited for quick analysis of the projects and sometimes provide inadequate measures of project viability. It is desirable to use these methods in conjunction with other discounted cash flow methods such as Net Present Value (NPV), Internal Rate of Return (IRR) and Benefit-Cost ratio.

C. **Average rate of return (ARR)**

ARR is the average cash inflows (Benefits) against unit investment. This method is also called accounting rate of return method. It considers the cash flows after the payback period and considers working capital and salvage value. The average return is the ratio of average return and average investment. This method is based on accounting information rather than cash flows. It can be calculated as:

$$ARR = \frac{\text{Average cash inflows}}{\text{Average investment}} \times 100$$

Decision rule

1. If $ARR > \text{Target rate}$ - Accept the project proposal
2. If $ARR < \text{Target rate}$ - Reject the project proposal

Example: Let the cash flows associated with a project under consideration is as follows:
Assuming life of the project is five years and the target rate is 15%.

Year	0	1	2	3	4	5
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Cash flow	(200,000)	45,000	40,000	35,000	48,000	50,000
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Table 4.7

$$\text{Average cash inflow} = \frac{45,000 + 40,000 + 35,000 + 48,000 + 50,000}{5} = \underline{\underline{43,600}}$$

$$\text{ARR} = \frac{43,600}{200,000} \times 100 = 0.218 \times 100 = \mathbf{21.8\%}$$

Interpretation: the project proposal is accepted because the project average rate of return is greater than the target rate determined in advance (21.8% > 15%)

II. Discounted method

Under these methods the projected future cash flows are discounted by a certain rate called cost of capital. The second main feature of these methods is that they take into account all the benefits and costs accruing during the life time of the project. Discounted cash flow method are briefly described as follow:

1. Net Present Value (NPV) Method

In this method present value of cash flow is calculated for which cash flows are discounted. The rate of discount is called cost of capital and is equal to the minimum rate of return which must accrue from the project. NPV is the difference between present value of cash inflows and present value of cash outflows. NPV can be calculated as follow:

$$\text{NPV} = \frac{\text{CF}_1}{(1+K)^1} + \frac{\text{CF}_2}{(1+K)^2} + \frac{\text{CF}_3}{(1+K)^3} + \dots + \frac{\text{CF}_n}{(1+K)^n} - \text{CO}$$

Where;

CF= cash inflows

n= expected life of the project

K= cost of capital of the firm/discount rate

CO= cash outflow

If the project has salvage value also it should be added in the cash inflow of the last year. Similarly, if some working capital is also needed it will be added to the initial cost of the project and to the cash flows of the last year. **NPV decision rule:** *If the NPV of a project is more than zero, the project should be accepted and if NPV is less than zero it should be rejected.* When NPV of two more projects under consideration is more than zero, the project whose NPV is the highest should be accepted. The limitation of NPV is pre-determination of discounting factor.

Example 1: The initial cash outlay of a project is Birr 50,000 and it generates cash inflows of Birr 20,000, Birr 15,000, Birr 25,000 and Birr 10,000 in first four years. Using present value index method calculate net present value, investment assuming 10% rate of discount.

Solution

$$NPV = \frac{20,000}{(1 + 0.1)^1} + \frac{15,000}{(1 + 0.1)^2} + \frac{25,000}{(1 + 0.1)^3} + \frac{10,000}{(1 + 0.1)^4} - 50,000$$

$$NPV = \frac{20,000}{1.1} + \frac{15,000}{1.21} + \frac{25,000}{1.331} + \frac{10,000}{1.464} - 50,000$$

$$NPV = \frac{20,000}{1.1} + \frac{15,000}{1.21} + \frac{25,000}{1.331} + \frac{10,000}{1.464} - 50,000$$

$$NPV = (18,182 + 12,397 + 18,783 + 6,831) - 50,000$$

$$NPV = 56,193 - 50,000$$

$$\underline{\underline{NPV = 6,193}}$$

Interpretation: according to NPV decision rule the project is accepted because the net present value is greater than zero (6,193 > 0).

Example 2: As a financial manager, you have to choose one of the two projects available to your company using net present value method. Which project should you choose? Both projects have the opportunity cost of capital, $r=10\%$.

Years		0	1	2	3
Expected cash flow	Project L	(100)	10	60	80
	Project S	(100)	70	50	20

Table 4.8

Solution

Year	Expected Cash Flows		Discount Factor	Present Value Cash Flow	
	Project L	Project S		Project L	Project S
0	(100)	(100)	1	(100)	(100)
1	10	70	$1/(1.1)^1$	9.09	63.63

2	60	50	$1/(1.1)^2$	49.59	41.32
3	80	20	$1/(1.1)^3$	60.11	15.02
NPV =				18.79	19.97

Table 4.9

Interpretation: According to the table cash flows project S better than project L. Even though both projects have positive value but the project with higher NPV will be chosen to implement.

2. Profitability Index (PI)

Profitability index/ Benefit-cost ratio is the ratio of value of future cash benefits discounted at some required rate of return to the initial cash outflows of the investment. PI method should be adopted when the initial costs of projects are different. NPV method is considered good when the initial cost of different projects is the same. PI can be calculated as follow:

$$PI = \frac{\text{Total present value of cash inflow}}{\text{Present value of cash outflows}}$$

Decision rule: If $PI > 1$ the project will be accepted. If $PI < 1$ the project will be rejected.

When $PI > 1$, NPV will be positive, when $PI < 1$, NPV will be negative. In case, more than one projects have $PI > 1$ then the project whose PI is the highest will be given first preference and the project with minimum PI will be given last preference.

According to the above **example 1**, total present value of cash inflow is birr 56, 193 and present value of cash outflow is birr 50,000. Therefore;

$$PI = \frac{56,193}{50,000} = \underline{\underline{1.12}}$$

Interpretation: Project proposal is accepted because the value of $PI > 1$.

Activity

Year	Cash flow	PVF (10%)
0	-160	1
1	30	0.9091
2	40	0.8264
3	50	0.7513
4	60	0.6830
5	100	0.6209

Table 4.10

Calculate;

- a) Net present value
- b) Profitability index

3. Discounted Payback Period (DPBP)

Discounted payback period is the length of time until the accumulated “discounted” cash flows from the investment equal or exceed the original cost. Discounted payback rule is a project should be accepted if its discounted payback period is less than the pre-specified cutoff period. Otherwise, reject it.

Example: It has been decided that the project should be accepted if the payback period is 3 years or less. Should you accept the project? $r = 20\%$

Year	Cash flow	Discount factor	Discounted cumulative cash flows
0	(600)	$1/(1.2)^0$	(600)
1	200	$1/(1.2)^1$	166.67
2	220	$1/(1.2)^2$	152.78
3	225	$1/(1.2)^3$	130.21
4	210	$1/(1.2)^4$	101.27

Discounted payback period =	550.93-600 = -49.07 not accepted because the cost not covered by ≤ 3 years
------------------------------------	--

Table 4.11

4. Internal Rate of Return (IRR)

The internal rate of return (IRR) is perhaps the most sophisticated capital budgeting technique and also more difficult to calculate than NPV. The internal rate of return is the discount rate where the present value of the cash inflows exactly equals the initial investment. In other words, IRR is the discount rate when $NPV = 0$.

Mathematically FV_t

$$\sum \frac{FV_t}{(1 + IRR)^t} - C_0 = 0 \quad \left[\quad \right]$$

IRR	NPV (Birr)
10%	3,722
20%	1,593
25%	807
30%	152
31%	34
32%	78

Table 4.12

The solution to problems involving IRR is basically a trial-and-error solution. Table 4.12 above shows that with the cash inflows provided, and with a birr 5,000 initial investment, an IRR of 10% yielded a value of birr 3,722 for NPV. Therefore, as a second guess, we should try a value greater than 10% for IRR to generate a zero value for NPV. Table 4.12 shows the final calculation. The table implies that the cash inflows are equivalent to a 31% return on investment.

Therefore, if the cost of capital were 10%, this would be an excellent investment. Also, this project is “probably” superior to other projects with a lower value for IRR

Example

Year	Cash flow	18%		17%	
		PVF	PV	PVF	PV
0	-160	1	-160	1	-160
1	30	0.847	25.42	0.855	25.64
2	40	0.718	28.73	0.731	29.22
3	50	0.609	30.43	0.624	31.22
4	60	0.516	30.95	0.534	32.02
5	100	0.437	43.71	0.456	45.61
Total =			159.24		163.71

Table 4.13

Solution

$$\text{IRR} = \text{Lower Rate} + \left(\frac{\text{Max. PV} - \text{Cost}}{\text{Max. PV} - \text{Min. PV}} \right) \times \text{Rate Difference}$$

$$\text{IRR} = 17\% + \left(\frac{163.71 - 160}{163.71 - 159.24} \right) \times 1\%$$

$$\underline{\underline{\text{IRR} = 17.83\%}}$$

Note: The internal rate of return is the discount rate where the present value of the cash inflows exactly equals the initial investment, which is NPV = 0 at IRR as discount rate. It is proof as follow;

$$\text{NPV} = \frac{30}{(1 + 0.1783)^1} + \frac{40}{(1 + 0.1783)^2} + \frac{50}{(1 + 0.1783)^3} + \frac{60}{(1 + 0.1783)^4} + \frac{100}{(1 + 0.1783)^5} - 160$$

$$\text{NPV} = \frac{30}{(1 + 0.1783)^1} + \frac{40}{(1 + 0.1783)^2} + \frac{50}{(1 + 0.1783)^3} + \frac{60}{(1 + 0.1783)^4} + \frac{100}{(1 + 0.1783)^5} - 160$$

$$\text{NPV} = (25.46 + 28.82 + 30.56 + 31.14 + 44.03) - 160$$

machinery, miscellaneous fixed assets, preliminary expenses, preoperative expenses, contingency and margin money for working capital. The Financial Analysis, examines the viability of the project from financial or commercial considerations and indicates the return on the investments. There are various techniques used for capital budgeting. They can broadly be classified as non-discounting and discounting techniques.

Non-discounting techniques are those techniques which do not consider time value of money.

Discounting techniques take time value of money into account.

REVIEW QUESTIONS

Part I: True or False Questions

1. While determine the appropriateness of technology time is not necessarily an important issue.
2. Over capacity may result in lower operating efficiency and wasteful investments
3. Market share refers percentage of total sales that are being made by that company over a certain period of time
4. Financial feasibility study primarily helps to determine product price as per considering the current industry

Part II: Multiple Choice Questions

5. Which of the following activity is not dimension of market analysis?
 - A. Customer Size analysis
 - B. Net present value analysis
 - C. Market trends study
 - D. Distribution channels investigation
6. Assume ABC company total annuals sale reduce to 25, 0000 units in 2011 E.C. In the same year the industry total annual sales reached to 250,000 units. Accordingly how much the market share of ABC Company in the given year?

A. 15%	D. 20%
B. 12%	E. None
C. 10%	
7. In the year 2011 E.C the demand of edible oil coved 30 million litter imported from abroad, 7,500,000 litter home production and 850,000 litter available beginning inventory

in the year 2011 this stock level reduce to 100,000 at the end of the year. How much the amount of effective demand of edible oil in the year 2011? 1.5 million Litter oil exported to foreign market.

- A. 36,750,000 liters
- B. 37,500,000 liters
- C. 49,500,000 liters
- D. 34,500,000 liters
- E. None

8. Identify a technique which is odd compared to other types of capital budgeting evaluation techniques

- A. Net present value
- B. Internal rate of return
- C. Profitability index
- D. Payback period
- E. None

5. Project Implementation, Monitoring and Evaluation

Dear, learners this chapter had prepared to give insight for distance students in the following concepts which are framed below as chapter objectives.

Chapter Objectives

- ☐ Introduce the concept of project organization structure.
- ☐ Present project planning and controlling
- ☐ Discuss project implementation
- ☐ Introduce the project monitoring
- ☐ Introduce the project evaluation

Brainstorm

*What is the relationship between organization structure and project implementation?
How affect each other?*

Project implementation consists of carrying out the activities with the aim of delivering the outputs and monitoring progress compared to the work plan. Monitoring can be defined as control of the project implementation in order to keep the project on track and achieve the end results of the project. The project manager is responsible for the regular monitoring of the project, but the partner organizations should also contribute actively to the effective monitoring of the project.

Although monitoring and evaluation are viewed as related, they are distinct functions. Monitoring is viewed as a process that provides information and ensures the use of such information by management to assess project effects – both intentional and unintentional – and their impact. It aims at determining whether or not the intended objectives have been met. Evaluation draws on the data and information generated by the monitoring system as a way of analyzing the trends in effects and impact of the project. In some cases, it should be noted that

monitoring data might reveal significant departure from the project expectations, which may warrant the undertaking of an evaluation to examine the assumptions and premises on which the project design is based.

Activity

What do we mean by organization structure?

5.1 Organization

Most of us have worked in an organization of people even a family is a type of organization. The word is so widely used that its meaning can sometimes be lost. The word organization means a collection of resources that are working together somehow to achieve a common purpose. When we talk about an organization, we are usually referring to a group of people.

Organizations of people come in many forms. They might be a random group of people who spontaneously came together to address a short-term need, such as collecting litter along a certain stretch of road. Or, it might be a carefully collected, aligned and integrated group of people who came together for the long-term to address a long-term need, such as stopping poverty in a certain country.

An entrepreneur organizes various factors of production like land, labor, capital, machinery, etc. for channelizing them into productive activities. The product finally reaches consumers through various agencies. Business activities are divided into various functions, these functions are assigned to different individuals. Various individual efforts must lead to the achievement of common business goals. Organization is the structural framework of duties and responsibilities required of personnel in performing various functions with a view to achieve business goals through organization. Management tries to combine various business activities to accomplish predetermined goals.

The first major theme commonly seen in the various definitions of the word “organization” has to do with structure. When we talk about how organizations are structured, we are talking primarily about how they function in terms of what happens both within an organization.

Activity

What is the difference between line and staff organization position?

5.1.1. Line and Staff Organization

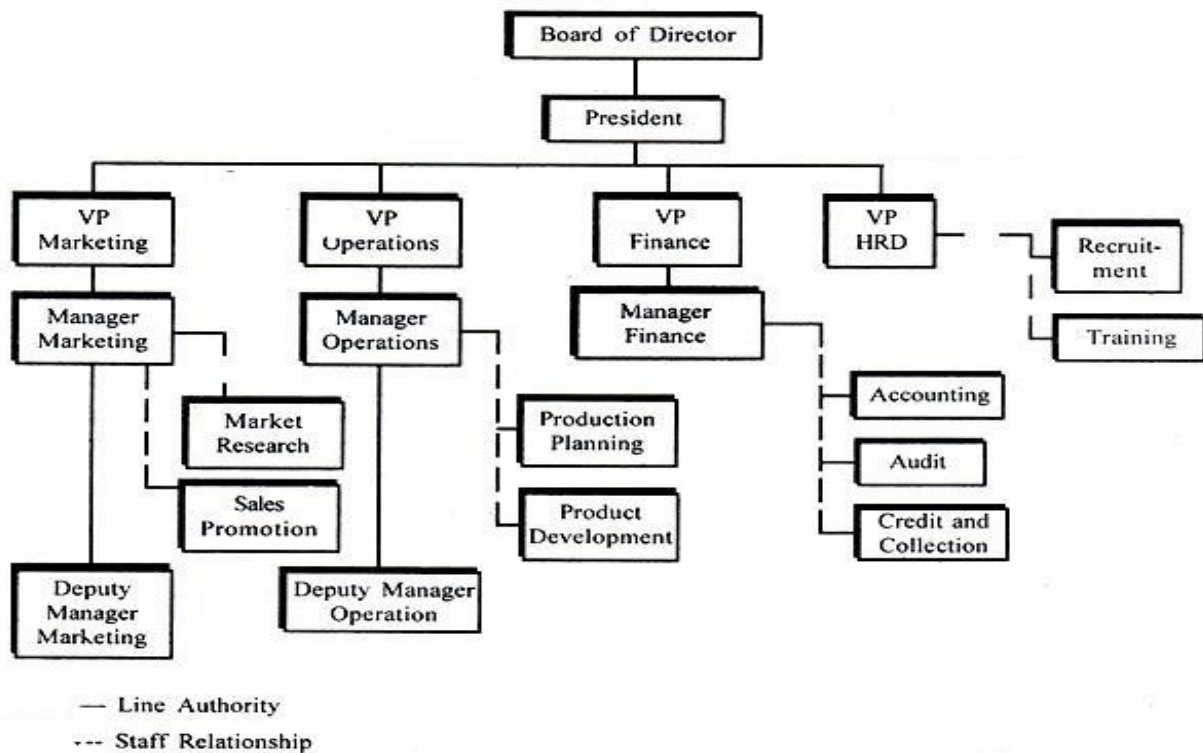
A wide variety of positions exist within a line-and-staff organization. Some positions are primary to the company's mission, whereas others are secondary—in the form of support and indirect contribution. Although positions within a line-and-staff organization can be differentiated in several ways, the simplest approach classifies them as being either line or staff. A line position is directly involved in the day-to-day operations of the organization, such as producing or selling a product or service. Line positions are occupied by line personnel and line managers. Line personnel carry out the primary activities of a business and are considered essential to the basic functioning of the organization. Line managers make the majority of the decisions and direct line personnel to achieve company goals. An example of a line manager is a marketing executive. Although a marketing executive does not actually produce the product or service, he or she directly contributes to the firm's overall objectives through market forecasting and generating product or service demand. Therefore, line positions, whether they are personnel or managers, engage in activities that are functionally and directly related to the principal workflow of an organization.

Staff positions serve the organization by indirectly supporting line functions. Staff positions consist of staff personnel and staff managers. Staff personnel use their technical expertise to assist line personnel and aid top management in various business activities. Staff managers provide support, advice, and knowledge to other individuals in the chain of command. Although staff managers are not part of the chain of command related to direct production of products or services, they do have authority over personnel. An example of a staff manager is a legal adviser. He or she does not actively engage in profit-making activities, but does provide legal support to those who do. Therefore, staff positions, whether personnel or managers, engage in activities that are supportive to line personnel.

Both line and staff personnel have important roles to play. In this organization line authority flows in a vertical line in the same manner as in line organization. In addition staff specialists are attached to line positions to advise them on important matters. Both line and staff organizations

suffer from same drawbacks. On the one hand, line organization is autocratic and staff organization, on the other hand, has lose control.

Figure 5.1 line and staff organization



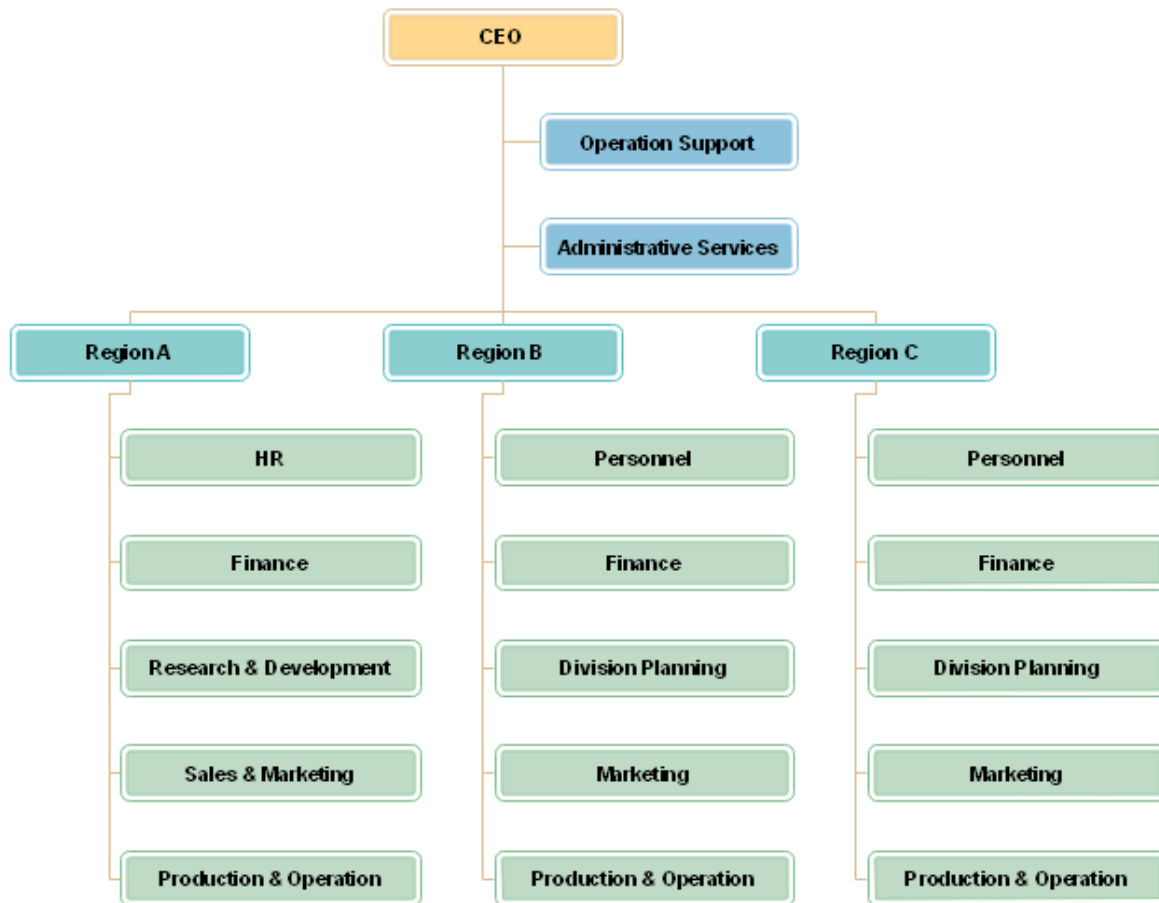
5.1.2. Divisional Organization

A divisional organizational structure consists of parallel divisions. These division might be responsible for a product or service, a geographical location, or a customer group. Each unit is equipped with its own resources to function independently. The industry and business sector, the number of employees and objectives and desired control over the units can determine whether it is useful to implement a divisional organizational structure for your company.

- ♦ **Strengths:** The divisional structure strengthens the company in different ways. The individual divisions of the company are independent financially and that allows them to determine clear routes of accountability and responsibility. Financial independence also creates cooperation among the divisions without competition. Different specializations (divisions) help employees further develop their skills in their own area of expertise.

- ◆ As each division is independent, it can respond quickly to external changes in the business environment without affecting divisions of the company.
- ◆ **Weaknesses:** The divisional organizational structure also can be prone to weaknesses. As each division is independent, all need the same resources and functions that could have been shared among them. For example, all divisions have their own marketing and human resources departments rather than centrally functioning on the company level. Employees can feel more affiliated toward their own division and not toward the company and its mission. Technical employees can also feel separated from their colleagues in other divisions, and that can lead to the lack of sharing about developments in the same technical field.
- ◆ **Keys for Success:** Divisional organizational structures work best for large companies that operate in different geographic areas or have separate smaller organizations to cover different types of products or market areas. The most important element of success for companies with divisional structure is *employing effective management*. The executive leadership needs to have a solid understanding of the functioning of each division and have the capability to advise the division chiefs how to implement new strategic directions or how to cooperate more effectively with other divisions.

Figure 5.2 Geographic divisional organization



5.1.3. Matrix Organization

Matrix organizational structure is a combination of functional organization and project organization (i.e. Matrix organization = Functional Structure + Project Structure). It consists of groups of persons, drawn from various functional departments and deputed to work on a project under the guidance and direction of a Project Manager appointed by the top management. According to Stanley Davis and Paul Lawrence, matrix organization is, “Any organization that employs a multiple command structure but also related support mechanisms and an associated organizational culture and behavior pattern”.

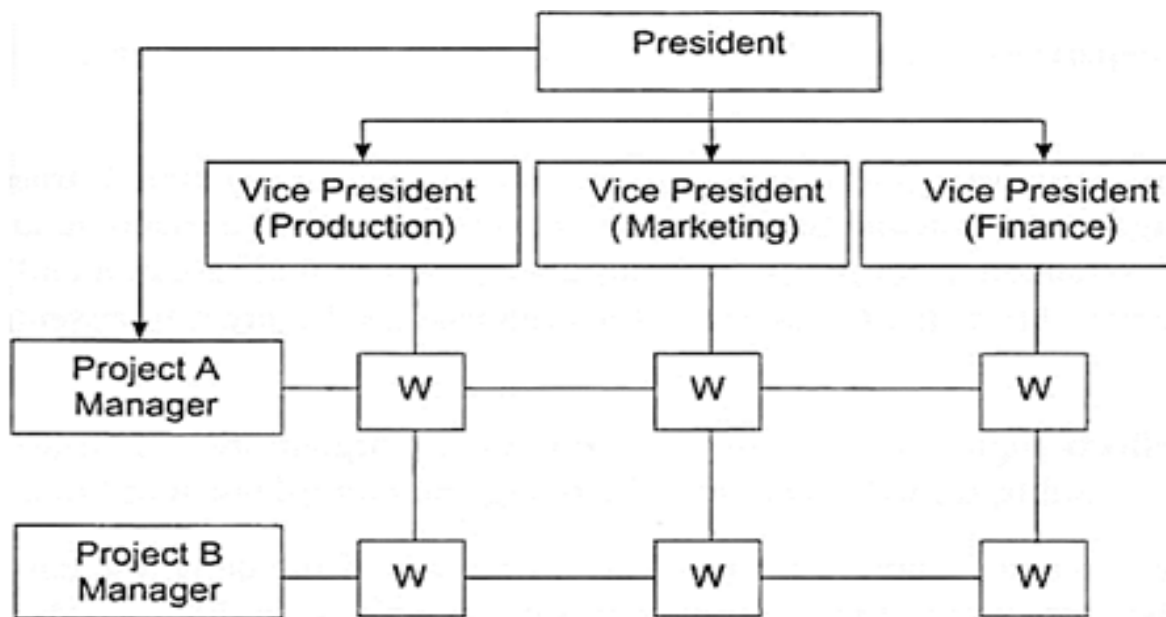
This is also called project organization. It is a combination of all relationships in the organization – vertical, horizontal and diagonal. It is mostly used in complex projects. It provides a high degree of operational freedom, flexibility and adaptability for both the line and the staff managers in performing their respective roles.

The main objective of matrix organization is to secure a higher degree of coordination than what is possible from the conventional organizational structures such as – the line and staff.

Figure 5.3 shows a president having three vice-presidents, each representing a functional area like production, finance, and sales. Additionally, there are two project managers for two locations A and B. The figure reveals that both the functional manager and the project manager exercise authority over those working in the matrix unit.

The president coordinates or balances power between the functional and the project managers. Each work group (represented by a square on the matrix) is held uniquely accountable to two supervisors (there is dual unity of command).

Figure 5.3: Matrix organization



Activities

- What is project planning? What steps it go through?
- What is project controlling? What is the relationship between project planning and controlling?

5.2 Project Planning

As much as we talk about project planning, it's an elusive thing to characterize in a few words or graphics. Why? Well, for one thing, "the plan" can assume many different shapes, sizes, and forms. Many people equate the plan with the schedule, but. As we will see, there's much more to a plan than just a schedule.

Project plans are considered to consist of three fundamental "dimensions"

- Cost: how much money that will be spent and how it's budgeted over time
- Time: how long it will take to execute work—individually and as a total project
- Scope: what is to be done

Project planning is part of project management, which relates to the use of schedules such as Gantt charts to plan and subsequently report progress within the project environment. Initially, the project scope is defined and the appropriate methods for completing the project are determined. Project planning and scheduling is both an art and a science. No two project managers or planning professionals develop identical plans or project schedules. The planning process is creative and reflects the planner's approach and style. Even though the project plan is unique to the approach and style of the planner, methods for developing the schedule and documenting the resulting plan follow certain rules.

Stages of project planning

The basic planning steps are stated as follows

1. Define the problem to be solved by the project.
2. Develop a mission statement, followed by statements of major objectives.
3. Develop a project strategy that will meet all project objectives.
4. Write a scope statement to define project boundaries (what will and will not be done).
5. Develop a Work Breakdown Structure (WBS).
6. Using the WBS, estimate activity durations, resource requirements, and costs (as appropriate for your environment).
7. Prepare the project master schedule and budget.
8. Decide on the project organization structure—whether matrix or hierarchical (if you are free to choose).
9. Create the project plan.
10. Get the p5.3 lan signed off by all project stakeholders.

5.3 Project Control

Controlling is a three-step process of measuring progress toward an objective, evaluating what remains to be done, and taking the necessary corrective action to achieve or exceed the objectives. These three steps—measuring, evaluating, and correcting—are defined as follows:

1. **Measuring:** determining through formal and informal reports the degree to which progress toward objectives is being made.
2. **Evaluating:** determining cause of and possible ways to act on significant deviations from planned performance.
3. **Correcting:** taking control action to correct an unfavorable trend or to take advantage of an unusually favorable trend

The project manager is responsible for ensuring the accomplishment of group and organizational goals and objectives. To effect this, he or she must have a thorough knowledge of standards and cost-control policies and procedures so that a comparison is possible between operating results and pre-established standards. The project manager must then take the necessary corrective actions. Later chapters provide a more in-depth analysis of control, especially the cost control function.

5.3.1 Project Control through Networks

A. Work Breakdown Structure (WBS)

Work breakdown structure, as the name suggests, is breaking the project systematically into successive levels. But work breakdown structure is not limited to disintegration or breaking down; it also develops linkages between various tasks or activities. The breakdown can be:

1. **Agency-oriented:** In this type of breakdown, different agencies or type of agencies are allocated to a group or individual. For example, dealing with civil contractors, equipment suppliers.
2. **Function-oriented:** Like departmentalization, the activities are divided on the basis of type of work. A project can be divided into engineering works, accounting works, financial works, procurement works, and human resource works, and so on.
3. **Location-oriented:** This type of WBS is generally useful when the project is multi-locational.

4. **Cost-orientation:** Different cost centers are identified and allocated to various groups or individuals.
5. **Life cycle-oriented:** There exists a project life cycle, so work can be divided on the basis of different phases of life cycle, like identification team, planning team, implementation team, and so on.

B. Gantt chart

Henri Gantt (1861-1919) developed the bar charts to visualize the progress of activities on time scale. Due to his contribution in the field, he is also called *father of project management*. In the charts, the top line shows the time scale and various activities as recognized by WBS are systematically written on vertical line. Individual activities are drawn on time scale, the starting date and finishing date mentioned.

This helps the project management team to identify the current situation of the project. They can find out how much they are lagging behind or leading in the planned schedule of the project.

Figure 5.4 describes a typical bar chart of a small industrial project. The development of plan is done in the first week. Identification of resources will start in the second week and will last for two weeks, to be completed by the end of third week. Total project will be implemented in eight weeks as per plans

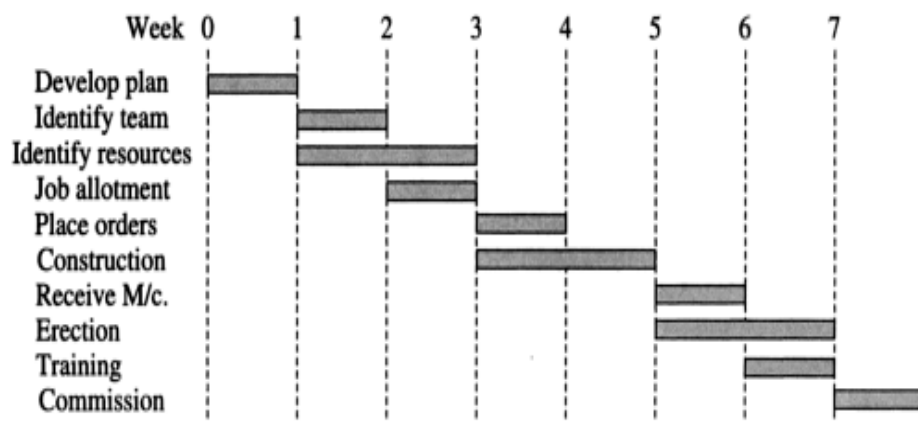


Figure: 5.4 Gantt chart

C. Networks

Network is a diagrammatic representation of various activities showing their interdependencies and dependencies, without drawing on scale. Networks are the most commonly used tool for planning and controlling any project.

Before discussing types of networks, we should understand various terms.

- **Activity:** A specific task or group of tasks which are essential for completion of a project. They have their own resource requirement and time.
- **Event:** This can be defined as milestones, which depict starting or ending of an activity.
- **Critical activities:** The identified activities which are crucial for completion of the project on scheduled time. Any delay in these activities will lead to delay in the project schedule.
- **Critical path:** It is the sequence of critical activities. It is the longest path starting from the start of a project and leading to the end of the project. A network can have multiple critical paths.
- **Predecessor:** All those activities are called predecessors of an activity which are essential to be completed before starting the activity.
- **Successors:** A set of all those activities which cannot be started before the activity itself is not finished. The dependent activities are called successor activities.
- **Concurrent activities:** Those set of activities which can be done during the same duration as they are not dependent on each other.
- **Dummy activities:** Those activities which do not consume resource or time. They are just drawn to depict the dependencies between some activities and avoid crossing.

Activity

What are the roles of manager in project management?

5.4 Human Aspects in Project Management

5.4.1 Roles of the Project Manager

The project manager acts like the captain of a ship who has all authorities and is responsible for making the ship reach the shore safely in time or the project completed with its all scope in proper time and within the cost limits. His/her role is integrating various resources (including material, equipment and people) to attain the objective(s).

The project manager has to play various roles during his/her tenure. The roles of a project manager are:

- **Entrepreneur:** The project manager may not be the owner or entrepreneur himself/herself, but has to play the role of an entrepreneur. He/she is responsible for procurement of funds, facilities and people for the project. He/she is accountable for failure and wins all credits in the situation of success. The success of any project majorly depends upon this entrepreneur.
- **Decision maker:** The project manager is the responsible for the allocation of resources, defining project scope, managing the cost and schedules as per the plans. He/she is controlling the project to retain the project schedules and costs and decrease the sources of deviations.
- **Communicator:** The project manager is the central point of all communications in a project. He acts like a communication hub or a server. He/she collects various information and processes them. He/she is also responsible for communicating the methods, targets to various members of the project team. He also heads the review meetings.
- **Change agents:** The project manager brings about the changes and attempts to reduce the opposing forces developed due to change process. All changes bring in oppositional forces and they are very high especially in projects as they are generally aimed at radical changes.
- **Motivator:** No expedition is completed successfully without committed and motivated crew members. The captain of the ship or project manager is responsible to create motivation level of his team members and maintain it through ups and downs. A project also goes through situations when it is as dark as blue moon and no success is visualized. There are the times when the project manager's major role is to bring back the confidence of the team members in the project. He should maintain the enthusiasm and excitement of

his teams. There are basically many types of motivation:

- That stimulates people for doing work
 - That refrain the workforce from fatigue
 - Making them feel meaningful for the project
 - Making them feel that it will be helpful in boosting their career
 - Not allowing them getting confused or insecure
 - Removing misbalance between perceived and received rewards.
- **Foresighted and fire fighter:** Risk is an inherent characteristic of any project. The successful project manager foresees the risk or variations and plans the route to face the possible deviations. In the situations when the unexpected is not seen and it occurs, then the project manager leads the team to face the problem like fire fighter. For example, the project manager should forecast an increase in prices of steel which is going to be there for a short span of time and accumulate the steel in advance. But if due to transport strike or some other reason, a shortage of steel occurs, then he should plan it so that the project schedule does not suffer because of the strike. He may opt for either acquiring steel from other place or project and if that is not possible, he should replant the work schedule and complete the other remaining work without steel for the period when strike is there.

Activity

Discuss about skills of project manager

5.4.2 Skill of Project manager

i. Human Skills or Soft Skills

- **Leadership:** The project manager should be a leader instead of being a typical manager. He should be problem solver for his team and make his team feel that they have to work for him and make him successful. A project manager should not just be influencing his team but he should be able to influence the project owners or top management. This can help him get the required resources and support for the project in a timely manner.

- **Decision making skills:** It is one of the most important skills expected of a manager. But it becomes a crucial skill for a project manager. This is because the teams and proper supportive decision makers are not generally available during project implementation and he has to take various decisions himself. A functional manager is always helped by other functional managers or experts but a project manager may not be able to get such skillful hands for his support in decision making process.
- **Alertness and quickness:** The project manager has to respond to problems and take fast decisions. He should be well aware about the environment as it affects the progress and affectivity of the project.
- **Communicator:** The project manager has to deal with many categories of people. It includes the project owners, the subordinate teams, the subcontractors and vendors. He needs multi communication skills to deal with all of them simultaneously. He should set proper channels for communications and frequency of communications with various agencies.
- **Negotiating skills:** A project comprises purchasing of various equipment and contracting with many contractors and subcontractors. A project manager should possess good negotiation skills to deal with all of them.
- **Training:** Project team may or may not possess experienced staff members, the project manager has to play the role of a trainer for his team members. This also helps himself to become a leader of heart for the project team members.
- **Time management skills:** Schedule is a major success parameter of any project. Time management becomes a crucial activity in project management. The project manager should possess skills to manage the time.
- **Flexibility and versatility:** Project management cannot be completed with rigid structures and sticking religiously to the principles. A project manager should have quality of versatility and flexibility depending on the situation.
- **Presentation skills:** A project manager's first job is to get the project appraised and funded by the project manager. He should have skills to present the project to get it appraised by the project owners and funding agencies.

- **Resourcefulness and creativity:** A project needs variety of resources during its implementation. The project may be planned to perfection, but there are still chances of unavoidable uncertainties. The project manager needs to apply his creativity to solve out the problem of inadequate resources or be resourceful to manage the gap between planning and execution.
- **Act like cheer leader:** The project manager should not be a miser in applauding or appreciating success of his team members and keep them cheerful and feel rewarded for the smallest of the successes.
- **Les bons comptes font les bons amis:** This is a *French saying*, which means good accounts always lead to good friends. The project manager although seats at the apex of the project organization, he should maintain good accounts and should understand his shortcomings and mistakes. He should be willing to learn from mistakes as learning from smaller mistakes avoids big mistakes and leads to long-term success.

ii. Hard Skills

The project manager does have support from technical experts, but he should also have technical skills up to some extent to be able to solve problems in project implementation. He should be able to at least follow the advice of his technical staff managers.

- ❖ **Financial skills:** Cost is a major success criterion of any project. Basic knowledge of Finance and financial transaction is an essential skill required in any project manager.
- ❖ **Risk management skills:** Project management is full of risks and uncertainty. Uncertainty always leads to huge costs. The project manager should possess skill to anticipate the upcoming deviation and uncertainty as a diagnosed problem is half cured itself. Any diagnosed deviation with respect to any of the objective of the project like time, cost or scope can lead to corrective actions and keep project safe from risk or at least minimize its impact on the project. He should also have the ability to rapid planning as situations of firefighting may arise due to unforeseen happening in the environment.

- ❖ **Generalist:** The project manager should be a generalist with the knowledge of various fields rather than specialized in one particular sector. Very high level technocrats may not be very good at project management as they may be specialized in their fields but may lack knowledge about various other fields.

5.4.3 Change Management

The success rate of all significant change initiatives is just 30%. Projects bring about big or radical changes and they are difficult to be absorbed by the people concerned. Newton's first law of motion (there is always inertial offered to any change of state) is applicable to human behavior. It is a big task of any project manager to bring about the change and make it acceptable by the people concerned.

Managers, especially project managers, always face big challenge offered by various people, including all stakeholders, due to change. Following steps should be taken to reduce the negative effects of change:

- **Proactive communication:** The people or stakeholders who would be affected by the project should be informed and taken in confidence. It should be conveyed in such a manner that the project's result becomes the wish of the stakeholders and they start seeking for the change. They should be well informed about the benefits of the change which are brought in. Instead of declaring the project, an environment should be built where stakeholders ask for the project implementation.
- **Encourage middle level management:** Middle level managers can play an important role in reducing resistance change. They have direct association and regularly in touch with other two levels of management. They should be communicated the results of the projects and support should be asked from them.
- **Avoid over communications:** Sometimes, over communication also leads to increased resistance to change. Grapevine communications should not be motivated during change management as it often results in greater resistance.

- **Make the change process gradual:** The change process should be gradual and slowed down to reduce the negative effects. Let it be absorbed by the concerned people. It is always difficult to digest a different food early, so let it be a slow process. It should be understood that perception is a major cause of resistance. Let the change be conducted in more harmonious climate where perception or expectation of stakeholders is positive with respect to the outcomes of the project.

Activities

- Discuss about project implementation

5.5 Project Implementations

Project execution is characterized by the actual work on the tasks planned and project control involves the comparison of the actual performance with the planned performance and taking appropriate corrective action to get the desired output.

During this phase, project team is responsible for the following activities:

- The team members perform the tasks allocated in the earlier phase under the supervision of the project manager and report to him.
- Project manager is responsible for performance measurement, which includes finding variances with respect to cost, schedule and scope.
- Project manager is responsible for providing project status report to all key stakeholders. He should specifically inform the deviation from the plan to the stakeholders. He should also determine the root cause for the deviations and suggest the alternate actions to encounter the deviation caused or expected. This helps stakeholders to decide the corrective action to be taken.
- All project key stakeholders are responsible for the review of the variances.
- All project key stakeholders are responsible for taking necessary action of the variances thus determined so as to complete the project within time and cost.

The basic process of the project execution can be:

- Execution of the project plan
- Handle the changes
- Project control

The subsidiary processes during project execution can be:

- Quality control
- Performance monitoring
- Project administration
- Risk monitoring and control
- Scope and control
- Schedule and cost control
- Management of outside agencies (subcontractors)

The key activities during this phase of execution include:

- **Award contracts to contractors, vendors, subcontractors:** Final selection of suppliers of various supplies of services (generally termed contractors) and physical equipment (generally termed vendors).
- **Procure equipment and services:** After continuously monitoring the suppliers, the project team has to procure the goods and services.
- **Erection of equipment:** The procured equipment needs to be placed on the designed place after preparing the required foundation.
- **Control and monitor project cost, schedule and scope:** As majority of efforts, time and cost are incurred during this phase, it is critical to monitor the project schedule and cost during this phase. This is generally done using various tools like Gantt chart and Earned Value Analysis.
- **Motivation of project team:** As this phase consumes maximum energy of the team members, motivating them during this phase is critical to the success of the project.

Activity

- What is the difference between project monitoring and evaluation?

5.6 Project Monitoring and Evaluation

Although monitoring and evaluation are viewed as related, they are distinct functions. Monitoring is viewed as a process that provides information and ensures the use of such information by management to assess project effects – both intentional and unintentional – and their impact. It aims at determining whether or not the intended objectives have been met.

Evaluation draws on the data and information generated by the monitoring system as a way of analyzing the trends in effects and impact of the project. In some cases, it should be noted that monitoring data might reveal significant departure from the project expectations, which may warrant the undertaking of an evaluation to examine the assumptions and premises on which the project design is based.

5.6.1 Monitoring

In defining the term monitoring, one needs to be exposed to a number of concepts associated therewith. Monitoring is the continuous assessment of a program or project in relation to the agreed implementation schedule. It is also a good management tool which should, if used properly, provide continuous feedback on the project implementation as well assist in the identification of potential successes and constraints to facilitate timely decisions. Unfortunately, in many projects, the role of this is barely understood and therefore negatively impacts on the projects.

Monitoring is not only concerned with the transformation of inputs into outputs, but can also take the following forms:

- a) Physical and financial monitoring:** Measuring progress of project or program activities against established schedules and indicators of success.
- b) Process monitoring:** Identifying factors accounting for progress of activities or

success of output production.

c) Impact monitoring: Measuring the initial responses and reactions to project activities and their immediate short-term effects.

Projects are monitored so as to:

- ✚ Assess the stakeholders' understanding of the project
- ✚ Minimize the risk of project failure
- ✚ Promote systematic and professional management; and
- ✚ Assess progress in implementation.

One needs to recognize the role played by the various stakeholders in monitoring. These players include the financiers, implementing agencies, project teams, interested groups such as churches, environmentalists, etc. It should further be recognized that, to be an effective management tool, monitoring should be regular but should take into account the risks inherent in the project/program and its implementation.

In many developing countries, one tends to find the following aspects in monitoring and evaluation of projects:

- There is a dominant use of external consultants in monitoring and evaluation.
- There is a dominant use of donor procedures and guidelines in monitoring.
- Sustainability is often not taken into account.
- Monitoring is sometimes used to justify past actions.
- Concerns of stakeholders are not normally included.
- Lessons learned are not incorporated.

If one looks at these, it is clear that there is need to revisit these for sustainability. For example, over reliance on external consultants and donor may impact negatively on sustainability – an important aspect of any project.

What are the characteristics of an excellent monitoring system?

Each project is unique. It is therefore suggested that prior to starting of a project, a

discussion should ensure to try and identify these. Among them could be: simple, quickly provides information for corrective action, cost-effective, flexible, accurate, comprehensive, relevant, accessible, leads to learning, transparent, and shares information up and down.

Tools for monitoring

One of the greatest weaknesses of management information is the lack of effective and timely communication of information to the users. Some monitoring staff often invest too much time and resources in gathering data which they frequently fail to interpret and present in a form that will convey the meaning of the progress made. This should be avoided if possible. Appropriate monitoring tools should be put in place and used accordingly.

The importance of communication in project management is equally critical. It is the “oil” that lubricates the project movement in the attainment of the stated objectives. Some of the most widely used tools for project monitoring, and their limitations include the following:

1. Verbal communication

This is probably the most effective mode of communication. Among its advantages is that it is quick, and its presentation can be adapted to concerns and questions of the audience.

However, this type of tool to communicate monitoring information can lead to misunderstandings and sometimes denial of information.

2. Meetings

The very nature of project/program management makes it inevitable that certain meetings are convened to communicate and share project information. Other program may even require standing committees where outsiders may be invited to review program performance. One needs to be cautioned that, while it is important to have meetings, they should be used as effective tools. Meetings can be used for sharing and interchanging information, clarifying, stimulating, and seeking the best solutions regarding project performance.

3. Reports

The importance of monitoring reports should not be overlooked. It should be noted that these are an essential part of project / program monitoring. Activities undertaken, inputs supplied, money disbursed, etc. have to be recorded and accounted for.

However, reports are only effective if they are submitted to the right people at the right time to facilitate corrective decision making.

4. Diary notes

While most people do not use this mode of recording information, it remains an important option. It is essential to record key decisions, which may have been made at formal or informal meetings. Its format should be simple – giving the date, time, place and the names of the people present when the decision was taken.

However, experience from many countries (developing) indicate that some of the problems in general would include:

- Most reports gather dust in offices without being effectively used.
- Sometimes the wrong information is collected, which may not be useful in decision-making.
- Some departments or units do not have the necessary logistics – e.g. paper, typewriters, etc. – to write reports.
- There has normally been no feedback on the reports presented to higher authorities.

All the above need to be actioned upon to ensure those maximum benefits of this are attained.

5.6. 2 Evaluation

Evaluation can be defined as a process which determines as systematically and as objectively as possible the relevance, effectiveness, efficiency, sustainability and impact of activities in the light of a project/program performance, focusing on the analysis of the progress made towards the achievement of the stated objectives.

In most cases, evaluation is not given emphasis in projects, as what is normally considered is monitoring.

Purpose of Evaluation

Evaluation has several purposes, which include the following:

- It assists to determine the degree of achievement of the objectives.
- It determines and identifies the problems associated with program planning and implementation.
- It generates data that allows for cumulative learning which, in turn, contributes to better designed program, improved management and a better assessment of their impact. The key words in this scenario are “lessons learned”.
- It assists in the reformulation of objectives, policies, and strategies in projects/program.

It should also be noted that in some cases, evaluation has been used to resolve non-program issues affecting different donors. For instance, two organizations involved in separate but similar program on land management may undertake an evaluation of the entire program to assess the extent to which they can cooperate. Consequently, evaluation can be seen as a process that determines the viability of program/projects and facilitates decisions on further resource commitment.

Usage and limitations of the various types of evaluation,

These include:

- **Interim evaluation:** This normally takes place at some point during the life of a program, usually mid-term.
- **Terminal evaluation:** This assesses the progress made towards the achievement of the pre-determined objectives at the end of the program and provides a basis for decisions on future action. Its findings and recommendations are often used to decide whether or not to stop the project or when a new phase is under consideration.
- **Ex-post evaluation:** This is conducted after a sufficient number of years (depending on the project) have elapsed since project completion so as to measure the impact.

It is generally accepted that, if the evaluations are to be objective, they have to be undertaken by external consultants. However, there is a general feeling that at times

external consultants are overused. They recommended that external consultants should work in a conducive environment to facilitate the transfer of knowledge to their counterparts. Governments should take the lead in promoting this aspect.

5.7 Termination Phase (Clean-up Phase)

The last step performed to say good bye to a project is the termination phase. The termination of a project is inevitable, but how it is terminated and when may have a profound and long lasting impact on the organization and its employees.

In the end, all projects, both successful and unsuccessful, will have to be terminated. During the termination phase, the project's resources are redistributed, financial records are closed, and project personnel are reassigned. The organization's sensitivity to the concerns of the project team can have a lasting impact on their commitment and productivity. Lastly, a final report, which discusses the project's successes and shortcomings, is prepared for senior management. This report can significantly influence how the organization manages projects in the future.

According to Meredith and Mantel (1995), there are three ways to terminate a project: extinction, inclusion, or integration. Termination by **extinction** means the project is completed. For example, the new project has been developed and given to the client, the building has been completed and accepted by the purchaser, or the software has been installed and is running.

By contrast, termination by **inclusion** is a very different process. The complete project team and its equipment are transferred to a new division. As one might expect, this type of change places significant additional stress on the day-to-day operations of the organization. Project managers and team members must be sensitive to these stresses until the organization is able to settle into a new and more stable routine.

The most common, but also the most complex, method of termination is by **integration**. The project's resources, personnel, and functions are absorbed as a part of the original organization. The major problem associated with this

termination process is the ability of the organization to blend technological differences between the project and the organization. Past experience appears to play a key role in successfully integrating terminated projects.

Chapter Summary

Organization means a collection of resources that are working together somehow to achieve a common purpose. When we talk about an organization, we are usually referring to a group of people. An entrepreneur organizes various factors of production like land, labor, capital, machinery, etc. The first major theme commonly seen in the various definitions of the word “organization” has to do with structure. When we talk about how organizations are structured, we are talking primarily about how they function in terms of what happens both within an organization. There are many types of organization structure according to organization own context. Among these structure matrix organization structure mainly connected with project.

Project planning is part of project management, which relates to the use of schedules such as Gantt charts to plan and subsequently report progress within the project environment Project planning and scheduling is both an art and a science. No two project managers or planning professionals develop identical plans or project schedules. If there is plan, controlling is mandatory. Controlling is a three-step process of measuring progress toward an objective, evaluating what remains to be done, and taking the necessary corrective action to achieve or exceed the objectives. Project monitoring is the continuous assessment of a program or project in relation to the agreed implementation schedule. It is also a good management tool which should, if used properly, provide continuous feedback on the project implementation.

Evaluation can be defined as a process which determines as systematically and as objectively as possible the relevance, effectiveness, efficiency, sustainability and impact of activities in the light of a project/program performance, focusing on the analysis of the progress made towards the achievement of the stated objectives.

In most cases, evaluation is not given emphasis in projects, as what is normally considered is monitoring. Monitoring is a continuous process to assess progress, identify

bottlenecks and it focuses more on the process while evaluation is sporadic (done mid-term or end of project) to assess the achieved results against expected ones.

Review questions

Part I: True or False questions

1. A line position is directly involved in the day-to-day operations of the organization
2. Divisional organization structure allows the principle of dual unity of command
3. Always it is recommended to project managers to take corrective action earlier to measurement of result.
4. In most cases, evaluation is not given emphasis in projects, as what is normally considered is monitoring.
5. Monitoring is a continuous process to assess progress, while evaluation is sporadic to assess the achieved results against expected ones.

Part II: Multiple choice question

6. Which of the following is correct about line position in the give organization?
 - A. Directly involved in the day-to-day operations
 - B. Engaging in producing or selling a product
 - C. Line personnel carry out the primary activities of a business
 - D. Line managers make the majority of the decisions
 - E. All
7. Identify the type of organization structure that can allow multiple commands;
 - A. Functional organization structure
 - B. Geographical structure
 - C. Divisional structure
 - D. Matrix structure
 - E. None
8. Among alternatives given below, which one is the first activity in project planning?

- A. Define the problem to be solved by the project
 - B. Develop a mission statement and major objectives
 - C. Develop a project strategy that will meet project objectives
 - D. Write a scope statement to define project boundaries
 - E. Develop a work breakdown structure
9. Which of the following is **not** part of soft skill of project managers?
- A. Time management skills
 - B. Financial skill
 - C. Presentation skills
 - D. Leadership skill
 - E. All
10. Which of the following are subsidiary process of project execution?
- A. Quality control
 - B. Performance monitoring
 - C. Project administration
 - D. Risk monitoring and control
 - E. All
11. _____ is measuring the initial responses and reactions to project activities and their immediate short-term effects.
- A. Physical monitoring
 - B. Financial monitoring
 - C. Process monitoring
 - D. Impact monitoring
-
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CHAPTER SIX

6. SOCIAL COST - BENEFIT ANALYSIS

LEARNING OBJECTIVES:

After you have study this chapter, you will be able to:

-  Define social cost - benefit analysis
-  Highlight the importance for conducting social cost - benefit analysis.
-  Explain the features of social cost - benefit analysis
-  Differentia between Commercial and SCBA computations
-  Discuss the UNIDO, L-M's and Financial institutions approach to SCBA
-  Realize the drawbacks of SCBA

Chapter Introduction

Dear learners, how do you do? The economic evaluation of any investment (project) proposal involves an analysis of social profitability arising out of the investment. Apart from the direct financial benefits as a result of revenue which will flow in the national exchequer from duties and taxes levied, there are various indirect benefits which will accrue such as opening up of employment opportunities in downstream/ancillary industries, transport and other secondary and tertiary sectors of commercial activity. This analysis which basically determines whether an investment is worthwhile from the point of view of the society as a whole, involves adjustment on cost and return to the enterprise taking into account the direct and indirect benefits leading to revalued inputs and outputs. SCBA is used primarily for evaluating public investments and has received increased emphasis in recent years due to the growing importance of public investments especially in developing countries where government play significant role in economic development. SCBA is also relevant in major private investments, which require governmental approval since these investments have bearing on national

considerations. In modern times, all project investments have impact on society and nations economy.

This chapter hosts the learner to know the meaning of SCBA and its benefits undertaking in the project appraisal process and also it introduce the participants identifying features of social cost - benefit analysis and its difference with commercial or financial cost – benefit analysis and also make the leaner to comprehend about the UNIDO, L-M’s and Financial institutions approach to SCBA. Finally the learners recognize the limitation of social cost - benefit analysis.

6.1 Meaning of Social Cost - Benefit Analysis

? Self-Check Exercise 1:

Dear learners; describe in your own word the sense of social cost - benefit analysis?

Excellent. The term “social costs” refers to all those harmful consequences and damages which the community on the whole sustains as a result of productive processes and for which private entrepreneurs are not held responsible. The definition of the concept is comprehensive enough to include even certain “social opportunity costs”, avoidable wastes and social inefficiencies of various kinds. Implicit in such an appraisal is the assumption that the principal objective of investment decision-making is to maximize the net present value of monetary flow or some variant of it. Cost benefit analysis has become important among economists and consultants in recent years. The ensuing is the sum of definitions for SCBA. These are:

- Social Cost Benefit Analysis (SCBA) called Economic Analysis; is a methodology for evaluating projects from the social point of view and focuses on social cost and benefits of a project.
- The social cost-benefit analysis is a tool for evaluating the value of money, particularly of public investments in many economies.
- Social Cost Benefit Analysis (SCBA): is a tool to determine merits of a project on the basis of current and future socio-economic impacts.

- SCBA is a systematic and formal method of evaluation of the project in terms of Costs and Benefits.
- SCBA is also referred to as economic society benefit analysis, is a part of the economic analysis in project appraisal.
- SCBA is concerned with Tactical Decision making within the framework of macro level.

6.1.1 Social Costs and Social Benefits

Social Costs: the costs of off-putting impacts of a project on society, environment, ecology, human, animal, mankind.

Social Benefits: the benefits of a project other than economic gain.

Table-6.1: Concerns of Social Costs and Social Benefits

Social Costs	Social Benefits
Subsidies offered	Taxes raised
Environmental degradation	Improvement of environment
Depletion of energy	Products and Services
Unemployment caused	Indirect employment creation
Human services used	Socio-economic developments

6.2 Need for Social Cost Benefit Analysis

? Self-Check Exercise 2:

Dear learners; describe in your own view why we make a SCBA?

The essence of the theory of social cost-benefit analysis is that it does not accept that the actual receipts of a project adequately measure social benefits and actual expenditures measure social costs. The reason is that actual prices may be an inadequate indicator of economic benefits and costs. For example, in developing countries like India, the prices of necessities are set low, despite their economic importance, while the prices of less essential goods are set high (through a system of taxes and duties). As a result, some projects which appear very profitable when their outputs and inputs are valued at actual

prices are, in fact, unattractive from the viewpoint of the national economy, while other apparently unprofitable projects have high economic returns. But the theory accepts that actual receipts and expenditures can be suitably adjusted so that the difference between them, closely analogous to ordinary profit, will properly reflect the social gain.

In Social-Cost Benefit Analysis (SCBA) the focus is on social costs and benefits of a project. These often tend to differ from the costs incurred in monetary terms and benefits earned in monetary terms by the project. The principal reasons for discrepancy are:

- i. **Market imperfections:** Market prices, which form the basis for computing the monetary costs and benefits from the point of view of project sponsor, reflect social values only under conditions of perfect competition, which are rarely, if ever, realized by developing countries. When imperfections obtain, market prices do not reflect social values.

The common market imperfections found in developing countries are: (i) rationing, (ii) prescription of minimum wage rates, and (iii) foreign exchange regulation. Rationing of a commodity means control over its price and distribution. The price paid by a consumer under rationing is often significantly less than the price that would prevail in a competitive market. When minimum wage rates are prescribed, the wages paid to labor are usually more than what the wages would be in a competitive labor market free from such wage legislations. The official rate of foreign exchange in most of the developing countries, which exercise close regulation over foreign exchange, is typically less than the rate that would prevail in the absence of foreign exchange regulation. This is why foreign exchange usually commands premium in unofficial transactions.

- ii. **Externalities:** A project may have beneficial external effects. For example, it may create certain infrastructural facilities like roads which benefit the neighboring areas. Such benefits are considered in SCBA, though they are ignored in assessing the monetary benefits to the project sponsors because they do not receive any monetary compensation from those who enjoy this external benefit created by the project. Likewise, a project may have a harmful external effect like environmental

pollution. In SCBA, the cost of such environmental pollution is relevant, though the project sponsors do not incur any monetary costs.

It may be emphasized that externalities are relevant in SCBA because in such analysis all costs and benefits, irrespective to whom they accrue and whether they are paid for or not, are relevant.

- iii. **Taxes and subsidies:** From the private point of view, taxes are definite monetary costs and subsidies are definite monetary gains. From the social point of view, however, taxes and subsidies are generally regarded as transfer payments and hence considered irrelevant.
- iv. **Concern for savings:** Unconcerned about how its benefits are divided between consumption and savings, a private firm does not put differential valuation on savings and consumption. From a social point of view, however, the division of benefits between consumption and savings (which leads to investment) is relevant particularly in capital-scarce developing countries. A rupee of benefits saved is deemed more valuable than a rupee of benefits consumed. The concern of society for savings and investment is duly reflected in SCBA wherein a higher valuation is placed on savings and lower valuation is put on consumption.
- v. **Concern for redistribution:** A private firm does not bother how its benefits are distributed across various groups in the society. The society, however, is concerned about the distribution of benefits across different groups. A rupee of benefit going to a poor section is considered more valuable than a rupee of benefit going to an affluent section.
- vi. **Merit wants:** Goals and preferences not expressed in the market place, but believed by policy makers to be in the larger social interest, may be referred to as merit wants. For example, the government may prefer to promote adult education or a balanced nutrition programme for school-going children even though these are not sought by consumers in the market place. While merit wants are not relevant from the private point of view, they are important from the social point of view.

6.3 Procedure of Social Cost Benefit Analysis

The objective of social cost-benefit analysis is, in its widest sense, to secure and achieve the value of money in economic life by simply evaluating the costs and benefits of alternative economic choices and selecting an alternative which offers the largest net benefit, i.e. the highest margin of benefit over cost.

Very broadly, social-cost benefit analysis involves the following steps:

1. Estimates of costs and benefits which will accrue to the project - implementing body.
2. Estimates of costs and benefits which will accrue to individual members of society as consumers or as suppliers of factor input.
3. Estimates of costs and benefits which will accrue to the community.
4. Estimates of costs and benefits which will accrue to the National Exchequer.
5. Discounting the costs and benefits which accrue over a period of time to determine the feasibility of the project.

Here again, the non-quantifiable benefits are stated only in descriptive terms. These strategies will work towards the appropriate calculation of the profitability ratio. While this is the general approach to project formulation, implementation and evaluation, the same may be modified to suit the circumstances.

6.4 Main Feature of Social Cost Benefit Analysis

Prest and Turvey defined cost-benefit analysis as “a practical way of assessing the desirability of projects, where it is important to take a long view in the sense (looking at repercussions in the future as well as the near future and a wide view in the sense of allowing side-effects of many decisions relating to industries, regions etc.), i.e., it implies the enumeration and evaluation of all the relevant cost and benefits”. This definition focuses attention on the main features of cost-benefit analysis. It covers five distinct issues:

1. Assessing the desirability of projects in the public, as opposed to the private sector.

2. Identification of costs and benefits.
3. Measurement of costs and benefits.
4. The effect of (risk and uncertainty) time in investment appraisal.
5. Presentation of results– the investment criterion.

? Self-Check Exercise 3:

Dear learners; can you mention the procedures and a main features of SCBA?

6.5 Difference Between Commercial and SCBA Computations

Commercial Cost Benefit Analysis (CBA): commercial cost is total cost of the project; whereas benefit analysis is expected future benefit from the project.

- Benefit > Cost is desirable here.
- So it is nothing but a profitability analysis.
- But what will be the costs and/or the benefits that a society may have to bear and/or get from the proposed project are not considered here.

So, to reflect the real value of a project to society, we must consider the impact of the project on society. Thus, when we evaluate a project from the view point of the society (or economy) as a whole, it is called Social Cost Benefit Analysis (SCBA)/Economic Analysis. The basic difference between Commercial and SCBA in project appraisal lies in the following.

Table-6.2: Core Differences between CBA & SCBA

Bases	CBA	Social CBA (SCBA)
Viewpoint	Investor (Business owner)	Overall society
Decision criterion	Payback period or internal rate of return	Positive net present value
Scope of range	Limited range of effects is considered as it measures the profitability of individuals who are only a part of the society.	The evaluator has to take a wider view as it tries to measure social values of the whole society.
Measurement	It is quantitative in nature.	It can be quantitative or qualitative.
Timeframe	Short term	Life cycle (technical life)
Discount rate	Reflects costs of borrowing, desired returns (normally higher than social discount rate)	Reflects social preferences and other factors
Energy price (Benefits)	Prevailing market prices	Social values reflecting willingness to pay, and alternative uses.
Cost	Private, prevailing market prices	Social values reflecting unrealized opportunities
Taxes and subsidies	Considered	Ignored

6.6 Approaches to SCBA

Towards the end of the sixties and in the early seventies two principal approaches for SCBA emerged: the UNIDO approach and the Little-Mirrlees approach. This section discusses the UNIDO approach and Little-Mirrless approach; and also following discusses the approach adopted by Financial Institutions. Now a day, we have three main approaches to social cost – benefit analysis. They are:

1. UNIDO Approach
2. L & M Approach
3. Approach Adopted By Financial Institutions

6.6.1 UNIDO Approach

UNIDO Approach: this approach is mainly based on the publication of UNIDO (United Nation Industrial Development Organization) named *Guide to Practical Project Appraisal* in 1978 which provides a comprehensive framework for SCBA in developing

countries. UNIDO approach is based largely on the latter publication though at places we will draw on the former publication too.

- Measures cost and benefits in terms of domestic currency values
- Measures cost and benefits in terms of consumption.
- Focuses on efficiency, savings and redistribution aspects in different stages.

UNIDO method of project appraisal involves five stages:

1. Calculation of the financial profitability of the project measured at market prices.
2. Obtaining the net benefit of the project measured in terms of economic (efficiency) prices.
3. Adjustment for the impact of the project on savings and investment.
4. Adjustment for the impact of the project on income and distribution.
5. Adjustment for the impact of the project on merit goods and demerit goods whose social values differ from their economic values.

Each stage of appraisal measures the desirability of the project from a different angle. The measurement of financial profitability of the project in the first stage is similar to the financial evaluation. So, without skipping the first stage, the all five stages are being discussed here.

Stage-1: Calculation of financial profitability of the project

A good technical and financial analysis must be done before a meaningful economic (social) evaluation can be made so as to determine financial profitability. The measurement of financial profitability of the project in the 1st Stage is similar to the financial evaluation of the project. This includes the study of Cash Flow Statement, Balance Sheet, Means of Financing, Depreciation, Tax factor etc. To judge a project from the financial angle, we need following information. Such as:

- Cost of the project;
- Means of financing;
- Estimates of sales and production;
- Cost of production;
- Working capital requirement and its financing;
- Estimates of working results (profitability projections);
- Break-even point;

- Projected cash flow statements; and
- Projected balance sheets.

Cost of project -: represent the sum of all items of outlays associated with a project, which are supported by long term funds. It is the sum total of following: Land and site development; Building and civil work; Plant and machinery; Technical know-how and engineering fees; Expenses on foreign technicians abroad; Miscellaneous fixed asset; Preliminary and capital issue expenses; Pre-operative expenses; Provisions of contingencies; Margin money of working capital and Initial cash losses.

Means of financing -: to meet the cost of the project; the following sources of finances may be available. These are; Share capital (equity and preference share capital); Term loan (domestic currency term loan and foreign currency loans); Debenture capital; Deferred credit; Incentive sources (seed capital, capital subsidy etc.); Tax deferment; and Miscellaneous sources (unsecured loans, public deposits).

Estimates of sales and production -: the starting point for profitability projection is the forecast of sales revenues. In estimating sales it is reasonable to assume that capacity utilization will be somewhat low in the first year and rise thereafter gradually to reach the maximum level in the third and fourth year of operation.

Cost of production -: the major components of cost of production are -:

- Material cost;
- Labor cost; and
- Factory overhead cost.

Working capital requirement and its financing -: to estimate the working capital requirement and planning for its financing, the following points must be borne in mind -:

- The built of current assets till the rated level of capacity utilization is reached.
- The maximum permissible bank finance.
- Margin requirement against various current assets.

Profitability projections -: the profitability projections are based on the following Lines. These are: Cost of production; Total administrative expenses; Total sales expenses; Royalty and know-how payable; Total cost of production; Expected sales; Gross profit; Other incomes; Preliminary expenses written off; P & L before tax; Provision for taxation; PAT; Dividend; Retained profits and Net cash accrual.

Break-even point -: it is a point at which the project neither make profit nor incur losses it is calculated as follow

$$\frac{\text{Fixed cost}}{\text{Unit selling price} - \text{unit variable cost}}$$

The cash flow statement shows the movement of cash into and out of the firm and its net impact on the cash balances of the firm.

The balance sheet, showing the balances in various assets means liability accounts, reflects the financial condition of the firm.

Financial profitability is indicated by the Net Present Value (NPV) of the project, which is measured by taking into account inputs (costs) and outputs (benefits) at market price.

Net Present value of a Project is calculated as:

$$NVP = \sum_{t=0}^T \left\{ \frac{V_t - C_t}{(1 + K)^t} \right\} - I_0$$

Here,

V_t = Value of outputs at market price at time t

C_t = Value of inputs at market price at time t

K = Discount Rate

T = Lifetime of the project

I_0 = Initial cost at the start of the project.

The project is viewed as financially feasible if $NPV > 0$.

Stage-2: Obtaining the net benefit of the project at economic (shadow) prices

The commercial profitability analysis (calculated in stage - 1) would be sufficient only if the project is operated in perfect market. Because, only in the perfect market, is a market prices can reflect the social value of the project. If the market is imperfect (most of the cases in reality), net benefit of the Project is determined by assigning shadow prices to inputs and outputs. Therefore, developing shadow prices is very much vital. Stage two is concerned with determination of economic prices also referred as shadow prices. Shadow prices can be defined as the value of the contribution to the country's basic socio-economic objectives made by any marginal change in the availability of commodities (Output) or factor of production (input). Shadow prices are also referred as

economic prices, accounting prices, economic/accounting efficiency prices etc. Shadow prices reflect the real value of a resource (input or output) to society.

A key issue in shadow pricing is that in what unit the input or output is expressed i.e. in what unit of currency should benefit or cost be expressed, whether the cost and benefit should be valued at current or constant prices. Shadow price is also known as hidden price, a price that is hidden under monetary cost and benefits.

Another issue in shadow pricing is whether a good is tradable or not. For a traded good the shadow price is the border price translated in the domestic currency at market exchange rate. The shadow price in case of non-tradable good is consumer willingness to pay or cost of production depending on the impact of the project on the rest of the economy.

Regarding taxes, the UNIDO approach says that if a project result in diversion of non-traded input from the producer or addition of non-traded input, taxes should be included. If a project augments domestic production by other producers, taxes should be excluded and for fully traded goods taxes should be ignored.

Table- 6.3: Source of Shadow Price and Its Basis of Valuation

Sources of shadow pricing	Basis of valuation
Increase/decrease total consumption	Consumer willingness to pay
Increase /decrease total production	Cost of production
Increase/decrease export or imports	Foreign exchange value

Shadow pricing for specific resources

Tradable input and output -: a good is fully traded if its domestic changes in demand or supply affect just the level of import or export. For a good being tradable the following condition should be met-:

- The import quota, if any should not be restrictive.
- The import supply should be perfectly elastic.
- There is no surplus capacity in the domestic industry.
- If, additional demand exists inland, the imported goods even after taking into account the cost of transport from port to the point of inland demand should be less than the marginal cost of local production.

- The imported input cost should be less than the domestic marginal cost of purchase.

Non tradable inputs and outputs -: a good is non-tradable if following conditions are satisfied -:

- If its CIF prices is greater than its domestic cost of production.
- Its FOB price is less than its domestic cost of production.

For traded goods the shadow price border price translated in domestic currency, at market exchange rate.

For non-traded goods the shadow price is measured in terms of consumer willingness to pay or cost of production, depending on the impact of project on the rest of the economy.

Externalities -: since SCBA seeks to consider all cost and benefits, to whomsoever they may accrue external effects should also be taken into account. The valuation of external effects is rather difficult because they are often intangible in nature and there is no market price, which can be used as a starting point.

Labor inputs -: the principle of shadow pricing may be applied to labor as well, though labor is considered to be services. When a project takes away labor from other employment, the shadow pricing of labor is equal to what other user of labor are willing to pay.

The shadow prices associated with inducing additional production of workers consist of the marginal product of labor in previous employment plus certain other costs. The social cost of associated with import of foreign labor is the wage they command. However, a premium should add on account of foreign exchange remitted abroad by these workers from their savings.

Capital input -: the shadow pricing in case of capital investment involves -:

- What is the value of physical assets?
- What is the opportunity cost of capital?

The value of physical assets is determined the way values of other resources are calculated. The opportunity cost of capital depends on how the capital required for the project is generated. To the extent that it comes from additional savings its opportunity cost is measured by the consumption rate of interest.

To the extent that it comes from the denial of capital from the alternative project, its opportunity cost is the rate of return that would be earned from those alternative projects. This is also called as investment rate of interest.

Foreign exchange -: the UNIDO method uses domestic currency as the numeracies. So the foreign exchange impact of the project must be identified and valued. The UNIDO method determines the shadow price of foreign exchange on the basis of marginal social value as revealed by the consumer willingness to pay for the goods that are allowed to be imported at the margin.

Stage-3: Adjusting Impact of the project on Savings and Investments

The stage three of the UNIDO method is concerned with that given the income distribution impact of the project what would be its impact on saving. To facilitate such assessment, we must first measure the income gained or lost by individual groups within the society. For income distribution analysis, the society may be divided into various groups. The UNIDO approach seeks to identify income gains and losses by the following: (i) Project, (ii) Other private business, (iii) Government, (iv) Workers, (v) Consumers, and (vi) External sector. There are, however, other equally valid groupings.

Measure of gain and loss -: the gain or loss to an individual group within the society as a result of the project.

In case of physical resources is the difference between the shadow price and the market price of each input or output.

In case of financial transaction it is the difference between the price paid and value received.

Savings impact and its value - Most of the developing countries face scarcity of capital. Hence the governments of these countries are concerned about the impact of a project on savings and its value thereof. Stage three of the UNIDO method, concerned with this, seeks to answer the following questions:

- (a) Given the income distribution impact of the project what would be its effect on savings?
- (b) What is the value of such savings to the society?

Impact on savings of a project is equal to $\sum \Delta Y_i \text{MPS}_i$

Where,

ΔY_i = change in income of group i as a result of the project

MPS_i = marginal propensity to save of group i

Value of savings of a domestic currency is the present value of the additional consumption stream produced when that domestic currency of savings is invested at the margin. The additional stream of consumption generated by a domestic currency of investment depends on the marginal productivity of capital and the rate of reinvestment from additional income. If the marginal productivity of capital is r and the rate of reinvestment from additional income a , the additional stream of consumption generated by a domestic currency of investment can be worked out. The consumption stream starts with $r(1-a)$ and grows annually at the rate of ar forever. Its present value when discounted at the social discount rate k is:

$$\begin{aligned}
 I &= \frac{r(1-a)}{(1+k)} + \frac{r(1-a)(1+ar)}{(1+k)^2} + \frac{r(1-a)(1+ar)^2}{(1+k)^3} + \frac{r(1-a)(1+ar)^{n-1}}{(1+k)^n} + \dots \\
 &= \frac{r(1-a)/(1+k)}{1-(1+ar)/(1+k)} \\
 &= \frac{r(1-a)}{k-ar}
 \end{aligned}$$

Where,

I = social value of a rupee saving

r = marginal productivity of capital

a = reinvestment rate on additional income arising from investment

k = social discount rate

Stage-4: Adjusting Impact of the project on Income Distribution

Government considers a project as an investment for the redistribution of income in favor of economically weakens sections or economically backward regions. This stage provides a value on the effects of a project on income distribution between rich & poor and among regions.

Distribution Adjustment Factor (Weight) is calculated and the impacts of the project on income distribution have been valued by multiplying the adjustment factor with the particular income of a group. This value will then be added to the net present value re-calculated in stage three to produce the social net present value of the project.

Determination of Weights:

It there are only two groups in a society, poor and rich, the determination of weight is just an iterative process between the analysts (at the bottom) and the planners (at the top). This is called “bottom-up” approach. When more than two groups are involved, weights are calculated by the elasticity of marginal utility of income. The marginal utility of income is the weight attached to an income is:

$$W_i = \left(\frac{b}{C_j} \right)^n$$

Where,

w_i = weight of income at c_i level

c_i = level of income of group i

b = base level of income that has a weight of 1.00

n = elasticity of the marginal utility of income

Income distribution impact- Many governments regard redistribution of income in favor of economically weaker sections or economically backward regions as a socially desirable objective. Due to practical difficulties in pursuing the objective of redistribution entirely through the tax, subsidy, and transfer measures of the government, investment projects are also considered as instruments for income redistribution and their contribution toward this goal is considered in their evaluation. This calls for suitably weighing the net gain or loss by each group, measured earlier, to reflect the relative value of income for different groups and summing them.

Stage-5: Adjusting Impact of project on Merit and Demerit Goods

In some case, the analysis has to be extended beyond stage four to reflect the difference between the economic value and social value of resources. This difference exists in the

case of merit goods and demerit goods. A merit good is one for which the social value exceeds the economic value. For example, a country may place a higher social value than economic value on production of oil because it reduces dependence on foreign supplies. The concept of merit goods can be extended to include a socially desirable outcome like creation of employment. In the absence of the project, the government perhaps would be willing to pay unemployment compensation or provide mere make-work jobs.

In the case of a demerit good, the social value of the good is less than its economic value. For example, a country may regard alcoholic products as having social value less than economic value. The procedure for adjusting for the difference between social value and economic value is as follows:

- (i) Estimate the economic value.
- (ii) Calculate the adjustment factor as difference between the ratio of social value to economic value and unity.
- (iii) Multiply the economic value by the adjustment factor to obtain the adjustment.
- (iv) Add the adjustment to the net present value of the project as calculated in stage four.

The stream of social costs and benefits is obtained after the five steps described above. The discount rate at which the present value of social costs=social benefits, is called as social rate of return (SRR). SRR is then compared with the required rate of return. The SRR of a project forgone may be taken as the desired rate of return. In absence of the opportunity return, the consumption rate of interest can be taken as the cut-off rate.

6.6.2 Little - Mirrlees Approach

I.M.D. Little and J.A. Mirrlees have developed an approach (here after referred to as the L-M approach) to social cost benefit analysis. The L-M technique assumes that a country can buy and sell any quantity of a particular good at a given world price. Hence, all traded inputs and outputs are valued at their international prices (CIF for importable and FOB for exportable) which is the opportunity cost/value of the particular good to the country. Every input is treated as a forex outgo and every output is treated as a forex

inflow. All non-tradable inputs are valued at accounting prices. These costs are broken up into tradable goods and other non-traded goods. Following this chain of production, commodities that are either exported or imported are determined for application of accounting prices. The theory assumes that non-tradable form an insignificant part of operating costs.

Despite considerable similarities there are certain differences between the two approaches:

1. The UNIDO approach measures costs and benefits in terms of domestic currency prices whereas the L-M approach measures costs and benefits in terms of international prices, also referred to as border prices.
2. The UNIDO approach measures costs and benefits in terms of consumption whereas the Little-Mirrlees approach measures costs and benefits in terms of uncommitted social income.
3. The stage-by-stage analysis recommended by the UNIDO approach focuses on efficiency, savings and redistribution considerations in different stages. The Little-Mirrlees approach, however, tends to view these considerations together.

There is a considerable similarity between the UNIDO approach and the L-M approach as both the approach call for -:

- Calculating shadow pricing
- Considering the factor of equity
- Use of DCF analysis

Shadow Pricing

- **Traded goods and services -:** the shadow prices of traded goods and services are the border price. If a good is exported its shadow price is the FOB price and if a good is imported its border price is the CIF price. If foreign demand is not perfectly elastic the marginal export revenue is substituted for the FOB and if foreign supply is not perfectly elastic, the marginal import cost is substituted for CIF prices.
- **Non-traded goods and services -:** accounting prices for non-traded good are defined in terms of marginal social cost and benefit. The marginal social benefit is

the value of an extra unit of good from social point of view and the marginal social cost of a good is the value in terms of accounting prices of the resources required to produce an extra unit of the good. To determine the accounting price of a non-traded input the following formula is to be used -:

$$2/3 \text{ marginal social cost} + 1/3 \text{ marginal social benefit}$$

- **Labor** -: the L-M approach suggest the following formula for calculating the shadow wage rate-:

$$SWR = c' - 1/s (c-m)$$

Where,

SWR = shadow wage rate

C' = additional resources devoted to consumption

1/s = value of a unit committed resources

c = consumption

m = marginal product of wage earner

6.6.3 SCBA by Financial Institutions

The Central financial institutions—ICICI, IFCI, and IDBI—appraise investment proposals primarily from the financial point of view. However, in recent years they have recognized the need for scrutinizing projects from the larger social point of view. ICICI was perhaps the first financial institution to introduce a system of economic analysis as distinct from financial profitability analysis. IFCI adopted a system of economic appraisal in 1979. Finally, IDBI also introduced a system for economic appraisal of projects financed by them. Though there are some minor variations, the three institutions follow essentially a similar approach which is a simplified version of the L-M approach. The appraisal procedure followed by IDBI is described below:

IDBI, in its economic appraisal of industrial projects, considers three aspects:

- ➡ Economic rate of return
- ➡ Effective rate of protection

➤ Domestic resource cost

Economic rate of return

The economic rate of return is the internal rate of return of the stream of social cost & benefit. The method followed by IDBI to calculate the economic rate of return is a similar approach, which is a simplified version of L-M approach & is described as follows:

1. International prices are regarded as the relevant economic prices and, hence, it is necessary to substitute market prices with international prices for all non-labor inputs and outputs.
2. For tradable items, where international prices are directly available, CIF prices are used for inputs and FOB prices are used for outputs.
3. For tradable items where international prices are not directly available and for non-tradable items (like electricity, transportation, etc.) social conversion factors are used to convert actual rupee cost into social cost. In some cases (like land) a social conversion factor is applied directly to the actual rupee cost. In other cases (like transport) the actual rupee cost is broken down into three components—tradable component, labor component, and residual component—and these components are valued in social terms. Generally, the social cost of the tradable component is obtained by multiplying it by a factor of 1/1.5; the social cost of labor component is obtained by multiplying it by a factor of 0.5 (shadow price of labor is considered to be 50 per cent of the actual); the social cost of the residual component is obtained by multiplying it by a factor of 0.5.

Effective rate of protection: - the effective rate of protection (ERP) is calculated as follows:

$$\frac{\text{Value added at domestic prices} - \text{Value added at world prices}}{\text{Value added at world prices}} \times 100$$

The data required for calculating the ERP may be arranged as follows:

At domestic prices

At world prices

A. Selling price

B. Input cost

Traded

Non-traded

C. Value added

The domestic selling price is net of taxes and excise duties but inclusive of a reasonable selling commission. The selling price at world price is the CIF price for import and fob for exports.

The input cost consists of the cost of the following inputs:

- Raw material and stores
- Power, fuel and water
- Repairs and maintenance
- Part of administrative overheads and expenses
- Selling expenses

It may be emphasized that when the value added at domestic prices is same as the value added at world prices, the ERP is zero. In such a case it implies that a project does not enjoy any protection from international competition. When the value added at domestic price is higher than the value added at world price, as is often the case, the ERP takes a positive value. Clearly the higher the value of ERP, the higher the implied protection enjoyed by the project. It is generally agreed that the extent of protection given to a project should not exceed 30 per cent.

Domestic resource cost: - the domestic resource cost (DRC) is calculated as follows:

$$\frac{\text{Value added at domestic prices}}{\text{Value added at world prices}} \times \text{Exchange Rate}$$

	Domestic	Imported
<i>Selling price</i>		
<i>Operating costs</i>		
Raw materials (net of duties & taxes)		
Power, fuel, and water		

Repair and maintenance
Administrative overheads and expenses
Selling expenses
Capital costs
Charge on capital employed
Depreciation

The capital employed consists of fixed assets plus working capital. It is broken down into indigenous and imported components. After deducting taxes and duties from both the components, the charge on capital employed is imputed as 10 %. In case of depreciation capital equipment are split into indigenous and imported components. After deducting taxes and duties depreciation is taken as 6%. The relationship between ERP & DRC is -:

$$\text{DRC} = (\text{ERP} + 1) \text{ Exchange rate}$$

6.7 Limitation of SCBA

The nature of social benefits and costs are such that there cannot be any standard method or technique applicable to all types of investment projects. A bridge, a road, a housing colony, or an industrial project will each require a different approach while identifying and measuring its social benefits and costs. For one thing, the nature of inputs and outputs of projects involving very large investment— and their impact on the ecology and people of the particular region and the country as a whole are bound to differ from case to case.

At another level too, the problems of qualification and measurement of social costs and benefits are formidable. This is because many of these costs and benefits are intangible and their evaluation in terms of money is bound to be subjective. Even with honesty of purpose, assessment of social good and social evil is likely to be tinted by the analyst's own ideas and subjective preferences and the resulting decision may not serve the socio-economic goals which might have been initially formulated.

Moreover, a successful application of the techniques of analysis depends upon the accuracy and reliability of forecasts. Even when evaluation of social costs and benefits has been completed for one project, it may be difficult to judge whether any other project would yield better results from the social point of view. If all possible alternative investments are sought to be socially assessed, the costs would be prohibitive.

However, the limitations of analysis should not deter one from applying the techniques so far evolved. The element of subjectivity can be reduced by cross-checks. Even economic assessments suffer from certain drawbacks due to distortions in the price-mechanism caused by imperfections in the labor market, government controls, tariffs and quotas, and price inflation. Finally, while the limitations should not be ignored, it would be a folly to disregard the gains of social evaluation of investments.



SUMMARY

- ✎ The social cost-benefit analysis is a very significant tool to assess the overall feasibility of a project, both in the private and public sectors by providing a useful framework for clarifying important issues and separating factors and judgments.
- ✎ Social Costs: the costs of off-putting impacts of a project on society, environment, ecology, human, animal, mankind.
- ✎ Social Benefits: the benefits of a project other than economic gain.
- ✎ The objective of social cost-benefit analysis is, in its widest sense, to secure and achieve the value of money in economic life by simply evaluating the costs and benefits of alternative economic choices and selecting an alternative which offers the largest net benefit, i.e. the highest margin of benefit over cost.
- ✎ In SCBA the focus is on the special costs and Benefits of the project. The principle sources of discrepancy are:
 - ➡ Market imperfections
 - ➡ Externalities
 - ➡ Taxes and subsidies
 - ➡ Concern for savings
 - ➡ Concern for redistribution

➡ Merit wants.

📁 Now a day, we have three main approaches to social cost – benefit analysis. They are:

1. UNIDO Approach
2. L & M Approach
3. Approach Adopted By Financial Institutions

📁 UNIDO approach was first articulated in the Guidelines for Project Evaluation which provides a comprehensive framework for SCBA in developing countries.

📁 UNIDO method of project appraisal involves five stages:

1. Calculation of the financial profitability of the project measured at market prices.
2. Obtaining the net benefit of the project measured in terms of economic (efficiency) prices.
3. Adjustment for the impact of the project on savings and investment.
4. Adjustment for the impact of the project on income and distribution.
5. Adjustment for the impact of the project on merit goods and demerit goods whose social values differ from their economic values.

📁 I.M.D Little & J.A. Mirrlees have developed this approach for analysis of Social Cost-Benefit Analysis.

📁 The core of this approach is that the social cost of using a resource in developing countries differs widely from the price paid for it. Hence, it requires Shadow Prices to denote the real value of a resource to society.

📁 There is considerable similarity between the UNIDO approach and the L-M approach. Both the approaches call for:

- ➡ Calculation of Shadow Prices to reflect social value.
- ➡ Usage of Discounted Cash Flow Techniques.
- ➡ Taking into account about the effect of a project on savings, investment and income of a society.

📁 The Central financial institutions—ICICI, IFCI, and IDBI—appraise investment proposals primarily from the financial point of view. However, in recent years they have recognized the need for scrutinizing projects from the larger social point of view.

✉ The nature of social benefits and costs are such that there cannot be any standard method or technique applicable to all types of investment projects. A bridge, a road, a housing colony, or an industrial project will each require a different approach while identifying and measuring its social benefits and costs.



CHAPTER REVIEW QUESTIONS

Part –I: True or False Questions

Say “True” If the Statement is correct and **“False”** if the statement is incorrect.

6. SCBA is used primarily for evaluating public investments not for private projects.
7. In modern times, all project investments have impact on society and nations economy.
8. A project with net benefits to the society below the costs to the society is preferred.
9. The social costs, social returns and social values are important dimensions in project analysis.
10. A good is non-tradable when its import price is greater than its domestic cost of production.

Part –II: Multiple Choice Questions

Choose the correct answer from the given alternative.

6. In SCBA one is **not** the principal reasons for discrepancy?
 - A. Market perfections
 - B. Externalities
 - C. Merit wants
 - D. Concern for redistribution
 - E. Concern for savings
 - F. None
7. **Except one**, all are the major components of cost of production which one....?
 - A. Material cost
 - B. Labor cost
 - C. Factory cost
 - D. Factor overhead cost
 - E. All
 - F. None
8. Among the following which one is a type of social benefits that a project can yield?
 - A. Improve environment
 - B. Employment creation
 - C. Tax and excise payments
 - D. Products & services provided
 - E. All
 - F. None
9. Which one is uses broader parameters such as its impact on society and nation together with the monetary gains?
 - A. Commercial benefit analysis
 - B. Social cost benefit analysis
 - C. Technical and civil analysis
 - D. Market and demand analysis

10. IDBI, in its economic appraisal of industrial projects, considers three aspects; **except?**

- A. Economic rate of return
- B. Domestic resource cost
- C. Effective rate of protection
- D. All
- E. None

CHAPTER SEVEN

7. Financing

Dear, learners this chapter prepared by intending to create concepts related to project financing. There are number of source of financing these are discuss below, here you requested to abide with concepts presented below.

Chapter Objectives

- ☐ Introduce the concept of debenture financing
- ☐ Present loan financing
- ☐ Present the concept of preferred share
- ☐ Introduce the equity share
- ☐ Discuss retained earning

7.1 Sources of long-term finance

The major classification of long-term sources is debt financing (outsider's liability) and equity financing (insider's liability)

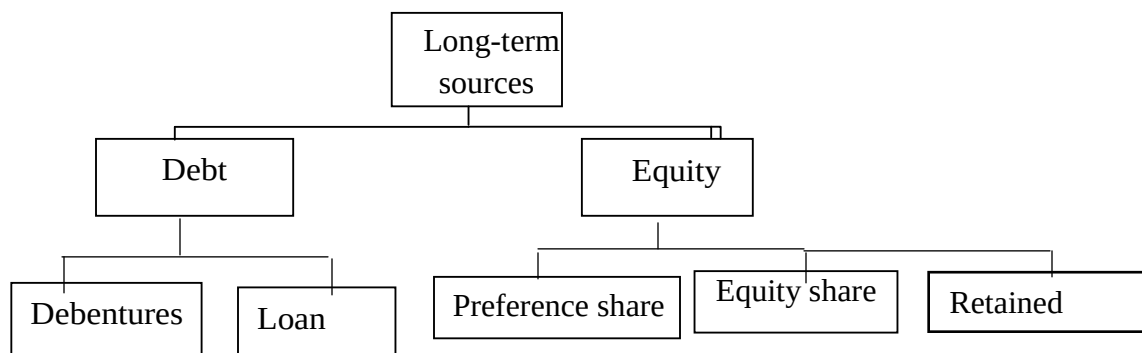


Figure 7.1 Source of Long-term finance

Activity

What is debt financing? Mention and discuss types of debt financing

1. Debt Financing

Debt funds are the outsider's liability. The funding agencies evaluate the project and provide finance for the same with predetermined terms of returns and repayments. The repayment schedule is predetermined and so is the interest rate. The term, or time limit to pay a debt, is generally commensurate with the value of an item or investment. Business and governmental bodies carry long-term debt in the form of loans or bonds.

Loans are taken from institutes or banks and are paid back with an agreed interest rate. Bonds or debentures are similar to loans, but are usually purchased by individuals or other businesses.

Types of Debts

There are two broad classifications of debts: *loans and debentures*

i. Loans: Loans are the most common source of financing. There are several development banks/institutions and commercial banks providing finance with a predefined rate of interest. The repayment schedule is also predefined. Repayments are generally made in installments (quarterly/semi-annually/annually). There are various banks/institutes providing loans. Some of them are:

- ✓ **Central financial institutions/development banks**
- ✓ **State Financial Corporations (SFCs):** All major states have their own SFC for funding medium sized projects.
- ✓ **State Industrial Development Corporations (SIDCs):** The role of SIDC is not restricted to financing but they are also responsible for zones for industrial developments and infrastructural facility.
- ✓ **Commercial banks:** All commercial banks finance long-term debt at a predefined rate of interest, generally with collateral security. Both nationalized and private commercial banks are playing a major role in financing agro industries and service projects.
- ✓ **Private financing:** Private companies are also providing long-term loans for projects.
- ✓ **International financial institutions:** These institutions provide funding to the projects of great magnitude. World Bank, International Finance Corporation, Asian Development Bank, Overseas Economic Co – operation Fund, etc.

ii. **Debentures**

Debentures are loans that are usually secured and are said to have either fixed or floating charges with them. They are different from loans as loan is provided by a bank or an institution whereas debenture is funded by public or group of people.

A secured debenture is one that is specifically tied to the financing of a particular asset such as a building or a machine. Then, just like a mortgage for a private house, the debenture holder has a legal interest in that asset and the company cannot dispose of it unless the debenture holder agrees. If the debenture is for land and/or buildings, it can be called a mortgage debenture.

Debenture holders have the right to receive their interest payments before any dividend is payable to shareholders and, most importantly, even if a company makes a loss, it still has to pay its interest charges.

If the business fails, the debenture holders will be preferential creditors and will be entitled to the repayment of all of their money before the shareholders receive anything. This provides safety to the holders of debentures.

Activity

What is the difference between debt and equity source of finance?

2. **Equity Financing**

Although owners of equity instruments are the owners of a company, it is actually equity shareholders who are the real owners of the company. There are various sources of equity financing.

- Preference shares
- Equity shares
- Returned earnings

❑ **Preferential Shares:** Preference shares offer their owners preferences over ordinary shareholders.

There are two major differences between ordinary and preference shares:

- a) Preference shareholders are often entitled to a fixed dividend even when

ordinary shareholders are not.

b) Preference shareholders cannot normally vote at general meetings.

- ❑ **Equity Shares:** Equity shareholders are the true owners of the company. They have the voting rights and right on all the remainder profit after paying interest to debt and preferential dividends. All shareholders of Reliance industries are the owners of the company. The equity shares are generally not subjected to buy back and under no circumstances can an equity shareholders be forced for the buy back. Companies may offer a buy back but can never force buy back on shareholder. Returns to shareholders are in the form of dividends, right shares or bonus shares. Generally, the return expected by shareholders is in the form of increased market prices. Future aspects, profits, reserves and all the aspects of the company are depicted by its share prices. The value of the company is determined by market price/share multiplied by Number of shares issued.

Retained Earnings: Retained earnings is the cheapest of equity source of capital. Companies do not declare dividends equal to their earnings; they retain some portions of their earnings for various reasons. One of the major reasons is future prospects. Such reserves are used as source of funding of a new project (generally in the case of brown field projects).

7.2. Short-Term Sources for Working Capital

The various short term sources of funds are;

- **Cash credit limit/overdraft by banks:** This is a form of loan provided by a bank. This is a cheaper means of fund as interest is payable on the amount which is withdrawn on a particular date. Banks offer a drawing limit to business for meeting its requirement of funds for working capital needs for raw material storage, work in progress, finished goods stock and debtors.
- **Commercial papers:** Commercial paper is an unsecured, short-term debt instrument issued by a company, typically for the financing of accounts receivable, inventories and meeting short-term liabilities.
- **Factoring:** Factoring is a financial option used for the management of receivables.

- **Hundies:** It is very ancient source of financing short-term funds. A firm needing short-term funds for meeting its working capital needs raise the funds privately at a predefined rate of interest through money market. This is generally dependent on the goodwill earned by the borrower.
- **Trade credit:** Firm do take advantage of their good will during purchasing goods on credit thus reducing working capital requirement. Many firms also take deposits from their distributors which in turn provide them funds for working capital. Some firms also sell their product after receiving advances, which also provide funds for their working capital requirement.

Activity

What is venture capital source of finance? What is its difference to hire purchase?

7.3. Newer Sources of Finance

- ☞ **International financing:** The International Finance Corporation (IFC), the Multilateral Investment Guarantee Agency (MIGA), and International Project Financing Agency (IPFA) give loans to promote private sector, corporate investment in developing countries, under the theory that such investment will provide economic growth. Other major sources of international financing include Euro Currency loans, Euro Bonds, Global Depositary Receipt and American Depositary Receipts.
- ☞ **Leasing:** Lease is an agreement between two parties, the lessee and the lessor. The lessor purchases capital goods for the use of the lessee and the lessee uses it by payment of predefined rentals. The lessee continues to be the owner of the asset. Leasing is generally used for financing capital goods.
- ☞ **Hire purchase:** It is a form of installment credit. Hire purchase is similar to leasing with the exception that ownership of the goods passes to the hire purchase customer as soon as the final installment is paid, whereas a lessee never becomes the owner of the goods.
- ☞ **Venture Capital Financing:** Venture capital is the capital provided by outside inventors for financing of new, innovative or struggling business. Venture capital

investments generally are high risk investments, but offer the chance for above average returns. A venture capitalist (also called angel investor) is a person who makes such investments. A venture capital funds is a pooled investment vehicle (often a partnership) that primarily invests the financial capital of third-party investors in enterprises that are too risky for the standard capital markets or bank loans. A venture capitalist is an expert not only in acquiring capital, but can also provide support and direction to early start- ups.

The Process of venture capital

- **Deal origination:** Deals may be referred to the VCs through their parent organizations, trade partners, industry associations, friends, etc. There are various consultants like Mckinsey conduct quiz and competition to searchout novel ideas.
- **Preliminary screening:** Venture capitalists carry out initial screening of all projects on the basis of some broad criteria like investment, risk, technology, and market scope.
- **Due diligence:** This is the step of detailed evaluation of the proposals. There are various criteria, but there are 11 guidelines given by I.M. Pandey; integrity, urge to grow, long-term vision, commercial orientation, critical competence vis-à-vis venture, ability to evaluate and react to risk, well-thought out strategy to remain ahead of competition, high market growth rate, expected return over 25% p.a. in five years, managerial skills, marketing skills.
- **Deal structuring:** After evaluating the project, it is time to finalize the terms and condition for the deal. The venture capitalist and the investment company negotiate the terms of the deal and decide the terms and conditions of the deal.
- **Exit:** Venture capital fund is not a permanent fund, it has to withdraw after a particular period of time, 5-10 years. There are various ways to exit. The most common way is an IPO (Initial Public Offer). Some others are the investee company re-purchase the shares, or shares are sold to a third party, or

the firm itself is sold.

Chapter Summary

Debt funds are the outsider's liability. The funding agencies evaluate the project and provide finance for the same with predetermined terms of returns and repayments. The term, or time limit to pay a debt, is generally commensurate with the value of an item or investment. Debt can be loan or debenture. Debentures are loans that are usually secured and are said to have either fixed or floating charges with them. They are different from loans as loan is provided by a bank or an institution whereas debenture is funded by public or group of people. A secured debenture is one that is specifically tied to the financing of a particular asset such as a building or a machine.

Another types of source of finance is owners' equity. Although owners of equity instruments are the owners of a company, it is actually equity shareholders who are the real owners of the company. There are various sources of equity financing such as; preference shares, equity shares and returned earnings.

Short term finance is working capital requirement. This can be over draft by the bank, factory, commercial papers, trade credit etc. the newer sources of finance are hire purchase, international financing, leasing and venture capital financing.

Review Questions

Part I: True or False Questions

1. Debt source of finance most of the time the financial requirement can be addressed by collect money from shareholders.
2. Debenture capital highly flexible and always it is a solution for temporarily working capital shortage.
3. Venture capital financing is newer source of finance that helps to convert

entrepreneur's new idea to business.

4. Preference shareholders are the owner of the company who have the right to vote and being elected as management body.
5. In leasing finance the lessor purchases capital goods for the use of the lessee and the lessee uses it by payment of predefined rentals.

Part II: Multiple Choice Question

6. _____ is a share that shareholders are the true owners of the company and they have the voting rights.
 - A. Equity share
 - B. Preferred share
 - C. Retaining earning
 - D. Debt financing
 - E. None
7. Which of the following source of finance that provided by outside inventors for financing of new and innovative business.
 - A. Leasing
 - B. Mortgage
 - C. Venture capital
 - D. Hire purchase
 - E. All
8. Identify short term source of finance
 - A. Overdraft by banks
 - B. Commercial papers
 - C. Factoring
 - D. Trade credit
 - E. All

9. _____ is one that is specifically tied to the financing of a particular asset such as a building or a machine.
- | | |
|--------------|---------------|
| A. Debenture | D. Preference |
| B. Loan | E. None |
| C. Equity | |

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- 📖 Other relevant textbook and lecture notes on Introduction to Management, Project Management, Project Planning and Analysis, etc.

APPENDICES

Answer Key For Chapters Review Questions

Chapter One

Part-I: True/False

1. True
2. True
3. False
4. True
5. True

Part-II: Multiple Choices

1. F
 2. E
 3. B
 4. E
 5. A
-

Chapter Two

Part-I: True/False

1. True
2. False
3. True
4. True
5. True

Part-II: Multiple Choices

1. E
 2. D
 3. E
 4. C
-

Chapter Three

Part-I: True/False

1. True
2. False
3. True
4. False
5. True

Part-II: Multiple Choices

1. F
 2. C
 3. E
 4. A
 5. B
-

Chapter Four

Part-I: True/False

1. False
2. True
3. False
4. True

Part-II: Multiple Choices

1. B
 2. C
 3. A
 4. D
-

Chapter Five

Part-I: True/False

1. True
2. False
3. False
4. True
5. True

Part-II: Multiple Choices

1. E
 2. A
 3. B
 4. E
 5. D
 6. D
-

Chapter Six

Part-I: True/False

1. False
2. True
3. False
4. True
5. True

Part-II: Multiple Choices

1. A
 2. C
 3. E
 4. B
 5. E
-

Chapter Seven

Part-I: True/False

1. False
2. False
3. True
4. False
5. True

Part-II: Multiple Choices

1. A
2. C
3. E
4. A

Summary questions

Part I: Write “True” If the Statement Is Correct and “False” If the Statement Is Incorrect

1. A project is a means of moving from a problem to a solution via a series of planned activities.
2. Project management aims to ensure the effective use of resources and delivery of the project objectives on time and within cost constraints.
3. SCBA is important merely for the developing countries where government plays a significant role in the economic development.
4. Project selection process starts with the generation of project ideas.

5. Development projects are expressly designed to solve the varied problems of the economics whether in the short or long run.
6. Estimation project cost early from financial feasibility always consider as wastage of resource.
7. Demand analysis is a research done to estimate or find out the customer demand for a product or service in a particular market.
8. Discounting project evaluation techniques are those techniques which do not consider time value of money.
9. The word organization means a collection of resources that are working together somehow to achieve a common purpose.
10. Project controlling is a process of measuring progress toward a predetermine objective.

Part II: Choose the “Correct answer” from the given alternatives

11. In developing countries why government takes as a major source of project ideas?
 - A. Familiar with the development objectives
 - B. Inadequate access to data and information
 - C. It has necessary resources for undertaking opportunity studies
 - D. All
 - E. All except “B”
12. One is not happens as common mistake in preparation of projects?
 - A. Optimistic projections
 - B. Underestimating Costs
 - C. Pessimistic schedule
 - D. Exclusion of a Necessary Component
13. Among the following which one is not objective of conducting plant capacity study in project preparations?
 - A. Determine the feasible normal level of plant capacity
 - B. Identify factors affecting capacity decisions
 - C. Examine alternative capacity levels in the view of profitability
 - D. Provide a basis for determining capacity costs
 - E. All
 - F. None
14. _____ defines the level of output to be produced during a specific period of time?
 - A. Sales program
 - B. Plant capacity
 - C. Production program
 - D. None

15. Identify a forecasting technique which is odd compared to others
- A. Moving average
 - B. Weighted moving average
 - C. Delphi technique
 - D. Regression method
 - E. None
16. While carried out forecasting things are not satisfactory in all time, therefore, which of the following(s) can be source of error to forecasting the future?
- A. Availability of past and present data
 - B. The amount of observation
 - C. Presence of natural calamity
 - D. Unrealistic assumptions
 - E. All
17. _____ is type of project cost it categorizes as construction cost?
- A. Purchase price of land
 - B. Legal and registration charges
 - C. Laying of internal and approach roads
 - D. Production shed
 - E. Tube well and electrification
18. Which of the following capital budgeting technique implies the amount of time period that the project cash inflow covers its initial investment?
- A. Net present value
 - B. Payback period
 - C. Internal rate of return
 - D. Profitability index
 - E. None
19. _____ is a project execution activity which too practical?
- A. Project monitoring
 - B. Project evaluation
 - C. Project implementation
 - D. Project planning
20. Among the following one can provides a framework for managing any type of project within a business?
- A. Project management
 - B. Project lifecycle
 - C. Project program
 - D. Project cycle management

Part III: Discuss and workout the following Question

21. Projects are all around us and virtually every organization runs projects, either formally or informally. Furthermore we are engaged in projects at home and at work. And now a day, project management is becoming an important subject and career because of several forces. Explain some of the important factors that are making project management knowledge important today.

22. Adey cultural artistic producer project estimated its cash flow as follow. Based on the information given in the table give the answer for question below it. The given discount rate is 10%.

23.

Year	Cash flow (Birr)
2012	(195,000)
2013	67,300
2014	70,000
2015	68,500
2016	83,000
2017	75,000

Required:

- A. Calculate the Payback Period of a project
- B. Calculate Net Present Value of a project and interpret it
- C. Calculate Average Rate Of Return
- D. Calculate Profitability Index